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Call: Nov 2022

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Octob er 27, 2022

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051

Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sir,

Sub: Transcript of the Earnings Call

Pursuant to Regulation 30(6) read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of the Earnings call held on Friday, October 21, 2022 for the quarter and half year ended September 30, 2022 is available on the Company's website at:

https://www.glenmarklifesciences.com/pdf/Transcript%20of%20Earnings%20Concall%20
Q2%20FY2022- 23.pdf
The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you
Yours faithfully,
For Glenmark Life Sciences Limited

Rudalf Corriea Company Secretary & Compliance Officer

"Glenmark Life Sciences Limited Q2FY'23 Earnings
Conference Call"

October 21, 202 2

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , GLENMARK LIFE SCIENCES
LIMITED .
MR. TUSHAR P. MISTRY – CHIEF FINANCIAL OFFICER ,

GLENMARK LIFE SCIENCES LIMITED .
MS. SOUMI RAO – GENERAL MANAGER , CORPORATE
COMMUNICATIONS , GLENMARK LIFE SCIENCES
LIMITED .

Moderator : Ladies and gentlemen, good day, and welcome to Q2 FY'23 Earnings Conference Call of Glenmark Life Sciences.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Soumi Rao. Thank you, and over to you, ma'am.

Soumi Rao: Good evening, everyone. I welcome you all to the Earnings Call of Glenmark Life Sciences Limited for the quarter ended September 30th, 2022.

From Glenmark Life Sciences, today we have with us Dr. Yasir Rawjee – our MD & CEO and Mr. Tushar Mistry – our CFO.

Our Board has approved the results for the quarter ended September 30th, 2022. And we have released the same to the stock exchanges, as well as updated it on our website. Please note that the recording and transcript o f this call will be available on the website of the company.

Now, I would like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward -looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause actual outcomes and results to differ materially f rom these statements, depending upon the economic conditions, government policies and other incidental factors. Such statements should not be regarded by recipients as a substitute of the exercise of their own judgment. The company undertakes no obligation to update or revise any forward -looking statement, whether as a result of new information, future events, or otherwise. Our actual results may differ materially from those expressed in or implied by these forward -looking statements.

With that, I invite Dr . Yasir Rawjee to say a few words. Thank you. And over to you, Dr. Rawjee.

Dr. Yasir Rawjee: Good evening and welcome to everyone. I hope everyone is doing well.

So, before getting into the group 's performance, let's talk a little bit about the trends the macroeconomic trends that are shaping our industry. So, geopolitically the uncertainties continue. There is an energy crisis in Europe, there is inflation across the globe. And then there are some risks to global growth as well , going forward, I am sure you have seen all that . Now with that as a backdrop, the geographies that where we are operating , have done pretty well. So, India, Japan, LATAM, continues to be on track compared to other markets . Europe is seeing a demand recovery , but at a slower pace. The good news is that the softness and demand has not impacted our business significantly, because of the mid volume and high value products that we have to offer.

Now, on the supply chain side, there have been disruptions. And that has impacted us some, b ut fortunately, we built up inventories. So, we should be okay, going forward. There is talk of raw material prices going up further, but so far, things have been fairly stable. We have had increases but very manageable.

On the solvents side, the good news is that there has been softening across the spectrum except a few. So, solvents have contributed very positively in this quarter compared to the last quarter. Overall, I would say that the raw material prices for Glenmark Life , was under control. Primarily, it's because of a better product mix and our operating efficiencies have also kicked in very nicely in terms of solvent usage, and process improvements in some of our processes

.

Now, as far as the performance in the quarter, what we need to highlight is that our external business has been doing exceedingly well. So, on a sequential basis, we grew 16% and on a year basis, we have grown about 13% in Quarter 2. So, this growth in external business is like I said, being driven by India, L ATAM, Japan, as well as there is an uptick in the CDMO business.

Now, where we did have challenges was on the group business with Glenmark Pharma slowing down quite significantly. So, we are down 41% on Glen mark Pharma's business, YoY. And sequentially we are also down 19%.

Now you recall that in Q2 we did have a COVID impact. So, there this 41% is not entirely on account of the COVID base effect. So, even if you take that away, there is a still significant drop in the Glenmark Pharma busine ss. So, that coupled with our external business is giving us this, the sequential growth of 4%. And y ear-on-year, if we take away the COVID base it ’s negative (-4%). So, this is how we deconstruct the degrowth in the overall business , but external business , again, I will reiterate, has been doing exceedingly well -driven across many geographies.

Now, on the margin side, I would say, it's all good news, because the margins are very steady, compared to the last year. So, basically, again, it's a well spread -out business across our non - commoditize d portfolio. And we expect that the EBITDA margins will continue to hold, in spite of the decline in the GPL business.

Now, on a segmental level, the generic business grew around 2% , overall . Chronic business has grown 71%, led by CVS and CNS portfolio . CDMO has jumped 27% compared to last quarter. So, we are seeing a pretty good pickup on the CDMO business, which basically tells us that this inventory challenges that we had with our customers is going away. And there is also uptick in the overall demand by our customers, within our customers business.

On the Science side, we continue to chug along , we have filed fo ur new DM Fs and C EPs across major markets. So, this is consistent with our filin g plan of around 8 to 10 DM Fs this year. And the focus in the new product development is, we have got 26 API's in the pipeline with a fair amount of focus on differentiated APIs, more complex APIs. So, this is good , three iron

complexes are there, plus sev en oncology products and a few others as well, which are non -onco and fairly complex.

On the CAPEX side, again, I have got some very good news. So, Dahej, our capacity expansion has just been handed over to us earlier in the month. So, that 240 kilolitres has come online, and will make a significant contribution in Q3, along with that our onco block has also come online, and we have already started validating our first API, and our second API is about to get validated. So, there is four APIs h ere, that will be validated one after another in the new onco facility .

As far as the Ankleshwar expansion goals that should come by the middle of Q4, there have been some delays, because of materials and so on. But, again, that will contribute very positi vely to our ability to service the business. So, technology is , this is sort of largely a BI block, but it will also help us on the intermediate side.

Now, finally, on the Greenfield site in Solapur we have got permission already to build 1000 kilolitre plant, but we are going to go, in a measured wa y just so that we don't over build, and it will stay more or less hand -in-hand with how we see the business coming on , the growth. Our spending CAPEX in the first six months was approximately Rs. 100 crores di stributed between Dahej and Ankleshwar .

Now, before I conclude, I would like to reemphasize that the business model is on a very firm footing with a broad portfolio spread across wide geographies. So, we are able to differentiate as a result of t

hat in the market. And it also explains that our margins have been extremely steady on account of this . The only downside has been the GPL business, which I believe is temporary. And we expect that in the second half, it will bounce back not obviously, I mean, we would have to discount the COVID element . But it will bounce back and that should put us in a pretty good range with respect to growth in the second half. Now, of course, the first half will weigh down on us. But overall depending on how the GPL business shapes up, we should be on a reasonable footing with respect to growth as well.

So, with that, I would like to thank you for joining the call. And I will hand it over to Tushar Mistry – our Chief Financial Officer .

Tushar Mistry : Hello, and good evening, e veryone. Welcome to our Q2 FY'23 Earnings Call . I am happy to update you on financial performance for the quarter. I would like to briefly touch upon the key financial highlights for the quarter ended 30th September 2022 and then we will open the floor for questions and a nswers.

We registered a revenue from operations of Rs. 509 crores for Q2 FY'23 , registering a sequential growth of 4% , and a degrowth of 9.3% on a corresponding quarter basis. Gross profit for the quarter was a t Rs. 269 crores up 3.2% quart er-on-quarter and down 7.3% year -on-year.

Gross margins for the quarter were at 52.9% with 120 basis points up compared to the same quarter last year. The g ross margin expansion was mainly driven by a better product mix and PLI scheme incentives as well . Sequentially the margins trended in the similar range.

As mentioned on previous calls as well , the margins in the business have remained stable, despite global uncertainties due to three factors :

A) Continuous efforts on Cost Improvement Programs thereby not only supporting our customers to be competitive in the market, but also maintaining our margins .
B) Timely passing of increased costs to customers where the headroom is low .
C) Efficient supply chain management.
EBITDA for the quarter was at Rs. 154 crores registering a degrowth of 9.3% year -on-year basis, and 1.7% on a sequential basis .
EBITDA margins are at 30.2% . EBITDA margins continue to be steady. However, higher utility costs impacted the margins by approximately 125 basis points compare d to previous period . We continue to work on rationalizing some of these costs by moving to alternate sources.
Profit After Tax was at Rs. 1 07 crores in Q2 FY'23 registering a degrowth of 7.2% year -on-year and 1.7% on a sequential basis.
As Dr. Yasir mentioned, Glenmark Pharma business contributed about 26% during the quarter.
R&D expenditure for the quarter was Rs. 17 crores, 3.3% of sales. We believe R&D expenditure to stay around 2%, 2.5% to 3% range for FY'23 .
Coming to working capital fo r the business , working capital days were at 173 days compared to 162 days as a March '22. As discussing earlier calls, we have taken a strategic decision to secure access raw material to ride out the various challenges created by geopolitical events , while keeping costs under control. We expect the inventory levels to remain at this level for few quarters till the time we see some easing of global scenario .
Debtor days are slightly higher but that was due to some d elayed frictions in some geographies. However, the same is now normalized and we do not see any major concerns here.
We continue to remain a net debt -free company with cash and cash equivalent of Rs. 365 crores on the books as of 30th September 2022.
Overall , a promising demand environment cou pled with fresh capacities looks like a good recipe for strong growth in the coming quarters.

With that, let us open the floor for Q&A . Thank you.
Moder ator: Thank you ver

y much. Ladies and gentlemen , we will now begin the question and answer session. Our first question is from the line of Neha Man puria from Bank of America. Please go ahead.
Neha Manpuria : My first question is on the generic A PI business. A couple of points here , you mentioned that the parent business that has seen a fair bit of decline sho uld start improving from the next quarter.
So, what would be a normalized level of supply in your view based on the order book that you have for the Glenmark business ? What gives us that visibility? That's number one.
And number two, for the Dahej commissioning that is happening, should we see a more phased increase from Dahej or should the improvement in the API business be more material starting from 3rd quarter itself , in terms of the revenue trajectory?
Dr. Yasir Rawjee : So, as far as the business, the group business goals, one was , in the first two quarters, we had the COVID impact and demand was lesser th an a typical demand. So, you have seen like it's 26% of our overall revenue. Typically, even after the COVID phase went away, we were se eing around 33 % to 34% revenue contribution to the overall business . We expect that this will bounce back based on whatever visibility we have . So, it should go back up to 3 2% levels , and at least in the short term , longer term, I believe that it will decline. But this has been a bit of a blip here, in terms of the decline. So, we have reasonable visibility that it should bounce back, at least in Q3, and Q4 remains to be seen.
As far as the Dahej increase, honestly, we have been waiting for this capacity to come online, because it has been pretty tight at Dahej . So, there will be a pretty good uptick in our ability to service business out of Dahej . And it will also help getting our R&D validations planned faster , because a smaller plant that was used both for commercial as well as R&D can now focus more on the R&D validations, because this plant that has been built at Dahej has got large capacity, and we can move a lot of the larger volume products into this capacity. So, it would be phased, but it would be pretty quick in terms of the phase, I mean, I expect that in about a year's time, or maybe end of this year, we should be utilizing that capacity at 50 % to 60%.
Neha Manpuria : And in terms of, Tushar if you could just help me understand the cost implication from the commissioning of Dahej , would we start seeing the incremental cost from Dahej flowing through also from 3rd Quarter , some of it has already factored into the margins that we are seeing now.
Tushar Mistry : You are right Neha; some bit of expenses have already started building up in Dahej as we continue d recruiting some people in Dahej . But on the other fr ont that is on the utilities and all , we will start building some costs from the Q3 onwards, which is all factored in our pr ojections going forward.
Neha Manpuria : And my second question is on the CDMO business, it's surprising how weak that business has been for us in the last two quarters , with the inventory rationalization. You did men tion in your

opening comments that, we are seeing some amount of normalcy with demand coming back. So, should we see this going back to the run rate that we were doing in the previous quarter of about Rs. 40 crores to Rs. 43 crores to Rs. 45 crores per qua rter, or you think that the run date now would probably be lower than that given the inventory situation?
Dr. Yasir Rawjee : Neha , I think it w ill pick up, right, certainly what we have seen in this quarter is a jump compared to Q1. So, it's certainly picking up , and it may not jump to 40 , 45 right away. But it will certainly improve and maybe it will take a couple of quarters for us to bounce back to those levels.
Moderator : Thank you. We have the next question from K

aran Vora from Goldman Sachs . Pleas e go ahead.
Karan Vora : So, first of all on the Glenmark business , so just wanted more clarity as in what is leading to, as in I get it that the demand environment was weak, but in the future or the visibility which you gave for Q3, right now w e don't have visibility beyond Q3, like, what's the reason for that , if you could elaborate more on that.
So, I will go ahead with the second one. So, on depreciation front, so now that the plants will start coming online , how should we look at depreciation ?
And one more I had , was on the Generic API piece. So, on the Generic API, this Rs. 450 crore run rate, which we are doing quarterly, like can we expect to grow from this base or what is the broad base, which we should look at for the Generic API p iece or is it Rs. 450 crores or is it something else , just needed more clarity on that?
Dr. Yasir Rawjee : So, as far as Glenmark Pharma goes, see it's another company and we don't have , I mean, just like our regular external customers, we don't get a very long term visibility, we get a forecast. So, the forecast, like I said earlier, is our Q3 forecast is pretty reasonable, we should get back into the 3 2% to 33% contribution to our revenue.
We are hopeful that Q4 should also, their forecast for Q4 should also look similar, but it remains to be seen. The other element is that we should also be in a position to service both our external as well as group business.
I will let Tushar take the depreciation question, but I will answer your third question, which is on our run rate on the Generic API business. See, the Generic API business is very strong. It's basically spread across geographies. And even if we do have a little bit of muted growth in some geographies man y other geographies are contributing very significantly. So, we will comfortably maintain this run rate on the generic side .
Just to sort of add and even to sort of answer , Neha a little more , on her question on CDMO , see our CDMO business is driven by three commercial projects . So, here what happens is that variability in one of the three also brings in some variability . So, however, on the gene ric side, we are very well distributed business on the portfolio , on the customers and across the

geography. S o, given that kind of spread we will comfortably do this run rate on the Generic API.
Tushar Mistry : On the depreciation front , we are currently at a run rate of about Rs. 10 crores per quarter . I think it should add about another Rs. 2.5 crores to Rs. 3 c rores per quarter , going forward , with Dahej facility coming in .
Karan Vora : And just a follow up on this. So, on the Gener ic API piece, is there any growth guidance which you are giving like a medium -term growth guidance , like low teens, mid -teens any bro ad ballpark number .
Dr. Yasir Rawjee :: External business will like I said comfortably grow 13 % to 15% , including CDM O. So, Generic plus CDMO should grow between 13 % to 15%.
Moderator : Thank you. We have the next question from the line of Ashwini Agarwal from Demeter Advisors , LLP. Please go ahead.
Ashwini Agarwal : One clarification , on th is working capital , Tushar did you say that your days of working capital remains steady and the increase is purely due to price increases in raw materials and finished products and so on?
Tushar Mistry : It is not because of pricing ; it is because of the inventory that we have stocked up strategically for our requirement because of the global uncertainties. We have been building our inventories cautiously. So, that will remain at this level s for some time , till the time we see some , till the time we see this global uncertainties easing off to some extent.
Ashwini Agarwal : And the other thing I wanted to ask is, what are you seeing on shipping costs? I mean, we are seeing a lot of repo

rts that ex-China to U.S., shipping lanes are completely empty and shipping
rates have crashed to the floor. What are you seeing in terms of s hipping costs? And does that
provide you any margin tailwind of some sort?
Dr. Yasir Rawjee : So, Ashwini, basically, our inward freight movement has largely been , we have switched to se a
shipment . There was a time when a significant portion of our inwards freight was also by air.
But then post -COVID or rather during COVID and post -COVID we have switched and it's pretty
good. But on the outward bound, because we are dealing with high value AP Is, it doesn't make
much sense to –
Tushar Mistry: I was saying it was high value low volume.
Dr. Yasir Rawjee : Yeah. So, it makes , I mean, we continue to operate with air freight. And, I mean, yeah, there is
an increase , but manageable. I mean, it's not , it's definitely higher than what it was in pre -COVID
days. But it's okay, I mean, I don't think it's significantly impacting , I don't know if Tushar wants
to add, what kind of on the EBITDA how much are we --.

Tushar Mistry : From a quarter -on-quarter basis it is not or from last year to current year there is not significa nt
change. But as you rightly mentioned, from pre-COVID days to this time, it is higher.
Dr. Yasir Rawjee : The new normal .
Ashwini Agarwal : Okay, so are all your outbound is air.
Dr. Yasir Rawjee : Most of it, we do have some high volume and relatively lesser value APIs that we do by sea. But
it's probably around on an overall bucket , it's about 15 % to 20% at the most , not even that.
Ashwini Agarwal : So, basically, shipping costs or sea freight costs, which might be helping some other business it
is not something that offers in the upside , in the current environment to you .
Dr. Yasir Rawjee : On inbound, it's helping, Ashwini but not on outbound .
Ashwini Agarwal : And your sense is that second half working capital days , sorry, I had missed this slide , and I see
it in front of me now. The inventory days, which have gone from roughly 90 to 115 , probably ,
this is something that you will tackle in Fiscal '24, assuming things are a little more normal.
Otherwise, you are going to run with higher rates, both on inventories and potentially on
receivables as ther e.
Tushar Mistry : Inventory , yes, what you said was right , on receivables, as I mentioned in my opening comments,
it's a blip, that it was one up for temporarily, but it has normalized now. So, it should re ctify
going forward.
Moderator : Thank you. Next question is from the line of Sajal Kapoor, a s an independent investor . Please
go ahead.
Sajal Kapoor : I have a more macro and more of an industry level question for Dr. Rawjee . What kind of
indications you are getting from European customers, given the geopolitical situation there,
seriously high inflation and energy crisis following what has been a very difficult couple of years
for the Eurozone. So, now, even if you can't manufacture these critical life sav ing drugs locally,
let's say in Germany or Italy, which is their traditional base for manufacturing drug substances,
the patient pool is still there, the disease pool burden is still there. So, drugs would have to be
sourced from somewhere.
So, how do you assess the situation or what kind of indications you are getting from your
customers who are either based out of Eurozone or who either buy from yourself and then they
distribute in the Eurozone? So, I am just trying to get a handle on any opportunity in t erms of
Europe Plus One coming o ur way ?
Dr. Yasir Rawjee : I think you have coined that term. I am hearing it for the first time Europe Plus One . So, no,
thank you for that. Basically Mr. Kapoor see, what happens here is that we have got a significant
business out of Europe and demand has picked up , I would not get too excited about the picku

p

and demand compared to many of our other markets, but it's has picked up. However, cost
pressures remain because a lot of markets in Europe are tender driven , so Germany, UK,
Netherlands, these markets are heavily tender driven. So, the push from our customers is far best
cost API. And that's why I mean , we have got to be a bit measured in terms of looking at this
uptick in demand , while we will get more top line. On the margin side, we will continue to have
pressure .
Now that's probably the game that the European companies will continue to play with us , simply
because they are also facing huge inflation, inflationary pressure. And at the same time, they are
probably not able to source locally. So, this will happen. But let's see how it all plays out. But
we are seeing a little bit of enhancement from Eur ope on the demand side.
Sajal Kapoor : Secondly, quick question on our CDMO business , what is the revenue realization model or in
other words, how do we get paid by the customer for the development or the commercial service

that we provide as well as the dr ug substance that we deliver to these customers within our
CDM O. So, how do we realize the revenue? Is it and included in our R&D expense , the kind of
scientists that work for these customers? Or what's the so rt of revenue realization? That's the
question really .
Dr. Yasir Rawjee : So, we don't have a model where we have an additional service cost. We continue to focus on at
a product level and all the customization that we do for the customer is done at our expense and
built in, based on the commercial expe ctation on the business side. And that plays out better,
because over time, that spreads out very well and it hardly matters . So, there is no point in
burdening the customer upfront, especially because the business we are chasing , a lot of
businesses that we are chasing are with smaller companies that don't have upfront budgets, to be
able to spend that kind of mon ey. So, we would rather sort of put out a commercial price. And
that's how we cost the whole thing. And in the whole scheme of things, adding fiv e or six CDMO
projects at any given point is not going to hurt our overall R&D expense. So, that's the way we
have built the model on the CDM O.
Sajal Kapoor : So, basically realizing the economies of scope from within the R&D setup that we already have,
and leveraging the infrastructure to service the CDMO side as well?
Dr. Yasir Rawjee : That's correct.
Moderator : Thank you. Next question is from the line of Nitin Agarwal from DAM Capital . Please go ahead.
Nitin Agarwal : On our CDMO business, these three contracts that you are undergoing , what is the peak potential
assuming these contracts start delivering for these three businesses , for these contracts for the
CDMO business?
Dr. Yasir Rawjee : Nitin, I will have to request yo u to repeat your question here.

Nitin Agarwal : I am saying these three contracts that we have for CDMO , what is the peak revenue potential for
this business from the three existing contracts right now that we have?
Dr. Yasir Rawjee : Let me tell you, so one contract has kind of reached a plateau. And there, we haven't seen much
variation in demand, even in the COVID period. So, that has continued reasonably well. One
has dropped quite significantly, went up significantly in the early CO VID phase, but then that
was clearly an inventory buildup on the part of the customer. And then that has gone down
significantly, which is now picking up. And our third one is operating, at 80 % to 120% in terms
of demand.
So, I would say t wo are reasonably stable, and one has sort of being like a yo -yo. So, it's coming
back and I would say that that should give us a reasonable uptick in the overall CDMO business.

Nitin Agarwal : And beyond these three contracts, I mean, any color on the kinds of negotiations you have been
having with customers , I mean, have they been more promising than before . And I mean the
scale and scope, has it change d at least in the conversation stage.
Dr. Yasir Rawjee : In the U .S. currently, where our generic business is having some challenges . There is a huge
interest on the CDMO side. And a very large percentage of our business discussions are with
CDMO players. So, we are seeing very good potential from the U .S. on the CDM O business
And not only in U.S. but even Japan , I mean, and the Japan discussions are more on the lifecycle
piece on our existing portfolio. So, those, again, are likely to be pretty significant opportunities.
So, that's largely, I mean, some of the U .S. discussions also will sort of, are with global
companies so it will also have an impact in other markets. I mean, the CMO, this business
discussion has scaled up significantly , because see they do recognize that we are now an
independent API company. I me an, being part of a large generic pharma, those doors were
largely closed. But now those doors have opened up and all s aid and done , Glenmark does have
a lot of brand equity on the customer side. So, it's looking pretty good, I would say.
Nitin Agarwal : And, and if you would like to hazard a guess, by when do you see maybe the next set of big
contract signings really happening there, any broad timeframe? Would you like to just hazard a
guess on ?
Dr. Yasir Rawjee: So, I mean, I won't hazard any guess. But typical gestation period once you do get selected is
about a year to year and a half, because the regulatory filings that essentially determine the
timeline. So, I mean, I would say, based on discussions i t's certainly going to pick up, but
whether it will start monetizing in FY'24, remains to be seen. We do have a fourth project that
should, and it's a very significant opportunity , that's already in the works. We are in that gestation
period, in terms of us having develop the API, given it to the customer, they buil t their regulatory
strategy, we supported it. But then there are delays from the regulatory side. So, that should
come in FY '24. And that would be very significant. But these newer projects may not hit in

FY'24. But then I think, in the following years, CDMO projects would be quite significant , based

on the number of discussions that we are having.
Nitin Agarwal : And from a capacity perspective with whatever plans that we have, because the next sort of big capacity comes in only in '26. So, with w hatever views , visibility that you have on potential CDMO business , is the current capacity enough to take care of it ?
Dr. Yasir Rawjee : So, Nitin , I will go back to the gestation period. So, the good part is that once we land the contract and sign the agreement to go ahead, then we do get that one , one and a half year to build out capacity. I mean, in our fourth project, that's exactly what we did. So, I mean initially there was talk of working in about 30 , 35 markets . And then there was talk of scaling it up to go to around 57 markets. So, I mean, that itself gave us a view that we have got to build capacity. And so, we even promise d the customer and we did it , that we have build out capacity both in Ankleshwar and Dahej because then it gives them a de -risking pathway in case we run out of capacity in one of the facilities. So, this kind of capacity build up is relatively easy to approach in the CDMO space because we do get that one to one and a half year , while we are developing and the customer is enga ging in filings.
Moderator : Thank you . We have the next question from the line of Anand Venugopal from BMSPL Capital. Please go ahead.
Anand Venugopal : Just I had a question in regards to , in Q1 FY'23 con -call you

had guided for a 12% growth on
the top line. As of first half of FY'23 it's like 9% down, is there any reason for mis guidance?
Dr. Yasir Rawjee : Yeah, so Anand I explained that our group business which contributed about 35 %ish even after COVID , has gone down significantly in this quarter and as a result, it has dragged down the overall number, which is something that we didn't foresee coming. And so, we guided to a higher number, but then we still expect that H2 , it should bounce back some. And that should bring us to mid s ingle digit kind of growth overall. But external business continues to do well, and that should be the primary driver for our business.
Moderator : Thank you. The next question is from the line of Saad Sh aikh from BOBCaps. Please go ahead.
Saad Sheikh : The first question was current capacity utilization for Q2. And the second was given the new 30% addition into the capacity and demand outlook not looking good from formulation player and the parent, how do you wish to achieve 50 % to 60% utilization of addit ional capacity from Dahej ?
Dr. Yasir Rawjee : So, see, currently we are literally up to our neck. We are running at 95% capacity utilization before th is Dahej has come in. Now, I am confident on Dahej and that's what I said , in about a year's time, we will get to 50 % to 60%, on utilization, because there is a large number of APIs that we fi led out of Dahej that we know will become commercial within this one year. And that's why we are confident on that utilization. Now, with respect to the sort of reduced demand from

group that is not a phenomenon that's going to play out from now on, right, we believe that it will come back .
There is another element that I want to put in here that you should look at overall the growth is coming from volume , not only group business, but even our external business is growing on the strength of higher volumes. So, given the fac t that there is erosion, and this is interesting, but it is price erosion without impacting margin, because we have introduced and will introduce a lot of second and third gen processes, that will be lower cost, and a big part of that cost improvement will be passed on to the customer. So, the growth will be driven by volumes, and for that we would need capacity. And that's why we are confident that the new capacity will be sort of used at a level of 50 % to 60% in about a year's time .
Moderator : We will mov e to our next question that is from the line of Ranvir Singh from Edelweiss Wealth. Please go ahead.
Ranvir Singh : My question was related to your commentary , you mentioned that oncology products are coming in now. So, one, API is validated , three probably more in pipeline. So, wanted to understand the potential here, the revenue potential and timeline and if you could just give a little longer outlook for two, three years , what this project are going to contribute?
Dr. Yasir Rawjee : See on the onco logy, we have got 7 APIs currently in development. Four of them, like we said, are ready to get into exhibit match mode. And our customers are ready to take the material and move on. As far as the longer -term outlook, the oncology portfolio is pretty rich, overall, in the small molecule space. So, we will continue to populate our portfolio with new oncology molecules . And we are pretty sure that this is going to be a good driver for the business overall.
Ranvir Singh : So, if you could just indicate the market size of products and products for molecules, which are under exhibit batches ?
Dr. Yasir Rawjee : I think we said right that addressable market is worth 16 million. So, the front end addressable market for these four, seven molecules is 16 million. Th is is the front end , okay. I mean, this is not API, but then --
Ranvir Singh : Yes, I understood.

Dr. Yasir Rawjee : Yeah, that's what.

Moderator : Thank you. We have Vikas on the line, Vikas Sharda, please proceed with your question.
Vikas Sharda : So, I was asking two questions. One, is that this other operating income , what does it consist of? And why has it bounced so much on YoY basis? And the second point was on Glenmark Pharma sales, that this decline is it any product specific decline or it's across the portfolio? And I mean, why did you not have the kind of visibility of a decline or a blip say by the end of the 1st Quarter or in July, when the conference call was there ?

Tushar Mistry : So, Vikas, as I had mentioned in my opening comments, we have been accruing for the P LI income , from 1st Quarter itself. So, that PLI income is a part of our Q1 and Q2 numbers, which was not there last year, that's why you see this bump in the other operating income part.
Dr. Yasir Rawjee : So, to answer your question on t he GPL sales , there have been a reduction in demand even on non-COVID side and it's not product specific. So, overall, there is a few products got moved around and see GPL has an option to buy from outside. So, it's not as if they would come to us always a nd buy from us. So, that also could have some bearing on reduced numbers from our end. But I would like to take you back to my earlier answer to Saad Sheikh on the volume driven growth.
So, interestingly, because we have introduced better cost processes. There has been that improvement has passed on to many customers, including GPL. And as a result of which the volume drop may not have been as significant as the value drop. So, to sort of address this visibility, see, a lot of this visibility is related to approvals. So, certain approvals did come through, and then we had to switch to the lesser cost processes, the newer processes. And so, we didn't have that visibility, because we didn't really know how much , at what point in time that approval would come through. And this applies not only to GPL here but it also applies to some of our external customers as well. So, this element is also there that you should sort of factor in .
Vikas Sharda : Yeah but this price correction or switching to an external supplie r, would be very product specific I would assume.
Dr. Yasir Rawjee : Yeah, see, we have had a pretty broad set of filings for our customers and their products with second , third generation processes. And we have had approvals coming in fairly consistently . Some high value APIs have got replaced with better processes, and as a result, it has impacted . So, I mean, it's a mixed bag, Vikas, I wouldn't be able to pin it down to one molecule or even two or three molecules. Some of this has happened as a result of better processes, some of this has happened as a result of lesser demand. And then of course, there has been the COVID play as well, because nothing came on the COVID side.
Moderator : Thank you. The next question is from the line of Gu rjot Ahluwalia as an Individual I nvestor . Please go ahead.
Gurjot Ahluwalia : I have a couple of questions , first one on the capital allocation polic y. So, last year, I think when the company came out with the IPO, in the second quarter itself, company announced healthy divide nd, while the same has not happened this year. So, just want to understand, what is the capital allocation policy for the company ?
Tushar Mistry : So, you have seen that in last year, the dividend was almost Rs. 21 to a share that was distributed . In totali ty, we dis tributed about Rs. 250 crores of dividend last year. Current year as you see that, there are CAPEX programs which are going on, we have already given directions on what we are going to spend on CAPEX for the current year . Also, there is investment in the working

capital as you saw in the first half. So,

from that perspective, we are still positive and in the second half, we will be on track from a cash generation perspective. And we should continue to distribute dividends may no t be as healthy as what it was in the past, but definitely it will be healthier.
Gurjot Ahluwalia : So, this is actually what is like considering for an investor , last year th e IPO, one of the purposes of the IPO itself was to raise cash for the CAPEX , comp any was embarking on a significant CAPEX in Sholapur, Brownfield CAPEX in current sites. And still company announced a dividend in just three months, like after the IPO. And now after a year of accruals and probably performance is also absolutely fine , so as an investor, you think okay, the company's capital allocation is healthy and capital return is healthy and they can continue to distribute capital to shareholders, whistle also having enough for its expansion. So, this is where it is confusing that last year i tself everybody knew that there is a big CAPEX so investors were not expecting it.

And now investors a re expecting it, but it's not there. So, this is what I am saying is a dichotomy here.

Tushar Mistry : So, Gurjot, significant part of the IPO proce eds was used in paying off the outstanding from the parent for the transfer business to Glenmark Life Sciences , which was to the extent of Rs. 800 crores, 80% of the IPO proceeds went into that. On the other front , there were very clear areas identified fo r the IPO proceeds to be utilized, they have been used in the same manner . We still continue to have over Rs. 56 crores of funds from the IPO proceeds, which are being used for CAPEX itself. And it was earmarked for certain projects and it is being used ou t of that for those projects. The additional projects which are coming up were not a part of the I PO, which are getting spent from the operating cash. So, that's how it is gettin g used.

Dr. Yasir Rawjee : So, just to add to what Tushar said, we are not going to slow down anything on our CAPEX spend simply because our visibility on the business is pretty solid. And it's just that the business does generate enough cash , to where it makes a lot of sense to return part of it back to shareholders , so that's t he plan . I mean, we would obviously like Tushar said, take a measured approach . And first looking to the investment side, because that's driving the growth, I have been saying that our growth is going to be driven by volumes and that volume growth is visib le to us. So, that's the plan in terms of how we w ould deploy capital for investment.

Moderator : Thank you. Our next question is on the line of J ay Patel as an individual investor . Please go ahead .

Jay Patel : So, my question was regarding what is our strategy as far as to reduce the parent contribution, because, as you will be knowing, the farmer business o ur parent has already received Form 483 for one of the units, that’s all I wanted to know, that our as far as product selection is concerned, so tha t our products grow in such a way that the external business grows, it lists the top line, as well as reduces t he client concentration.

Dr. Yasir Rawjee : So, see as far a s the portfolio buildup is concerned, our entire approach to a portfolio build up is for driving our business. Now, no doubt the group feedback on certain products, just like our other external customers give us feedback on product is pretty similar . So, even if we were to invest in R&D in APIs that the group company wanted, we would still have other customers, right. So, it's not going to change because our focus is completely driven by the value that that particular API will give us going forward. It's not driven at all, I mean, none, there's not a single decision in our portfolio that is driven by Glenmark Pharma , it's an overall evaluation that we make on our

portfolio. So, to that extent, I don't think, you know, what happens at Glenmark Pharma is going to sort of determine our fate in terms of our portfolio going forward.

Jay Patel : So, as far as our future product selection is concerned, would it be safe to assume that future product selection would depend on external demand and our target at the end would be to increase the external customer contribution , would that be fine to assum e?

Dr. Yasir Rawjee : Yeah, simply because I mean, Glenmark Pharma is one customer out of, you know, even if I looked in the Top 20 customers, generic players, we are working with most of them. So, then in that case our portfolio decisions are driven by all of them and their interest in our portfolio.

Jay Patel : And last question would be, would it be right to consider that our CDMO business as we are dealing in end of life cycle management, so CDMO business is actually contract manufacturing business, where as the innovator business does sort of technology transfer to us, and we are not involved in development part of the molecule, but we are involved in manufacturing part of it, would it be right to assume this way ?

Dr. Yasir Rawjee : It's a very good questio n. Okay. Basically, the business that eventually will be generated would be with contract manufactur ers, right , but because there is a fair amount of customization on both the lifecycle work as well as the 505 (b)(2) work, there is an element of development as well, upfront. And I think I answered Mr. Kapoor saying that we do invest in R&D, in the CDM of projects, with that objective of either tailoring the process to the customer's regulatory filing, earlier regulator y filing s. So, that has to be done in order to make that pathway smooth for regulatory filings. So, that element of customization comes in the lifecycle management projects, but on the 505 (b)(2) it's even more because we basically may end up doing another salt or another polymorph or some variation of the molecule . So, there is that element of development, but it's largely limited to process development polymorphic changes or salt changes. So, I mean, it's a mixed bag, but there is a development element as well.

Moderator : Thank you. We t ake our last question from the line of Jinesh Shah as an individual investor. Please go ahead.

Jinesh Shah : Just three questions, I have one can you just re iterate given that now Sholapur is going to be a little bit in a calibrated manner. So, how would the CAPEX intensity would look like for next two years, including the current year ; maybe for next three years, I would say.

And second question with regard to the margin trajectory, I mean, we have been bringing in more complex products in our portfolio. And we are also having the processes improvement, which is also likely to give you a little bit of a better cost structures. And the CDMO , were probably a fourth product or project is going to start, how do we look at the margin trajectory for next couple of years? And of course, I think there are also backward integration projects, which are also being involved into it. So, all these put together, how do we see the margin trajectory going ahead?
And the third question is, on the US FDA inspections, how is it been stacked up for the projects , I mean, given that a lot of last time you had said that, it's been three years and it’s been due?
Dr. Yasir Rawjee : So, as far as CAPEX goes, I mean, we are we have three plants. So, we have got Dahej, we have got Ankleshwar, we have got four plants but we are not making investments in two of the smaller plants. So, Dahej Ankleshwar has got r oom to expand even today, and Sholapur is a Greenfield site. Now, considering that 75% of our business is a regulated market business, we have got to be clear that depending on how the volume growth is shaping up

in the regulated markets, we
may need to do a little more in the plants that have already been inspected, because then there is no lag time between our taking in the products in these plants, and then supplying it to the mar ket. So, that's clear.
Sholapur will drive initially, the ROW markets as well as the backward integration play. So, we are also clear on that, and I have mentioned that in the past that look, we would that ability to decide, in a relatively short time, wha t we do . So, you are right, that we would decide, you know, how this would go, but largely speaking, our CAPEX spend would continue, at a pretty similar rate depending on how the market demand is shaping up, and how our new launches and so on are coming.
Coming to your margin improvement question , certainly, if the world was the same, and let's say we dialed back to 2018 and 2019, then I would say that, yeah, all the, you know, the new CDMO , the CIP and the BI would all contribute to improving the margin . But the world we live in today, right, has got enough headwinds for us to say that all this is going to help us to keep our margins going at the 30 % to 31% level. I don't want to stick out my neck right now and say I will have 2% or 3% margin expansion when I know that there's all kinds of trouble on the horizon. And we have to manage that trouble, right. So, you are right, your analysis is good , but Jenish I would be a little careful. I woul d only be too happy to do better margins. And I think if things were to improve, in the world, we probably would give you that extra 1% to 2% j ump on the margin. But right now, I don't want to guide to that. I mean, that's not going to happen.
As far as your USFDA inspection question goes, yes, we have crossed the thre e year mark for Dahej . In fact, we are at four years now . And for Dahej and Ankleshwar is at about three and a half year so we are expecting an inspection anytime. And we are also geared up for it.

Moderator : Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference so to the management for the ir closing comments. Thank you and over to you.
Dr. Yasir Rawjee : So, thanks everyone for joining. Thank s for joining and wish all of you very Happy Diwali. So, thanks again .
Moderator : Thank you very much. Ladies and gentlemen, on behalf of Glenmark Life Sciences Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

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February 1, 2023

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051

Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sir,

Sub: Transcript of the Earnings Call

Pursuant to Regulation 30(6) read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of the Earnings call held on Friday, January 27, 2023 for the Third quarter and Nin e Months ended December 31, 2022 is available on the Company's website at:

https://www.glenmarklifesciences.com/pdf/Glenmark Life Sciences -Earnings Call Transcript -Jan- 27_2023.pdf

The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you Yours faithfully,
For Glenmark Life Sciences Li mited

Rudalf Corriea Company Secretary & Compliance Officer

"Glenmark Life Sciences Limited
Q3 FY '23 Post Results Conference Call"
January 27, 2023

MANAGEMENT : M S. SOUMI RAO – GENERAL MANAGER , CORPORATE COMMUNICATIONS – GLENMARK LIFE SCIENCES LIMITED
D R. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GLENMARK LIFE SCIENCES LIMITED
M R. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER – GLENMARK LIFE SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '23 Earnings Call of Glenmark Life Sciences. As a reminder, all partic ipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operato r by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Soumi Rao. Thank you, and over to you, ma'am.

Soumi Rao: Good evening, everyone. I welcome you all to the earnings conference call of Glenmark Life Sciences Limited for the quarter ended December 31, 2022. From Glenmark Life Sciences Limited. Today, we have with us Dr. Yasir Ra wjee, our MD and CEO, and Mr. Tushar Mistry, our CFO. Our Board has approved the results for the quarter ended December 31, 2022. We have released the same to the stock exchanges and updated it on our website. Please note that the recording and the transcript of this call will be available on the website of the company.

Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward-looking statements that involve risks and uncertainties. These statements are based on the current expectations, forecasts and assumptions that are subject to risks and uncertainties, which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other incidental factors.

Such statements should not be regarded by recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. Our actual results may differ materially from those expressed in or implied by these forward-looking statements.

With that, I invite Dr. Yasir Rawjee, to say a few words. Thank you, and over to you, Dr. Rawjee.

Yasir Rawjee: Soumi, thanks. Good evening, and welcome to everyone for our Q3 earnings call. I'd like to wish everyone a very happy New Year. Hopefully, this year turns out to be nice for all of us. So a real quick view on how we look at the world situation. So the economic scenario continues to remain uncertain with talks of recession, inflation, of course, is at high levels and leading to slowing consumption, some layoffs and th e overall geopolitical situation is uncertain, which points out to probably a roller coaster here.

Now closer to home, we have the China situation. And frankly, we think that this is going to ease off, with the Chinese government taking the decision of allowing travel, the Lunar New Year travel is coming up. And our own information from our partners in China is things are good. Manufacturing is back. And -- so essentially, we are going to hopefully see an easier supply chain situation.

The only thing that might hinder this could be the whole situation with the freight and the freight movement. And as a result of that, there could be some impact on inventory. Because we do

believe that stocking up helps. I mean, it's been something that has helped us in the past, and we would continue to take that approach. Coming to the cost situation with the gas and oil prices easing off, we're already seeing a better situation with solvent prices, and that has an impact directly for us as well as on the raw material pr ices that we use. So again, I think the news on this front is improving, and the China situ ation also will improve going forward.

Now coming more directly to our business. We've had a pretty good quarter. We've grown 24% on our external business y

ear-on-year and 2% on a sequential business. Basically, we've got some real good news out of our India DMF business, Europe as well as Latin America. So this has helped us to keep the business going extremely well. The GPL business also has seen recovery. We've seen 19% growth on a sequenti al basis. If you recall, the business with Glenmark Pharma had bottomed out in Q2, but we are seeing good signs with their demand.

On the generic API business, we grew overall 5.9% sequentially and 1.8% on Y-o-Y. And this was largely driven by regulated markets. The CDMO though was down 10% and sequentially and 31% on Y-o-Y. I'm sure it will come up in the question hour, so I don't get into that right now. But overall, if you see, Q1 was probably our low point when we started off the year.

And ever since then, we've seen a pretty strong recovery on all levers of the business, be it our generics business, driven by various markets. Th e GPL business has also started to track well.

And I believe the CDMO business will also bounce back nicely in Q4.

So what has helped us along is that if we look in the nine months, the overall picture, we supplied launch APIs for five new products. And this has seen traction in the market. We've also extended seven APIs to existing customers across geographies, and this really is the mantra, I mean, for us in terms of having a very resilient business. So we highlighted this in our Investor Day, where we've shown that over the last few years, we very effectively reduced our dependence on the top customers as well as the top products, making th e overall business extremely resilient. And this is possible when at the portfolio level, we have a large portfolio of low- to mid-volume APIs with high realization. And this also has a bearin g on how our capacities are used, which are used extremely effectively.

So going forward, we've got 23 products in the development pipeline. Four iron complexes are in the pipeline. One has been filed. On the high potent side, we added one more molecule to our seven molecules, and so we've got eight now. Four of them are ready to supply exhibit batch quantities and production is now on at our new oncology block, which we built out, which we built in Dahej that came online this quarter in Q3, and that's going very nicel y. In Dahej, we also added the 240 kiloliter capacity, and that has also started being used pretty quickly.

So good upside in Dahej on the servicing side. And as far as the Ankleshwar capex goes, we are nearly complete. We should have it up and running in Q4. Of course, it's a very large capacity that is coming online. So we are mindful of the f act that we don't turn on the lights for everything on day one, we'll go in a calibrated manner so that we only utilize what we need. And as the -- as and how we get more-and-more demand for that capacity, we'll keep utilizing it.

So in summary, I would say that the external business continues to grow extremely strongly across markets. There's a pretty good recovery on the GPL business as well, the Glenmark pharma business. And the demand on the CDMO side will al so pick up. So all levers of business looking up. And with that, thank you for joining the call. I'd like to hand it over to our CFO, Tushar Mistry, who will take you through the financial performance.

Tushar Mistry: Yes. Thank you, Dr. Yasir. Hello, and good evening, everyone, and happy New Year to all of you. I would like to briefly touch upon the ke y performance highlights for the quarter and then we'll open the floor for Q&A.

We registered a revenue from operations of INR 541 crores for Q3 with a sequential growth of 6.2% and a year-on-year growth of 3.5%. Gross profit for the quarter was at INR 276 crores, up 2.4% quarter-on-quarter and 4% year-on-year. Gross margin for the quarter was 51%, up 20 basis points compared to the same quarter las

t year. On a sequential basis, there was a slight degrowth in gross margins. Gross margins are largely driven by product mix and PLI benefits during the quarter. EBITDA for the quarter wa s at INR 152 crores, marginally lower on sequential basis and up by 1.6% on a year-on-year basis.

Our proactive cost optimization measures have helped us maintain steady EBITDA margins, which was at 28.1% for Q3 FY '23 and 30% for nine months FY '23. Lower EBITDA margin on sequential basis was mainly driven by movement in gross margins. We are witnessing increase in capacity at Dahej facility as it comes online , but I would like to highlight that we will be commissioning the block model wise, which will help us keep the costs under check. This will ensure steady margins in coming quarters. Profit after tax was at INR 105 crores in Q3 FY '23, registering a growth of 1.2% year-on-year and a marginal degrowth on a sequential basis.

Coming to segmental results. External business grew strongly by 24% on a year-on-year basis and a 2% on sequential basis. External business was driven by India, Europe and LatAm, while US business saw a healthy recovery during the quarter. GPL business also recovered strongly growing 19% on a sequential basis. We feel contribution to the revenue was 29% during the quarter. Generic API revenue for the quarter was at INR 480 crores, registering a growth of 1.8% on a year-on-year basis and 5.9% on a Q-o-Q basis.

Continued momentum in the external business coupled with revival in GPL business led the growth in the generic API business. For the quarter, the CDMO business was down 9.6% on a quarter-on-quarter basis and 31% on a year-on-year basis, registering a revenue of INR 28 crores. R&D expenditure for nine months was at INR 49 crores, which is 3.2% of sales. We believe R&D expenditure to stay around 3% for FY '23. Coming to working capital for the business. Working capital days for nine months ar e at 178 days. During the quarter, we witnessed better receivable collections and slower growth in inventory leading to improved working capital positions.

This has helped in generating strong cash from operations. We continue to remain a net-debt free company with cash and cash equivalents of about INR 420 crores on the books as of 31st of December 2022. To conclude, reviving demand in the regulated market coupled with excess capacity availability puts us in a formidable position for grow th in the coming quarters. With that, let's open up the floor for Q&A. Thank you.

Moderator: First question is from the line of Tarang Agrawal from Old Bridge Capital.

Tarang Agrawal: Congrats on a very strong traction on your exte rnal business. I have three questions. One, what is the fixed cost accretion that we should be seeing on the P&L from Q1 onwards, given that we'll see the Ankleshwar block coming in as well as Dahej ramping up. So that's one. The second is, one want to see in Q1 and Q2, obviously, there was some FabiFlu in the base. My sense is that in Q3 FY '23, there isn't any FabiFlu, or there isn't any material FabiFlu in the place. Despite that, those sequentially, the GPL business has inched up on a year-on-year basis, it's still down materially. What are the factors th at are sort of driving that? And what's your outlook there in terms of your conversation with them?

And the third question is, in the current quarter, if one were to eliminate the impact of the PLI benefits, I would suspect there is actually a reasonable 250 bps or 300 bps gross margin compression from the year ago period. If you could just elucidate a little further in terms of is it a one-off or is it because of some structural reason?

Tushar Mistry: Your first question on account of fixed cost on account of Dahej and Ankleshwar, we expect on a quarter-on-quarter basis from Q1 onwards, there should be an increase of

about INR 7 crores to INR 8 crores on the revenue expense front. Additionally, there will be some INR 2.5 crores of depreciation is how we see this cost from Q1 onwards. Yes, FabiFlu in Q3, we didn't have favipiravir Q3 last year. So on a comparative basis, it is a like-for-like comparison, and it is the growth on a year-on-year basis. While on a sequential basis, it is going up. More importantly for us, we are looking at it is that the demand from GPL is coming back to normalcy or may not have come back fully, but it is coming back to some extent, and we expect that to be further better in Q4.

Yes, on a gross margin basis, again, you are right that there is an element of PLI, which is there in the gross margin. To that extent, there will be some element of depression or contraction in our margins, which is more driven from the market scenario perspective, where you generally see some pricing impacts on the products, which does help us in the current year, you would be aware that on the cost front that have been escalat ions in key raw materials, key starting materials as well as well as on solvents. So overall, that PLI has helped us to recover from that margin to some extent, and that's where we are on the margins.

Tarang Agrawal: As we're witnessing freight normalizing and solvents coming off. So would it be safe to presume that maybe in this quarter or the quarter later, we'll see the gross margins inching up on an ex-PLI basis?

Yasir Rawjee: It will definitely have a positive impact, Tarang.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on the guidance for fiscal '23. I remember, we had earlier guidance of a single-digit growth for full year '23. Nine months is at minus 4%. So from a fourth quarter perspective, we're sticking to that guidance, which would probably mean double-digit growth overall company for 4Q. So just -- that's my first question. What are the thoughts on the fourth quarter and for the renewed or refresh guidance for fiscal '23.

Yasir Rawjee: So Shyam, we'll have a strong fourth quarter, we believe. So now how much is going to end up impacting on the overall year, we don't know yet, but unlikely that we will see double-digit growth. Our growth was probably in the single digits. You see the way Q4 has -- Q3 has helped our overall number on the nine month. So we believe that Q4 coming in strongly will have a positive impact on the overall year. If GPL bounces back the way we think, then I mean, with external business being very strong from the dema nd as well as our ability to service. There, we are pretty sure in terms of how that is moving. And GPL demand is also shaping up pretty nicely, as Tushar just mentioned. The overall impact, we 'll see, but I think we would be in the single-digit growth.

Shyam Srinivasan: So when we look forward, second question, just an aspiration to be low to mid-teens topline growth at some point of time need GPL to start growing. So do we have either that as the visibility or do you think it will keep declining ov er time? I thought we ha d an aspiration to have 1/3 come from GPL. We are at 30% in the quarter 3, let's assume. So which is going to change? Is it going to be that GPL demand comes back to a more normalized level and also growing at a mid- to at least double digit, let's assume. And the external business, like you said, this quarter has grown 24%. So we hope to sustain. So how should we look at a slightly more medium-term topline growth outlook?

Yasir Rawjee: Okay. So let's break it up, Shyam. Look, as far as GPL's contribution to th e revenue, it would be around the 30% level going forward. Now there's a -- over the long term, there will be a relative decline, but really, I don't think we are talking about that period now. So we are talking about a 30% plus/minus 2% contribut

ion from GPL, and that's growth from here on for GPL. Now it won't be the same level of growth as our external business because there, the portfolio, the spread across the geographies is much more certain and pretty solid, I would say. So when you put that together, there will be a lesser contribution of gr owth from GPL's side, and a bigger contribution from the external business, which would still put us in the low to mid-teens growth on the overall business.

Shyam Srinivasan: And my last question is just on the update on the pipeline, both your iron complex and other complex filings, if you could ju st give us an update, please?

Yasir Rawjee: Sure, Shyam. So that's going pretty much on track. I mean, like I had mentioned a couple of times earlier, complex products do take time because there's not only a chemistry element, which is complex. But then there is a characterization element, which is also fairly complex because we need to prove to regulators that our API gives a product that is similar to the reference listed drug, the RLD in short. And that's where it does take time, but we factored in that time, our

customers also understand that it's going to take that level of time because it's a complex product. So it's on track.

Our ion complexes are very much on track. As far as the onco and the high potent portfolio goes, which has Onco as well as non-Onco. We have added 1 more molecule. So we've got eight molecules. Four of them are already validated at the lab level and are being taken in the plant. Two of them we produced in our new Dahej block. And another two are in line to be produced.

So that's going well also. So overall portfolio is chugging along very nicely. Apart from this set of molecules, we've got our regular molecules th at are also coming along nicely with a lot of customer interest across geographies. So I mean, all-in-all, I would say th at portfolio is nicely positioned to keep adding newer-and-newer assets into the pipeline.

Shyam Srinivasan: Last question, Dr. Yasir, just following-up on this one. So when are we likely to see this getting monetized, if there is any like a few product or any quarters we need to start looking out for?

Yasir Rawjee: Okay. So Shyam, see, this year itself, like I said in the commentary, we've supplied -- launch APIs for five products. So we are -- because we changed the focus on the pipeline four years ago, when the company split, such that we are going to focus on whatever launches in this decade, we are not going beyond th at. We expect that the run rate of new molecules will actually improve as we go along because we've continued to populate the development portfolio with those opportunities largely with those opportunities. And as a result, we will see more-and-more molecules monetizing within this decade. So in the next five to seven years, we expect to see a pretty healthy addition of these assets, as we go along.

Moderator: The next question is from the line of Anand Venugopal from BMSPL Capital.

Anand Venugopal: I have just one question. So basically, how does the end of China's zero-COVID policy, both for the prices in general key sourcing materials and APIs as such?

Yasir Rawjee: Okay. So Anand, look, based on the confidence of the Chinese government in opening up everything, we can rely on the entire supply base. It's no longer a case of someone will start production and someone else will not . It's very clear that -- and our suppliers are -- they are there, they're open for business. So how that helps is that we are able to hopefully negotiate better prices or at least not see any major cost escalations. And at the same time, it may end up shortening the lead times, which recently in recent quarters has gone up. And as a result of which we've had to stock up more on the inventory side. So in both cases, on procurement costs as well as on our ability

to source materi als with shorter lead times is going to be positively impacted.

Moderator: The next question is from the line of Subrata Sarkar from Mount Intra Finance.

Subrata Sarkar: So my question is pretty simple, two, three ques tions, basically. On the gross margin side, what is our -- what do we think, what is our standard gross margin that we can achieve given the current circumstances basically, are we seeing, one year, two years upside in the gross margin? And particularly, is there any difference between our external gross margin as well as from Glenmark?

Yasir Rawjee: Okay. There's nothing like a standard gross margin, Mr. Sarkar. Simply because that's not the

way the business works. We are across various geographies. We have older mature products and
we have newer products that command a better price, better margins. So it's really the way how the overall basket plays out. The other element is that the world has kept changing and will keep
changing. We don't expect it to come to any standard state or any steady state. As a result of
which, there will be pressures on the cost side.
Subrata Sarkar: Let me reframe it in that circumstance. Sir, we have seen cycles like where companies have
operated at a much higher gross margin and at a depressed gross margin also. So my point was like at what point in the cycle we are? We have seen particularly in several areas like across the
countries, when I'm talking about overall margin, that means across the geographies, I'm talking about. So we have seen across the cycles, last 10 years, we have seen higher gross margin also
and lower gross margin also. So given our own company, where we stand, we feel?
Yasir Rawjee: See, if you look at our track record in the last four years, we've had -- we maintained 30 plus or
minus 2% EBITDA margins. You can look at our track record. And given the fact that the DNA
of the business is not going to change because we are pretty confident. Like I put in my summary state in my opening remarks, that it's the way we've crafted this business. We've crafted it so that
we continue to push on low to mid-volume high-value APIs.
And our ability to derive benefit in terms of the value is extremely high across the various levers,
and that allows us to maintain that margin. And the margin really flows, the EBITDA flows from
the gross margins, which have also been operating in that 51% plus/minus 2% range. So again, you can go back and look at our data, over the last four years, across quarters. And in spite of
the fact that the world has been going through a lot of challenges, which is impacting many things. We've still managed to retain that level of margins fo r this business.
And, on the external and the group business, see, we've explained this a few times before that
basically all our pricing is done at a product leve l to all customers. It's arm's-length business
with Glenmark Pharma. We don't charge a single price for any -- or margin for any product. It all depends on how well we can compete with ot her suppliers for their business. And where we
compete well, we take more marg in and where we feel that the competition can take the business
away, obviously, to take the busine ss, we may go with a lower margin.
So I mean, net-net, that's how we are working, just like we work with any other large customer.
So we've got apart from Glenmark, some very illustrious companies with whom we work, and
we've got a large business with these other companies as well, and that's the same approach
we've been taking with Glenmark also.
Subrata Sarkar: Now sir, with this Dahej addition and like Ankleshwar at verge of completion. So we will almost
reach as per your projection 1405 kl. So can y ou -- at what -- during each year or how much
time will take for us to become fully operational. That means like what I mean to say, what can
be our peak level

turnover after this capacity start operating at an optimal level? And at what
point of time we can achieve that?

Yasir Rawjee: Okay. Tushar, do you want to take this question?
Tushar Mistry: So Mr. Sarkar, Actually, if you see our FATRs are in the range of 3x, but this is on historical
asset turns. Now the impact of this new capex , you will see these asset turns coming down to
some extent, but we don't expect this to come do wn very significantly. Thereby, we will still try
and retain it between 2.5x to 3x. And that's how this new capacity will keep on adding to our overall revenue. So basically, to answer your question, our Fixed Asset Turnover Ratio will still
be modestly higher, on the higher side.
Moderator: The next question is from the line of Charul Agrawal from Bank of America.
Charul Agrawal: My first question is on the Ankleshwar plant. So given that the plant is supposed to be
commissioned next quarter, have the necessary costs already been included in this quarter with
regards to the employee addition? Or do you expect to -- expect the cost for the plant to go up
from here?
Yasir Rawjee: So we have hired people. But then, Charul, the thing is with the Ankleshwar plant, it's an
intermediate block only. So there' s a different dynamic here in terms of the people as well as the
capacity addition to the plant. It's on the intermediate side However, yes, to address your
question directly, we have hired a few people, an d there is a small element of fixed cost, but not
very significant.
Charul Agrawal: And in terms of the margin benefit from Ankleshwar plant, when do we expect to see that coming
in?
Yasir Rawjee: It will come, in two ways. One is on the BI pr oject, which is going to be commercial soon, one
of them. The other is on better overhead recovery at the product level. So we'll start seeing it. I
mean, it's not like a step function. It's a sort of continuum in terms of getting better-and-better
because this is a large capacity at a unit level also . So we've got like 16 kl reactors in this facility,

which typically we haven't been in vesting in historically in the A nkleshwar site. So this will all
add very positively to -- at the product level at -- for the products that we do there.
Charul Agrawal: I just have two more questions in that sign. So firstly, on CDMO business, I want to understand
that what was the reason for dip this quarter? Was it at a particular product to the customer level?
And how do you expect it to pan out over the next few quarters? Secondly, I wanted to understand that given that th e solvent types have gone down for a few products, has that
impacted realization yet, or is it something th at might come out over the next few quarters?
Yasir Rawjee: So the solvent impact will start impacting us in this quarter, in Q4 and beyond. That is very clear.
And with respect to the CDMO business, this has been the end of the year for some of our customers. So they've also wanted to keep inve ntory levels under control. And that's why we've
seen a bit of a muted demand. Also, we've got to realize that our CDMO business is based on
three APIs. And so with this muted demand on a relatively small set of APIs, we do get impacted. I mean the number moves around much more. The variability in the number is much more.
However, we are pretty confident that in Q4, it will bounce back nicely. Because again, it's the

beginning of the year for the customers, for our customers. And they would not be as prudent or
they would not cut corners when ordering API for in Q4.
Moderator: The next question is from the line of Imran from Longbow India Capital.
Imran: Sir, my questions are pertaining to the capacity expansion that we are doing. So number one is
on Dahej, the recent capacity that we have added. What benefit in terms of rev

enue you were targeting from this facility in th e next one or two years, assuming it runs at a 70%, 80% capacity utilization?
Yasir Rawjee: Sure. So Dahej capacity is basically going up from 140 kl to 380 kl. And we have, in the last
four to five years, validated many APIs out of Dahej, which are becoming commercial. Also,
some of the APIs that we launched in the last couple of years have a much bigger volume off-
take now. So there's going to be -- there is already an immediate impact of Dahej capacity that
we will see in the forthcoming quarters, which is good for us. I mean, we're able to service better.
And I answered Charul also in terms of how the larger capacity, which is plant 6 is going to
impact, better overhead at the product level. So all this put together is going to give us a much better revenue stream out of Dahej and also we' ll have a better margin profile because these are
larger -- this is a larger capacity that we put.
Imran: Is there a range of revenue that you can give from this give us some this capacity that you can
do XYZ kind of growth revenue from this a range -- a broad range?
Tushar Mistry: So Imran, actually, my earlier answer, I alluded to that guidance, you should look at our FATR,
the Fixed Asset Turnover Ratio, it is in the range of that 2.8x to 3x with this additional capex is
in the mid-term or in the near-term, this may come down, but not significantly, but we expect it to be between 2.5x to 3x overall from a revenue perspective.
Imran: But I believe you have not shared the capex number for this facility, if I'm not wrong. Maybe
I'm wrong.
Tushar Mistry: No. So we have said that the total capex that we have done in nine months is in the range of
about INR 130 crores, including everything, Dahej, oncology and some bit of the plant 18 that
is just coming up.
Imran: And this includes Ankleshwar as well?
Tushar Mistry: Yes.
Imran: So the second question is on Ankleshwar. I mean I don't know how do you coming up with this
math of 2.8x asset turn. Because in your last con call or maybe last con call, you were mentioning
that Ankleshwar is a backward integration and it would not give a lot of revenue, but it will help
your customers to be more competitive, is it correct?
Yasir Rawjee: Yes, Imran, we just said this just now, when I answered Charul's question.

Tushar Mistry: And that's why you have to also understand that the capex on th at Ankleshwar facility will not
be very high as compared to the Dahej capex.
Moderator: The next question is from the line of Darshan Deora from Indvest Group.
Darshan Deora: Just some confusion, while replying to one of the previous participants, you mentioned that the
new products are higher margins than the older products. So is that a question that like, it's a hypothetic question. Say the company were to stop investing in new products. Like, all the new
development activity came to a standstill, and the company just focused on its existing portfolio
of products, how was the revenue and margin of the business trend over time? Would it decline the margin of the business

because of pricing erosion? Or would it increase because of process
efficiency or it remain stable?
Yasir Rawjee: But why would anyone do that? I mean I don't know where this is going. But yes, theoretically,
yes, because if we were to stop investing in making new products, eventually, the business would slow down. Because I don't know if you saw our Investor Day presentation, this was done on
November 17, but it's there on our website.
So basically, what we showed is that there are three levers or other three streams of how the
growth is coming. There is the base business, th at slightly degrows on account of price erosion.
Then there is an addition to the base. So we have a base enhancement by having a geographic expansion and a customer expansion by virtue of our competiti

veness in the product through
second and third generation processes.
So that actually helps our base to go up when you add up these two, and then on top of that, we
have the growth molecule. So that's how the whole business is built up. I mean, if you could, if you wanted an answer, you could see how these -- basically, these three slices of the growth are
stacking up and then decide, I mean, how this would look. But from a management perspective,
we don't see any kind of -- why should we take that view that we don't invest in new products.
Darshan Deora: The idea was more to understand the nature of the business. I mean, in the sense that do process
efficiencies over time, help in increasing the margin? Or does price erosion reduce the margin
over a longer period of time? So that was the purpose of asking the question, but I appreciate the
answer. I think you have clarified that quite well.
Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Capital.
Tarang Agrawal Tushar, I think you said the nine month FY '23 capex number is INR 130 crores. Did I get it
correct?
Tushar Mistry: Yes, that's right.
Tarang Agrawal And was the cash on books as on 31, December?
Tushar Mistry: Cash on book is INR 420 crores.

Tarang Agrawal And last, on the CDMO business, I believe after th e last quarter, there were three contracts that
were driving the business, with the fourth contract being probably expected in the fourth quarter.
But my sense is, given how the press release is worded, that's been delayed, is that correct?
Yasir Rawjee: Yes. The thing is that there are some regulatory filings that our customers continue to pursue.
And so as a result of that, there are some delays. It won't happen this year. It will probably happen mid next year. So that we'll have to just deal with.
Tarang Agrawal So now going forward, predominantly, the CDMO business will be running on the three
contracts that you've had for quite some time now?
Yasir Rawjee: There is good news on that as well. Two of those, one of them has already received an approval
for an extra clinical indication. So there'll be an upside on that. And the second one is going for
an additional clinical indication and that result will again come probably Q1 or maybe Q2. And
that should also give us a significant upside on that project. So it's not li ke that business is not
going to grow. The one on these three molecules also have a pretty good growth pattern going
forward.
Tarang Agrawal And typically, would it be safe to presume that Dahej and Ankleshwar will probably give up
given optimal utilization in, Q2 of FY '25, would that be the right way to probably look at it?
Yasir Rawjee: Yes. I mean Q2 FY '25 is like nearly two years out, FY '25. You said FY '25, Tarang?
Tarang Agrawal Yes.
Yasir Rawjee: Yes. So that's like seven quarters out. So yes, we should be fine. I think we should get to a very
high level of utilization on both those assets, yes.
Moderator: The next question is from the line of Ashwini Agarwal from Demeter Advisors LLP.
Ashwini Agarwal: The question that I have is that how do you think about the business from a two, three-year
perspective? Not too long term, not too short term. I mean, obviously, there are levers for growth
in terms of capacity that we've already put into place in the product pipeline. But the margin
levers, to my mind, would be, obviously, some of the new products is a higher margin profile,
offset by the base erosion as you pointed out.
But the critical piece there is the CDMO business, which at some point, if I look back into the
history used to be in early teens as a contribution to revenues and it's now in mid-single digits
as a contribution to revenue. Do you see a path to going back to 10%, 12% of revenue contribution from CDMO? And could you help us understand what the pipeline of CDM

O is?
Yasir Rawjee: Sure, Ashwini. Actually, I don't think we -- at least on a year basis, ever crossed into double
digit on CDMO contribution. In our best year, we were close to 9%. Right now in a quarter basis
it may go into double digit. So I don't know, at least to my recollection, we've never been in

double-digit from CDMO contributio n perspective. But to look at the question in sort of overall

See, because CDMO contribution will definitely grow. Quarter-on-quarter, we have some challenges.
But and then COVID also had an impact, that brought it down to the kind of 7% levels. But we see -- and I just answered Tarang, that even the existing molecules have got a pretty significant growth pathway. So that is going to continue to grow. And then with this new project coming in, hopefully, by midyear next year, we should see a significant uptick on the CDMO contribution. And yes, from a margin perspective, it does play a positive role, on our overall margin because all our projects do have a higher margin profile on the CDMO side. So long term, we are guiding towards, I mean, in the ne xt three, four years, CDMO contribution would double from the 7%, 8% now to maybe 13%, 14% going forward because that's the way we are pursuing it with respect to the life cycle mana gement opportunities as well as the 505(b)(2) opportunities.
Ashwini Agarwal: I was under the impression it was 12%, 13% about three or four years ago, and this is based on the prospectus at the time of the IPO. I may have got it wrong, but that's what I remember. But thank you for that answer.
Yasir Rawjee: Happy to clarify if you find something.
Ashwini Agarwal: And just following-up on Tushar's opening comments, where you're expecting margins to be steady going forward. But you looking at the 30% handle based on the nine-month number? Or were you referring to the 28% number, which is the lower end of the kind of 28 to 32 band that you will lead due to?
Tushar Mistry: So Ashwini, if you see we are on a nine-month basis at 30% on a quarter basis, it was 28%. We would say that we would be more inching towards the 30 rather than towards the 28 side of the margins.
Moderator: The next question is from the line of Aagam Shah from RSPN Ventures.
Aagam Shah: I just wanted to ask, , where are we on the Solapur Greenfield expansion? And are we still targeting the same timelines?
Yasir Rawjee: Are we still targeting?
Aagam Shah: Targeting the same operational timelines of the Greenfield expansion?
Yasir Rawjee: Well, I mean, approvals take time. And we received the EC. We've got the CTE, which is the consent for establishment, and we have now applied for the consent to operate. I must say that it is going a little slower than expected, or at least lower than what we desired. So, but it remains on track. I mean we need to get that going because it's going to have a much longer-term impact on our ability to service the growing business.
One thing that doesn't come out in these calls is that our volume growth, while our revenue growth is at a certain level, the volume growth is at a much higher level, on account of erosion

and so on. So in order for us to have the ability to serve this bu siness three years from now, we will need that Solapur facility, and we're going to continue to pursue it. No question about it.
Aagam Shah: One more question I have. The market seems to having an overhang about when is the parent company going to reduce its stake in our company are to get it below 75%.
Management: So I think that's a question for you need to ask GPL.
Moderator: The next question is from the line of Abhay Tibrewala from Vision 8 Investments.
Abhay Tibrewala: Sir, earlier used to give a bifurcation in terms of volume market share, value market share and key products. So that is to h

elp us like to understand if the product is expanding its geographies, even though the volume share may go down, but the value share may increase, and it was a good metrics to track, how many products have been extended to the new markets? So can you still give that in your presentation?
Yasir Rawjee: See, we don't speak at the product level, Abhay. I mean, I don't recall giving a product level. We have talked about market share in the past. So I'm not so sure that we've done this. Tushar, you want to?
Tushar Mistry: Yes. See, it was a part of our offer document that we have presented in that. And also, we reiterate to that in our Investor Day presentation once. But will not make sense talking about it on a quarter-on-quarter basis, because that does not lead to any meaningful understanding of how the market is moving. So we will see as to how we keep on respon ding to that on a year-on-year basis other than on a quarter-on-quarter basis.
Abhay Tibrewala: Sir, if you can like you had beautifully captured in a table, less than 10%, 10% to 20%, if you

can that kind of guidance that would be helpful for us to track?
Tushar Mistry: I mean, we would want to stay away from any product level kind of guidances, but we have done some representation in our Investor Day on November '17. You can refer to that presentation.
Moderator: The next question is from the line of Chintan Mehta from Prudent Broking.
Chintan Mehta: Sir, we have implemented strategy to store that raw maternal inventory have benefited from that as well. But now as the RM prices ar e falling, it will hit us negatively?
Yasir Rawjee: No, I don't think because that's not -- we're not taking such long positions where this kind of -- it's not going to impact us because I mean, basically, we are talking about going from a lead time of 45 days to 75 days.? And the good part -- there's a good part to it, which we follow and it has always helped us and that is we are able to give a longer-term understanding to our supply partners. So we end up getting better prices than s pot prices. Because in ou r business, spot prices are typically higher on the key raw materials. And that's the biggest contribution to our costs.
Now you may be referring to solvents. But even with solvent, if you negotiate it right and on solvents, we don't take such long positions either. I mean so, when I was referring to the

inventory, I was referring to the key raw materials that -- where the lead times have gone up. On solvents, we have a much tighter view. And there, what you're saying there does apply. So we are clever about it, hopefully. And it's not in any way.
Chintan Mehta: So sir, we will continue this strategy or wi th China reopen, we will expect improvement in working capital days or inventory days?
Yasir Rawjee: Hopefully, if the freight situation improves, Chinta n, we will. Because obvi ously, we don't want to be holding longer inventories. Even if we can shorten it or holding by a few days, that will help us. But not at the cost of business.
Chintan Mehta: And let's say, sir, for the Ankleshwar plant. We are doing backward integration for our top products. So if you want to rate our backward integration, we will be the most cheapest for this our product? Or there are any other player competitor who are already making from most backward?
Yasir Rawjee: Yes, that's a good point. I believe that our approach for BI has been driven by supply security as well as margin improvement. So we are not doing backward integration for everything. We are doing it only where it makes sense, and helps us to keep a position where we already lead the market.
And when you are already in a leading position, yo u are in a leading position. So if you improve it further, it's unlikely that competition will come and get you. But I take your point that, yes, it may happen that if the competit

ion is also backwa rd integrating, they will also get that benefit, you see. So difficult to answer. I mean it would vary from product-to-product, but the decisions that we have made on backward -- on the portfolio where we are backward integrating are driven by an already dominant position in the market.
Chintan Mehta: And sir, I have a general question to the business. Our parent company is Glenmark Pharma, so can pharma companies stay back to the -- I mean, on CDMO, every company wanted their IPs get protected. So this will make a contra to them to work with us or le t's say, even in API?
Yasir Rawjee: I'm not sure I understood, but from whatever I understood, we are only an API company. So in a CDMO business, if the intellectual property is coming from our customers, we would be extremely respectful of the intellectual property th at our customer is giving us, and we protect it and not misuse it. I mean that's -- is that way you’re going?
Chintan Mehta: So my question is how we make the strategies, for example, to win the same business with Glenmark is making to supply them see, for example, it's a cardiac we are able to supply to Torrent as well in Glenmark as well?
Yasir Rawjee: I think let's not get into that level because and how does that – Tushar, you want to?
Tushar Mistry: See, No. I mean, if I understand your question co rrectly, you are saying that how do you attract CDMO customers when you have GPL as your parent company, which is also into a pharma space and might be competing with the customers, right? So I mean, see, the one is the product

portfolio will be very different than the produc t portfolio that the that G l e n m a r k h a s . I t i s completely diverse. There is no overlap that we see between these product portfolios. So that's it is completely protected. Plus CDMO project comes with its own IP protection for the customer, where the IP is transferred to the customer also at a particular point of time. So they are in which we secured from that perspective. We haven't come across such kind of concerns

from our customers in the past at any time, I think. Dr. Rawjee?
Yasir Rawjee: Yes. No. And there are two different companies. I mean we are working with Glenmark pharma at an arm's length. So we would not compromise any customer for the sake of Glenmark. We would not do that. Why would we do that? It would hurt our image. It would spoil our business, right?
Chintan Mehta: Sir, any formulation customer is talking about high -- I mean, general high inventory built up in the system. Are you facing something from the customer or any particular region to building up an inventory level?
Tushar Mistry: Inventory at the customer level, we haven't come across that challenges, except that you saw in some -- in the CDMO space that we saw that destocking of some inventory happening at our customer level, but not in our generic API space.
Chintan Mehta: And sir, last question from my side. There some articles that the company is globally facing some problem to sourcing API from Indian pharma companies, Indian API manufacturer?
Yasir Rawjee: No, again, you are confusing Glenmark pharma with Glenmark Life Sciences. We don't source API to begin with. We make API.
Chintan Mehta: Yes, that's -- no, I mean, the API companies, which manufactured in India, globally companies are facing some quality issues?
Yasir Rawjee: No, that's generic. That's a very generic question. I don't think it would apply -- I mean, it's not specific to Glenmark Life Sciences.
Moderator: Thank you. Ladies and gentlemen, due to paucity of time, that would be our last question for today. On behalf of Glenmark Life Sciences Limited, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2023

Glenmark Life Sciences Limited
Corporate Office: 4th Floor, OIA House, 470, Cardinal Gracious Road, Andheri (E), Mumbai 400 099, India.
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May 2, 2023

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051

Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sir,

Sub: Transcript of the Earnings Call

Pursuant to Regulation 30(6) read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of the Earnings call held on Friday, April 28 , 2023 for the Fourth quarter and year ended March 31, 202 3 is available on the Company's website at:

https://www.glenmarklifesciences.com/pdf/Earnings%20Call%20Transcript_28_April_2023.pdf
The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you

Yours faithfully,
For Glenmark Life Sciences Limited

Rudalf Corriea Company Secretary & Compliance Officer

"Glenmark Life Sciences Limited
Q4 FY'23 Earnings Conference Call"
April 28 , 2023

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GLENMARK LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER – GLENMARK LIFE SCIENCES LIMITED
MS. SOUMI RAO – GENERAL MANAGER , CORPORATE COMMUNIC ATIONS – GLENMARK LIFE SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY'23 Earnings Conference Call of Glenmark Life Sciences. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assist ance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Soumi Rao; General Manager, Corporate Communications, G lenmark Life Sciences. Thank you and over to you ma'am.

Soumi Rao: Good morning everyone. I welcome you all to the earnings call of Glenmark Life Sciences Limited for the quarter and year ended March 31st, 2023. From Glenmark Life Sciences, today we have w ith us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO. Our Board has approved the results for the quarter and year ended March 31, 2023. We have released the same to the stock exchanges and updated it on our website. Please note that the recording and the transcript of this call will be available on the website of the company.

Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward - looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts, and assumptions that are subject to risk, which would cause actual results to differ materially from th ese statements depending upon the economy conditions, government policies, and other incidental facto rs. Such statements should not be regarded by recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward -looking statement, whether as a result of new information, future events, or otherwise.

Our actual results may differ materially from those expressed in or implied by these forward - looking statements.

With that, I invite Dr. Yasir Rawjee to say a few words. Thank you and over to you doctor.

Yasir Rawjee: Thank you, Soumi. Good morning and welcome to everyone on our Q4 Earnings Call. Before we dive into the Glenmark story, let me talk about the overall macro situation. So while we hear about COVID here and there, we seem to be okay from the industry perspective. Demand is stable. We don't have any challenges on supply chain and operations are also not impacted by this element as of now. So it's not going to be alarming.

The China situation is certa inly improving. Manufacturers have started in full swing. We are having a good supply situation as well as prices are under control. The other elements like inflation and the banking sector stress and so on have less of an impact on us. So overall, the macro situation, I would say is favorable to the industry. However, we must remain vigilant.

Now coming more directly to the industry, I had mentioned in last quarter that solvent prices were softening as a result of gas and crude prices coming down. And thi s has certainly played out well in quarter four. Even the freight situation has eased off, so we are okay. There is a bit of a, I would say, a bit of a bump with the custom situation in Mumbai, with the new software being installed and some material gettin g slowed down. But that won't have an impact. But we are talking about this quarter. On Q4, let's talk about performance.

So we've had a reasonably good quarter, strong growth on a quarter -on-quarter as well as on a year-on-year basis. So this growth basically rides on the back of very robust growth in the generic API business, which was driven both by the external business as well as the Glenmark business. And then

we had good recovery on the CDMO side as well in this quarter. So overall,
I would say we fired on all three fronts that make up our business. On the CDMO space, one of the projects in the CDMO has picked up well on account of an additional indication that the customer received. Plus, there was some rationalization on inventory in the last t wo or three quarte rs. And so the CDMO space for us was a bit depressed. Okay, so on the one project that we are still waiting on, there are some regulatory delays. But hopefully that will also clear in this year.

Now, the one thing that also has helped our growth in a big way is the capacity that was brought on, the additional capacity that was brought on in the hedge. So we added 240 kiloliters at the hedge, which came extremely handy in this last quarter and helped significantly with this big demand that we saw. So the hedge capacities have come fully online. We've also got the oncology block started off and started manufacturing oncology molecules commercially as well.

Now, when we look at the annual situation, the top line does look flattish, right? But I would say that the growth that we've seen is a quality growth, and that's reflected in our profitability

numbers.
So I'll start with CDMO. Like I said, there's been some inventory rationalization pressure from Q1, which I'd also highlighted in the earlie r calls. But then that has picked up very well in this fourth quarter and we believe that this momentum would continue. Coming to GPL business, again, Glenmark Pharma was in this mode of inventory tightening rationalization. And so that impacted us in the first three quarters of this year. But they have been through that already. And so we began to see some very good demand from them in Q4, which will also be sustainable.
Now, last year, we also had the impact of Favipiravir, the base, and so this entire fl attish behavior on the growth is as a result of all these things. Now, the one thing I must say is that despite these two engines firing late, our external business has continued to grow at a very healthy pace of around 15%. Okay, and this is a testimony t o the diversification of the business that we have been able to create at the product level and at the geography level. So this is extremely encouraging and this is a trend that will continue. With respect to margins, okay, like I said, the quality of the growth has been very good. So we got a growth of 6.4% in EBITDA and 11% growth on net profit in spite of being flattish on the revenue. So to summarize on a full year basis, during the first half, we've seen demand issues for both GPL and CDMO, which then normalized, began to normalize in the second half. And this quarter, we sort of hit a pretty good situation. Okay, with external business continuing to grow.
So just to talk a little bit more on the external business, we have introduced a few new products to the basket that have contributed to the growth. And the overall basket is now 139 molecules. And on the customer front as well, we now are sitting with 700 customers across the geographies.
Coming to R&D, we had 433 filings as of last year, which has now gone up to 468 at the end of FY’23. The R&D pipeline remains robust with a total of 20 molecules in the pipeline now, of which many are complex molecules. So we had three ion compounds out of which, you know,

regulatory filings for one have been complete d. We've also added one new high potent API to our pipeline, taking the total high potent API pipeline to nine.
So out of these nine high potent API molecules, we have five which are in advanced stages. So overall, our complex R&D pipeline in the market, y ou know, our complex R&D pipeline has continued to grow and has a market opportunity of approximately 20 billion, a front end market opportunity of $20 billion. So let me sum it up on the b

usiness side with, you know, saying that the demand has come back p retty strong with all three levers firing well. Cost pressures have rationalized and that's why the profitability has also improved. And I believe that this will sustain in this new financial year. And so we'll stick to our guidance of around 12 to 14%, you know, with stable margins.
Before I close and hand over to Tushar, you know, I'd like to just let you know that our HR team has done a brilliant job on employee retention, where we got a gold award from the Economic Times Human Capital Awards, competing with some really big names, okay? So we were selected for employee retention, we got the Gold Award. And for business continuity, we got a Silver Award. So I'd like to thank my entire team for working tirelessly and bringing a lot of innovative products, policies, to the company. And as a result, we remain highly optimistic to continue our journey.
So with that, I'll hand over to our CFO, Mr. Tushar Mistry, who will discuss the financial performance in greater detail. Thank you. Tushar, over to you.
Tushar Mistry: Thank you, Dr. Yasir. Hello and good morning, everyone. I would like to briefly touch upon the key performance highlights for the quarter ended 31st March, 2023. And then we'll open the floor for Q&A. We registered revenue from operations of 621 cr ores with a sequential growth of 14.9% and 20.9% on a year -on-year basis. Dr. has already discussed the growth drivers in detail, so I will move to the performance numbers. Gross profit for the quarter was at INR341 crores, up 23.6% quarter -on-quarter, and 31.7% year -on-year. Gross margin for the quarter was 54.9%, up 319 basis points on sequential basis, and up 450 basis points compared to the same quarter last year. Gross margin was driven by higher CDMO sales and better product mix.
EBITDA for the quarte r was at INR209 crores, up 37.6% on quarter -on-quarter basis, and 42.1% on year -on-year basis. EBITDA margins for the quarter were at 33.7%, up 560 basis points on sequential basis, and up 500 basis points on year -on-year basis. EBITDA margin for the quart er was higher due to higher gross margins, as well as lower operating costs. Dr. alluded to this in his opening remarks that cost pressures for raw materials, as well as for operations of 621 crores, as well as for operations have come down, which has resu lted in high EBITDA margins. Profit after tax was at INR146 crores in Q4 FY20C, registering a growth of 39% on sequential basis, and 48% on year -on-year basis.
PAT margin for the quarter was at 23.6%, increased by 420 basis points on sequential basis, and 440 basis points year -on-year. PAT growth was driven by better EBITDA margins and lower

finance costs. External business grew strongly by 19% on year -on-year basis, and 2% on
sequential basis. External business was driven by strong growth in US, LatAm, Japan, with other
geographies remaining stable. The Glenmark Pharma business also recovered strongly during

the quarter, growing 45% on sequential basis. Glenmark Pharma contribution to the revenue was
37% during the quarter, and roughly around 31% to 32% for the full year.
General EPA revenue for the quarter was at INR530 crores, registering a growth of 10.4% on a quarter -on-quarter basis, and 15.5% on a year -on-year basis. Strong recovery in Glenmark
Pharma business and beyond external EPA sales have led to this growth. For the quarter, the
CDMO business doubled on sequential basis to INR66.8 crores, whereas on year -on-year basis,
the growth was 30.4%. R&D expenditure for the full year was at INR65.2 crores, 3% of sales.
We believe R&D expenditure to stay ar ound 3% for FY'24 as well.
Coming to working capital for the business, working capital days for FY'23 are at 171 days. We
believe working capital cycle peaked in Q3 at 178 days, and now we are witn

essing it cooling
down. During the quarter, rationalization in inventory led to improvement in the working capital.
Data for the year looks higher, but they are driven by strong sales in Q4 FY'23. So, I believe the
working capital levels to remain at similar levels in coming quarters.
The capex for the year was at INR170 crores, which is in line with our strategy of doing
calibrated capex of around INR150 to INR200 crores every year. Even after capex, we have
delivered strong free cash flows of about INR143 crores. We continue to remain a net debt -free
company wit h cash and cash equivalents of INR284 crores on the books as of 31st March, 2023,
and this is after paying the dividend of almost INR260 crores in March. To conclude, strong
demand recovery supported by better input prices and availability of excess capaci ty will help
us to deliver sustained growth in the coming years.
With that, let us open the floor for Q&A. Thank you.
Moderator: Thank you. The first question is from the line of Tarang Agarwal from Old Bridge Capital.
Please go ahead.
Tarang Agarwal: Hi, good morning, everyone, and congratulations for a extremely strong set of numbers. Just a
couple of questions on my side. One, if you could comment on the volume growth for the entire
business for FY'23?
Yasir Rawjee: So Tarang, it's largely driven by volume growth.
Tarang Agarwal: So the 6% growth that we've seen in the top line for FY'23, would it be fair to presume all of it is volume?
Yasir Rawjee: Yeah, largely. I mean, there is some price growth, but it's largely volume.
Tarang Agarwal: Okay. The seco nd question is, I think the commentary that you laid out in your opening address,
it does seem like Q4, there weren't any runoffs. So would it be fair to presume that the traction
that we've seen in Q4, given the capacities have expanded and overall operat ing environment
has improved, should probably continue going forward in FY'24?
Yasir Rawjee: That's what we would say, yes.

Tarang Agarwal: Okay. If you could give us a sense on what was the contribution of Favi in FY'22 to your overall
business?
Yasir Raw jee: '22.
Tarang Agarwal: Yes.
Yasir Rawjee: Yeah, Tushar, if you could.
Tushar Mistry: About INR96 crores was the contribution in FY'22.
Tarang Agarwal: Got it. And the last question, Tushar, I mean, if I look at the business, right, I mean, working
capital expansion has just been, on one streak, if I compare '22 to '21 and '23 over '22, even
though Q4 has sort of lightened up from Q3 numbers. But I mean, I understand '22 was an account of you wanting to hold off additional inventory, given the uncert ainties in the
environment. But I was surprised when I saw the balance sheet numbers yesterday, that the expansion sort of continues. So are we going to, I mean, is there a way that this can be probably
be addressed, or this is how the business operates?
Tushar Mistry: See, if you see from Q3 to Q4, within the working capital, the inventories have softened significantly. I mean, you can see the softening happening on the inventory front for sure. The working capital has, it seemed like, sort of because of d ebtors, because of receivables. And that
is an account of a very high number on the Q4 sales revenues. Actually, if you annualize the Q4 sales and look at the receivables, they will not look like 136 days of receivable, they will look

like 118 days of rece ivables.
So out of the four quarters, the fourth quarter has been extremely good. And that's why if you take annual sales and look at the closing receivables, the receivables will look higher. But if you annualize the fourth quarter sales, then your receiv ables will be reasonably low. So one needs to look at it from that perspective.
Tarang Agarwal: So how should we see this number going forward? In, say, if I were to look at the number 20?
Tushar Mist

ry: So I think from 171 days, you should see another ei ght to 10 days of reduction going forward.
Tarang Agarwal: Okay. But ballpark about 160 to 170 days where you should be straddling now.
Tushar Mistry: Yes.
Tarang Agarwal: Is there something that's fundamentally changed in the business, which is resulting in an expansion in working capital?
Tushar Mistry: No, as you see, that you see generally across industry because everybody has been sitting on inventories. We had also built up the inventories cautiously. And that's where the working capital had gone up. While now we are seeing some ease of happening globally. And because of that,
you can see that the inventory levels have also come down in Q4. While we are hopeful that it will still come down, but we'll still tread cautiously on this as we go forward.

Tarang Agarwal: Got it. Thank you, Tushar. Just last question. Capex for FY’24, how should we look at it?
Yasir Rawjee: Capex should be between the INR150 crores to INR200 crores range.
Tarang Agarwal: Okay, thanks, all the best guys.
Yasir Rawjee: Thank you.
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Thanks for taking my question. So on the fourth quarter performance on the generic API side, if you could just help us understa nd what's the pricing trend that we've seen because some data shows that realizations continue to weaken for generic APIs. Have we seen a similar trend? And what's your sense on where the pricing could settle? Could you see more pricing pressure as raw material costs come off for APIs?
Yasir Rawjee: Yeah, Neha, for sure pricing pressure is there. More driven by the US market, and as costs do ease, there is an expectation from customers that the price will go up. There is an expectation from customers to low er prices. We've managed to sustain it quite, and if you recall, right, we had passed on some of our higher costs to customers.
So now the shoe is on the other foot. And there is an expectation which we've managed reasonably in Q4. But in order to keep cus tomers happy, we would be sort of addressing that as well.
Neha Manpuria: So just to get a sense, how much would blended realizations be down for our business, let's say, from last year to where we are ending now?
Yasir Rawjee: 3% to 4%.
Neha Manpuria: Okay. And I'm assuming fourth quarter, this number would be higher, obviously, since this is from the beginning. So there was also increase that we saw in the first half?
Yasir Rawjee: Neha, could you repeat that, please?
Neha Manpuria: So I'm saying that in the fourth quarter, probably the realizations are down even higher on a quarter -on-quarter basis.
Yasir Rawjee: Yes.
Neha Manpuria: Okay. Our second question is, given we mentioned there's no one -off in this quarter, your commentary seems pretty upbeat, an d we have the capex coming. Any reason for maintaining the revenue growth at the 12% to 15%? Because I would suggest, I understand this quarter -on-quarter lumpiness in the business, but if I just look at the fourth quarter numbers by itself, we should be g rowing in the mid -teen to probably slightly higher. So any concerns that are keeping you conservative on the top-line guidance?

Yasir Rawjee: Okay, so see, our visibility for the first two quarters is pretty good. But then, I mean, things change. So yeah, we've been a little bit careful in terms of the numbers that we are putting out. That's it, right? So let's see, I mean, how the year plays out. But the first half of this year looks pretty good.
Neha Manpuria: Okay. And this will also have the contributio n from the capex, right, the commissioning of the new capex?

Yasir Rawjee: Yeah. I mean, the new capex has kicked off

very well, right. So the Dahej, I mean, utilization is
around 80% already, okay. We will complete the Ankleshwar intermediate block fully and that
will also help. We'll hopefully get it done in the first half itself, the Ankleshwar block. So both will contribute very significantly to the servicing of the business.
Neha Manpuria: Got it. And my last question, similarly on margin, we did 33% m argins. Your commentary on
raw material cost easing, freight cost easing, good top line improvement, Ankleshwar kicking in, again, any reason for keeping this flat margin expectation? I would assume that with the
additional capex coming in, operating lever age there and cost easing, we should be seeing
margin improvement going forward.
Yasir Rawjee: The thing is, see, if you recall, right, in the last couple of quarters what we said was that there
are headwinds, right. And even in the headwinds, we've been a t the sort of 29% -ish range. right.
If you look at Q4, basically all the good things have happened together, right.
Neha Manpuria: Correct.
Yasir Rawjee: Now, if all that continues right, then what you are saying will happen, right. But then let's realize
that we live in a world where -- which is changing very rapidly, and something here and there
could move around and as a result of which that would have some impact on the margins. So
that's why we are saying that we will maintain at around 31% -ish.
Neha Manpuria: Got it. And last…
Moderator: Sorry to interrupt Ms. Manpuria, may we request that you return to the question queue, there are participants waiting for their turn?
Neha Manpuria: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Madhusudan Kela from MK Ventures. Please go ahead.
Madhusudan Kela: Hi, good morning. Congratulations on a great set of numbers. So I had two, three questions. One,
we had paid INR21 as a dividend. So what is the thought process going forward? Is there any
particular payout percentage, which we have in mind of a percentage of profits? That is one.
Second, is there any PLI benefits, which are there in the Q4 margins? And as Neha was saying,
everything is pointing towards better margins. So let's say, if we are not to be conservative for any other external event happening, what is the kind of possibility do we see for margin
expansion because in Q4 of '24 we had 58.8% gross margin and we had 36.4% EBITDA margin.

And I understand there was a COVID -- there might be some COVID impact on that quarter, but
can we see the margin going back to levels in the first two quarters?
And the third is, we have had INR450 crores of capex in the last three years, four years. How
much do you think the turnover can g o because of this capex already being done? What is the
kind of potential, which is there?
Yasir Rawjee: Okay. So I'll let Tushar take the first two and then come back on the…
Tushar Mistry: First one was…
Yasir Rawjee: On the dividend.
Tushar Mistry: Yeah, on the dividend part. So Mr. Kela, actually, if you look at our cash flow generation, if you
take roughly about INR600 crores of EBITDA and look at how the EBITDA is generating INR
to cash, we will continue to generate about INR200 crores to INR300 c rores of free cash, and
that is the momentum that we will maintain of distributing that free cash, as dividend, and that
is the way to look forward for this business.
Madhusudan Kela: But, Tushar, based on this quarter number, our annualized EBITDA should be INR840 crores.
Tushar Mistry: Yeah. So exactly, I mean that is something that one can continue to expect going forward.
Madhusudan Kela: Okay. Fair enough.
Tushar Mistry: So whatever is required for business after capex and after working capital invest ment, whatever
is there will be distributed. One has to be mindful that 83% is still held by the parent. And the
only

way to upstream cash is through dividend and that is something that we'll continue to do,
right.
Madhusudan Kela: No. Yeah. I understand, but I just wanted to reaffirm that.
Tushar Mistry: Yes. Second is on margins. Yes, PLI has benefited the margins in the current year. Roughly about 200 basis points improvement in the margin would have come through PLI benefit,
between 150 basis points to 200 basis points would be there. Overall, from a margin perspective,
this quarter, another 100 basis points would have come because of the better CDMO business, I
would say, because that is where we saw some good revenue generation happening, and obviously CDMO business is a much better margin business compared to the other part. And
that's why we see this fair margins.
Madhusudan Kela: Tushar, sorry, my question is simple. Can we go back to Q4 margins in the first two quarters of

this year? We had 36.4% EB ITDA margin and we are at 58.8% gross margin.
Tushar Mistry: First two quarters was not that high. First quarters was…
Madhusudan Kela: No, I'm saying year as a whole, we had that kind of margin. Is there a potential that we can go back to those levels of margins?

Tushar Mistry: No, we will -- as Doctor mentioned earlier, we are treading cautiously on this. I mean, this is -- while as Doctor said, all the levers hit us -- hit positively in this quarter. It's an outcome of product mix overall and some products do well and some products are higher -margin business.
Madhusudan Kela: 33% of what you did in Q4 might be sustainable, expansion is not possible?
Tushar Mistry: Yeah. I mean that is a fair enough assumption.
Madhusudan Kela: And I asked about the peak potential of turnover because of the capex, which you have done.
Tushar Mistry: Yes.
Madhusudan Kela: So if you can answer that?
Tushar Mistry: So if you look at our fixed asset turnover ratio, it is somewhere around 2.9% at a net block level. But for th e fresh capex that we are doing, one can fairly assume it to be between -- around 2-ish levels, 1.8 to 2 levels, it's how we would look at how this additional capex will contribute.
Madhusudan Kela: I had one last question. We had 37% contribution from Glenmark Pharma business in the current quarter. Where do you think that will sustain in the current year, in '24?
Tushar Mistry: So if you look at the full year number, it is around 31%, 32%. Historically, it was upwards of 40% because of Favi that was th ere last year, but we expect it to remain within this one -third range in the near term. On a longer -term basis, we expect it to keep on coming down year -on-year gradually. So it will not significantly come down, but it will gradually keep on coming down ov er -- year-on-year basis.
Madhusudan Kela: And one last thing, you have 82.5% holding in Glenmark Pharma and by regulation, you will need to go to 75% in defined period of time. Can you share us what is the timeline for getting this done?
Tushar Mistry: It will be July of 2024. Since the listing happened in August '21, it is three years from then. So…
Madhusudan Kela: So still time is there?
Tushar Mistry: Yes.
Madhusudan Kela: Thank you so much. All the very best.
Tushar Mistry: Thank you.
Yasir Rawjee: Thank you.
Moderator: Thank you. The next question is from the line of Sajal Kapoor, an Individual Investor. Please go ahead.
Sajal Kapoor: Yeah, hi, good morning, and thanks for the opportunity. Question on the CDMO business. We have clearly reported a v ery strong CDMO in the fourth quarter, but if you zoom out over the

last three years, four years, there is no growth actually, and I know we have only got three, four projects and they are all generic and we have no commercial molecules in the NCE CDMO. But when I look at your Slide 17, and

that includes CDMO as a growth lever. So are we really investing in the business development? Are we trying to secure more late Phase 3s or already on-patent molecules as well? And what kind of scientific capability business we need to get to the growth part of CDMO because clearly, about 25% annualized growth in the NCE CDMO space is what we can factor in, but if we continue with this generic CDMO, there will be pricing pressure because ultimately the end product is off -patent, so there will be market -driven pricing challenges there. So just wanted to understand the outlook on the CDMO on the back of that Slide 17 comment, and where do you see this growing over the over the medium -term? Thank you.
Yasir Rawjee: Okay. Than ks for the question. So let me reiterate, CDMO will be a growth driver. It is a growth driver even now because if you see, we are a late entrant into CDMO, and given the overall size of our business, even though CDMO features as 7% to 8%, right, it's still quite significant from a top line, but even more so from a bottom line perspective.
Now, our approach to CDMO is, yes, there is a generic element in the lifecycle management piece, but then we also have an innovative piece in which we are working with specialty companies. We have had significant traction in this piece in the last one and a half to two years, so much so that we are looking at -- we have discussed more than 10 opportunities actively with customers in this space. So we believe that given the kind of traction we are having on the number of projects in the specialty space and some even in the lifecycle space, this is an area that would grow and would continue to grow.
And the reasons are that we are a standalone API Company. There's a lot of tru st factor, okay,

with players in the CDMO space. What happens in this space is that, like I said, there's a lot of intellectual property that is shared and customers are happy with companies that will not
compete with them through the formulation space, ri ght. So we happen to be in that situation
and would drive both the specialty, which is an innovator segment, and the lifecycle
management, which is a generic segment.
Now, addressing your specific point about NCE, what happens here is that there is a very
different set of capabilities that needs to be built with a long period -- with a long gestation
period for projects to come online. So the investments that we have to make, we have to keep
making and then realize at a very late -- at a very late stage in terms of time.
So we have made a conscious call not to get into that space because there are significant opportunities in the spaces that I pointed out to earlier. So to reiterate, CDMO will be a growth driver. We have seen a lot of traction. And we believ e that even in the near term, we will get
significant contribution from CDMO.
Sajal Kapoor: Sure. That's helpful, Dr. Rawjee. And fundamentally speaking, we are a chemistry Company, chemistry capability Company. So if we get a specialty chemical for a non -pharma CDMO
opportunity, which is lucrative in terms of the margins and we have the necessary resources and

capabilities to cater to that demand on a sustainable basis, would we shy away from such an
opportunity just because it's not in the human pharma domain and we want to stick to the human
pharma domain, or that doesn't matter because fundamentally we are a chemistry Company?
The reason I'm asking this is because different companies look at the CDMO space differently,
some want to be a pure -play pharma CDMO, whereas others are more open to play it on the
overall chemistry horizontal level. So how do you see that?
Yasir Rawjee: Yeah. So we would stay with pharma for a couple of reasons, right. The first is our infrastructure
is a high -end infrastructure. And getting into a non -pharma play would hamper us from the sort

of sharing that infrastructure with pharma, right. So that -- at least off the top of my mind, we
would stay away.
The second reason is that there are so many opportunities in pharma itself i n the CDMO space,
right, that we really don't see the need to get step out, right. But largely, it is driven by the fact
that the quality of infrastructure that we have is most suited to pharma.
Sajal Kapoor: Right. Okay. And secondly, being in a fortunate space, where customers want to de-risk from
China, how do we decide, which customers are opportunistic or lower quality in the supply chain
shift versus those that are better quality and we could potentially become their long -term API
partners, so these are the customers, who don't see us as an API "supplier". They would view us as long -term sustainable partners because they want supply -side security plus, they also want
a complex chemistry partnership. How do you pick and choose between customers, given t hat
this de -risking is happening at a global level quite clearly, and this will likely to get -- the supply
chains, that is, they are likely to get frozen over the next year or two?
Yasir Rawjee: So for us it's the regulated play that matters the most. If you see our business, 80% of our business is now regulated market. And the thing is that, when we are dealing with customers in that space, right, the business is very sticky, right. So a similar kind of thing would apply like
even when customers are migrating. So this whole opportunistic play happens once in a while
right. But we are able to see that and we do that only when we are likely to see the short -term
benefit ourselves.
So -- but to address the China de -risking piece, we are certainly seeing momen tum there. There's
been a lot more files from customers, who were only China -focused, but are now moving to a
more diversified supply chain base for themselves, which is India as well as China. So this is
visible. Of course, it does take time because there are regulatory changes and regulatory filings
involved. And as long as that's the element, that's the space in the business that we are chasing,
we see that this will be sustainable going forward.
Sajal Kapoor: Right. That's helpful. And one last question…
Moderator: Sorry to interrupt Mr. Kapoor. Sir, may we request…
Sajal Kapoor: Just last question.
Moderator: Sir, I do apologize, but we have participants…

Sajal Kapoor: Okay, I'll join the queue. No problem.
Moderator: Thank you, sir. The next quest ion is from the line of V.P. Rajesh from Banyan Capital Advisors.

Please go ahead.
V.P. Rajesh: Congratulations, and thanks for the opportunity. My question is regarding the parent. The revenue bump that we saw in this particular quarter -- so my question was regarding the business from the parent. The growth that we saw in this particular quarter, was it being driven by their domestic business or their export business, if you can just comment on that. And do you see that kind of growth continuing in the coming quarters?
Yasir Rawjee: Yeah. So like we said in the commentary, basically they were in an inventory correction or rationalization mode in the last two quarters or three quarters, which has now -- they have reached a sort of stable point, and that's w hy the demand has come back in Q4. And this is something that is likely to continue.
V.P. Rajesh: Okay. Understood. And then the growth is coming from their export business or domestic business?
Yasir Rawjee: That I would not be able to tell. But given the fact that they are also largely in the regulated space, right, it would be driven, for us at least, with the regulated market space. Of course, they've got a very significant India business as well. But we supply largely for the regulated market.
V.P. Raj esh: Got it, Okay. And if I heard you right, you were saying, Tus

har, that the EBITDA margin this year could be around 33%. Did I get that right?
Tushar Mistry: No, no that -- what we said is that, if all guns fire it will be in that range, but not all gun s fire every time. So it will -- we retain our guidance around 30%, 31%.
Moderator: Thank you. The next question is from the line of Sharadh Ratnakumar from Eila Consulting. Please go ahead.
Sharadh Ratnakumar: Hi, good morning. Thanks for the opportunity. My question was regarding the US FDA audit, and if you can just tell us when that is expected, how we are prepared for it, and if they've had a good level of client audits recently?
Yasir Rawjee: Yes. So US FDA, we are due in all three of our plants, righ t, because we passed the three-year timeframe, okay. So it can happen anytime. For us, a sort of surrogate marker or an indicator is other regulatory audits. So we've had a very successful ANVISA audit, which is the Brazilian Agency, and a very successful COFEPRIS audit, which is the Mexican agency. This is very recent. In addition to that, like you pointed out, we continue to have customer audits, which -- and like we -- since we work with the top 20 generic companies in the world, right, we have pretty detailed audits from customers as well, okay. So -- and so far very good string of audits from

customers as well. So we believe that we are ready whenever FDA comes and we remain in a state of all -time readiness.
Sharadh Ratnakumar: Thank you, sir. My next question was regarding the Solapur capex. I understand from the presentation that we are commencing construction in this financial year. Have you planned it in terms of phases, do we plan to use it fully for CDMO or is there going to be generic contributions as well? Can you just throw some light on that, please?
Yasir Rawjee: Yeah. So, Solapur, would start this year. We've received all the permissions, okay. So we are geared up to get started this year. With respect to the planning, obviously, we will do it in phases because we don't want to spend money very quickly, okay. It has to go hand in hand with the business. With respect to what kind of business, again, the good part is that it's a multipurpose capacity, whether we use it for CDMO or for generic. So it would be used for both.
Sharadh Ratnakumar: Okay, sir. Thank you. And regarding the asset turn that we are expecting from there, is it along the similar lines of 2.5% to 3% that we had guided earlier?
Tushar Mistry: For every new capex, you will have t o consider it to be on the lower side, it cannot be that high, but eventually it will go to that level. But for new capacity, you should keep it around 1.8 to 2 times.
Moderator: Thank you. The next question is from the line of Surya Gopu from Anand Rathi. Please go ahead. Mr. Surya?
Surya Gopu: Thanks for the opportunity, sir, and congratulations on your results. My first question is regarding, Glenmark Pharma is approaching some investors for the stake sale. Has that had -- and what is your internal discussion about that?
Yasir Rawjee: So like we explained earlier, right, to an earlier question, according to SEBI regulations, there needs to be a dilution of the promoter's holding to 75%, right. There is some discussion already, right, and that process has started. We have also participated in that. So that's an ongoing thing.
It's a regular process that is going on in order to make that happen.
Surya Gopu: But is there any chance they are selling that they will completely sold out our majority stake, so it can affect our business, right?
Yasir Rawjee: I'm not able to comment because really that is held by Glenmark. They will decide what -- how much they want to sell, okay. But as far as the business goes, it's not going to have any impact on the business. We continue to drive the Company independently. And so, what kind of shareholdi

ng eventually happens, right, is something that will not impact the business at all.
Okay. And regarding any U.S.…
Moderator: Mr. Gopu, may we request that you return to the quest ion queue, there are participants waiting for their turn. Thank you. We'll move on to the next question. That is from the line of Siddhant Maheshwari from Banyan Capital Advisors. Please go ahead.

Siddhant Maheshwari: Yeah. Congratulations and thanks for t he opportunity. So I have two questions. One question is regarding capital allocation, though, I mean that has to some extent asked by the previous participant. Sir, do we expect same level of higher dividend payout in the coming three years, four years or is it because currently higher dividend is mainly because we have already incurred a large capex? Okay. And that was the first question.
Second question is, sir, how difficult it is to maintain margins in a business, where realizations are declining? So d o we see similar level of declining raw material costs? And do we expect same level of realizations decline in the near future also?
Yasir Rawjee: I'll answer the margin question. I think Tushar has already answered the dividend question, so we'll skip tha t. On the -- see, we have a very highly distributed business, okay. So while we have big molecules, right, that are more mature and do have a little bit of margin pressure, we are introducing on a regular basis many new molecules to -- as well as existing customers.
So the reason for our better margin profile, right, is just that, that we have -- I mean, our business is not based on 10 or 15 molecules. Our business is based on today a commercial set of around 80, 90 molecules and in the overall pipeline, we 've got close to 140 molecules. So, I mean, this is something that will continue because we continue to introduce newer molecules, as well as grow geographically. So we are very confident of maintaining our margin profile.
Siddhant Maheshwari: Okay. Thank you, sir.
Yasir Rawjee: Thank you.
Moderator: Thank you. The next question is from the line of Ketan Chheda, a Retail Investor. Please go ahead.
Ketan Chheda: Yeah. Hi, thank you for the opportunity. I'd like to ask a question regarding the CDMO. While -- Doctor you sounded very upbeat about the CDMO prospects, but if I look at one of the earlier presentations, you had mentioned that the aspiration is to double the percentage of CDMO revenue contribution in the next four years or five years, so that would mean your revenue contribution probably would kind of hit a peak of about 15% -odd, maybe three years or four years out. So I would like to know that isn't it this kind of low aspirational or a low target, while you are still kind of very upbeat and you are very positive about the CDMO business?
Yasir Rawjee: Yes, I'll answer that. So see, right now, we are around INR150 crores , INR170 crores , right, which contributes around 7%, 8%, right, So when we want to double it to 15%, the rest of the business is also going to grow, right, more or less double. So in order to sort of make it 15% of a roughly doubled business, INR150 crores will have to g o to INR600 crores, okay. So I mean, that's not bad, right, taking INR150 crores to INR600 crores in about four years to five years time. I mean, that's what I would say. So to go beyond that, I think, it's possible. I mean we won't rule it out. But then, just like in whatever we do, we want to be very measured in terms of what we are able to see and how the overall global environment also shapes up.
Ketan Chheda: Okay. Thank you for that response. And the next question is in terms of the growth levers, we have the high complex API platforms, iron compounds, oncology compounds. So could you

comment what is the contribution of these molecul

es as of now and when these would scale up going forward?
Yasir Rawjee: So today, it's small, right, because we've just s tarted this business, okay, but it has started, okay. The thing is that these are levers for growth in the future. And so, they will contribute very substantially going forward in the future.
Ketan Chheda: Okay. And given…
Moderator: Sorry to interrupt Mr . Chheda, may we request that you return to the question queue, there are participants waiting for their turn.
Ketan Chheda: All right. Yeah.
Moderator: Thank you. The next question is from the line of Sajal Kapoor, an Individual Investor. Please go ahead .
Sajal Kapoor: Yeah. Hi, thanks. Thanks for the follow -up. I had the question on the employee -- congratulations on getting the employee retention HR award. What is it that we are doing differently to ensure a lower employee attrition

really? That's really what I wanted to understand better because clearly,
ours is a business that depends highly on that -- getting the right sort of scientific talent and the
support staff. So just wanted your thoughts around -- and congratulations, again.
Yasir Rawjee: Than k you. So with respect to retention, I think a lot has to deal with the culture, and the culture
comes from the Senior Management, right, where we engage very closely with our people
regardless of level. This is something that I think -- I would not say is unique, but in the industry
context of a manufacturing industry, it is not very common. And like I said, all my senior leaders,
be it R&D, operations, supply chain, finance, regulatory, quality, we have a very deep
engagement with our people.
And I think giving that kind of comfort to our people on sharing their ideas, however -- at
whatever level they are and so on, right, is very meaningful and goes a long way to building
confidence with people and they like to come to work, basically. So this is somethi ng that we
worked actively on and also to try and assess how they are feeling. I mean, you need to ask
people how they feel, right. If you just treat them like a cog in the wheel, then it doesn't work.
So I'm fortunate, I think, we are blessed, as a team t o get that response from our people and that
has led to this award.
Thank you for asking. I mean, I'm glad you asked the question that's not a financial question,
right. This is very important because that also drives a big part of our sustainability, real ly, to
keep our people happy and to go forward.
Moderator: Thank you. The next question is from the line of Somil Shah, an Individual Investor. Please go
ahead.
Somil Shah: Sir, congratulations on a good set of numbers, Sir, most of my questions were asked, so I just
want a reassurance from you. You did mention that the first half of this financial year looks

really promising. So can we expect similar numbers of Q4, or we can expect even better numbers
than Q4 going forward?
Yasir Rawjee: So Somil, we'll stick with our guidance, okay. Like I said, we've got good visibility, but then we've also put out
guidance. So we'll stick with that, right. Hopefully we will deliver better than that. But I don't want to give a different set of
numbers to a different quest ion.
Somil Shah: Okay, okay. But the first half looks promising, I just want to tell that.
Yasir Rawjee: Yeah. It's well…
Somil Shah: Okay. Fine. Thank you, very much. That's it from my side. Yeah.
Yasir Rawjee: Thank you.
Moderator: Thank you. The nex t question is from the line of Ketan Chheda, a Retail Investor. Please go
ahead.
Ketan Chheda: Yeah. Thank you for the opportunity, again. My question is on the backward integration. The
project that we are doing right now, it is, I guess, partially commis sioned and the balance part
will be commissioned in the coming year. I wanted to understand what is the margin contribution tha

t we will have from this backward integration? And to what amount of our volume sales this backward integration will
contribute to, like, of course, we would not be backward integrating
100% of our manufacturing -- API manufacturing. So to what level are we backward integrating?
Thanks.
Yasir Rawjee: Okay. So one is a capacity related. The other is -- so, the capacity will come on fully this year,
okay. But on the project side, we've already got one project that we are doing commercial -- one
project that we are doing commercially, okay. It's going to -- actually it's going to start in Q2 of
this year and it will contribute very significantly to that project. We expect around a 5% to 7%
improvement in the gross margin on that product. And this is a product that's around -- close to
INR100 crores product . So it would be very significant, the contribution.
Ketan Chheda: Okay. So I just was trying to understand, like, in a full financial year, how much improvement
that would reflect in the EBITDA margin, like what amount of basis points that would contribut e
to?
Yasir Rawjee: At this point, I would not put numbers, Khetan, okay.
Ketan Chheda: All right.
Yasir Rawjee: So but it would definitely contribute very meaningfully, okay. I mean, I don't want to say that
it's not. But since you're asking for hard numbers, I don't want to put something down yet. See,
we are getting into this game, right. We've got -- tasted early success, I would say, right. But it
has to pan out on a broader level of APIs for it to be sustainable and meaningful.
Ketan Chheda: Sure. Thank you.

Moderator: Thank you. The next question is from the line of the Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Yeah. Thanks so much for the opportunity and congratulations to the management for a very good set of numbers. Sir, j ust at an overall macro industry level, just to understand, API companies last four years, five years, numbers have generally trended up much better than, say, the preceding few years. This also coincided with a large round of capex buildup, which incident ally continues. So I'm reading through whatever your peers are doing, as well as I'm cognizant that you are looking at a large capacity expansion over the next two years.

There was a lot of noise from investor perspective that maybe there's a bit of COVID element in the performance, say, for FY'21. '22 was a bad year for a lot of your peers and '23 also, the commentary initially was mixed, though, now most people are starting to become more bullish.

So I want your opinion, where we are in the overall cycle in the API business, and in the context of, say, the pricing erosion in US overall on the formulation side, where are we in the overall API cycle? How do you see the next two years, three years, not just for yourself, but from an overall industry perspecti ve? And why is it that across the board the capex buildup is so high for the industry when the numbers in the near term don't look that promising?

Yasir Rawjee: Okay. See, frankly, I won't be able to comment on the industry, right, because the API industry is really not a single -- it's not a single type of API. There are players that do large volumes, drive cost leadership and focus on relatively smaller set of molecules, right. There, I can really understand why the capex buildup is big. Thus, we have capex buildup, but I would still say it is reasonable, right. We are keeping it highly calibrated depending on the kind of business we are seeing.

And fortunately for us, our capacities are completely fungible. So with the kind of multipurpose capacity we hav e, we don't have to make that much of an investment, right. But yes, investment will continue because the outlook on business is very strong for us, okay. Like I said earlier in my comments or somewhere in the answers, right, to que

stions that Dahej capaci ty was brought online only in Q4 and it has already touched 80% utilization, the additional capacity. So it's very encouraging for us, right. And this is something we would continue to do, because if we don't, then actually we are disadvantaging ourselves, right.

With respect to erosion in the US market, yes, there is pressure, I think Neha asked the question, so -- on pricing and stuff. So yes, we have to kind of deal with that. But again, ours is a very distributed business geographically, and we also hav e a lot more new products, right, that contribute very significantly to a higher margin. And so, on an overall business, the margin for us will remain sustainable, despite erosion and despite giving our customers the support they need to stay competitive i n the business.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Yasir Rawjee: Okay. So, thank you. Thank you very much for joining our call. I think we'll close the call now. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Life Sciences, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank y ou.

Call: Jul 2023

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July 24, 2023

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051

Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sir,

Sub: Transcript of the Earnings Call

Pursuant to Regulation 30(6) read with Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of the Earnings call held on Friday, July 21 , 2023 for the first quarter ended June 30, 202 3 is available on the Company's website at:

https://www.glenmarklifesciences.com/pdf/Transcript%20Earnings%20Call_July%2021_2
023.pdf
The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you Yours faithfully,
For Glenmark Life Sciences Limited

Rudalf Corriea Company Secretary & Compliance Officer

"Glenmark Life Sciences Limited
Q1 FY '24 Earnings Conference Call "
July 21, 202 3

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GLENMARK LIFE
SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER –
GLENMARK LIFE SCIENCES LIMITED
MS. SOUMI RAO – GENERAL MANAGER , CORPORATE
COMMUNIC ATIONS – GLENMARK LIFE SCIENCES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Glenmark Life Sciences. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao. Thank you, and over to you, ma'am.
Soumi R ao: Good evening, everyone. I welcome you all to the earnings call of Glenmark Life Sciences Limited for the quarter ended June 30, 2023.
From Glenmark Life Sciences, we have with us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO. Our Board has approved the results for the quarter ended 30th June 2023. We have released the same to the stock exchanges and updated it on our website as well. Please note that the recording and the transcript of this call will be available on the website of the company.
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward-looking statements that involve risks and unc ertainties. These statements are based on the current expectations, forecasts and assumptions that are subject to risks, which could cause the actual results to differ materially from these statements depending upon the economic conditions, government poli cies and other incidental factors.
Such statements should not be regarded by the recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward- looking statements,
whether as a result of new informati on, future events or otherwise. Our actual results may differ materially from those expressed in or implied by these forward- looking statements.
With that, I invite Dr. Yasir Rawjee to say a few words. Thank you, and over to you.
Yasir Rawjee: Good afternoon, and welcome to everyone on our earnings call for Q1. It's a nice beginning for the financial year for us with revenue from operations growing at 18.1% to INR 579 crores. We can attribute this to efforts of our internal team as well as favorable shifts i n the external environment. So let me get into some details here.
Firstly, the success that we have seen and hopefully will continue to see is based on our diversified and niche product basket. With the will the internal focus on process improvement and tighter controls on operational costs. Hopefully, this should help us to continue this growth momentum.
Apart from the internal factors, several external factors have also been favorable to the growth, which do include demand revival from the U.S. market. In addition, we see steady traction in Europe, emerging markets and India. And then we should also mention that the -- there's an
improved supply side environment, okay, which has helped us as well, especially on the margin front.

Now looking at the segmental performance for the quarter, we saw in the last quarter that the CDMO has picked up very well. And that continues. And again, very likely to continue. The generic business also has picked up nicely. Like we said, it's growing from the U.S., Europe, ROW as well as India. So the business traction is very good, CDMO as well as generic API.
Interestingly, our GPL business has also started looking up from the last quarter. And the demand looks positive for the next couple of quarters. Right?
Our external bus iness has also grown like we said, substantially. So that's on the business side, with respect to R&D, we have added one more molecule to our iron complex pipeline. So

that
takes our total number of products to four, we've also added two high-potent produc ts, high potent and APIs to our onco grid, which is now nine molecules. The total addres sable market for this is about 20 billion for the front end. And we've engaged in a fair number of tie -ups with customers as well.
On the filings across countries, our filing number stands at 476. So again, to sum it up, it's a strong pipeline. We continue to add more. On capex , we expect to close between INR 150 crores to INR200 crores for this financial year. And a good portion of that will go into Ankleshwar, Dahej and the Solapur greenfield.
So, overall, we've got a good visibility for the financial year and with the improved demand and pricing environment, coupled with better input costs, we expect strong growth in the coming
quarters. We continue to guide to the mid-teens with stable margins for FY '24.
I will now hand over to Tushar Mistry, our Chief Financial Officer.
Tushar Mistry: Hello, and good evening, everyone. Welcome to our Q1 FY '24 Earnings Call. I would like to

briefly touch upon the kbey financial highlights for the quarter ended 30 June. And then we'll open the floor for questions and answers.

We registered revenue from operations of INR 579 crores for Q1 FY '24 with a growth of 18.1% year-on-year. While Dr. Yasir has discussed the growth drivers in his opening remarks, I would like to highlight that the product mix has been trending towards more value -added products, which is helping us deliver quality growth.

Gross profit for the quarter was at INR 330 crores, up 26.6% year -on-year. Gross profit margin for the quarter was at 57.1%, up 220 basis points on a sequential basis and up 380 basis points compared to the same quarter last year. There were two reasons for higher gross margins for the quarter. One, the better product mix that we saw in Q4 of la st year continued in the current quarter as well. Two, we have seen softening of raw material prices, including solvents during the quarter.

EBITDA for the quarter was at INR 195 crores, up 24.8% year-on -year. EBITDA margin for the quarter was at 33.7%, fla ttish on sequential basis and up 180 basis points on a year-on -year basis.

Profit after tax was at INR 135 crores, a growth of 24.3% year-on -year and PAT margin for the quarter was at 23.4%. Coming to business performance, External business grew strongly by

17.9% year-on- year. External business was driven by strong growth in regulated markets as well as robust pickup in CDMO business. GPL business also grew by 18.5% year-on- year.

GPL contribution to the revenue was close to 34% during the quarter. As mention ed by Dr. Yasir during his speech, we are witnessing a significant rebound in GPL volumes, which is expected to be carried on in the coming quarters of the current financial.

Generic API revenue for the quarter was at INR 504 crores, registering a growth of 13.3% year-on-year, on the back of strong growth in the regulated market, supported by steady growth in emerging markets. For the quarter, CDMO business contributed strong growth momentum revenue from CDMO business was at INR46 crores, up 21.3% year-on- year.

R&D expenditure for the quarter was at INR17.4 crores, which was 3% of our sales. We anticipate R&D expenditure to stay around 3% for FY '24 as well.

Coming to working capital. We continue to see improvement in working capital with working capital days for Q1 '24 at 165 days, majorly driven by reduced debtors. capex for the quarter was at INR35 crores. As Dr. Yasir mentioned, for the full year, we will keep up with our strategy of calibrated capex of around INR 150 crores to INR 200 crores for the year.

We continue to remain a net debt -free company, and I am happy to inform you that we have generated strong cash flow of INR 98 crores during the quarter, which further stre

ngthened our balance sheet with cash and cash equivalents of INR 308 crores on the books as of 30th of June, 2023.

Overall, we are hopeful of continuing the growth momentum in coming quarters with stable margins, provided the external environment even '23. With that, let us open the floor for Q&A.

Moderator: Thank you very much, sir. We will now begin the question-and -answer session. The first question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Sir, my first question is on the gross margin trend, the 200-plus basis points improvement that we've seen quarter -on-quart er. Could you give us a rough breakup of how much of this was probably because of product mix versus RM softening? And also just trying to understand how sustainable this product mix benefit is? RM, obviously depends on a lot of other factors. But how should we look at the gross margin trends for the rest of the year?

Tushar Mistry : See, we saw the group good product mix in Q4 as well. And if you see Q4 gross margins were in the range of 54.9%, almost 55%. The improvement in -- or reduction in raw material prices was not seen in Q4. But the delta that we see currently is really because of the raw material prices. So that's how one should consider that the better product mix was around 55% and delta of another 200 basis points is from the raw material softeni ng.

Now this is the current scenario from an overall perspective for the entire year, we will see as to how this pans out going forward. But as of now, we see some good traction on the lower raw material prices as well as a solvent pricing.

Neha Manpuria: Are we seeing any risk in terms of potentially raw material prices inching up? Or it's fair to assume that we have a fair bit of comfort on where raw material prices are?

Yasir Rawjee: Okay, so we expect the raw material prices to hold for the next couple of quarters based on the visibility that we

have. So it should be okay for a couple of quarters. We don't know how the macroeconomics conditions change. And so we'll see. But at least for now, I can say that it will
be good for the next couple of quarters.
Neha Manpuria: In that case, sir, what is the reason for the stable margin guidance because we did 30%, we have
done close to about 33% in the current quarter. Just trying to figure -- I'm trying to understand
the quarter that you have seen in your commentary and the guidance that we are giving both for
top line and margins?
Yasir Rawjee: So there's a mix issue here, too, right? I mean, basically, we've had very good mix plus the raw
material prices have helped, like Tushar explained. And that -- so I mean, if the mix continues
to be similar, then I would say, yes, it would go up, but I'd rather bet on the sort of -- we're
probably closer to what we had seen in Q4, right? With these reduced raw material prices, I
mean both of them are pulling in the s ame direction now. But then we are not so sure that the
mix will continue to be that favorable.
Neha Manpuria: Understood. I have more questions, but I'll get back in the queue.
Moderator: The next question is from the line of Shyam Srinivasa from Goldman Sachs.
Shyam Srinivasa : Just two ones on the overall generic API trends? And if you could give us some color from a therapeutic mix perspective, I think cardiovascular still should be coming down. So just wanted
to understand how the whole generic piece is including your own pricing, will this lower RM
cost? Will it also eventually 1, 2 quarters later, will it impact your pricing power as well? So I just want to understand overall generic industry, how are you faring and what is happening in the therapy area mix?
Yasir Rawjee: So let me take the therapy first, right? Again, cardiovascular is very steady, Shyam. Right? CNS
has done better. And again, that's because of existing products being

much better. Plus we've
added one new product on the CNS side. It wa s launched recently, and the post launch quantities
are very good. So the CNS franchise is doing well.
On the overall generic, I think we've been firing pretty reasonably across the quarters. Of course, in the last couple of quarters, it was Japan and LatA m that had pushed very well. But then this
time, it was more the U.S. and India, right, that has delivered. So I mean, since it's not really a
quarter- to-quarter business, we have seen a pretty solid demand across and even we expect Japan
and LatAm to bounce back.
Plus the sea, so that's the -- on the generic side. So, of course, we did pass on some cost benefits
to customers, right, as a result of CIP processes. So that does sort of impact the top line there as
well. But considering that the demand has bee n so solid across the markets, we expect the generic
numbers to continue to grow.

Shyam Srinivasa : Understood. Just my second question is just on the CDMO business, right? So again, I know it's
volatile and we shouldn't be looking at it quarter-by -quarter, but it's probably driven faster than
company average growth, right? So any visibility? I know it's down Q -o-Q, but I just want to
understand how should we look at the CDMO business when we look forward? Will it gain in terms of contribution overall? And w hat are some of the projects that have contributed to this
growth?
Yasir Rawjee: So CDMO, we've got three commercial projects, right? And last quarter, we got a big shot in the arm with one of them getting an additional indication, okay? And that bumped it up very
significantly. That is something that will continue, our customer is pretty confident of more than doubling their volumes on that one project.
So what we have now in terms of three commercial businesses, right, will continue to deliver at
this lev el. We had a fourth project that continues to get delayed because of regulatory filings at
the customers end, but the good news is that in the last quarter, we've had traction on two CDMO
projects that have now moved into advanced stages with two different innovators okay? And we
expect that by Q3, Q4, at least one of them will kick in to a reasonable extent.
So these are recent developments, and we haven't really spoken about these two projects earlier.
But we expect that by Q4 latest, we should have at le ast one of them kicking in very significantly.
So apart from the fact that the three we have are going to be fairly stable and this -- from these
two new ones also, we expect one to deliver. So CDMO will be pretty strong this year. Quarter -
on-quarter, it m ight vary a little bit, but on the year, we expect CDMO to contribute nicely, 8%
to 9%.
Moderator: The next question is from the line of Tarang Agarwal from Old Bridge Capital.
Tarang Agrawal: Congratulations for extremely strong set of numbers. Two questi ons from my side. One, if I look
at the growth for this quarter on a year-on- year basis, how much of it is volume led, one? And
second, how much of it is from the set of molecules or set of APIs that you were supplying in the base quarter? And how much of it is from probably new molecules. So that's one.
And the second, I believe you spoke about an ion complex compound that you're working with. Is this in addition to one that you already have? And if that is the case, what is the status of DMF

filing for the first compound? And how far ahead is your customer in garnering approval for the
product?
Yasir Rawjee: So Tarang, the growth was largely driven by volumes. There have been some new products introduced, right? I talked about the CNS molecule, right, the new molecule but then both on the
generics and CDMO right now, it's a volume -driven growth okay? As far as old molecules versus
new. Obviously, the old molecules play a very big role because they continue --

I mean, they are
commercial businesses, right? But the new molecules have also started kicking in.
Coming to ion complexes, basically, we used to have three in the pipeline, of which one is
already filed. And we are in the query stage for both the customer as well as us. We recently answered the query from the DMS side, just a few days back. So the customer is also likely to

put in their response. And once those responses are acceptable, then we can look forward to a
tentative approval.
Okay, two of the molecules that were in the pipeline are going to be validated before the end of
Q3 and then we recently added one new molecule, which is now in early stages of development. So that's the status on the in pipeline.
Moderator: The next question is from the line of Bala Murali Krishna from Oman Investment.
Bala Murali Krishna : Regarding CDMO, the fourth quarter just got delayed since the last 2, 3 quarters. So and one
more project we are supposed to add in Q3 or Q4. What could be the revenue potential of this
for an annual basis?
Yasir Rawjee: So once it mat ures, it should be around $5 million.
Tushar Mistry : Initially, in Q4, we may not see that kind of revenue. But once it picks up, the volumes indicated by the innovator should get us a business of around $5 million.
Moderator: The next question is from the line of VP Rajesh from Banyan Capital Advisors.
VP Rajesh: Just one question. On our gross margin expanded, as you said, Tushar, by 380 bps, but our EBITDA margin has expanded by about 200 bps. So if you can explain where that 200 bps is
going? Is it -- do we invested in the R&D side? Or is just the SG&A cost is going up, that will
helpful.
Tushar Mistry : This was largely driven by manpower and plus our costs because we added new infrastructure, right, have also gone up on the operations side. So that's the reason.
VP Rajesh: Okay. So when you say infrastructure, is it for the new capacity that is coming up regarding that?
Or is it more with the existing plants or existing operations? Just trying to understand.
Tushar Mistry : In the month of Feb, we did i ntroduce plant 6 in the Dahej, capacity has been utilized in this
quarter, and some even in Ankleshwar was added. And so there's an increase in expenses there
as well.
VP Rajesh: Okay. Okay. So is it fair to assume that in the coming quarters, we will get some operating
leverage out of these infrastructure investments as well? Or these are just sort of regular costs that are going to be there and the impact is anyway coming up in the revenue from these
facilities? How should one think about it?
Tushar Mistr y: Yes. So it all depends on the utilization, right? So I mean once we get that utilization up, right,
then we'll get that operating leverage.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Sir, I see th at we have increased the capacity addition that we had planned. I think last, it was
about 1,800 KL , but there's a new addition that you've added in Dahej in Ankleshwar, could you

give us some color in terms of what businesses, what areas that we are focus ing on? Do we have
a pipeline that gives us this visibility for the large addition that we have announced?
Yasir Rawjee: So Neha, yes, you picked that up. We do see some benefit in accelerating some of the brownfield
projects, right? Because greenfield takes time. And considering that we do have the space and permissions to build out a little more in Dahej and Ankleshwar.
We brought those forward, okay? It will happen much sooner and also will happen at a
reasonable cost compared to the greenfield. So you're right, we did make those plans and have
brought it forward because the demand scenario clearly is going up. And we need to add capacity relativ

ely faster.
Neha Manpuria: Understood. So has our total capex outlook changed for the next 2 years? Given this, we are
already spending on Solapur and we have added Ankleshwar and Dahej. Should we see a step

up in spending in FY '25, '26?
Yasir Rawjee: There should be a little bit. But then, I mean, this brownfield expansion is basically happening at a little bit o f Solapur cost in terms of Solapur getting delayed a little bit, right?
So as Tushar said, we'll still try to keep the capex spend between INR 150 crores to INR 200 crores, right? That's still very much the thought process here. right? But we'll see. I mean, we've got to, at end of the day, we've got to make sure we've got the capacity to service the business.
Neha Manpuria: Understood. And given that we've had this CDMO project where you said we've seen traction. Was this ahead of our expectation in terms of what we were looking for the CDMO pipeline? And do we have enough capacity to service these additional projects that the acceleration that we've seen in the CDMO business?
Yasir Rawjee: Yes. See, like we've been paying for a while now, right, that we've g ot quite a few irons in the fire, right, with respect to CDMO. And it's the customer, right, and their regulatory approach that has basically accelerated this. So initially, I mean, we usually do take a bit of a conservative stand with respect to how the c ustomer will file -- will make the regulatory filings. But now it seems they want to move faster. So that's why -- just we supplied validation batches in this last quarter for both these projects.
So depending on how things shape up, at least one of them s hould get regulatory approvals for commercial to start in Q4.
Neha Manpuria: Understood.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Sir, when you look at the business on the generic API business over the next 2 or 3 years, from a growth perspective, do you see bulk of the growth will be contributed by our existing set of molecules or the newer launches play a more important role?
Yasir Rawjee: So Nitin, the new launches are going to play a huge role. I me an, in terms of contribution, right? In fact, I mean, you asked for a 2- year time horizon, but on a sort of 5- year time horizon, our

plan at least looks like the new molecules will contribute as much, right? In fact, more, they'll be growing much faster.
It is because we're starting from a smaller base, right? Plus the market growth itself is much more and so we expect the new molecules to contribute very significantly to...
Nitin Agarwal: Just to get that right, when you say over the next 5 years, 50%, it's a 50% of incremental sales or 50% of total revenues in the molecules?
Yasir Rawjee: Revenue contribution, yes.
Nitin Agarwal: So that's like a very, very sharp meaningful contribution from some of the newer launches. And in that, is it going to be concentrated on a certain -- it's sort of premised on a few specific products or which is a very broad basket of your launches you're looking at?
Yasir Rawjee: It's a reasonably big basket because we explained that apart from the new and the mature products, right, we've also got an expansion basket of existing molecules that are not that big, but then they are expanding much faster because of newer markets having patent expiry and customers getting added as those patent expiries come through in the markets that are opening up.
Nitin Agarwal: Okay. And secondly, in terms of onboarding new customers or what's the experience do you like invent customers? If you -- and in terms of new customers that you're onboarding, what's the typical source of API supplies for them in the past before they approached you?
Yasir Rawjee: Yes. So some of them are second wave filers, so the ones that didn't catch the NCE window,

and are sort of developing it a new, like 3 years before the patent expiry right, and want to get in, rig ht? So that's one set of customers, but then we've also had traction from customers who are in the molecule in their business. But then they are looking for an alternate source. So both those are moving pretty nicely.
Nitin Agarwal: And on the latter, if y ou can just help us understand that a bit. I mean, where are the -- where are some of these customers largely typically sourcing from when they look to switch their sources?
Yasir Rawjee: Yes. So they've got either existing Chinese source or an Indian source, right. And are looking to have another source plus, sometimes, they're not happy with their existing source. So they want to sort of have a backup or even switch completely.
Nitin Agarwal: Okay. And the last question in terms of over the last year, 1.5 years, based upon how the competitive dynamics in some of the existing molecules have progressed, have you taken a decision to drop any of any or some of these molecules that you already that were serving in the past?
Yasir Rawjee: Not really, but then because we had some capacity challenges for the less regulated market business. We have deprioritized some molecules that don't have a good margin. So there, we

have been a little picky in terms of choosing business, whether the margins have not been great.
We kind of deprioritized those and told the customers that they need to look elsewhere.
Nitin Agarwal: But we haven't had situations where maybe the pricing has come off so much, that the molecule is not viable for us to be altogethe r.
Yasir Rawjee: Could you please repeat? Nitin, I didn't catch that.
Nitin Agarwal: I'm saying, but we haven't had situations where a molecule per se, the pricing overall has become so sort of unattractive that it didn't make sense for us to continue and we chose to drop those products. Those situations haven't quite occurred?
Yasir Rawjee: No. That hasn't happened.
Moderator: The next question is from the line of Ashwini Agarwal from Demeter Advisors LLP.
Ashwini Agarwal: Congratulations on a very solid q uarter. Just building on what Nitin asked earlier. On the CDMO side, how much products do you have, which represents this INR 46 crores in revenue? Is it only these four and compounds or there are R&D services on a bench of products where you are doing some development or some chemistry analysis and providing probably proof of concepts? Can you give some more color on how deep is this CDMO pipeline?
Yasir Rawjee: Firstly, let me clarify. The iron complexes do not contribute to a CDMO. I mean -- and they will not because we are working with generic customers on those molecules. So that's part of our generic bucket. It is -- these are better molecules in terms of the complexity and so the entry barrier and even the realization on price and so on is better. right? But CDMO right now is driven by three projects, okay, which are not iron complexes.
So this INR 46 crores that you saw this quarter has basically come from these three projects.
With respect to the depth in the pipeline, I can say now with a lot of confi dence that we have quite a few molecules in advanced discussions with innovator players, both on the big pharma as well as the specialty side, of which I mentioned that two have gotten fast tracked even in our scheme of things, right, because the customers want them sooner.
So those will come in. And then we've got a fourth one that is a fairly big opportunity, but then the customers are filing in various markets. And so the commercial realization of that fourth project hopefully will come this year towards the end but even if it does not, of these two other projects that have now come in and are moving much faster. One of them will definitely come through in Q4. So the debt -- I mean

, when I look at the more advanced projects, now we are talking about three already commercial and three going to happen soon. That would be six, right? And then we've got a whole number of, like I said, iron in the fire where we are in discussions with the customers in various stages in terms of supply.
Ashwini Agarwal: Yes, wha t I was asking was that if you were to zoom out and think about the next 5 years, do you think CDMO can grow 3x in 5 years on a INR200 crores run rate?

Yasir Rawjee: If you recall, I have mentioned this earlier that in a 5- year time horizon, our sort of expectation of CDMO will be -- we're at about INR150-ish crores right? In 5 years, we expect to go to about INR600 crores, and which means that our contribution of CDMO will be much bigger, right? It should be about, from a current 7%, 8%, it should go to about 14%, 15% on a 5- year time horizon. I mean -- and that's looking very doable, okay, based on the traction we've seen in the last few quarters.
Last year, to now -- I mean, in just one year, we've had a lot of discussions, both with specialty companies a s well as big pharma companies. And these are all life cycle management, okay, Life cycle management and 505(b)(2) development.
We continue to stay focused on that area and not get into this early phase stuff because there's a huge amount of attrition in t hat area. And you really have to do a lot of molecules to make even one succeed. So given my sort of prior experience working -- having worked in the U.S. in big pharma right for a good number of years, right? I know that these are not easy businesses to make it happen.
So much rather work on the life cycle piece and the specialty piece, right? That's the way we are. And really, it's the right way to look at it for a company like ours with such a big portfolio, right? And the kind of process development expertise and manufacturing footprint that we have.
Hopefully, that gives you clarity.
Ashwini Agarwal: Yes. The second question was on the softening raw material input costs or solvent pass. I know that in the past, you've said that look, when solvent costs go up, we tend to absorb them a little because we want to keep customer prices stable, but in a B2B business, there's always the situation that customers want to capture all the cost benefits that the vendor has. So is there a

situation where some of the m argin uptick that we've seen on account of low costs will need to
be passed down over the next couple of quarters?
Yasir Rawjee: It could happen where customers do study quite a few things, and it's likely that we may have to give away some of that benefit . But certainly, we won't do it for everything. It's a hard one sort
of improvement on the margin side. So it would happen, I'm not saying that it doesn't that's typical in our business. It would not be -- it will not reverse the whole thing.
Ashwini Agarwal: Okay. Okay. Great. And last question, just clarification, Tushar you mentioned capex for the
quarter was INR 53 crores or INR 33 crores, I don't hear very well.
Tushar Mistry : Capex for the quarter was INR 35 crores.
Moderator: The next question is from the line of Sajal Kapoor an Individual Investor.
Sajal Kapoor : Great work on reporting healthy numbers and free cash flow on top of having a net cash balance sheet. So never well done. I have two questions. One, the cyber security and ransomware incidents have surged globally in recent months. And these criminals are well -organized, highly
sophisticated hackers targeting profitable companies. So question really is, have we done a
detailed risk assessment and an exhaustive penetration testing to identify vul nerabilities in our
systems and control?

That's one. And then secondly, what makes us a good CDMO partner and the license to w

in in
this niche area as a lot of private equity is also chasing this space and competitive intensity is
increasing.
Tushar Mistry : The cyber security and on the VAPT, our IT team does carry out the VAPT test on a regular
basis. It's a part of their protocol. And that also founds part of our internal ITC audits. So this is
a regular process. It's a pretty robust process that we have implemented internally. We haven't
seen as yet any threats on our data in a way but it's a regular process, and it is something that is
very focused on and very high amount of focus is given on that area. Not only by the management, but also by the Board. I'll just let Dr. answer on the CDMO.
Yasir Rawjee: With respect to CDMO with us, it's important for us to define the space, right? So like I explained
to Ashwini we are staying very much focused on the specialty side and on the life cycle
management for our customers. And that's where the products are, right? Now one may say that
the competitive intensity is high, and I would agree that, yes, it is high. But then there are
differentiators apart from cost and capacity that help us to win business.
One big a rea is the whole business continuity aspect and how that is addressed for the customer.
So as long as we are able to give customers that comfort in terms of the business continuity then
you are ahead of the curve in terms of the competition.
Sajal Kapoor : Dr. Yasir, are we investing in business development because relationship is a very key
component in the CDMO space. So we have to have that sort of development and investments in building those relationships, those longer- term partnerships.
Yasir Rawjee: So again, we are, right? But then my experience, again, says that with the kind of depth in the
portfolio, and our manufacturing infrastructure and our ability in R&D to do some level of customization for the customer, I mean this is a pretty strong combina tion for us to take to the
customer.
So while contacts are important we are in touch with most innovators anyway, right? So those
contacts have been kind of established. In fact, our U.S. office spends more than 50% of its time
working only on this whole w idening the net basically of bringing in customers.
So this is something we continue to sort of invest and work on.
Sajal Kapoor : That's helpful. And finally, any update on the U.S. FDA audits because in all our facilities are due for a reinspection anytim e now, right?
Yasir Rawjee: Yes, we are overdue. I mean if you go with a 3- year window, we are overdue. I can't comment
for when FDA will come, but whenever they come, it will be good for us, right, because we can
be done with this. But I mean, they also have a big backlog is what I understand because of the
COVID years. So I don't know where we sit on their priority list, right? But we are ready.
Sajal Kapoor : So we are ready for any surprise audit. And we are confident that we should be able to sail
through, right?

Yasir Rawjee: Yes. In fact, we've had other agencies coming and auditing us. So we have Brazilian Anvisa visit
Dahej, and that was in August of last year. And they cleared us -- so we've had Anvisa come
auditors. We had COFEPRIS, the Mexican age ncy do a pretty detailed audit, which was virtual,

but it was a 5 -day audit of our Ankleshwar facility. So I guess that with these agencies also
talking to each other, right, there could be some of that, too, in terms of why FDA hasn't shown up yet, right? I can't speak for an agency like FDA, they're welcome to come any time.
Sajal Kapoor : No, of course, of course, there. The lens that the FDA uses is slightly different as we have seen in so many cases. Have we got audited recently from PMDA, the japanese regulator as well?
Yasir Rawjee: No.
Sajal Kapoor : Okay. Okay. Right. Okay. Thank you for all the responses and all the very best.
Mode

rator: The next question is from the line of Tushar Bohra from MK Venture .
Tushar Bohra: Congratulations to the management for a good set of numbers. First, just a quick check, typically, there is some seasonality at play right? So typically is stronger for us than H1. Is that fair assumption?
Yasir Rawjee: It's not a quarter -to-quarter business, right? I mean that's the thi ng, right? So I mean, yes, it could be, but I mean we hope it is, right, because we have a good H1, we'll have a good H2 as well.
So I hope you're right. But again, we shouldn't read that much into it, right, into the earlier trend.
Tushar Bohra: Okay. And management has commented for mid-teens growth, right? The guidance is for mid-teens growth on revenue and margins to be stable to slightly higher depending on product mix?
Yasir Rawjee: Yes.
Tushar Bohra: Okay. And sir, regarding the stake of parent -- I think they have to come down from 80% to 75%. Is there any update on that side or anything around any M&A or corporate action that you may want to highlight where the process is?
Yasir Rawjee: Yes. So there is a process that is on, okay? And of course, the stake belongs to the parent, right?
So they are running the process, right? Denmark Pharma is running that process. We are contributing wherever needed. So yes, they do have that window by which it has to value down to 75%.
Tushar Bohra: Okay. And we would -- where would we be in the process, if you may, qualitatively be able to comment?
Yasir Rawjee: That's what -- so like I said, they are the ones who are driving it, right? And wherever we are needed to sort of contribute, we are, sort of giving the business view and so on. But really, I would not be able to tell you where exactly things stand short term time.
Tushar Bohra: And sir, one quick question on the CDMO business. So given that we are seeing strong traction and guidance is for some more molec ules to also come in by end of this year. CDMO in general,

it's fair to assume would be margin accretive as in the quarter in which is strong, our overall margin profile should be trending on the upward side compared to the others?
Yasir Rawjee: That is th e case, right? CDMO does have better margins.
Tushar Bohra: So given that relatively, we had a subdued last year and this year, we have had a strong start, that should also be a factor that is driving the full year margins, as you expect to see CDMO performance to continue?
Yasir Rawjee: It will have an impact. How much it will have, right, that it remains to be seen because it's still in single digits, right? The overall mix also helps. So it's not only CDMO that drives the sort of
margin on the business s ide. It does have a contribution, but because it's only like 7%, 8% right?
So it's -- I mean, it has that limitation, right? If it was a 20% or 25% business, then, of course, right, it would be very significant.
Tushar Bohra: Which we are expecting that ov er a period of time anyway CDMO business will tend over the next 2, 3 years?
Yasir Rawjee: Yes.
Tushar Bohra: And how many projects would we be in active discussions overall, sir? You mentioned two projects, but overall, the total number of opportunities t hat we are in discussion and which we feel that we'll be able to qualify in this year have some relationships?
Yasir Rawjee: That's what -- so where the sort of a milestone you have to reach, right? And that's why we are seeing the confidence that for two more projects, we have crossed that milestone. And so we are seeing that with confidence. But then the ones where we haven't got to that milestone, we probably should not put a number right now. But there's quite a few in discussion, I could say
that.
Tushar Bohra: So it would be safe to assume, sir, say, next year, we could be -- potentially be double digit in terms of number of active projects, FY

'25 sometime?
Yasir Rawjee: Double means, you're talking 10, 11 projects, right?
Tushar Bohra: Yes.
Yasir Raw jee: No, I wouldn't go that far, Tushar, okay? I won't go that far. I mean I like to -- we like to be sure

and give a reasonable estimate to the market.
Moderator: The next question is from the line of Somil Shah from Paras Investments.
Somil Shah: My ques tion was similar to the previous participant that if we see Y -o-Y, yes, our revenues have gone up. But quarter-on-quarter, it is slightly down. So any particular reason for that?
Yasir Rawjee: Again, I mentioned a few times that, right, this is not a quart er-on-quarter business. We shouldn't be looking at it that way really. I think, I mean, for the beginning of the year, we've bitten pretty

well, right? I mean, I think based on what we can see from the demand side, right, these will continue to look good.
Somil Shah: Okay, okay. And sir, previous year, I think we did on the CDMO side with a revenue of, say, INR120 crores revenue. And if you see 8%, 9% of revenue we are looking, so are we looking to cross INR200 crores of business for this year for CDMO?
Yasir Rawjee: I hope so. I mean, but we're definitely trending up definitely.
Somil Shah: And that would be margin operating, right?
Yasir Rawjee: Again, I answered Tushar, right, because it's a relatively smaller contribution the overall revenue, there's definitely going to be some impact. How much remains to be seen.
Somil Shah: And looking at the raw material prices. So is it safe to assume for at least for next 1 or 2 quarters, our operating margins would remain at similar levels?
Yasir Rawjee: There shoul d be a benefit of RM prices for the next couple of quarters, right? That would help the margin. I mean, look, but the world is a very different place today, right? Things could suddenly go out of -- installments, for example, is very unpredictable. So I don't know, I mean based on what we are seeing and how things are trending on the gas prices and the crude prices, things should be okay, right? But then solvent prices go up very fast and don't come down as fast.
Moderator: The next question is from the lin e of Bala Murali Krishna from Oman Investment Advisors.
Bala Murali Krishna : I have one clarification regarding dividend. So are you going to continue with same kind of dividend this year also?
Tushar Mistry : Yes. So that's what we had mentioned earlier that the surplus has been generated will be during now taking the year or probably at the end of the year. So one should expect high long- term dividend or whatever surplus cash.
Bala Murali Krishna : And one more question regarding the previous participant regarding the parent company take. So there are some news regarding the off loading of interest like. Do you have any thoughts on that or they are going to offload till 70% only?
Tushar Mistry : Nothing that we can comment on, on that. It's apparent and possible. What we are aware is that they have to offload another 8% is in the next one year's time. And that cost as far as we are concerned is on but nothing beyond that we are aware of.
Moderator: Ladies and gen tlemen, we take that as a last question for today. On behalf of Glenmark Life Sciences, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2023

Glenmark Life Sciences Limited
Corporate Office: 4th Floor, OIA House, 470, Cardinal Gracious Road, Andheri (E), Mumbai 400099, India.
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October 25, 2023

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sirs,

Sub: Transcript of Earning Calls
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning Call held on Friday October 20, 2023 for the second quarter and half year ended September 30, 2023 is available on website of the Company at:
https://www.glenmarklifesciences.com/pdf/Transcript_Q2FY24_final.pdf

The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you

Yours faithfully,
For Glenmark Life Sciences Limited

Rudalf Corriea
Company Secretary & Compliance Officer

"Glenmark Life Sciences Limited Q2 FY24 Earnings
Conference Call"

October 20, 2023

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER

MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER
MS. SOUMI RAO – GENERAL MANAGER (CORPORATE COMMUNICATIONS)

Moderator: Ladies and gentlemen, good day and welcome to the Glenmark Life Sciences Q2 FY24 Earnings Conference Call .
As a reminder, all participants' lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch -tone phon e. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao – General Manager (Corporate Communications). Over to you, ma'am.
Soumi Rao: Good evening everyone. I welcome you all to the Earnings Conference Call of Glenmark Life Sciences Limited for the quarter ended September 30, 2023. From Glenmark Life Sciences, we have with us Dr. Yasir Rawjee – our MD & CEO and Mr. Tushar Mistry – our CFO.
The Board has approved the results for the quarter ended September 30, 20 23. We have released the same to the stock exchanges and updated it on our website. Please note that the recording of the transcript of this call will be available on the website of the company.
Now, I would like to draw your attention to the fact that som e of the information shared as part of this call, especially information with respect to our plans and strategies, may contain certain forward -looking statements that involve risks and uncertainties. These statements are based on current expectations, fore casts, and assumptions that are subject to risks which could cause actual results to differ materially from these statements depending upon our economic conditions, government policies, and other incidental factors. Such statements should not be regarded b y recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward -looking statement, whether as a result of new information, future events, or otherwise. Our actual results may differ materially from t hose expressed in or implied by these forward -looking statements.
With that, I invite Dr. Yasir Rawjee to say a few words. Over to you, doctor.
Dr. Yasir Rawjee: Good evening and welcome everyone to our Q2 Earnings Call .
Before I get into the discussion of GLS' performance, let's just take a couple of minutes to discuss the economy and industry trends that are likely to have a direct or indirect impact on the business :
The economic landscape remains a little uncertain, with the Chinese economy slowing down, which does have an impact on the chemicals industry, plus the inflation across the globe continues to challenge economic stability in various parts of the world. The geopolitical situation also could have some impact on oil prices, and so that could have some impact on our business. But we've seen the worst. Overall, if you look at the economic and geopolitical landscape, there are a few moving parts that can impact our business. But largely, things should be okay for our industry.

Coming to the industry i tself:
The demand landscape is very promising at present. Demand has been strong for us across various regions, with the US experiencing a surge in demand on the back of a stabilized pricing environment. Europe and LATAM also continue to showcase a sustained momentum along with our India DMF business. The supply dynamics also show encouraging signs marked by enhanced stability in supply chain and oversupply from China on chemicals, resulting in better commodity and intermediate prices. It reflects a resilient and positive environment for our industry. That said, we need to stay vigilant and adaptable to potential ramifications of the ongoing geopolitical and economic turbulence in the coming quarters.
As far as GLS' performance goes, we are pleased to share that we achieved sales of Rs. 595 crores dur

ing the second quarter, continuing the growth trajectory with close to 17% growth.
Growth has been driven by a 20% growth in our generic API business which to some extent was offset by a temporary dip in t he CDMO revenue. The generic API business was driven by both the Glenmark Pharma business which grew close to 50% YoY as well as consistent upward momentum in the external business. It is crucial to highlight that the dip in the CDMO business in Q2 was tem porary, and we expect demand to pick up in the second half of the current financial year. If you look at our regional distribution, except for slight de -growth in Japan and ROW, all markets have performed exceedingly well. On the product pipeline, we have added 3 new

products to our pipeline, with one high -potent API and 2 complex APIs.
Coming to the high -potent API pipeline, we now have 12 products with a total addressable market of $21 billion at the front end, and 3 products have been validated so far.
Before I conclude, it is important to address the Glenmark Pharma's recent decision to divest its majority stake in Glenmark Life Sciences. Glenmark Pharma will be divesting 75% stake in Glenmark Life Sciences to Nirma Limited. This transaction, we believe, is the beginning of a new chapter for GLS, as Nirma Limited becomes the principal promoter of the company. We believe this strategic move is poised to accelerate growth and will help create more value for our stakeholders in the long term.
I would like to highlight that we will continue to operate as an independent API company, and our core mission remains even with the change in ownership. Strategy -wise, nothing changes on the business front for the short term, but I would surely like to mention that ther e will be focus on additional growth levers going forward. Therefore, I see this event as an opportunity to further strengthen our position in the API industry and continue the strong growth trajectory with healthy margins. The transaction, of course, is s ubject to necessary regulatory approvals. More insights will have to wait for strategic direction to be finalized with the new promoter once the transaction is completed. I urge for your patience till such time. However, I would like to highlight that it i s vital to underscore that the core strategy of GLS will remain intact, with any new strategy developed being only incremental to our core approach. Looking ahead, we have good visibility for the second half on the generics API side as well as CDMO, which gives us

the confidence of delivering strong growth in the latter half of the financial year as well. This will translate into a strong FY24 for us, provided the external environment remains conducive.
With that, I now invite our CFO – Tushar Mistry, to di scuss the “Financial Performance” for the quarter.
Tushar Mistry: Hello and good evening everyone. Welcome to our Q2 FY24 Earnings Call .
I would like to briefly touch upon the key performance highlights for the quarter and half -year ended 30th September 20 23, and then we will open the floor for questions and answers.
We had good growth this quarter with revenue from operations at Rs. 595 crores, a growth of 16.9% year on year and 2.9% on sequential basis. As Dr. Yasir mentioned, the growth was driven by str ong uptick in the generic API business. The gross profit for the quarter was at Rs. 322 crores at 19.7% year -on-year growth. Gross margin for the quarter was at 54.1% which expanded 120 basis points year on year. Sequentially, gross margin looks low, but p lease understand, Q1 was a quarter where all guns fired well for us. EBITDA for the quarter was at Rs. 172 crores, up 12.3% year on year. EBITDA margin for the quarter was at 29% , driven by better gross margin and higher employee expenses.
Gross margin was driven by product mix whereas higher employee expenses was drive

n by
regular increment cycles and certain talent management cost which is expected to continue at similar levels in the near term. However, it is important to note that we continue to have on e of the lowest employee cost to revenue ratios in the industry. Depreciation & amortization is in line with CAPEX spends done last year. And the PAT for the quarter stood at Rs. 118 crores, a growth of 10.6% year on year, with PAT margins coming at 19.9%.
Let me quickly discuss half yearly numbers :
Revenue from operations for the first half was at Rs. 1,174 crores, a growth of 17.5% year on year. Gross profit for H1 FY24 was at Rs. 653 crores, up 23.1% year on year. Gross profit margin for H1 FY24 expanded by 250 basis points year on year to 55.6%. EBITDA was at Rs. 367 crores, up 18.6%, with EBITDA margins remaining steady at 31.3%. PAT for H1 was at Rs. 255 crores, up 17.7%.
Moving on to the segmental performance for Q2 FY24 :
Generic API revenues grew by almost 20% to Rs. 543 crores driven by strong growth in GPL business, coupled with sustained growth in external business. CDMO business revenue was subdued at Rs. 25.3 crores driven by low demand for one of the products. Howeve r, as Dr. Yasir mentioned, this was temporary, and we have good demand visibility for the second half of FY24.
Looking at the therapeutic mix :

CVS and CNS continue to lead the growth during the quarter with both therapies contributing 60% to the top line. R&D expenditure for the quarter was at Rs. 37 crores which was 3.1% of our sales.
Touching upon the balance sheet and cash flow movement :

Starting with working capital:
Working capital remained stable during H1 FY24 at 170 days, and all the working capital components remained stable for the first half.
Coming to capital expenditure :
CAPEX for H1 was at Rs. 63 crores. I would also like to share an important update on Solapur CAPEX. The engineering work has started for construction of phase 1 of 200 KL in Sol apur.
We continue to remain a net debt free company, and I am happy to inform you that we have generated strong cash flow from operations of Rs. 216 crores in the first half, with cash & cash equivalents of Rs. 443 crores on the books as of 30th September 2 023.
To conclude :
A strong demand scenario coupled with better visibility for H2 FY24 makes us confident of delivering strong growth in FY24. With that, let us open the floor for Q&A.
Moderator: We will now begin the question & answer session. Ladies and g entlemen, we will wait for a moment while the question queue assembles.
We have the first question from the line of Nitesh Dutt from Burman Capital. Please go ahead.
Nitesh Dutt: I have a question on our parent business. Can you give us some color on how t hat business will evolve? If there are any long -term contracts or whether the business will taper down in future; any perspective on that.
Dr. Yasir Rawjee: Parent business will continue. Of course, we have been operating at an arm's length. So, in that sense, nothing changes. But it's a significant business. There is an agreement that this business will continue for a period of 5 years. Just like Glenmark Pharma is an important customer for us, Glenmark Life Sciences is also an important supplier to Glenma rk Pharma. We supply more than 65 APIs to Glenmark Pharma. So, we expect that this business will be robust and will continue. Of course, we had guided in the past that with the sort of divergent strategies of Glenmark Pharma and Glenmark Life Sciences, we expect the overall contribution to our business from Glenmark Pharma to come down over a period of time. But we will continue to be an important supplier to them.

Nitesh Dutt: Sir, can you share some details around this 5 -year agreement? Is it sort of a gu arantee

d off -take
kind of agreement or any kind of growth embedded in that?
Dr. Yasir Rawjee: Like I said, our business with Glenmark Pharma has been an arm's length business. We, of course, need to be competitive. And so far we have been competitive and have retained a significant business. Also, you need to realize that most of the business that we are doing with Glenmark Pharma, over 95% of the business is a regulated market business. With the number of approvals that we have over multiple markets, this is a fairly sticky business and would continue.
Moderator: The next question comes from the line of Charul Agrawal from Bank of America. Please go ahead.
Charul Agrawal: Could you help us understand how the CDMO business will move from here? You have ment ioned that new projects have been picked up from 2H. Could you share updates on those?
Dr. Yasir Rawjee: CDMO has been a little bit lumpy. In the past, you have seen this as well. The good news for us on CDMO is that the current projects are on track. On a ccount of slowed demand on one of the commercial projects, we saw a dip in this quarter. But overall, this business will continue. The other thing on the CDMO business is we have had a lot of traction from new customers on new projects where our API is bei ng currently qualified. So, the outlook on the CDMO business for us is going to be pretty strong going forward. In about a year's time, we should see at least another 2 to 3 projects added to the basket.
Charul Agrawal: Sir, could you also help us understa nd if among the new capacity that is planned – the brownfield capacity – is there some capacity that will be devoted toward CDMO, and if so, how much would it be for CDMO?
Dr. Yasir Rawjee: As far as capacity goes, it's an overall capacity build. If you re call, in Ankleshwar, we had taken up this one large block of 400 KL of which 192 KL came online in Q4 of last year. And by this Q4, we will have another 208 KL built out. That's going to be significant. This will be both for the generic as well as the CDMO business. So, we don't have dedicated capacities for CDMO. So far, none of our CDMO customers have asked for dedicated capacity. It's only one current commercial project that has a dedicated capacity. And that is by virtue of the technology that is in use for that project. So, overall, for our CDMO projects, we don't have dedicated capacity.
Charul Agrawal: A last question from me. Tushar, if you could help us understand what would be the CAPEX guidance and when would the OpEx come for the Ankleshwar plant ? Has it already come in or it is supposed to come from next quarter?
Tushar Mistry: Charul, we have been guiding to Rs. 150 to Rs. 200 crores of CAPEX in the current year. It will be more towards the Rs. 200 crores of CAPEX in the current year is how we are looking at CAPEX for the current year.

Charul Agrawal: And regarding the CAPEX , is it already there for the Ankleshwar plant or will it come over from the next quarter?
Tushar Mistry: We have expansions happening in Ankleshwar, also in Dahej and also a bit of Solapur that I explained in my opening remarks. So, we are starting on Solapur as well now. Some part of that is dedicated towards that as well.
Moderator: The next question is from the line of Sumit Gupta from Motilal Oswal. Please go ahead.
Sumit Gupta: I have 2 questions. First is regarding the employee expenses. There has been a nearly 300 bps jump in the employee expenses as a percentage of sales. Why is this so and what is the trend do you see going forward? And the second ques tion is on the line of the EBITDA margin. In Q2, there has been a trend that Q2 in general is moderate with respect to other quarters. Why is that so?
Tushar Mistry: Actually, the answer for both is the employee cost itself. Your question on employee cost, as I again mentioned in

my opening remarks, there are certain talent management costs. There are certain expenses that we have incurred on bonuses to some employees, which has an impact in the current quarter as well as will continue to have some impact i n the near term, and that's what we are seeing for the current year; the impact will remain. And that also answers your EBITDA margin question where the margin has come to 29% compared to around 31% in the past.
Sumit Gupta: This trend would continue in FY 24 and FY25 – this 28% to 29% EBITDA margin?
Tushar Mistry: This is for the current year that I am saying. We will see for the next year; we will guide as we come closer to that time.
Moderator: The next question is from the line of Bala Murali Krishna fro m Oman Investment Advisors. Please go ahead.
Bala Murali Krishna: Regarding CDMO business, one project is getting delayed because of some regulatory approvals since the last few quarters. Could you please update on what is the status of that project?
Dr. Y asir Rawjee: From GLS' perspective, API has been supplied. And the customer has taken validation batches already at their end. But they are looking to enter 50+ markets here. So, from a regulatory perspective, they are aligning all their regulatory filings and as a result of which there have been delays. But it is on track. It is going well. We do expect it to come hopefully by the end of this year. But like I said earlier to Charul's question is that we are actively pursuing other CDMO projects which are m oving much faster and in about a year's time, we should see another 2 to 3 projects added to our pipeline. Currently, our entire CDMO business is driven by 3 commercial projects. Another two or three will make a significant impact on our CDMO revenue.

Bala Murali Krishna: Regarding the margins in the upcoming 4 -5 years when we are supposed to supply to GPL, is there any possibility to get some impact on the margins or we can maintain that same 30% kind of margins for, maybe about 2 -3-4 years down the line?
Dr. Yasir Rawjee: The GPL business is an arm's length business. We continue to remain competitive in that business. And the margin profile overall is a function of our mix. And considering that we have got a fairly large number of launch molecules coming up plus CDMO business growing relatively, we expect that the margin profile will at least stay in the same region.
Bala Murali Krishna: Regarding the upcoming 200 KL build capacity addition in H2, can we see some incremental revenues from this or it's like in -house commercials that will be catered to in -house only?
Dr. Yasir Rawjee: No, we have planned part of it for backward integration and part of it for intermediates. The demand is high for both segments – the BI as well as the intermedi ates. So, we expect that it will have a fairly quick uptake on utilization, the new capacity that will come online by Q4.
Moderator: The next question is from the line of S. Mukherji from Nomura. Please go ahead.
S. Mukherji: Sir, I wanted to understand th e agreement to get the Glenmark. Do you have an agreement for 5 years for off -take? Are there any other clauses like non -compete clause that Glenmark produced some of APIs for its in -house consumption and also on pricing? What kind of protection do we have?
Tushar Mistry: The non -compete is there for both Glenmark Pharma as well as for Nirma as well. Glenmark Pharma will have to restrict from doing the APIs that Glenmark Life Sciences is doing. And so will Nirma have to avoid doing any formulations that Gle nmark Pharma is doing using Glenmark Life Sciences APIs.
S. Mukherji: For, let's say, future pipeline projects of Glenmark, Glenmark can develop its own APIs for its internal use. Is it restricted to the basket that Glenmark Life Sciences is currently cate ring to or even for, let's say, future prod

ucts over the next 5 years? Is there a restriction there as well?
Tushar Mistry: The pipeline products can be done by Glenmark Life Sciences or by Glenmark Pharma depending upon how the arrangement goes but there is no restriction there.
Dr. Yasir Rawjee: I'd just like to clarify, on the pipeline, Glenmark Pharma has already qualified quite a few GLS APIs. That will come under the agreement, but anything new that they want to develop, that they can go ahead and dev elop. I had explained in one of my earlier calls that there is a divergence in the portfolio approach of GLS and GPL. If we are not going to develop certain APIs for our own reasons driven by our business, they are free to go ahead and develop those APIs b ecause it doesn't anyway fit in our bucket.
S. Mukherji: Sir, secondly, have you shared any EBITDA margin guidance for this year and for FY25?

Tushar Mistry: We stick to our guidance that we have been giving in the past from a long -term perspective that both on the revenue as well as on EBITDA. Revenues will be within the mid -teens range and the EBITDA margins will be around 30% kind of range over a long term period.
S. Mukherji: And this you think you will have 30% even this year FY24?
Tushar Mistry: This year, as I mentioned, there are certain employee -related expenses also coming in which will have some temporary impact, but other than that, we will remain within that range.
S. Mukherji: So, this quarter's EBITDA margin is representative of what we should expect for the full FY24. Will that be the right assumption?
Tushar Mistry: You can assume that, I would say.
S. Mukherji: Sir, finally, a more strategic question. From a strategic perspective, under the Nirma group, what all you think you can do which po ssibly you couldn't have pursued within the Glenmark framework? If you can elaborate that. Is it that the CDMO piece coming out of a generic company or anything like that if you can elaborate? Strategically how things change for Life Sciences now?
Dr. Yasi r Rawjee: From a strategic perspective, we will stay on track with respect to the strategy. However, once the regulatory approvals come through and the transaction is closed, then we would explore various options because you realize that the API space is e xtremely wide and there are a large number of opportunities that, for historical reasons, we have not pursued. So, very likely that once the regulatory approvals come through and the transaction is concluded, we would be sitting and working out the strateg y with the new promoters. And things will become better clarified once that happens. I would request that you give us some time before we come through on that. It's very difficult to speculate at this point in terms of what we will be doing. But I can say that we expect to do more for sure.
S. Mukherji: Sir, when you say more, is it more on the CDMO side – developing a relationship with innovators? Anything on that color you can give or at this point, is anything that Nirma brings to the table which can help?
Dr. Yasir Rawjee: That's what. CDMO and API are parts of our current strategy anyway. Like I explained earlier, we have been getting significant traction on CDMO even now. And given the fact that it's a more sticky business, that's something you woul d definitely continue. What I am referring to is things that in the past that we did not do. These are the things that we would explore with the new promoters to see if we can expand in different directions. Like I said, too early to sort of put something on the table because we'd really like this to be a joint kind of have a clear understanding between us and the new promoter. Give us some time and we will certainly come back. The key thing is that we first need to go through the regulatory approvals.
Mode rator: The next question is from the line of Saad Sha

ikh from BOB Capital Markets. Please go ahead.

Saad Shaikh: My question was with regards to the PLI benefit we have recorded in the past for a few quarters. Since we are being disassociated with the pare nt and they have the PLI mandate, how this benefit will be going forward? Could you comment on that?
Tushar Mistry: You are saying the PLI benefit going forward?
Saad Shaikh: Yes, after Nirma takeover.
Tushar Mistry: The current understanding is that the PLI benefit will continue till the time we are a part of the GPL group. Beyond that timeline, we are still exploring what possibilities will be there and how it will pan out. We don't have the clarity yet on that, but nevertheless, even if it had to be the re, it's a 100 to 150 basis points of impact which we are sure we would be able to cover otherwise.
Saad Shaikh: On working capital, are there any plans to improve from there onwards?
Tushar Mistry: I think the effort to keep on improving on that continues . But as doctor explained, the geopolitical scenario currently is so volatile that we don't want to be very thin on the working capital. We rather would invest some part in it and sit on some of the inventories rather than do too much of

correction there a nd we are being cautious there. We have not increased the working capital from the levels that we saw in March. We have remained at that level. But we don't expect it to go significantly high from here or anything that can significantly change from here.
Moderator: The next question is from the line of Charul Agrawal from Bank of America. Please go ahead.
Charul Agrawal: I wanted to clarify regarding the EBITDA margin guidance for FY24.
Tushar Mistry: I just gave that to Saion that the long -term margin rema ins at what we have been guiding in the past of EBITDA margin in the range of around 30%, and that will remain. In the near term, you will see some dip happening in the current year because of the employee expenses that we saw, but otherwise, from an overa ll long -term perspective, it should remain in the range that we have been guiding.
Charul Agrawal: Sir, but even for the current year, given that we are expecting CDMO to pick up over the next quarter and employee costs were already elevated this quarter, do we not expect margins to recover from this level?
Tushar Mistry: Again, it's a matter of product mix and CDMO playing out. CDMO is something that we are expecting. We'll see how that plays out. We are not saying that it may or may not have an impact on the margin, but it is all a matter of timing and CDMO is not something that we are absolutely certain that this will happen at this point of time. There's a lot of regulatory involvement there. So, it has to play out as per the timelines.

Charul Agrawal: You had called out that you were in advanced discussions with two other customers and for those you had supplied validation batches and expected it to commercialize in 2H. Is it still very uncertain or what is the outlook on those?
Dr. Yasir Rawjee: No, Cha rul, it's not uncertain. The reason we were able to so categorically put it on the table now is because we have already supplied validation quantities. That's why I said in a year from now, we would expect another 2 to 3 projects to come in. Let's realize that once we supply validation quantities, there's an approval cycle like Tushar was explaining. And so when it impacts our numbers is something we would not be able to say for certain. Whether it hits us or whether it benefits us in Q4 or whether it goes to Q2 of next year is something that needs to be seen. That's where we can't be absolutely certain that these two new projects that are likely to happen soon will kick in this year or by the next year. That's the point.
Moderator: The next questi

on is from the line of Naman Bhansali from Perpetuity Ventures LLP. Please go ahead.
Naman Bhansali: I just have one question with Glenmark coming on the board, how do you see the management board change or it would be the total same board or how would the roles cha nge if any?
Tushar Mistry: The management will continue, Naman. There is no change in the management that we see. Obviously, the representation of Glenmark Pharma on the board of Glenmark Life Sciences will go down and there will be representations from Ni rma coming on board of Glenmark Life Sciences. That is what we see as a change that is happening. As far as the senior leadership team and the other members of the Glenmark Life Sciences will continue as they are operating today. There is no change in that .
Naman Bhansali: And second question would be on the synergies. As we know, Nirma is the best in their business going on. Do you see any other further synergies into our business? And secondly, at one point, you mentioned that you would be open to explor ing other CDMO opportunities which you haven't done previously. Are there any such opportunities which could be opening up with the promoter change?
Tushar Mistry: Naman, from a long -term growth strategy perspective, you will have to really wait for us to, in fact, with the new promoters and get the strategies in line with them. As of now, our strategy that we have been talking about in the past remains. Whatever will come will come on top of that. It will only be accretive to our current strategy, but we w ould really urge that we'll have to wait till the time all the regulatory approvals and all are done and we are able to then interact with the new promoters to give some strategic way forward on this.
Naman Bhansali: Lastly, just to point out the oncology and iron complex business which we are getting into, when do you see the major pickup coming in in this particular segment of our business?
Dr. Yasir Rawjee: Onco has picked up really well. Like we explained last time, we have 9 molecules already in Onco i n the pipeline. Three have been validated already. And we continue to see a good amount

of traction in all of them. Of course, they are at various stages in development. Some have sort of immediate off -take in terms of validation. Others, because they are newer APIs, are currently being seeded with customers. So, they are in various stages of the development lifecycle. But the good thing is that I think we made the right play at the right time with Onco, and with our Onco facility also coming up in time, we are able to validate the new APIs in time to be able to supply to customers. Commercial will take its time, but some of them will happen pretty soon.

Naman Bhansali: One last if I can squeeze in related to employee benefit expenses. We are seeing Rs. 67 c rores number this quarter. Historically, in Q2, generally we have seen it is a higher number, but over the next second half of the year, it generally tapers down a little bit from that base.

Tushar Mistry: You will see a bit higher than what it has been in the normal times in the past. So, you should expect some higher costs for the current year.

Naman Bhansali: And you mentioned in your opening comments that there are some talent acquisitions going on due to which employee benefits have….

Tushar Mistry: No, I mentioned not talent acquisition, talent management I mentioned. It is more to do with from a management perspective, not from an acquisition. No further acquisitions that we are looking at from a talent perspective.

Moderator: The next question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: In the CDMO segment, if we can commercialize the upcoming 2 -3 projects which you are talking about in the upcoming year, what could be the peak revenu

e potential we can expect in the FY25 from the CDMO sector?

Dr. Yasir Rawjee: Currently, we do about Rs. 150 crores with 3 projects – the 2 projects that I mentioned plus the one that has been taking some time. If we add another 3 projects, we would expect revenues of a similar nature.

Moderator: Ladies and gentlemen, we will take that as our last question for today. On behalf of Glenmark Life Sciences, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

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January 31 , 2024

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sirs,

Sub: Transcript of Earning Calls
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcrip t of Earning Call held on Wednesday , January 24, 2024 for the third quarter and Nine months ended December 31, 2023 is available on website of the Company at:
https://www.glenmarklifesciences.com/pdf/GlenmarkLife -Earnings -24Jan -2024.pdf

The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you
Yours faithfully,
For Glenmark Life Sciences Limited
Rudalf Corriea
Company Secretary & Compliance Officer
Encl: As above

“Glenmark Life Sciences Limited Q3 FY24 Earnings
Conference Call ”

January 24 , 202 4

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ANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR & CEO ,
GLENMARK LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CFO , GLENMARK LIFE
SCIENCES LIMITED

MS. SOUMI RAO – CORPORATE COMMUNICATIONS &
CSR, GLENMARK LIFE SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Glenmark Life Sciences Limited.
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing ' *' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao from Glenmark Life Sciences Limited. Thank you and over to you, ma'am.
Soumi Rao: Good morning, everyone. I welcome you all to the Earnings Call of Glenmark Life Sciences Limited for the quarter ended December 31
st, 2023 .
From Glenmark Life Sciences , today we have with us Dr. Yasir Rawjee – our MD and CEO and Mr. Tushar Mistry – our CFO.
Our board has approved the Results for the Quarter Ended December 31st, 2023. We have released the same to the stock exchanges and updated it on our website. Please note that the recording and transcript of this call will be available on the website of the Company .
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially the information with respect to our plans and strategies may contain certain forward -looking statements that involve risks and uncertainties. These statements are based on the current expectations, f orecasts and assumptions that are subject to risks which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other incidental factors. Such statements should not be regarded by recipients as substitute of their own judgment. The Company undertakes no obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. Our actual results may differ materially from tho se expressed in or implied by these forward-looking statements.
With that, I invite Dr. Yasir Rawjee to say a few words. Thank you and over to you, Dr. Rawjee.
Dr. Yasir Rawjee: Soumi, thanks. Good morning , welcome to our Earnings Call.
Wish you all a H appy new year. As we get into the new year , just a quick overview in terms of what's happening in the industry overall. So, things have picked up certainly, the US has improved. Inflation also seems to be cooling down which is a big positive. With respect to geopolitical issues, of course, these conflicts are not helping the situation, but it's manageable, I would say. There is an improvement from China in terms of the supply situation and things have definitely eased. The domestic economy is also doing well, so we see a robust demand overall. This business with the Red S ea may have some impact mainly on freight, b ut it also results in

longer supply chains, so it would have some kind of inventory impact. We may have to stock up a little more, but let's see how that pans out.
As far as our performance goes , we've had a decent performance. We've had just under 6% growth on the top line. This is driven by an external business of just under 10% growth and then GPL has been flattish this quarter . From a regional persp ective, we've had solid growth in India, US, Latin America and R oW markets, whereas the Europe business has been flattish. Japan has reported a deep growth because of some inventory at the customers that they built up in the last few quarters on account of launches.
As we guided in the previous quarter, CDMO had a significant upturn in Q3. We've signed a new contract for a supply of API . This is a multi- year agreement and the minimum of f-take commitment is about $5 million . We expect that this contract wil l commer

cialize sometime next
year and it could also lead to significant expansion with this customer . Also, with respect to other clients, we've got other irons in the fire with respect to CDMO and those are also progressing very nice ly.
Now, before getting into the pipeline :
It's important that we emphasize that even though we've had a single digit growth, the bottom line growth has been much better because of our focus on niche products , cost management and optimum utilization of our resources. So, while top line has been a little soft, the bottom line continues very strongly . Now in terms of product pipeline , we continue to file in various markets.

So, our DMF and C EP filings have crossed 500 as of December 31st, again driven largely by cardiovascular and CNS therapies. During the quarter, we added four new products to the pipeline with one high potency API and three Synthetic smog. So, coming to high potency API, we now have 13 products with an addressable market of 24 billion and three products have been validated and four products are in advanced stages.

Now, before I conclude, I'd like to share an update on the Nirma acquisition :

We've received an approval from the Competition Commission of India and waiting for some more approvals for completion of the open offer and so on. Now, once these steps are finalized and the deal is complete, w e will proactively communicate to you providing clear insights into our future strategy. Till then, I request your patience on this subject .

As highlighted in the prev ious call, the core strategy of GLS will remain unchanged. Any new strategy developed will only be incremental to our core approach. In closing, I am optimistic of delivering stable growth in FY24 driven by a pretty solid order book in the external busines s including CDMO business. However, we expect some slowdown in the GPL business which might lead to slightly lower growth than initially projected for the year.

With that, I'll hand it over to Tushar, our CFO. Tushar, over to you.

Tushar Mistry : Thank you, Dr. Yasir . Hello and good morning, everyone. Welcome to our Q3 FY24 Earnings Call.

I would like to briefly touch upon the “ Key Performance Highlights ” for the Quarter and Nine Months ended 31st December 2023 and then we'll open the floor for que stions -and-answers.

Our revenue from operations for the quarter stood at Rs. 573 crores, a growth of 5.9% year-on-year, a degrowth of 3.8% on sequential basis. This was driven by a steady 9.8% growth in external business which was offset by a flattish GPL business.

The gross profit for the quarter was at 331 crores, up 19.8% year -on-year. Gross margin for the quarter was at 57.7% mainly on account of better product mix and lower input costs. EBITDA for the quarter was at 174 crores up 14.6% year -on-year. E BITDA margin for the quarter was at 30.4%, driven by better. g ross margins.

As mentioned in Q2 FY24 Earnings Call, employee cost remained elevated due to the bonus approval based on the past performance of the management . The employee costs will remain higher for Q4 as well and then shall return to normalcy. The PAT for the quarter stood at Rs. 119 crores, a growth of 13.1% year -on-year with PAT margins coming at 20.7%.

Let me quickly discuss nine months ’ numbers as well :

Revenue from operations for nine months FY24 was at 1 ,747 crores , a growth of 13.4% year-on-year . Gross profit for nine months was at 983 crores up 22% year on year. Gross margin for 9 months expanded by 390 basis points to 56.3%. EBITDA was at 542 crores up 72.3% with margins at 31 %. PAT for nine months was at 373 crores up 16.3% year-on-year.

Moving on to the segmental performance for Q3 FY24:

Generic API revenues grew by 6.4% year -on-year to Rs. 511 crores driven by strong growth in external business .

CDMO business recovered strongly wit h re

venue of Rs. 36 crores, a growth of 40.4% quarter -
on-quarter and 27.2% year-on-year. I would also like to highlight that the new C DMO agreement which Dr. Yasir alluded to in his opening remarks improve s our revenue visibility for the CDM O business in t he coming year.

Looking at the therapeutic mix, CVS and CNS portfolio continues to lead the growth with diabetes portfolio seeing good traction during the quarter. R&D expenditure for the quarter was at Rs. 18.4 crores, which was 3.2% of our sales .

Touching upon the balance sheet and cash flow movements :

Starting with working capital:

Working capital remains stable during nine months at 170 days. CAPEX for 9 months was at Rs. 93 crores and we expect to close FY24 with a CAPEX of around Rs. 150 crores to Rs. 160 crores .

We continue to remain a net debt -free Company . For nine months FY24, we generated free cash flow of Rs. 221 crores with cash and cash equivalents of Rs. 236 crores on the books as of 31st December 2023.

To conclude :

As Dr. Yasir mentioned, our order book remains strong but Q4 is something that we are looking at as how it will get to. And with that, I would like to conclude my remarks and we can open the

floor for Q &A.
Moderator: Thank you very much, sir. We will now begin the que stion -and-answer session. The first question is from the line of Tarang Agra wal, from Old Bridge Asset Management. Please go ahead .
Tarang Agrawal: I had three questions. One, if you could comment on the Volume growth for the business for this quarter? The second question is, on the employe e cost, the run rate at which we are running at currently, would it be prudent to presume this to be the new base as we move to FY25 or some part of it is really one time and in that sense the real base will be lower . That ’s second . And third, the sense that I go t from your commentary for Q4 is that probably things are now going to play out as per expectation. So, if you could elaborate a bit on that. Thanks
Dr. Yasir Rawjee: Tarang, Tushar will take the employee cost piece, right. So, with respect to volume growt h, volume growth has been pretty steady across markets , so no challenge there. With respect to Q4, we have a pretty strong order book on the external side and like I said GPL may come a little softer, Q4 last year was a very strong quarter . We fired on all cylinders in Q4 last year . Given that, that situation doesn't look like it will pan out again this Q4. So, yes, we do expect some softness, but we still have another two months to go, and the order book is shaping up very nicely.
Tushar Mistry: Employee cost if you see it is around 12% of revenue. Historically, we were always at around 8.5% to 9% kind of range. This is only current scenario. For this three quarters that I had mentioned in the last quarter as well in Q2. So, this higher employee cost will remain for Q2 , Q3 and Q4 . We should return back to our normal levels at around 9% from Q1 onwards is our expectation at this stage.
Tarang Agrawal: Just to follow up, in terms of volumes typically you've grown at anywhere between 15 % to 20%. Would that be a similar range for this quarter as well?
Dr. Yasir Rawjee: Yes, it's a mix of price and volum e, Tarang.

Tushar Mistry: You can consider it around 4% as the price erosion that we have seen generally , between 3 .5% to 4%, the balance will be all volume.
Moderator: Thank you. The next question is from the line of Charu l Agrawal from Bank of America. Please go ahead.
Charul Agrawal: My first question is with regards to the GPL business. Like the commentary has been that this quarter has been muted and we expect the next quarter also to be slightly good. Is there any particular reason to this and is it only a one or two quarter phenome

na or could it extend for longer?
Dr. Yasir Rawjee: So, Charu l, GPL has been a bit cyclical. We've seen that and it's largely driven by the US and European business . And while we did see a good uptick in their US business demand in the last couple of quarters , this quarter has dipped a little bit; however , if you look at the nine months GPL is still tracking at a little over 13% growth . So, it's not bad. but they're a pretty strong Company across markets, right? So, we don't see that this is going to be any kind of weakness going forward.
Charul Agrawal: So, that does not imply anything with regards to sales to GLS going down, right ? This is just a temporary phenomenon.
Dr. Yasir Rawjee: That varies. Like I said, it's a bit cyclical. It moves up and down, but then w e supply to them for largely the regulated markets.
Charul Agrawal: Sir, my second question is with regards to the gross margin expansion that you have seen. So, would it be possible to break it down into drivers in terms of what proportion of it could be improvement in input costs, what proportion could be mixed?
Dr. Yasir Rawjee: So, if you go from let's say 52% to 57% , that delta has been driven partly by improved input prices. And we also announced this new CDMO business for which we made validation supplies. And so it's a mix where CD MO played a bigger role and that this CDMO business also has better margins. So, these are the two main reasons , the input costs as well as the mixed improvement.
Charul Agrawal: Got it. Even the Q -o-Q gross margin improvement would have these factors only right CDM O has been slightly higher ?
Dr. Yasir Rawjee: Yes.
Charul Agrawal: Got it. Also you mentioned regarding the Red Sea disruption, s o what could be the possible implications of the Red Sea disruption? W ould it only be freight cost or could that impact volumes as well and how long do you see it at present?
Dr. Yasir Rawjee: See, right now, out of three ships that used to come to N hava Sheva port from China , only one ship is coming to Nhava Sheva. 2 are going directly. So, they don't com e. They don't basically

reroute. These are ships coming from the far east. So, while freight is expected to go up, right, the other impact could be that we might have to stock up an extra 15 days of inventory. It hasn't reached that point, but if we have t o, we will. Just to cover , make sure that we have worked up well for supplies . It's not happened yet, Charul, but r ight we are watchful , it could happen.
Charul Agrawal: And sir, this would not impact your supplies to your customers , like you were saying t hat you might need to stock up for imports. But what about your exports to customers?
Dr. Yasir Rawjee: That's air. For us , to customers it's largely air freight. So, sea freight doesn't impact us. Sea freight impact s us on raw materials .
Moderator: Thank you. The next question is from the line of Ahmed Madha from Unif i Capital. Please go ahead.
Ahmed Madha : I just want to understand the employee cost part a little better. So, there is roughly 40 odd percent increase in the cost. So, just what is the nature of that? Can you elaborate a little more on that?
Tushar Mistry: Ahme d, I had explained it in the Q2 call. These are certain bonus approvals based on the past performance which have been given by the board which are getting a ccrued over these three quarters and that is what has taken this cost up. And as I also explained in my earlier comments that the employee cost is coming around 12%, it should come back to around 9%. 8.5% to 9% from Q1 onwards.
Ahmed Madha: And in the gross margin, is there any impact of PL I incentives this quarter?
Tushar Mistry: PLI again has an impact of about 1% to 1.5% on overall margins
Ahmed Madha: Just on the Glenmark Pharma's business, I think last y ear we

did about I think roughly Rs. 690 odd crores . This year nine months have been good but you're saying that you see it to be weak, but overall say in the next 2 -3 years perspective, s hould we at least maintain this 650 to 704 run rate? How should we look from the medium to long term perspective about this business?
Dr. Yasir Rawjee: I just answered Charul, right , that basically GPL business is a little cyclical, but nothing alarming. It's a very strong business that they have in the regulated markets and that continues and we would continue to service that business.
Ahmed Madha: So, we will retain our wallet share with them. That is what I want to understand , is this the correct understanding that we will retain the wallet share?
Dr. Yasir Rawjee: Yes, very much.
Ahmed Madha: And just question on Q4. S o, basically should we sort of at least maintain the annual run rate similar to last year for GPL business?

Dr. Yasir Rawjee: I can't comment on that.
Tushar Mistry: Last year GPL was very high, at about Rs. 230 crores. We don't expect it to be that high i n Q4.
Ahmed Madha: Yes, but just on the full year basis ?
Tushar Mistry: Full year basis, yes , we should be able to reach that level.
Ahmed Madha: Just on the last freight cost part, so I'm just trying to reconfirm that there won't be any sort of P&L impact, but just the amount of inventories which we might need to buy , correct?
Tushar Mistry: Doctor mentioned that the impact for inventory will be about 10 days to 15 days, if at all we have to stock it up. We are currently at about 104 days of working capital which may go by another 10 days, but we will see how that pans out.
Moderator: Thank you. The next question is from the line of Tushar Manu dhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Firstly on the asset turn , Sir, for last two years - three years , now it is down to 2.9 which we used to have at 3.3. So, any comment on that?
Tushar Mistry: So, Tushar if you see the years prior to last two years, the spent -on CAPEX was very limited. Last two years we have seen good amount of CAPEX that we have done almost Rs. 130 crores was in FY22, FY23 it was about 160 , we are already near Rs. 100 crores in the current year. And as we had also mentioned that this new assets that come up, they don't immediately get into this 3x kind of revenue generation, initially it will be lower. We had also mentioned in the past that you know we expect this asset turns to somewhere come down near between 2.5 to 3 gradually because our CAP EX plans are strong going forward and that is what we are expecting.
Tushar Manudhane: And secondly on this ex -GPL business , has been stable at about 390 crores average for last now six quarter s. So, any comment in terms of growth on this segment of the business?
Dr. Yasir Rawjee: No growth has been good. W e have been growing the external businesses very steadily , low teens and that's driven by all our markets. The reason this is around 10% this quarter is because like we explained Japan has degrown a nd Europe is flat. But the US, LATAM, India and R oW have been firing away because we have been introducing new products and the US CDMO business is very strong. So, the thing is that, overall, the fundamentals for our external business firstly have got many l evers . Markets, products and CDMO now coming in much better. So, with all these levers sometimes you don't fire on everything, right. But we have been, there's no

challenge there.
Tushar Manudhane: And because it's exports on a constant currency terms , what would be the growth ?

Dr. Yasir Rawjee: The currency hasn't moved much in the last year, right? I mean, we are not getting any currency benefit.
Tushar Mistry: In the

current year, we are not getting . Last year there were certain currency benefits. But th is year it is more like a constant currency, closer to the constant.
Tushar Manudhane: And just lastly, this raw material, lower raw material benefit, any comment in terms of how long will we have this benefit continu ing?
Dr. Yasir Rawjee: It should continue because we have diversified our source s. And that has resulted in the benefit and that's something that we would continue. So, we expect it to play out , of course, like I said, certain geopolitical challenges could impact oil prices and so on and that will hit solvents . And so there is a bit of challenge there, but overall I think on the buying raw material side we should be okay . No great challenge there.
Tushar Manudhane: So, let's say if this Red Sea disruption, if I leave aside for time being for the sake of discussion, this impact, so then 56% -57% gross margin is very much sustainable, right?
Dr. Yasir Rawjee: See again , I explained to Charul, right , that basically the margin improvement if you take from roughly 52 where we normally are 52, 53 to 57.7, h as been largely driven by some improvement on raw materials and then CDM O, the new CDM O business where we made validation supplies. So, these things are contributing . So, we may not hit 57% next quarter , that we won't, but it will be in the rang e.
Moderator: Thank you. The next question is from the line of Harshal Patil from Mira e Asset Capital Markets. Please go ahead.
Harshal Patil : Just have one question on the CDMO business. W e have just recently signed a contract and as per your earlier comments, you got the minimum of ftake value as US $5 million . Sir, any specific timelines as to when would this commen ce? That's question one and question two would be , sir if you could speak a bit on the project pipeline for the CDMO business. Beca use I guess we were expecting some two or three projects which were there in the pipeline to be going on stream over the next 1 to 2 years ?
Dr. Yasir Rawjee: Yes, Harshal . So, basically this project should come online next year. We just made a pretty large validation supply for filing a nd this would be filed in multiple markets. So, as soon as we start getting approvals , markets will start supplying. So, it should come next year for sure. As far as the pipeline goes we have one more project which is very ad vanced. We hope to sign either in late Q4 or then in Q1, it's going very nicely. And there's one that we have already initiated validat ion and filings are on, but those are like 53 or 57 markets that they are going to file in and that we expect to also com e next year . So, that would be two more that would come. There are further discussions also on CDMO on other projects, so those discussions are going very nicely. And let's see how that pans out. But to answer your question, it's two more in the pipeline t hat we have very clear visibility on.

Harshal Patil : And the two ones which are there in the pipeline would definitely have better revenue potential than the ones we already are supplying to , if I have to just get some qualitative input on that.
Dr. Yasir Rawjee: Typically they are ranging between $5 million and $10 million. Typically, right? I mean our projects are not that big. But they are decent size.
Moderator: Thank you. The next question is from the line of Ashwini Agarwal from Demeter Advisors LLP. Please go ahead.
Ashwini Agarwal: Just continuing from the last participant on CDMO, if you were to think about it over the next 3 to 5 years , do you think that this piece of the business could be 30% -35% of revenues or do you think generics and CD MO woul d grow at pretty much the same pace in the medium term?
Dr. Yasir Rawjee: The thing is that see we have a pretty strong generic pipeline and the market sp

read of the products has only been improving over time. That would continue. So, since generics is als o going to grow reasonably well, right, and it's a pretty big chunk to begin with. In the next three years to five years, at the rate at which we are doing things, we expect CDMO to quadruple. So, around from 150 Cr we are likely to get to 600. But even 60 0 would not get to 30% -35% simply because the other piece is also growing well . So, if we get to 600, it would still be around 15% of our overall, 15 or even less. So, let's see. W hatever visibility we have now and the strike rate at which we are going on CDMO, w e should definitely improve the percentage from the 7% -8% that we are at now. But very unlikely we'll go to 30% unless something really earth shattering

happens which cannot be ruled out. But I'm just going from whatever we are driving as of now
with the current level of investment.
Ashwini Agarwal: And one more follow -up on the CDMO contract that you just signed for which has an expected revenue line of $5 million at the minimum in fiscal 25 . Just if you could share some color on are you the sole supplier? Is this a technology transfer where the innovator transferred what they knew to you or you helped develop them? How sticky is this relationship? Would you continue to be the sole supplier in the foreseeable future if you could provide some color around that ?
Dr. Yasir Rawjee : So, while we didn't do a tech transfer and that's why the regulatory timeline goes to next year , we did do a fair amount of customization to get the business . The thing is obviously in our kind of CDMO wh at is important is we match the current supplier of the innovator which in many cases is the innovator itself and they are going to stop t heir own manufacturing and move to us because they get a very large cost advantage. So, I don't see any reason why the y would continue their old supply . So, yes , we would be the sole supplier once the regulatory approvals are in place.
Ashwini Agarwal: And the other CDM O pipeline that you have is of similar nature where you develop on the cost , you bring down the cost and that advantage therefore allows you to foster a longer term relationship with the customer.

Dr. Yasir Rawjee: Yes, of the two that I said , one is a heavily customized API. That is already in filings , in the filing stage. The other we are in the process of doing some further sort of tweaking to get it to where the customer is now in terms of their current source .
Ashwini Agarwal: And the last question from my side. In the past you often said that raw material benefits whenever they accrue need to be passed on. But this time around, some of it has flowed through to gross margins. Is this temporary or do you think this is sustainable, the margin gain that you had on the raw material side?
Dr. Yasir Rawjee : Ashwini, this raw material, we'll ha ve to see, depends on the pressure of the business . But if we are under pressure, we'll have to pass on. So, we won't do it as a default . But yes, if we have to gain a bigger market share or help our customers sustain their market share at the front end , we may pass it on . But since this improvement has been pretty broad based, across many product s, we are not going to pass on everything.
Moderator: Thank you. The next question is from the line of H arsh from Bandhan AMC . Please go ahead.
Harsh: Yes, so just in terms of this incremental capacity for fourth quarter, the 200,000 liters and the 50,000 liters for Ankleshwar and Dahej , do we feel that a majority of the cost according to the commercialization is already in place or do you feel that incrementally you would see a lot more cost coming forward once this gets commercialized in both the capacities?
Dr. Yasir Rawjee: You are talking about CAPEX or you are talking about ope

rational cost?
Harsh: OPEX .
Dr. Yasir Rawjee: OPEX is not likely to increase greatly. When we go with the incremental capacity, we are going for bigger batches at the product level. So, in that sense, on a per kilo basis, the OPEX actually improves. But since the volumes are going up significantly, right, OPEX will scale up accord ing to the volumes, but then with the improved batch sizes, the per kilo level , it will actually come down. So, it will be a sort of midway, it won't go up linearly with the increased capacity. Does that help answer your question?
Harsh: Yes, okay. Lastly, in terms of Japan, you have already highlighted the inventory situation. Anything in particular for the Europe market? Is there a lot more price erosion than you anticipated and which is why we are refraining from selling into the European market or is there something else that is happening?
Dr. Yasir Rawjee: Unlike other markets that have done well, our new product introduction into Europe has been a little slow. This is largely because of regulatory slowdown. Our custome rs are not getting approvals fast enough in Europe. And so while we have a bunch of new products to introduce, right , we've not been able to do that in Europe as well as we've been able to do it in India, LATAM and the US, so that challenge is there. So, hopefully once newer approvals come

through, Europe should also pick up well. To confirm , price erosion in Europe is a little higher, right, so that challenge is there.
Harsh: So, the regulatory situation is temporary as such, but otherwise we expect that s hould also pick up going forward.
Dr. Yasir Rawjee: Yes, once we get our new products approved in Europe, we should see Europe also picking up pretty well. It shouldn't be a problem.

Moderator: Thank you. The next question is from the line of VP Rajesh from B anyan Capital, please go ahead.

VP Rajesh: Most of my questions have been answered, but just one clarification. Dr. Rawjee, when you spoke about the CDMO business growing 4X, what was the timeframe you were thinking that growth will come about?

Dr. Y asir Rawjee: 3 to 4 years.

VP Rajesh: Okay, 3 to 4 years .

Moderator: Thank you. The next question is from the line of Aejas from Unifi Capital, please go ahead.

Aejas: Dr. Rawjee, I want to take you back to probably the initial few conversations you had post IPO where you were very articulate in explaining us that how you had migrated customers in the US to address the pricing pressure challenges by moving and introducing second generation molecules and phasing out the first generation molecules, ther eby addressing the price erosion.

And you had given the example of sartans at that point of time, I remember. So, Dr. Ra wjee, in this journey, where have we reached? And it also is referenced to the point of Europe, because you mentioned a bit about pricin g pressure. So, is it that those European customers are still in that journey? And could you speak a little bit more about this?

Dr. Yasir Rawjee: Yes, it's a very good question. See, the thing is this whole business of second, third gen processes, right, is something that we have to continue to do because on the generic side, most markets have, you know, our customers face a lot of pricing pressure at the front end. So, that is something that we continue to do and with the regulatory filings happening in a timely manner, that is something that has panned out. Because see, if you look at our price erosion, right, overall in the business, it's about 5% to 6%. So, in order to continue to deliver on margins the way we've been, this is something that we have been doing and the customers have been very supportive, and we continue to keep our customers competitive. That's the name of the game really. And then of course you come back with, you sort of add the launch products to th

at and the launch products obviously give you better margins. But then the same thing applies even to the new launches where we've got to be ready with the next gen process t o be able to keep the customers in the game, if they've already sort of entered with a good market share. So, it's an ongoing process, I mean to continue to drive the margins and to keep our customers competitive.

Aejas: Got it. And Dr. Rawjee, how many such competitors use or follow this approach because we've not heard a lot of companies call out this kind of process of trying to upgrade molecules and help customers and you had extensively spoken about all those filings where you help them a lot. So, who is your key competitor you face who's also following this kind of an approach and where there is competitive pressures or challenges?

Dr. Yasir Rawjee: So, see, we have about 100 commercial APIs now as we speak, right? And there's no single competitor that we have in all 100 of these APIs. But in any given API, we would have one or two competitors, right, in India or China that we'd have to take them seriously. The good news for us is that because we are in the regulated market space, the whole regulatory approval process is a pretty involved process where we've got to convince the regulators that the next gen process is as good as the earlier process and that takes some doing. So, not only from a chemistry perspective, b ut also from overall specifications, methods, controls on genotoxic impurities, all this plays a big role. And so that really thins out the competition for us because the regulators have become much more stringent with respect to genotoxic impurities. You must have heard about Nitrosamines if you've been following this space. But many of our competitors fall out because they are not able to successfully addr ess this whole business of Nitrosamines and we have been lucky or clever or whatever you want to say but we've been sort of addressing this upfront rather than it hits our customer and then the regulator comes back with a big query. So, net-net, the second , third gen process involves a lot of work not only on the chemistry side but on the regulatory side as well. And that's why we've been able to successfully migrate our customers to the next gen processes with not much competition. The competition is there . Like I said, we take them seriously and that's the way things are working here at GLS.

Aejas: Thank you, doctor. That was very helpful. And doctor, one last thing, since the time you've been listed, the CDMO business has been broadly in a ban d. You spoke about the breakout towards the Rs. 600 crores over the next 4 years. I just wanted to understand that is it that these 2 years were seeding stages, which where we were trying to establish our excellence of products with customers and that's why y ou believe the scale up or are there any other signif icant road triggers or drivers?

Dr. Yasir Rawjee: So, Aejas you are spot on okay, I mean CDMO does have a long gestation period and we've got a long pipeline right, more than 10-12 projects that are in discussions but by the time they bear fruit right, I mentioned about two that are coming online pretty quickly right. But there are others that are also going to follow, right. So, we expect that we'll have a good number of projects in

the next 2 to 3 years and that's why we are very confident that we'll get to the Rs. 600 crore s
very comfortably.
Moderator: Thank you. The next question is from the line of Naman Kumar Bhansali from Perpetuity
Ventures LLP. Please go ahead.

Naman Kumar Bhansali: Good morning, sir. Just one question on the USFDA inspection that they are going to present.
So, what are the facilities due for the USFDA inspection and the newer ones which ar

e coming
in?
Dr. Yasir Rawjee: Yes. So, all three facilities that are USFDA inspected are due for inspection going by the three-
year cycle. We expect them anytime at any of our facilities. And so, it should happen anytime.
We are frankly hopeful that it happens soon so that we kind of over the hump there, right? But
all three, they are due.
Moderator: Thank you. The next question is from the line of Tushar Bohra from MK Ventures . Please go
ahead.
Tushar Bohra: Sir, first thing quickly on the CDMO strategy, historically , as you just explained also on the call,
we've been focused more on lifecycle management products , right? Is there any thought though
to also pursue pure CDMO opportunities working closely with innovators and new molecules?
Any efforts or steps in that direction?
Dr. Yasir Rawjee : So, Tushar, I explained this again at the time of the IPO when we had very, very long discussions
on CDMO, but basically firstly the gestation on the kind of project that you're talking about is
very long . Because if you get into phase one and stuff , clinical trials for most drugs, new drugs,
take anywhere from like two years to three years and then there is the approval by FDA which
takes higher because there's a lot of clinical data that they review. So, it could be like 12 months
to 15 months. Plus, what happens is that new products have a huge amount of attrition. Products
that are in phase one, the chances of them becomi ng commercial are like 1 in 30 or 40 molecules.
So, if you don't hit one of those, after doing all that work you still don't have a commercial
project. So, this challenge has been there for this kind of work. Whereas on the life cycle side
and the specialt y side, it's much faster , comparatively gestation is much sooner. In about a year
and a half to two years, you can have a project going versus these early stage projects. It takes much longer. The attrition is
much higher, basically. So, we stayed away. Th e other thing for us,
is both our R&D infrastructure and our manufacturing platform are common. So, we don't have
to make any special investment for these kinds of projects. I did mention to, I think it was to Ashwini, that we do a lot of
tweaking in terms of customizing the API for the innovator. And
here is where again it's our R&D work, our current R&D setup is good enough to do. So, we
don't make very significant investments also with this approach.
Tushar Bohra: So, here, sir, in this specifically, are we developing products and then reaching out to innovators?
Or are we looking at the areas that we want to target, reach out to the companies first and then
take up projects on demand? How do we target new CDMO initiatives?
Dr. Yasir Rawjee: Yes, so we ha ve about 140 APIs in our portfolio . And a good portion of them even after
genericisazation , the innovator still has 20% to 30% global market share. And so the approach
is that, we sort of work with the innovator on those products and give them a nice cost advantage
and move the project along.

Tushar Bohra: Alright sir, just a clarification . You mentioned specialty as well along with pharma. Are we
actually targeting any specialty in chemicals or areas beyond pharma in our CDMO initiatives?
Is there something in thought ?
Dr. Yasir Rawjee: So, Tushar, in our current pipeline of three commercial products, or now I should say f our, two
are of this kind, specialty .
Tushar Bohra: The one last thing on the overall size of the business, you mentioned CDMO over the next four
years will go 150 to maybe 600. Overall business will maybe slightly more than double . But
since your CDMO business is at much higher margin, the overall gross margin profile should
move up or at least remain the same, CDMO should compensate for maybe loss of margin on
the generic side. So, it's good to assume that it s

hould be at or above the current margi n profile
as the CDMO penetration improves.
Dr. Yasir Rawjee: Over the long term we can expect that , Tushar.
Moderator: The next question is from the line of Tarang Ag rawal from Old Bridge Asset Management.
Please go ahead.

Tarang Agrawal: Thank you for giving me time again. So, mine is a more generic question. I just wanted to get some insights from you on how the API landscape is today versus where it was say a year and a half back both from an industry standpoint and from GLS 's stand point, as you see it today.
Dr. Yasir Rawjee: See, the demand environment is growing at 6%. API stands at about 220 billion overall market. And that is a pretty nicely growing market. For GLS, because our concentration is on the chronic areas, again we are very much in sync with how this is growing. So, there's a lot of stuff happening now. Anti-cancer was one area where we were not there, but we are rapidly catching up on anti -cancer. But apart from that, CVS, CNS, diabetes, and pain are good areas. They are all chronic. So, we continue to drive our portfolio in that direction.
Tarang Agrawal: And just from nuts-and-bolts perspective, how do you see the pri cing environment in context of where it was a year, year, and a half back? Clearly, your intermediate or raw mat erial prices have come off meaningfully, but how do you see the pricing environment for your end products overall? Has it become more aggressive or you're seeing some element of stability?
Dr. Yasir Ra wjee: No, Tarang, it will always be aggressive. It's a tough business, but it's a good business. T hat's the way I look at it. GLS, we've always recognized that. Pricing environment will always be there. Customers will always put pressure on prices, and we have to respond to that, okay? We can't run away from that. So, as far as we are well positioned from a technology perspective and a cost management perspective, we are good . The world is not going to be kind to us, okay , let me put it that way, right? We' ve got to be smart at it and continue.
Moderator: Thank you. The next question is from the line of Charul Agr awal from Bank of America. Please go ahead.

Charul Agrawal: Sir I wanted to understand more about your complex API products, firstly on the Dahej oncology block that had been commissioned a couple of quarters back. So, what is the kind of traction that we are seeing for the oncology supplies? And next on the complex API findings, could you help us understand more on the timeline perspective? Like when can we see them, see some of those getting commercialized?
Dr. Yasir Rawjee: Okay, so as far as the pipeline for both oncology as well as the complex, we continue to fill the pipeline. Okay. With respect to Onco we've already validated three products and four are like actively being , we'll be taking them into validation pretty soon. And the customer interest is also pretty good. So, that's going well. On the iron complexes, one has been in regulatory review. The customer's file is in regulatory review. An d that has also triggered a review of our file. And we should file soon , on one product soon. And another two are , we're following up with another two in development. So, it's going well, complex is going well. And some other , not only iron complexes, but we have other complex molecules on the antifungal side also that have had very good traction more recently. And that is also picking up well. So, I mean, overall I would say that this is an area that both these areas are something that we are aggressively pushing and we've got good uptake from customers as well.
Charul Agrawal: Got it. Sir, on the Dahej Oncology block, so currently the capacity is being used for filing validations or is there any commercial supply at all from that block?
Dr. Yasir Rawjee: No, see O nco, the volu

mes are very small and in order to sort of optimize the cost on the manufacturing side, we do make a little more in the validation so that we can supply even small commercial quantities as it comes up. So, right now we are not in full-fledged commercial manufacturing, but then that onco block is not a very big burden also from the cost perspective.
Moderator: Ladies and gentlemen, due to paucity of time, that was the last question. Thank you , members of the management. On behal f of Glenmark Life Sciences Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

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May 03 , 2024

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS

Dear Sirs,

Sub: Transcript of Earning Calls
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcrip t of Earning Call held on Thursday , April 25, 2024 for the fourth quarter and year ended March 31, 2024 is available on website of the Company at:
https://www.glenmarklifesciences.com/pdf/Glen markLife -Earnings -Transcript.pdf

The said transcript is also at tached.
Request you to kindly take the same on record.

Thanking you
Yours faithfully,
For Glenmark Life Sciences Limited
Rudalf Corriea
Company Secretary & Compliance Officer
Encl: As above

“Glenmark Life Sciences Limited
Q4 FY '24 Earnings Conference Call ”
April 25, 2024

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GLENMARK LIFE
SCIENCES LIMITED
MR. SHYAM AGARWAL – DEPUTY GENERAL
MANAGER, FINANCE – GLENMARK LIFE SCIENCES
LIMITED
MS. SOUMI RAO – GENERAL MANAGER , CORPORATE
COMMUNIC ATIONS – GLENMARK LIFE SCIENCES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Glenmark Life Sciences Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then 0 on your touch- tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Ms. Soumi Rao, General Manager, Corporate Communications and CSR. Thank you, and over to you, ma'am.

Soumi Rao: Thank you, N eerav. Good evening, everyone. I welcome you all to the earnings call of Glenmark Life Sciences Limited for the quarter ended March 31, 2024. From Glenmark Life Sciences, today, we have with us Dr. Yasir Rawjee, our Managing Director and CEO. Our board has approved the results for the quarter ended March 31, 2024. We have released the same to the stock exchanges and updated it on our website. Please note that the recording an d the transcript of this call will be available on the website of the company.

Now I'd like to draw your attention to the fact that some of the information shared as part of this call, specially information with respect to our plans and strategies may con tain certain forward - looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks which could actually cause results to differ materially from these statements depending upon the economic conditions, government policie s and other incidental factors.

Such statements should not be regarded by recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise. Our actual results may differ materially from those expressed in or implied by these forward -looking statements.

With that, I invite Dr. Yasir Rawjee to say a few word s. Thank you, and over to you, Dr. Rawjee.

Yasir Rawjee: Thank you, Soumi. Good evening to everyone, and welcome to our Q4 and FY '24 earnings call. Financial year '24 marked a significant milestone for the company's history in many ways. I'm pleased to an nounce the completion of our deal with Nirma Limited, who we warmly welcome as our new promoter.

Today is our first earnings call following the closure of this transaction. So we've had broad discussions with Nirma on the way forward. And while our current direction on business would continue, w e are working on various new initiatives to drive our growth further given the increased growth capital available with us. Further, the business with Gl enmark Pharma has also been secured by entering into a master supply agreement for a period of 5 years, beginning 1st of April 2024.

So before I go into the details of how we've performed, let me share a brief overview of the economy and industry trends that had an impact on business across. The economy continues to display remarkable resilience, maintaining steady growth holding and a decline in inflation. However, challenges remain, including the worsening geopolitical situation and supply chain

disruptions on account of Red Sea. Within our industry, the demand has remained somewhat subdued overall in FY '24. But the situation is improving, particularly in the regulated markets.

On the other hand, the continued Red Sea crisis has significantly disrupted global supply chain, affecting the ROW and LatAm markets. The rerouting of shipping vessels not only has delayed shipments, but also inflated costs. This disruption extended to air freight where higher demand and limited capacity caused bottlenecks, subsequently delaying some of our shipments. Despite these dela ys, we continue to see a strong order book for the quarters to come but remain cautious about potential ongoing impact.

Additionally, our base of Q4 was high due to very high demand from GPL last year, which impacted overall growth for Q4. On a full year basis, we have clocked 5.6% growth. I would like to assure you that our demand outlook and order book remains very strong. Coming to our regional performance year -on-year. Our regulated market business was predominantly driven by Europe and LatAm, while Japan continues to experience inventory de stocking . And our GPL business degrew quite significantly. That said, we are optimistic about recovery in the Japanese market starting H2 FY '25.

Our CDMO segment has grown steadily. And as guided earlier, we expect the commercialization of our fourth product in the second half of FY '25. Overall, FY '24 was a breakthrough year for the company despite geopolitical disruptions. Our gross margins cont inue to remain strong. And after a onetime bonus adjustment, our employee cost remains one of the most competitive in the industry. As indicated earlier, it will normalize from the upcoming quarter.

In terms of our pipeline, we have been aggressively fili ng across the globe to match our growth

aspirations. The total DMF and CEP filings have crossed 520 as of 31st March, with cardiovascular and CNS therapies seeing the highest filings to the tune of 244 in total. During the quarter, we added 6 new products to our pipeline with 4 high potency APIs and 2 synthetic
small molecules.
Coming to high-potency API pipeline, we now have 17 APIs with the total addressable market of $37 billion at the front end. We have already validated 3 products, while 4 products ar e in advanced stages of develop ment. Additional capacities at Ankleshwar and the Dahej will be operational from Q1 of FY '25.
So in closing, we remain optimistic of the growth prospects for FY '25. We are committed to delivering high -quality innovative so lutions to our customers and enhanced value to our
shareholders.
With this, I now turn the floor to Mr. Shyam Agarwal, who is taking the place of Mr. Tushar Mistry, our CFO, who is not able to be here today due to some personal reasons. So Shyam, I hand over to you.
Shyam Agarwal : Thank you, Dr. Yasir. Hello, and good evening, everyone. I once again welcome you all to our Q4 and FY '24 earnings call. Following Dr. Yasir 's commentary, let me briefly take you through the key performance highlights for the quarter and full year ended 31st March 2024, post which, we will open the floor for questions.

Our revenue from operations for FY '24 stood at INR 2,283 crores, a growth of 5.6%. For Q4 FY '24, our revenues were at INR 537 crores. The revenue for the quarter was impacted due to the ongoing geopolitical issues resulting in delayed flight availability for dispatches and also aligning to some extent with Nirma policies. The gross profit for FY '24 was at INR 1,281 crores, a growth of 11.7%, whereas the gross margi n were up 300 basis points and stood at 56.1% in FY '24 versus 53.1% in FY '23. Gross margins for the quarter were at 55.5%, which expanded 60 basis points year -on-year.
The shift in the product mix and a slight decrease benefit from the PLI scheme impacted our gross margins this quarter. Looking ahead, we anticipate an annual reduction in margins of 100 to 150 basis points due to the discontinuation of PLI schemes benefits. EBITDA for FY '24 stood at INR686 crores, up 2.2% year -on-year, with EBITDA margins remaining steady at 30.1%. I would like to highlight that the adjusted EBITDA for FY '24 was at INR 727 crores after considering the onetime bonus and transaction cost of INR 37.5 crores and INR 3.2 crores, respectively, which would have brought to us an EBI

TDA margin of 31.8%. EBITDA for the
quarter was at INR 145 crores with EBITDA margin at 26.9%.
As highlighted in our last earnings calls, employee costs have gone higher due to onetime bonus linked to management's past performance. We anticip ate this cost will return to normal levels starting from Q1 FY '25. PAT for FY '24 stood at INR 471 crores with PAT margin of 20.6%. PAT for the quarter stood at INR 98 crores, with PAT margin coming at 18.3%. Overall, FY '24 has seen steady growth despite t he backdrop of uncertainties.
Moving on to the segmental performance for FY '24. Generic API clocked the revenue of INR2,042 crores, a growth of 7% year -on-year. Generic API revenues were at INR 485 crores for Q4 FY '24 and was impacted owing to the Red Se a crises and muted GPL business. The regions like Europe and LatAm contributed positively to the segment year -on-year. CDMO revenues grew by 2% year -on-year at INR 143 crores for FY '24 and have continued to show stable demand.
Within our therapeutic mix, the CVS and CNS portfolios continued drive growth. R&D expenditure of FY '24 was at INR 75.3 crores, 3.3% of sales and INR 20.2 crores for the quarter,
which was 3.8% of our quarterly sales. Let me quickly touch upon the balance sheet and the cash flow movem ent starting with working capital. Working capital for FY '24 was at 170 days, slightly on the higher side on account of high inventories we maintained due to current geopolitical issues.
Our capex for FY '24 was INR 129 crores. We continue to remain a net debt free company. For FY '24, we generated free cash flow of INR 285 crores with cash and cash equivalents of INR 301 crores as of 31st March '24. Overall, a promising demand environment with our strong order book, coupled with fresh capacity puts us in a formidable position for growth in the coming quarters.
With that, let us open the floor for Q&A. Thank you.

Mode rator : Thank you very much. The first question is from the line of Tarang from Old Bridge Capital.
Please go ahead.
Tarang: Just 3 questions from my side. You had guided in your Q3 earnings about a soft GPL business
in Q4, but the volatility or the fall that we saw was quite steep. So just wanted to get a sense in terms of going forward, how should we see it? And are these quarterly -- can we expect these
quarterly aberrations even from here on?
Yasir Rawjee: So Tarang, the thing is GPL business has been a bit cyclical because of their demand at the front
end. My understanding in terms of why this has been soft or quite significantly soft, right ? It
was on account of some inventory destocking that they were engaged in. We expect them to
come back in the year. But quarter -on-quarter, we do expect some fair amount of variation, let's
say, on a yearly basis, I think it's going to be fairly stable.
Tarang: Okay. And sir, generally, from your advantage, what kind of visibility do you have on the business? Do you have a, say, 6 months, 2 quarter visibility? How does it really work?
Yasir Rawjee: No. Typically, we should have about 1 to 2 quarters of vis ibility on their business, right.
Tarang: Okay. Got it. And second, I mean, the CDMO business, I believe you spoke about the fourth molecule, which could probably commercialize in Q2 of FY '25 , was it Q2 or Q4?
Yasir Rawjee: It depends on regulatory approval. I mean if it comes through soon, then we should expect something in Q2, but it could probably get into H2.
Tarang: Okay. But I mean, you're roughly at about INR 140 crores in FY '24. I understand the long-term
plans are strong. But more from a near -term perspective, how should we look at '25/'26 for this
business?
Yasir Rawjee: Yes. So we should expect the fourth project to kick in sometime in H2. And even the fifth project, right, should kick in by Q4 is our expectation. So there should certainly be so me ju

mp, which
we should see towards the end of this year.
Tarang: Okay. And Iron Sucrose pipeline, I think 3 molecules were in active development. One was filed. Is that status quo? Or has there been any change there?
Yasir Rawjee: That's status quo, one molecule has already been filed, that is being reviewed by regulators. And
then we've got 3 molecules in the pipeline. Two are in advanced development. One has been recently taken in.
Mode rator : The next question is from the line of Subhankar Ojha from SKS Capital & Research.
Subhankar Ojha: Can you please elaborate on the master agreement that you have signed with GPL? I mean, what is the structure, et cetera, like -- and I mean, basically, more color on the same?
Yasir Rawjee: Sure. So I mean, it' s a 5-year agreement, right? And basically, existing supplies would continue
and new products that have been filed with our APIs, okay? And these, of course, would happen

at competitive prices. Therefore, protecting the interest of both the parties by ensu ring that there
is a predictability on supplies as well as on earnings.
Subhankar Ojha: Okay. Great. And what was your GPL revenue in the overall revenue for '24?
Yasir Rawjee: So it was about 30%. INR 717 crores.
Subhankar Ojha: And you expect this to be s table going forward?
Yasir Rawjee: Yes. We expect it to grow in the high single digits.
Subhankar Ojha: High single digit. Okay. All right. All right. And also -- sorry, okay. So one more actually. So
also with respect to the capex , we have done a major capex for the Dahej and Ankleshwar, which
is we're going to start operation '25 quarter 1. Is that what you said?
Yasir Rawjee: Yes.
Subhankar Ojha: What is our capex budget for FY '25?
Yasir Rawjee: So '25, it would be around INR 340 crores. Because we are s tarting Sholapur in a big way now.
We expect to spend about INR 140 crores for the greenfield site in Sholapur this year. And the
remaining would be for completing many of the brownfield projects that we have undertaken in
Ankleshwar and Dahej. And then of course, there is regular maintenance capex and R&D and
quality and so on.
Mod erator : Next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Dr. Yasir, you mentioned quite a bit about how the Red Sea crisis impacted our ROW LAT AM
supplies in the quarter. And it seems like you also remained cautious on this scenario going
forward. Could you give some color on what could have been the likely impact because of this deferment or delayed supplies in the quarter? And are we seeing som e easing in the situation or
some work around this to ensure there are no further delays. Anything that you can give us color
on?
Yasir Rawjee: Sure. So what we did not anticipate in last quarter when the problem had just started, right, in
the last quarter commentary, right? Is that we didn't expect that the air routes would fill up a lot
and there'd be a higher demand on the air routes? And that is exactly what has hit us. So there's a pretty -- there's a backlog,

ri ght, because of the higher demand on the air routes , right, of around
10 to 12 days, and as a result of that, we did -- we had a problem, right, with completing our
entire sales for some of the destinations, and that has hit us.
Now in terms of expect that until this crisis ends and the sea routes are back, airfreight availability will continue to be a challenge. Plus there would a workaround, obviously, we'll have to try and sort of anticipate getting earlier bookings and so on and try to mitigate. But I also
expect some impact on the air freight costs going forward. So let's see how it pans out. The other
impact is also on the raw material supply because that we get by sea. And 1 out of 3 vessels is
actually hitting the Western seaports in India. So we ar e trying to do a workaround there by

trying to see if we can get better availability on the Eastern like the Visakhapatnam and Chennai
to try and see if we can do something there.
And then, of course, we'll have to add a bit of road transport there to get our materials in time
because if we don't do that, then there could be some impact also holding a little bit extra inventory going forward.
Neha Manpuria: Sir, is there a risk to the usually mid -teen guidance, revenue guidance that we have talked about
because of this -- the crisis ongoing? Does that mean that shipments will be unless this is sorted
out, and we have very little visibility on that at the moment, we could see lower supplies and therefore, lower revenue?
Yasir Rawjee: Neha, see, demand is pretty stable, okay, across markets, except the Japan thing that I had
mentioned earlier, right? So demand is there. Now it's our job to ensure that given the situation,
how do we sort of adjust, okay? I am hopeful that we'll be able to figure out both the supply side
as well as the sales side, the shipments happen in time so that we are able to recognize the sales.
Mod erator : The next question is from the line of Ahmed from Unifi Capital.
Ahmed: So we have a question on the external business. So 2 questions here. First, can you -- in the 5%
degrowth which we had this quarter, what is the breakup of volume and the price? How are the
volumes down? And how much is the price decline Y -o-Y? Number two, can you give a little
more sense on the geography -wise revenue for the external business? How is the each geography
done this quarter?
Yasir Rawjee: So Ahmed, the dip in the external business, right, like we said, was largely on account of this
Red Sea business plus some alignment with Nirma accounting policies, okay? With respect to
volume versus price, See, typically, on a year basis, we do see an erosion of around 4%, 4.5%
on the bucket, right? And so there is something to maintain growth, we do have a volume growth of around 10%, 11%. So I mean that's where I would put that.
Okay. Coming to geography mix. On the quarter, like we said, Europe and LatAm have performed well. The other regions have been relatively flat. Japan has not done well, okay? But
on the year basis, every region except Japan has hit really well. I mean India did very well, right?
The U.S. also did well for the year. Okay. Europe, LatAm has also done well. And ROW has
grown but not -- but in single digit , right? And the only degrowth that we have seen is on the
Japan side.
Ahmed: Okay. Second question was on the -- last year actually, we had a very strong business, both from
the GPL as well as the external business. And looking at the circumstances in the next couple of
quarters, do you see some more weakness in the business for next 2 quarters ?
Yasir Rawjee: No. We have a pretty good order book on the external side. And we expect GPL also to kick
back in, right? So we expect the first half of this year to be -- to have a pretty good growth.
Mod erator : The next question is from the line of Ashwi ni Agarwal: from Demeter Advisors.

Ashwini Agarwal: And congratulations on completing the transaction. In your opening remarks, you said that you're
working on various new initiatives discussing various growth initiatives with Nirma and with
more growth ca pital agreement -- with more growth capital available to you. Could you talk a
little bit more about that, what areas this might be? And when do you start to see the capex plans
getting outlined and visibility more on this front?
Yasir Rawjee: So, Ashwini, basically, like I said, right, the existing prescription that we have adopted for
ourselves for growth would continue unimpeded unhindered. That is a pretty solid plan. We will
continue that. With respect to what we can do further. I mean,

certainly, we w ill be pushing
harder on the CDMO side, okay, with respect to opening up more channels, okay, with respect
to the business side.
And as far as the technology side, there are a few technologies that would open up other portfolio

opportunities for us. Highe r-value portfolio opportunities and those are technologies that we will
start investing this year itself, okay, which should sort of start panning out at the commercial
level in 2 to 3 years' time. So, we have lined up a couple of them already, and we woul d be
building those out in R&D. And there would be a few more levers that we would add on the
technology side.
So on the business side, it would be a sort of a more extended CDMO play with technologies
coming in to assist both the API growth as well as th e CDMO.
Ashwini Agarwal: Okay. And just coming to the near term, which is the next 1 or 2 years, you alluded to 2 factors
that hindered Q4. One was, of course, the Red Sea and the air freight capacity issue and the second was alignment with Nirma policies. Could you spell out what the latter means, the
alignment to Nirma policies? And how much of revenue got deferred or could not be recognized because of that?
Yasir Rawjee: Yes. So in total, it was around INR 45 crores, okay? We'd have to come back to you on the split.
But yes. I mean, as far as -- I mean there's got to be a consolidation now with Nirma, right? So
we had to make some small adjustments there, right, in order to align.
Ashwini Agarwal: Okay. And what would be the outlook for fiscal '25? I mean, should -- you mentioned 10% to
11% volume growth with 4% to 4.5% price erosion, but then there are these new CDMO
molecules coming in. So I'm wondering what I'm -- is it mid -teens, early teens or single-digit
revenue growth? And on EBITDA, the initial com ments suggested 100 to 150 basis point hit on
account of PLI. So net of that, how would you like us to think about profit margins opportunity?
Yasir Rawjee: Yes. So on top line, we will -- we are holding low to mid-teens growth, Ashwini, right? Like I
said, right, GPL would give us high single digit, right? And then our external business is looking
robust. So that would continue. Japan would bounce back also, right? And so -- and as far as
EBITDA goes, right, yes, there would be an impact of PLI, right? And so we can probably hold
around 28% to 30% range for the EBITDA.
Mode rator : Next question is from the line of Nitesh Dutt from Burman Capital Management.

Nitesh Dutt: Sure. So my question is around the PLI that you just answered, Dr. Yasir . When will the impact
start on our P&L?
Yasir Rawjee: Right away. Because we disengaged with Glenmark as of March 6, 2024. So from -- I mean, we
will not be accruing any PLI income from first quarter itself.
Nitesh Dutt: Understood. Second question is regarding our capac ity expansion in FY '25, right? So we will
be adding another 800 KL. I just want to understand this breakup between internal consumption
in intermediates and for final API, this 800 KL additional capacity. And also what is our current
capacity utilization level -- blended level, if you can give the number?
Yasir Rawjee: Nitesh, I don't know where you're getting 800 from, but 208 will get added in plant 18 in Ankleshwar, right? And then we are adding around 35 KL in the pharma area 4 of plant 6 in
Dahej. So that will be around 250 -ish KL, right? If you're referring to Sholapur first phase, that
will not be operational in FY '25. That will be operational in FY '26 and that also towards the
latter end, okay? S o I just want to sort of align there, right? What wa s the second part that you
asked, related to capacity?
Nitesh Dutt: We're talking about utilization, utilization level.
Yasir Rawjee: Yes. So the thing is that we expect utilization to start off on the new capacity at around 60%,
65%,

okay? And then -- yes, I mean, in FY '25, and then it would jump, right, in FY '26.
Nitesh Dutt: Right. Sir, finally, from Nirma perspective, I just wanted to understand their strategy regarding
the business. if anything has become clearer regarding how they want to take this forward, right?
Considering they have other pharma businesses also. So any potential change in business model, etcetera? You mentioned about additional growth capital. But other than that, anything from
Nirma side if you're able to share at the moment?
Yasir Rawjee: My understanding is Nirma's other pharma businesses would continue to run independently of
us, right? They are largely India-based businesses is what I understand, right? So the overlap
with us is hardly there, right? O ur strategies would be dri ven purely by CDMO and API, okay?
And even the technologies that I mentioned, right, would be driven by us, would basically center
around API and CDMO. C learly, there is no plan to sort of merge any of the existing Nirma
business or pharma businesses with the GLS API business.
Mod erator : Next question is from the line of Sajal Kapoor, Individual Investor.
Sajal Kapoor : As the CDMO projects and relationships with scaleup , Dr. Yasir, the impact of success as well
as the impact of failure will increase, right? So in that context, management bandwidth, senior scientific talent along with systems and controls that may be working at small scale where we
are today and may not be fit for purpose as we fight competition and scale up our CDMO
services. So basically, my question is, how are we geared up for future? Because if I see it in the Indian landscape, there are tons of companies in the 100, 200 annual CDMO kind of revenues

in India today. And not everyone will be successful. I think majority of these companies will just stop doing CDMO services because they will struggle to scale up. So how are we positioned?

Because we have the balance sheet to support growth, but do we have the intent and the strategy in place?

Yasir Rawjee: Okay. So if you were following the answer to Ashwini, a few minutes ago, right? So let me take you to where we are on CDMO now, okay? So our focus on CDMO thus far has been on life cycle management, righ t, or in end of life cycle plus specialty.

Now with respect to attrition in that space, the attrition is not that high. So typically, our strike rate on landing projects, about 40% to 50%, okay? So currently, we've got a pretty healthy set of RFIs getting into RFQs and then later into project realization, right? And we expect that, that 40% to 50% attrition is all that we will be hit with, right? The bandwidth also that we require to close these projects and make them successful is available to us now. But then going back to the question that Ashwini asked in terms of what are the further investments, I mentioned that we would be opening up some more channels with some further investment.

Now that may require investments, both at the front end as well as a nd definitely at the technology end. But that would be an additional lever, so to speak, on the CDMO side, okay? So while this push on CDMO is something the one in that specialty and end of life cycle is part of our current strategy and that would continue with a fairly modest attrition, right? And with the bandwidth available for us to deliver, okay? We believe that by further opening up channels, we will only accelerate our CDMO play. Of course, I mean, you do reference other companies.

I think everything relates to how a company approaches CDMO. And basically what slice of the CDMO piece are people looking at.

So if you're in the early medicinal chemistry lab type of projects, yes, you have a larger number of projects. But like you mentioned yourself tha t attrition can be pretty high. So again, we are clear, right? Attr ition in our set of

projects is pretty modest, and we expect a fairly good hit rate with respect to CDMO space.

Sajal Kapoor : So do we have the aspiration to hit a number close t o INR1,000 crores coming from custom synthesis of CDMO? I mean is that what our vision or strategy is over the medium term to try and get closer to that number? Because INR 100 crores, INR 200 crores, I think, is subscale, and it would be difficult to survive for any player at that level for very long.

Yasir Rawjee: Stand -alone, I agree with you. On a stand -alone basis, yes, what you're say ing makes a lot of sense, but you've got to factor in that our INR 150 crores revenue is driven by only 3 projects, okay? So they are sizeable. At a per project level, they are size able. So for us to add, let's say, another 8 to 10 projects in the next 4 years would drive up our revenue to about INR 500 crores, INR600 crores is what we had indicated anyway, right? So that direction is cl ear. The size of our portfolio allows us to say that with confidence, right, that we would achieve that. However , adding another lever or a column, so to speak, on the CDMO, which we will choose carefully. Again, keeping in mind that we don't want to get into this very high attrition business. Plus, we don't want to be making very significant investments in a completely different set of capabilities and technologies. W e should aim for INR 1,000 crores. I'm not putting out anything. I mean, but

just to -- since you put that number out there. If we add a little more levers on the CDMO side, we can aspire, we can aspire for INR 1,000 crores.

Mod erator : Next question is from the line of Aejas Lakhani from Unifi Capital.

Aejas Lakhani: Sir, a follow -up on some of the earlier discussion on freight. Should we assume that although there are challenges given the limitations on air freight availability, but the fact that you have awareness of the problem and options that you're exploring across different lines and different modes? What probability should we ascribe to that being a constraint to actually getting it done?

Yasir Rawjee: I think it remains to be seen. We'll have to figure this out. It doesn't look like a show stopper for sure. I mean, it will add to some cost and even that cost would be very minimal, okay? But the more important issue is timing, okay? So let me break it up again, right? On the raw material side, l ike I said, all our raw materials come to the Western Coast, eith er Gujarat or Mumbai, okay? If that begins to be a challenge, right, going forward, then it will only mean that we will stock up some inventory, maybe an extra 10 to 15 days on the inventory side, okay, which will impact working capital.

I think that's ea sily manageable because our supply base is largely from China and India. Some

European suppliers we will have to figure out how we manage those. But again, not a challenge, right? Where I think we need to do a bit of work is try to figure out in terms of how we -- we continue to get the full benefit of our 3-month manufacturing cycle, right, and translate that to basically making sure that the customers get the material in time when we can recognize the sales. So that part will have to figure out.

The good thing for us is that our business is pretty distributed across the world. So all it means for us in certain challenging regions, we would have to basically prioritize manufacturing for those regions, right? And there fore, be able to recognize the sales comfortably. But it takes some adjustment. We're working on it.

Aejas Lakhani: Okay. And there was also a discussion that I'm just asking the same to try and understand whether I got it clearly. The question was on Nirma influence on the company's business plans. Did I understand you're saying effectively that what Nirma has going on is largely domestic, and that will be contin

ued by them independently? And effectively, what you have in mind and what you've been explaining to shareholders as your business plan has little or no change with the new promoter coming in. Is that a fair understanding?

Yasir Rawjee: Yes. It's a complete -- it's a fair understanding. You're spot on.

Mode rator : The next question is from the line of Punit Pujara from Helios Capital Ma nagement.

Punit Pujara: So if I look at the future capacity expansion plan slide that you put out and if I look at that for Q3 presentation, we were expecting to add 258 kilolitres of capacity in FY '24. I understand that a much of it will be commercialize d in 1Q of FY '25, which is a place where we're getting 208 kl out of that. But still remaining some 590 -odd kilolitres will be adding as per the current slide in the future capacity expansion plan. So could you just provide some color where these capaciti es are getting added?

Yasir Rawjee: Sure. So largely, the bulk of this 500 -odd kl will be coming up at S olapur. And like I said earlier, this will be coming up in late FY '26. There would be some additional capacity that we may look at in Dahej on the phar ma area, right? In case we run into some bottleneck because that civil construction is already done, okay, but that we'll see how that pans out. And then there is the sort of completion of plant 6 in Dahej that should also give us an additional 100, 120 kl of capacity. But again, I expect that, that would come online only in mid-2026.

But see, our strategy has always been to be calibrated on our capacity expansion. So while we do the early work like civil construction an d stuff, which takes up a lot of tim e, we do that quickly with very little investment, right? The bigger part of the investment, which is the fit-out and the whole HVAC, the air handling systems and all that, right, and that takes less time. We do that closer to when we see that we need that capacity. So that's the plan. We'll see how it goes, right? I'm not saying that we will bring everything online at the same time, we'll go step by step.

This 250- ish kl will come in Q1 of FY '25. And the rest will chug along, right.

Punit Pujara: Sure. S o these are not like very hard numbers. These are depending on certain business development visibility, certain decisions to be taken up by the management. These are not like hard guidance numbers. Is that right way to think?

Yasir Rawjee: Yes, yes. Exactl y because the thing is to see, again, if the business is there, it will come on, and we can bring it on in about 5 to 6 months, right? But if we don't need the capacity and we can service the business with the existing capacity, then why spend the money.

Mod erator : The next question is from the line of Dhruv from Fluent Aura Enterprises .

Dhruv : Okay. So I just wanted to ask you that in the presentation that has been provided, has there been any planned capacity decrease in S olapur and Dahej from 1,000 to 600 -kiloliters and 220 to 100 kilolitres , respectively?

Yasir Rawjee: Okay, Druv , Dahej 220 kl is now broken up, right? So we're adding 35 now, right? We may end up adding another 35 this year on the pharma area, right? And then like I said, around 120 kl could come up. So that gets us to that 220 number that you're r eferring to, right? Okay. And Solapur is something that we will do in 2 phases. The first phase should come through by FY '26 end and okay, which will basically allow us to take validation batch es to go for trigger an inspection, okay? And then we'll see how that builds out, whether we need 400 or more -- capacity is something that will depend on the product mix, right, and what w e are planning to build up in S olapur. So just to go to the previous -- Mr. Punit Pujara: 's question, right, we basically are going to play it by year.

Dhruv : Okay. And my second question c

omes from like -- so the onetime bonus impact of employees, can you share some or throw som e light on that and the future trajectory for this ?

Yasir Rawjee: Yes. So on the onetime bonuses, the company has been performing very consistently over the last few year s, right? And there was a plan to sort of award these bonuses to the top management, which was done in the last year. Now that i s not something that would continue. So our

manpower cost would regularize in FY '25 back to more normal lev els, right? That's how it would be going forward.

Mode rator : The next question is from the line of Siddhant Singh from Green Portfolio PMS.

Siddhant Singh: Yes, sir. I have a couple of questions. Sir, first I just want to touch back on the Red Sea crisis issue. Sir, could you share your insight on the expected trajectory of freight cost in Q1 FY '25? Will they remain elevated? Or is there potential factor that could lead to a decrease in the cost? What do you think, sir?

Yasir Rawjee: So look, costs have gone up, both sea freight as well as air freight, okay? Air freight has a blowback because of sea freight unavailability, right, and the timing proble m. So both have gone up. Luckily for us, our volumes are not that high. So even with the higher rates, right? There will be some impact also. I mean if it continues over the year, maybe INR 10 crores, INR 12 crores impact, if it doubles, the sea freight rate -- the freight rates, okay. But I don't expect that this crisis will continue for a year. So overall, when you sort of dial in both maybe, let's say, another 3 months at this matter is sorted out, then things should come back to normal.

Siddhant Singh: Okay. Okay. And my second question is regards to your R&D pipeline. Are there any specific upcoming filings or approvals you would like to highlight? And also about their impact on your future revenue stream?

Yasir Rawjee: So high potent pipeline is building up very nicely, right? We've got around 16 molecules now, right, that we've taken into the pipeline, okay? With respect to revenue coming from this, we already -- will get 1 product commercialized in some select markets, which is really nice because we didn't expect that. But it has already begun, but the large part of the revenue build up on this high potent pipeline would start about 2 years from now. So there would be a significant addition in about 2 years' time, on a ccount of this high potent pipeline.

Mod erator : The next question is from the line of Tarang from Old Bridge.

Tarang: Just on the Red Sea impact. Just wanted to check, I mean, did the impact have a bearing on your sales target or it was really a cost push? Number one. Number two, if it did impact your sales, are we looking at deferral or are we looking at permanent loss? And number three, if it is a loss, I mean, strategically, it doesn't hurt you in terms of really losing market share with your end custome r for not being able to supply material?

Yasir Rawjee: So Tarang, see, right? It' s a sales loss, right? It's a deferral really. I mean it's going into the next quarter, okay. And -- but we didn't anticipate that airfreight would have such a big backlog. It 's the airfreight backlog that has caused this deferral on the sales. That's the thing. And as far as customers go, I mean, if there is a delay of 10, 12 days, the customer really doesn't get impacted, right? But we have cutoff dates, and we have to recognize the sales in the quarter. So that has obviously hit us, right? And frankly, it did take us by surprise, but then manufacturing schedules were already in place. So while we were trying to do our best to sort of get it in quickly, right, it is what it is, right? I mean its kind of hit us there.

Tarang: Sure. Sure. And I mean, in terms

of cost implications, you did sound out a INR 10 crores to INR12 crores number for the U.S.

Yasir Rawjee: That is if it continues for an entire year.

Mode rator : The next follow -up question is from the line of Ahmed from Unifi Capital.

Ahmed: Just want to reconfirm a number. You said INR 45 crores impact because of deferment and a change in accounting policy. Is that correct?

Yasir Rawjee: Yes.

Ahmed: Can you break it down, deferment and change in policy?

Yasir Rawjee: Like I said, we'll have to come back on that.

Mod erator : The next follow -up question is from the line of Punit Pujara from Helios Capital.

Punit Pujara: Now that the year is closed, could you tell us that what percentage of your revenue came from goods that were made using inputs from like imported goods at any stage? That's one. And a follow -up to that would be what percentage of inputs came from China for that?

Yasir Rawjee: Could you please repeat that? I kin d of lost you.

Punit Pujara: Yes, yes. Sure. So what I'm asking, what percentage of your financial year '24 revenue came from the goods that were manufactured using the materials imported outside -- from outside India? And within that, what was China share ?

Yasir Rawjee: Okay. So you know what tying up what gets made because of China and what gets made because of other imports is difficult because there are all kinds of inputs that go into a single product, right? But if we're looking at a 7 -stage synthesis , right, there are multiple key starting materials and common raw materials that come from China, India, Europe. So that's difficult to quantify. But let me tell you, right, our import procurement rate is about 40% to 45%, right? And China is about 40 -ish percent right? And the rest of it comes from India.
Punit Pujara: And this is expected to come down with backward integration capacity such as Ankleshwar coming up?
Yasir Rawjee: Solapur, yes, it's expected to come down.
Punit Pujara: Sure. And the second thing is you mentioned to my earlier question that you can put up capacities in, let's say, roughly 6 months of time upon getting business visibility. But given that the Red Sea crisis is also -- would impact the inbound shipment business. So what -- like how will that ensure the import of machineries or engineers coming to set up those plants? How will that -- how will that timeline change?
Yasir Rawjee: Okay. So for capex for capacity building, we don't get outside -- everything is done out of India. So all our suppliers are based out of India. Our entire infrastructure, there is no infrastructure

development dependence on any foreign country. Everything is indigenous. Okay. So that's not a problem.
Mod erator : Next question is from the line of Dheeresh from WhiteOak Capital Management.
Dheeresh : I have 2 questions. I just want to confirm the Glenmark business, API business, grew high single digits. So 2 questions. First, I just want to confirm my understanding that what you said is that Glenmark busines s for the full year will grow in high single digit based on your current outlook from the FY '24 base, right?
Yasir Rawjee: Yes.
Dheeresh : Okay. And second, I just want to understand the accounting policy that you reconciled, what was the policy earlier? W hat is the policy now?
Yasir Rawjee: Yes. So I mean, Nirma follows a certain pattern, right? So we have aligned completely with that, right? We'l l have to give you details not in this call, right?
Dheeresh : We'll take it take it that later on .
Yasir Rawjee : Its related to their consolidation.
Dheeresh : Yes, I want to understand the policy change because Glenmark also being a large company, I expected the policies to be best -in-class. So is there a change in the way you record -- report record revenues, revenue recognition policy is materially different?
Yasir Rawjee:

Yes. So like I said, we'll have to come back to you, Dheeresh .
Mod erator : Thank you very much. Ladies and gentlemen, we will take that as the last question. On behalf of Glenmark Life Sciences Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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August 02, 2024
To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS
Dear Sirs,

Sub: Transcript of Earning Calls

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning Call held on Friday, July 26, 2024 for the first quarter ended June 30, 2024 is available on website of the Company at:
https://www.glenmarklifesciences.com/pdf/Transcript_Earnings%20Call_Q1_FY25.pdf
The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Glenmark Life Sciences Limited

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Glenmark Life Sciences Limited
Q1 FY'25 Earnings Conference Call"
July 26, 2024

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GLENMARK LIFE
SCIENCES LIMITED
M R. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER –
GLENMARK LIFE SCIENCES LIMITED
M S. SOUMI RAO – GENERAL MANAGER – CORPORATE
COMMUNICATIONS – GLENMARK LIFE SCIENCES
LIMITED

Moderator: Good morning, ladies and gentlemen. Welcome to the Glenmark Life Sciences Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao from Glenmark Life Sciences. Thank you, and over to you, ma'am.
Soumi Rao: Thank you. Good morning, everyone. I welcome you all to this early morning earnings call of Glenmark Life Sciences Limited for the quarter ended June 30, 2024. From Glenmark Life Sciences, we have with us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO. Our Board has approved the results for the quarter ended June 30, 2024. We've released the same to the stock exchanges and updated it in our website. Please note, that the recording and the transcript of this call will be available on the website of the company.
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies, may contain certain forward-looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks, which could cause the actual results to differ materially from these statements depending upon the economic conditions government policies and other incidental factors. Such statements should not be regarded by recipients as a substitute of their own judgment.
The company undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise. Our actual results may differ materially from those expressed in or implied by these forward-looking statements.
With that, I invite Dr. Yasir Rawjee, to say a few words. Thank you and over to you, Dr. Rawjee.
Yasir Rawjee: Soumi, thank you. Good morning, everyone, and welcome to our Q1 earnings call. I'm happy to report that FY '25 has started on a positive note. Before getting into our performance, let me give you a quick overview on the industry trends impacting our business.
So in spite of geopolitical tension and economic challenges, the global economic outlook is showing signs of improvement. Now optimism regarding the U.S. economy has risen substantially. Asia continues to inspire positive expectation, and we are more hopeful about China going forward. Europe faces some challenge on the demand outlook. So moderate growth is anticipated for the rest of the world, with a slight improvement in expectation since January. Inflation also seems to have come under control. Within our industry now, demand has seen a rebound in the first quarter. And this is good news. So we expect it to continue.
Now coming to our performance, after a fairly challenging quarter 4 last year, we have witnessed recovery in growth. So we are reporting close to 10% sequential growth. And this shows that the business is strong and resilient. And during the quarter, we've achieved broad-based growth across the geographies.

Our GPL business also witnessed strong recovery with -- on a quarter-on-quarter basis, we were up nearly 18%. And on our regular external business, the non-GPL business, we have seen even Japan sort of reviving after it had bottomed out last year. So Q1 was the first full quarter without the PLI benefit to GLS. So this has had an impact on gross margins. We had made the investor community aware that this was coming. And so we've had some challenge in the gross margins and slightly u

nfavourable product mix has also contributed to lower gross margins.
On the positive side, though, our employee cost has normalized and has come under 10% of revenue. So the net result of all this is that our EBITDA margins are now at around 28%, which was what we had guided to.
The CDMO segment continues to grow steadily, and we expect this business to pick up from Q3 onwards. On our pipeline, we have been consistently filling the pipeline across the globe with filings to match our growth aspirations. As on June 30, our total DMF and CEP filings have crossed 532 with cardiovascular and central nervous system disorder therapies seeing the highest filings to the tune of 251. We added 5 new products to our pipeline with 3 high potency APIs and 2 synthetic small molecules.
So all in all, the high-potency API pipeline is now 20 products with a total addressable market of 40 billion, 4 products have already been validated and 4 are in advanced stages of development.
Now coming to expansion, additional capacities at Ankleshwar will kick in, in quarter 2. And Dahej, our new pharma capacity will also become operational in quarter 2. So we remain confident for the rest of FY '25 and our commitment to deliver high-quality innovative solutions to our customers remains.
Now coming to a recent issue, which would have caught your attention. A couple of days back, we got a closure notice from the Gujarat Pollution Control Board, citing pollution issues outside

our plant. So while the situation is not good and it has come as a surprise because we have been in compliance all along. However, we are taking immediate action to remedy the situation, are fully cooperating with authorities to address their concerns and implement corrective actions as soon as possible to ensure compliance with regulations.

Let's understand, as a company, our commitment to environmental sustainability is ironclad and non-negotiable. So given this position that we have always maintained, we are on the job and are going to resolve this matter as soon as possible.

So with that, I'll hand over to Mr. Tushar Mistry, our CFO. Thank you.

Tushar Mistry: Thank you, Dr. Yasir. Hello, and good morning, everyone. Once again, I welcome you all to our Q1 FY '25 earnings call. Following Dr. Yasir's commentary, let me briefly take you through the key performance highlights for the quarter ended 30th June 2024. Post which, we will open the floor for questions.

Our revenue from operations for Q1 FY '25 were at INR588 crores, up 9.7% quarter-on-quarter.

The gross profit for Q1 FY '25 was at INR301 crores at 51.1% compared to 55.5% in Q4 FY

'24. The decline in gross margins can be attributed to the discontinuation of PLI benefit as well as product mix.

The EBITDA for Q1 FY '25 stood at INR165 crores, up 14.1% quarter-on-quarter with EBITDA margins at 28%, which is within our guided range. Starting this quarter, employee costs have normalized and have come down under 10% of revenue mark. PAT for Q1 FY '25 stood at INR111 crores with PAT margins of 18.9%. Overall, Q1 FY '25 is showing signs of improved demand environment.

Moving on to the segmental performance for the quarter. Our Generic API clocked a revenue of INR535 crores, a growth of 10.5% quarter-on-quarter and 6.2% year-on-year. All geographies have seen good growth, more particularly regions like India, Japan and ROW led the growth during the quarter. Demand for our CDMO products was back and revenues grew by 20.2% quarter-on-quarter and was at INR43 crores for Q1 FY '25.

Within our Therapeutic Mix, the CVS and CNS portfolios continued to drive growth. Chronic therapies contributed 67% of the revenue in Q1 FY '25. R&D expenditure for Q1 FY '25 stood at INR17 crores that is 3% of sales.

Let me quickly touch upon the balance sheet and cash flow movements as well, starting with working capital. Working capital for Q1 FY '25 was at 167 days. Our capex for Q1 FY '25 was INR43 crores. We continue to remain a net debt free company. During Q1 FY '25, we generated strong free cash flow of INR121 crores leading to cash and cash equivalents of INR426 crores as of 30 June, 2024.

Overall, we are hopeful of continuing the growth momentum in coming quarters with stable margins on the back of improving demand environment. With that, let's open the floor for Q&A. Thank you.

Moderator: Thank you. The first question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Just to understand this notice from the Gujarat Pollution Control Board, can you give some sense what is this about, what is the reasoning behind their notice? Like, I just want to understand what is the core issue from their perspective?

Yasir Rawjee: Okay. So the way how this works is that the Pollution Control Board samples water discharge from the industries across. We are, of course, part of that industrial area. And so there was sampling done during very heavy rains. And there was a more than usual discharge from storm water drains. And we were told that our samples that were taken outside our plant had exceeded the limits on COD and a few other parameters. And so as a result of this, a closure notice was issued.

We have been sort of taken by surprise because, we always comply with limits on discharge. And so this has exceeded the limits that are in place. And so on the basis of this, we were issued a closure notice.

Now obviously, we are working with authorities to get this sorted out. But at the same time, we are also looking internally to see if something could have gone wrong internally and what needs to be done in order to rectify the problem.

Ahmed Madha: Got it. And could there be a major production issue from our end because of this?

Yasir Rawjee: See, we have not stopped production immediately simply because we have to bring the plant to a safe state. And this has been discussed with PCB. The GPCB at the time of the notice was issued, they understand, they've given us time. So as we speak, production has not completely stopped. But yes, the intent is to comply with the PCB notice, and so this will be done.
While at the same time, like I said, we are going to fix this issue if we do identify that there is one. As far as impact, there obviously will be some impact, but then considering that this has come at a time where we still have 2 months into for the quarter, we should be able to catch up with any production loss as a result of this temporary closure.
Ahmed Madha: Got it. My second question was understanding the gross margins a little better. I understand the PLI has gone off, so that's fine. Just to understand the broad range, is it that 51 is sort of a bottom quartile range in terms of gross margins. Is it fair to assume that way?
Tushar Mistry: Even we would assume that way. We don't see the margins going below this. This has been a unique quarter where, again, the product mix has been one of the major causes for the reduction in the gross margins, both product mix in the GPL business as well as in the non-GPL business has impacted this.
Ahmed Madha: Got it. But if I look at the mix in terms of regulated markets, it is higher than what it was last quarter. It is better in terms of your therapy mix. Core therapy mix share is still the same. GPL business share is still the same. So, broadly, is it just a product-specific issue like other product-specific changes? Or how should I think about it?
Tushar Mistry: Yes, Ahmed. See, we have a very large product basket. So there will be products in the basket with lower margins, even in the regulated markets as well as with the GPL business. So some of those products would be higher in volume in this quarter. And that's the reason why these margins are lower.
Mo

derator: The next question is from the line of Charul Agrawal from Bank of America.
Charul Agrawal: Firstly, I wanted to understand more about the demand outlook. You had shared the guidance of mid- to high-teens growth for the external business. Now looking at this particular quarter and seeing that part of the capex has also been pushed down, how should we think about growth for FY '25-'26?
Yasir Rawjee: So the demand outlook, like we said, is good. Obviously, it doesn't reflect the overall numbers. But when we really carve it out, the non-GPL business has grown quite nicely. And what we see in terms of the upcoming demand is much, much better.

The good part for us is that most of our regions have delivered. And again, the growth outlook for the next couple of quarters at least looks very strong across regions. Now, obviously, you're using the capex as a kind of surrogate marker. But the point here is that our brownfield expansions that we have engaged in, in this last year, 1.5 years have come into play and will basically give us a pretty good runway for the next 1.5 years to be able to take care of this additional demand.
So nothing to worry. We have gone now pretty aggressively on the Solapur buildup. So the first phase should get done in about 18 to 20 months from now. And so while the brownfield fills up, we will have Solapur coming in as well.
Charul Agrawal: So sir, does that mean that the medium-term growth outlook remains unchanged?
Yasir Rawjee: Yes.
Charul Agrawal: My second question is on the CDMO business. There was a multiyear agreement that was supposed to come into it. I think it has been also pushed back slightly. And you also mentioned that there is one other deal that is expected to be finalized. So can you share more colour on the CDMO outlook?
Yasir Rawjee: Okay. So our fourth project, which we signed in November with this Japanese innovator, okay, was signed in November. Commercial will start as soon as we start getting regulatory approvals. We have supplied the validation quantities, which were then taken by them for exhibit batches and variation filing. We expect that commercial supplies for this business should start in Q3, but it could spillover into Q4 as well.
Coming to the fifth project, this is well on track and we are likely to see commercial supply starting off in late Q3, early Q4 again. So this is all driven by regulatory approvals that both these projects need to get. So it's all in the course of things really.
Moderator: The next question is from the line of Vijay Karpe from Shriram Life Insurance.
Vijay Karpe: Yes, so my first question is with respect to the CDMO business. So I understand that we do generic CDMO. So at any point of time, will we consider getting into CDMO which caters to the Phase I, Phase II, Phase III trial because what I -- even though individual's life may be finite, the company has an infinite life and we would like to get into that part of the CDMO business?
Yasir Rawjee: That entire segment of the business requires fresh investments in R&D as well as in

manufacturing. And it has a very long gestation period. We have explained this to the investor community many times that given the kind of uncertainty in this business segment because of -- primarily because of attrition, we believe that these are long bets to take, and we've got to make lots of investments upfront in R&D with this kind of FTE kind of work.

So we prefer shorter gestation projects, right? Because given the kind of portfolio depth that we have, we can comfortably prospect business in this segment, at least for the next 3 to 5 years. I'm not seeing any kind of let-up in our ability to prospect business in the segments that we have selected.

Vijay Karpe: Okay. The second question is on pricing. So how has been t

he pricing pressure in the first quarter? And are our margins expected to remain stable at these levels in the medium to long term? Or they are expected to drift a little lower? And if that happens, are we expected to maintain our ROCs also at the 30% mark?

Yasir Rawjee: See margins like Tushar explained some time back, right, that we probably are at a relatively low point in terms of margin that we have reported this quarter. It doesn't look like it's going to get worse from here, okay? So we will comfortably maintain margins at this level or even beyond. And this is just a quarter phenomenon with the kind of mix. So we are comfortable meeting margins.

Vijay Karpe: And the pricing pressure?

Yasir Rawjee: Yes. So pricing pressure has not been there, okay? I mean we are seeing normal erosion. And that's very, very common in our business. I mean every company faces this kind of challenge.

Moderator: Mr. Vijay, are you done with your questions?

Vijay Karpe: Yes. Yes.

Moderator: The next question is from the line of Ashwini Agarwal from Demeter Advisors LLP.

Ashwini Agarwal: Just a couple of questions. One is that we are starting to hear that the funding winter for start-ups, especially in the biotech area, is starting to get a little bit better. Does that have any feed through impact or better cash flows, like pharmaceuticals? Does it have any feed through impact on your business or not really?

Yasir Rawjee: It will definitely have an impact because many of these companies, right, that have kind of -- had this kind of revival on the financing side are also into specialty. So the one element of our CDMO is specialty play. And I can tell you that the kind of interest we've had from the specialty segment mainly from the U.S. has been much better than what we'd seen last year. So it's happening.

The other element that you may also want to consider is that full Biosecure act, right? And it's benefit to Indian companies especially ones that are catering to the more innovative side of business is beginning to play out as well. So, yes, answer to your question is, yes, it will definitely work for us in the right direction.

Ashwini Agarwal: Second question is that you're steadily building up cash on the balance sheet again. With the new sort of change in ownership, any thoughts on cash allocation and distribution of dividend or dividend policy?

Tushar Mistry: Yes, Ashwini, I mean, see the dividend payout may not be as high as what it used to be in the past. We have paid almost INR21.50 each year as dividend in the past, which is like almost 1000% or more than 2000% of our paid-up capital. But you will not see this kind of increase or this kind of dividend outflow. We have already laid out our capex plan. We have informed the

investors that the current year's capex plan is going to be in the range of INR300 crores to INR350 crores.

So the capex outlay is high for the current year as well as for the coming year. So the cash utilization on the capex front is going to be high. So we will sit on some bit of cash and there will be some element of dividend payout as well. But as I mentioned, it will not be as high as what you have seen in the past.

Ashwini Agarwal: So the capex, INR350 crores this year and there's a similar number for fiscal '26 as well?

Yasir Rawjee: Yes. Because Solapur has to complete Phase I, okay? And in this year's capex, Solapur just getting started. Like we said, Solapur will be done in about 20 months from now. So that will pick up this financial year as well as next.

Ashwini Agarwal: But our overall target of 1.3x to 1.5x capex to revenue potential and steady margins, those parameters remain the same?

Yasir Rawjee: Can you please repeat?
Ashwini Agarwal: What I'm saying is that the revenue potential of new capex at 1.3x to 1.5x the amount of money invested, that remains in place.
Yasir Rawjee: Yes,

Ashwini, let's contextualize this a little bit here that while we would be going for approvals by regulators of the new Solapur facility, we still have a sizable ROW business that can be serviced out of the new capacity. So yes, we will be able to utilize that as soon as it is up and running.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment.
Bharat Sheth: Sir, I have first question that we have large dependence on our one customer erstwhile promoter also, which is around approximately 30%. So what is our strategy to derisk kind of dependence on one customer? And how do we really see over the next couple of years, it will play out? And once they've moved out of the ownership, so are you facing any kind of pricing challenges from them?
Yasir Rawjee: Pricing with Glenmark Pharma has always been at arm's length. This is something that we've had for the last 5 years now, even when we were part of the Glenmark Group. Now when you say derisk, right, see other business is growing faster. So there will be a natural reduction in terms of the percentage contribution to our business. But given the fact that we do more than 65 projects commercially with Glenmark Pharma, it is very unlikely that there is any big risk to this business and Glenmark Pharma would walk away from us. That is very unlikely.
And so given the fact that we continue to give them good prices -- market prices. They have no reason to go away because even if they wanted to go away over the R&D overhead to make changes is very big. And I don't see any reason why they should.

In fact, this quarter itself, this is the first quarter, which is outside of Glenmark's ownership. And this quarter has been pretty good, I would say. I mean, we've had a good number of products and good revenue coming out of that business.
Bharat Sheth: Okay. Fair, sir. And are we getting a new project also from the Glenmark Pharma or still now that you would like to restrict the 65, what we hear?
Yasir Rawjee: No. In fact, thank you for that. We continue to work with them on newer projects. So that also is another element. So it's not as if we are going to be limited to what has happened so far. There are launches also coming up in the next couple of years on projects that were seeded earlier. And we continue to keep them interested in our pipeline.
I mentioned about the oncology pipeline. Glenmark Pharma has been pretty favourable to our oncology pipeline. I mean, this continues. There is no real change in the way Glenmark Pharma looks at us as a high-quality supplier of API.
Bharat Sheth: Can you give some kind of over 3 years' time frame, where do we see this CDMO business. Is that a fair understanding? So where we see because we always set up with the product, which is now already in the pipeline. I mean, which is already commercially scalable?
Yasir Rawjee: Yes. But then see, the thing is that both on the life cycle projects as well as the specialty projects, right, specialty development, we do have some level of development to meet the specialized requirements of the customer. So commercially, we have 3 projects today, like I explained earlier to a question from Charul, right, is that, we would be adding 2 more projects by the end of this year commercially.
And that momentum is something that we would continue. So CDMO is on a pretty good track, and this is using our regular infrastructure, both in R&D as well as in manufacturing. So in that sense, no great fresh investment but business can be driven with these newer projects.
Bharat Sheth: And would it be able to give you some potential that of this total 5 projects, if it goes on the live, it's for our planned time line. So what could be the potential that we have?
Yasir Rawjee: So, I mean, of course, these would start in Q3, Q4, let's say, Q4. And by the time they hit a steady stat

e, it would be another 2, 3 quarters, right? But I anticipate a good $12 million revenue from these 2 projects.
Bharat Sheth: Okay. And sir, is it possible to give some kind of a color...
Moderator: Sorry to interrupt. Mr. Bharat, may we request please return to the queue. The next question is from the line of V.P. Rajesh from Banyan Capital Advisors.
V.P. Rajesh: Congrats on a good set of numbers. My first question was regarding the PLI. So should we assume that in Solapur capacity expansion, we're not part of any PLI scheme. If you can just comment on that?

Tushar Mistry: Yes, that's right, Rajesh. We don't have any PLI benefit available now. We were a part of the GPL Glenmark Pharma PLI scheme. With this selloff to Nirma, now we're no more a part of Glenmark Pharma, and that's why the PLI benefit has now gone for us.
V.P. Rajesh: Understood. The second question was regarding this expansion. Given what you said, Tushar, about the dividends, should we assume that there won't be any debt coming on the balance sheet for the expansion? Or how should one think about that?
Tushar Mistry: Yes, that's right. All this expansion will be through internal accruals only. We don't see any requirement for leveraging the balance sheet, at this stage it should remain debt-free.
V.P. Rajesh: Got it. And third question on the Glenmark business. I was just curious what is our market share in the 65 molecules with them. Is it 100%? Or is this 50% or lower? Just if you can give some color on that.
Yasir Rawjee: So that would range from molecule to molecule. There are molecules where Glenmark has 100% of the business at the front end, and we are the only supplier. And in most of the 65 molecules that we supply, we are the only source with Glenmark. And even where we are -- they are dual-sourced, right, we still get a significant chunk of their business on those molecules.
So difficult to say what that sort of market share would be because there are 2 elements here. There is a front-end market share that Glenmark enjoys in the front end. And then it's our supply to Glenmark. But like I said, even where there is a dual source for Glenmark in a few molecules, we still get, I would say, a good 70%, 80% of that business.
V.P. Rajesh: So you would say on average in this 65 molecules, 70%, 80% of their supply is coming from us, right? That would be a reasonable assumption?
Yasir Rawjee: More than that.
V.P. Rajesh: More than that, but...
Yasir Rawjee: Yes. In terms of wallet share, wallet share we probably have 90-plus percent of that business.
V.P. Rajesh: Got it. Okay. And then lastly on the CDMO business, given the kind of positive news that you are garnering there, what percentage of the revenue could it be? I know you've talked about it in the past. But I'm just curious, given the successes you think it could be a bigger portion, let's say, 5 years down the road?
Yasir Rawjee: Yes, it would be for sure because like I said, just to the earlier to Mr. Bharat Shah right, that look we expect to get another INR100 crores added to our CDMO business by mid next year. So we are at around INR140 crores, INR150 crores now on these 3 projects. And with the -- another 2 projects coming on, we should see another INR100-odd crores added. And going forward, we have guided to CDMO being INR500 crores to INR600 crores in the next 4 years.
V.P. Rajesh: Right. So what I was trying to understand is that you think this could be a larger than INR500 crores, that's what I was trying to get sense.

Yasir Rawjee: Larger, larger it depends, right? I mean, like I earlier said that our pipeline, is pretty strong and our engagement with the innovator segment of the customers has been growing simply because now even though we were independent, Glenmark ownership also had some drawback, right, on this segment. I mean, we benefited also from that element but it had some drawback.
And so even that has now kind of gone away because there's no Glenmark ownership. So that fear from innovators that we are part of a generic -- a big generic player, right, is also kind of laid to rest.
Moderator: The next question is from the line of Aejas Lakhani from Unifi Capital.
Aejas Lakhani: Dr. Rawjee, if you could just share that the facility, which has got the GPCB order, what was the entire production as a percentage of our production last year?
Yasir Rawjee: So I'd rather give you a value number. What are you looking for? You're looking for production?
Aejas Lakhani: Yes, yes, I'm completely comfortable even if you can give me a value number but that's perfectly fine. I'm trying to understand if there is a delayed resolution what would be the consequence impact on revenues?
Yasir Rawjee: So this facility contributes to about 60% to 65% of our overall revenue. It's our largest facility, okay. As far as your concern about delayed resolution, it's understandable. I mean, like I said, we also sort of became aware late on Wednesday night, right? So we have to solve it. It doesn't look like, even though it's not, like I said, we have been in compliance all along. So it doesn't feel good.
But at the same time, the engagement that we've had with the authorities is that they are looking for us to comply. And so coming back into compliance doesn't look like it's going to be a very huge challenge. We should be able to do that. So resolution would happen fairly quickly. And like I said on an earlier question, we've got the better part of 2 months to catch up for the loss of

production that we would face in this brief period.
Aejas Lakhani: Got it. Got it, Dr. Yasir. But you -- maybe it's too early to ask, but the revenue loss could be for 2 to 3 weeks from now and you believe that, that would be really caught up in this quarter itself, right?
Yasir Rawjee: I don't even think it will take 2 weeks to resolve. Thank you.
Moderator: The next question is from the line of Yash Shah from Investec.
Yash Shah: My question is regarding the capex. In the previous quarter's presentation versus this quarter's presentation, there have been quite a few changes. Can you please talk a little bit on that? I can see that in Ankleshwar from the planned addition of 280 KL to 300 KL, we've changed it to 60 KL. Can you just basically explain something on that?
Yasir Rawjee: Okay. So let's go first with Ankleshwar. Now we had an overall block, which is Plant 18 of 400 KL capacity. So we had brought on 192 KL last year, okay? And we just finished adding the 208 KL, which will now become operational in quarter 2.

Okay, I think it was an earlier question where I said that the brownfield, will hold us in good stead for the next 1.5 to 2 years. And in order to do that, we had to add a pharma capacity to Ankleshwar. So this work will start as soon as the rains are done, and we will bring on 3 pharma areas in Ankleshwar and that should kind of level off Ankleshwar at least for the foreseeable future.
We can still build in Ankleshwar, but since Solapur is coming up, we feel that we should invest in a newer and more modern site, okay? Coming to the Dahej, again the bottlenecks that we see in the next 2 to 3 quarters relate to pharma capacity because intermediate capacity is pretty good in Plant 6, right? So we are bringing on 1 pharma module in quarter 2 and very likely another pharma module will also come up by Q4 or maybe into FY '26.
But given the number of approvals that we are expecting on the new products and the expansion basket with more markets getting added to recent launches, we are acutely aware that we need to bring on the additional capacity in terms of Plant 6A, which is another 160 KL.
So, yes, there have been changes to answer your questi

on. But then we've got to align ourselves with product mix, demand pattern that is shaping up based on the plant and also new launches that we foresee coming up next year and in early FY '27. So that's the kind of readjustment that we were needed to make.
And, yes, I mean from time to time, that is looked at. We have always maintained that capex investment will be calibrated so that we don't go overboard in just making investments and then it turns out that we don't need it, at least in the near future. So it's always going to be like that with us. And so, I mean, sorry about that, but that's the way business works. And that's how we sort of continue to relook at our requirements as we go along.
Yash Shah: No, no, sir. That's all right, I was just asking for clarification. Another clarification, which I wanted was, earlier you mentioned the capex amount. You mentioned about somewhere between INR300 crores to INR350 crores. So just want to understand, if it is for this year, FY '25 or FY '25, FY '26 combined? That's all from my side.
Yasir Rawjee: No. FY '25 itself, we will do 300 -- between INR300 crores to INR340 crores, right? And -- like I answered earlier, Solapur next year will also take a good INR200-ish crores alone to complete that facility. So, all in all, we would be looking at spending about INR350 crores to INR400 crores on Solapur to get the first phase up and running.
Moderator: The next question is from the line of Harshal Patil from Mirae Asset Capital Markets.
Harshal Patil: Just needed clarification on 2 points. One, if you could just speak a bit about raw material prices scenario, how is it -- are there any changes to it or maybe some change in view?
Yasir Rawjee: Raw material prices are stable. The only area that we can see inching up is solvents. So when you look at solvents like isopropanol, toluene and hexane. These solvents they go back to crude feedstock as well as gas. And given the kind of world that we live in right now with all the conflicts, the oil prices, I would say, are stable, but they are still inching up and solvents are kind

of following that path. So the only place where we see raw materials playing up a little bit is on the solvents side.
Harshal Patil: Okay. Got that, sir. Sir, just one more clarification on the Ankleshwar side, while you said that it will be resolved very quickly. But I just hope there is no major capex that will be required, any investments that will be required out there for the rectification?

Yasir Rawjee: See our capex commitment to environmental treatment has always been there. Okay. So just to give you a sense, we have 2 ETP plants that are fully functional. And last year, we took a call to add a third ETP plant, which will commission next month. The third ETP plant was also commissioned.
So capex commitment to environment, to meet environmental regulations and being a good corporate citizen has always been part of our DNA. We believe very strongly that we need to meet requirements. Now will this lead to additional capex? I don't believe so, really. We have been doing pretty much everything to comply, okay?
So it's only a matter of once our investigation is complete, we'll figure out if and where we've had a problem, and it will be fixed. Even if there is a capex investment, it would be marginal.
Moderator: The next question is from the line of Charul Agrawal from Bank of America.
Charul Agrawal: Just had one more question. If you could shed some more light regarding the changes in the company's strategy after Nirma takeover? Any changes that have come up recently?
Yasir Rawjee: So Charul, on capex, I would not say aggressive, but we need to now seriously build our greenfield. And greenfield does take up more investment. But then that's the need of the business.
With Nirma coming in, we've had complete support to be able to do that and also to ach

ieve that
in a shorter time frame.
So it gives us a lot more comfort, right, to have a fully functional greenfield site in about 2 years from now. And of course, it will mean that investments happen. The other element, again, on the Nirma that has been a big plus for us with Nirma coming in is to basically expand into new areas of technology. So here there are a whole bunch of areas that we have always had in our plans to get into, but on account of limited view in terms of the spend, we have had to hold back.
But now we are going aggressive, right, in building basically these new, I would not say, verticals because they are still aligned to our chemistry platform. But they would basically allow us to open up new portfolio avenues for the business.
Just to sort of give you a sense, we also will be building our own R&D center, okay, in order to facilitate this kind of new technology platforms that we would add. So having our own center and the ability to rapidly expand R&D is also a decision that has been made recently with the backing of Nirma.
So this is going to be a sort of hopefully a game changer for us, right? And the new portfolio that would build as a result of these investments, would start playing out in the next 3 years or

so. So I mean, it's great to have ownership from a company that is much more sort of growth oriented and gives us the full freedom to sort of make these decisions.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment.
Bharat Sheth: Sir, is it correct that I understand that our net working capital is 167 days.
Tushar Mistry: Yes.
Bharat Sheth: So is there any room to bring down that in order to generate -- I mean, improve our cash flow?
Tushar Mistry: No, good you asked this question. Actually, I missed this in the opening remarks. See the -- what we are saying is that working capital will inch up to some extent. While the arrangement with Glenmark Pharma continues to be what it used to be in the past, except for the fact that there is an increased credit term that they have negotiated going forward. So that will have an impact going forward, and that would inch up the working capital or the receivable days. So we'll see how this pans out. But we don't see working capital coming down from this level, but we'll try and control it as much as possible on the upside also.
Moderator: The next question is from the line of Suhag Patel, an individual investor.
Suhag Patel: Congratulations on the good set of number. One question, sir, I would like to. Last quarter, you mentioned that there is, like, accounting policy of Nirma due to which we missed to recognize somewhere around INR40-odd crores of revenue. So can you please elaborate on that? That is question number one. And question number two is, how do you see the kind of shipping scenario playing out, the Red Seas one, which you mentioned in the last quarter?
Tushar Mistry: Yes. So first of all, again, I was not on the call last time. There is no change in the accounting policy. It's a change in the estimates that we had to implement with the change in ownership.
And changing estimates that the companies follow can be different. So that's where what estimates used to be followed by Glenmark, to what is being followed by Nirma at the group level is different. So that's the only change. There is no change in the accounting policy, okay?
That is the first part.
Second, on the supply chain issue there has -- see last quarter, we had never expected that the Red Sea issue will impact us because most of our shipments are air shipments. But with the Red Sea issue, the availability of air freight also has become a challenge, and that was where we were caught a bit unaware.

But with that, then we improved our planning significantly to take care of that. In the current quarter, we have already addressed th

at to a great extent. The challenges still remain, but our planning to that extent has improved and has now started taking care of this extended time lines as well. And to a great extent, this is now under control.
Suhag Patel: Okay. Thanks for the update. Just a follow-up question on that. So whatever backlog we had in, say, last quarter because of this Red Sea issue, and we've not been able to get the air cargoes and

all. So can you elaborate if some of the backlogs were cleared in this quarter and that is reflecting in this quarter's revenue?
Tushar Mistry: Some of those backlogs have been dispatched in the current quarter, but current quarter some element of backlogs will still -- are still there as I mentioned, it is not fully resolved, it is still there but we have now incorporated that as a part of our planning. And that continues till the time you see globally this matters coming down to a great extent. So we are more on a stable state even with this impact now in place.
Suhag Patel: Sir, my question was mainly on whether the revenue of this quarter is reflecting the backlog of the earlier quarter or not?
Tushar Mistry: To answer your question, that is reflecting in the current quarter, but the current quarter's backlog is now taken to the next quarter..
Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Glenmark Life Sciences, that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

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October 31, 2024
To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS
Dear Sirs,

Sub: Transcript of Earning Calls

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning Call held on Friday, October 25, 2024 for the second quarter and half year ended September 30, 2024 is available on website of the Company at:
https://www.glenmarklifesciences.com/pdf/GLSTranscript%20of%20Earnings%20Concall%20
Q2%20FY2024- 25.pdf
The said transcript is also attached.
Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Glenmark Life Sciences Limited

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Glenmark Life Sciences Limited
Q2 FY '25 Earnings Conference Call "
October 25, 2024

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – GLENMARK LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER – GLENMARK LIFE SCIENCES LIMITED
MS. SOUMI RAO – SENIOR GENERAL MANAGER – CORPORATE . COMMUNICATIONS – GLENMARK LIFE SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Glenmark Life Sciences Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao. Thank you, and ov er to you.
Soumi Rao: Good morning, everyone. We welcome you all to the earnings call of Glenmark Life Sciences Limited for the quarter ended September 30, 2024. From Glenmark Life Sciences, today, we have with us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO.
Our Board has approved the results for the quarter ended September 30, 2024. We've released the same to the stock exchanges and updated it on our website. Please note that the recording and the transcript of this call will be available on the website of the company.
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward - looking statements th at involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks, which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other incidental factors. Such statements should not be regarded by the recipients as a substitute of their own judgment.
The company undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise. Our actual results may differ materially from these expressed in or implied by these forward -looking statements.
With this, I hand over the call to Dr. Yasir Rawjee. Thank you, and over to you, Dr. Rawjee.
Yasir Rawjee: Thank you, Soumi. Good morning to everyone. Welcome to our Q2 earnings call. Before I get into the performance for the quarter, I would like to just take a few minutes to discuss the economy and the industry trends that do have an impact dire ctly or indirectly on the business.
So with regard to the global economy, there continue to be challenges, particularly due to the geopolitical tensions that we are seeing. There's volatility in the financial markets and that has prompted banks to adopt v arying policies. So while advanced economies are easing rates, emerging markets have maintained tight monetary stance to control inflation, leaving them more vulnerable to shocks.
Notably, rising energy prices driven by instability in the Middle East, risk fueling inflation and slowing global growth, particularly in energy importing and emerging nations where higher energy and food costs erode purchasing power.
Although there are s ome pockets of resilience, the global outlook remains highly sensitive to inflationary and geopolitical risk. Within the pharmaceutical industry, the demand for API and CDMO companies continues to remain strong on the back of pharmaceutical outsourcing,

expanding drug development pipelines and cost -effective production needs. Some supply chain and regulatory challenges remain, but the sector continues to grow steadily.
Coming to the performance of GLS for the quarter, we reported revenues of INR 507 crores. You may recall, GPCB had temporarily halted the production at our Ankleshwar site, which accounts for approximately 65% of our capacity. So while this halt was lifted on the 14th of August, the hiatus was a little longer than what we expected. And so it d i

d have an impact on our production,
and there were delays in production as a result of this. However, despite this challenge, we are pleased to report that we were able to recover a significant portion of the delayed volumes in Q2 itself. We remain optimistic that our future prospects in H2 will demonstrate stronger momentum than the first half.
Geographically, while the impact of Ankleshwar was visible across the regions, North America and India still came through with pretty strong growth both over the year as well as the quarter.
And our ex GPL India portfolio also posted strong growth, 19% year -on-year, reflecting the strength of the business.
Coming to profits, I'm pleased to announce that our product mix has led to better gross margins.
For the quar ter, we reported gross margins of 55.6%, up 150 bps Y -o-Y and 450 bps Q -o-Q.
This is in line with our earlier guidance. We remain confident of the strength of the business and our product pipeline and continue to command premium in the market.
Driven by i mprovement in gross margins, we were able to maintain EBITDA at 28.2% despite the substantial impact to the top line. This not only showcases our selection of products, but also our tight control on costs.
We remain optimistic on our margin trajectory on a full year basis as well.
Coming to our pipeline, we've been actively filing across the globe to match our growth aspirations. As on September 30, 2024, our DMF and CEP filings in total have crossed 539, with cardiovascular and CNS therapies seen the high est filings. We added 4 new products to our pipeline with 1 high potency API and 3 synthetic small molecules.

Coming to the high potency pipeline, we now have 21 products with a total addressable market of $43 billion. 6 products have already been validat ed while 5 are in advanced stages of development. On the capex side, I'm happy to announce that we have commenced operations for the additional capacities at Ankleshwar and Dahej. These enhanced capacities will help us in a big way in Q2.
Before I conclud e, I would like to reiterate that our long -term business potential remains strong. Our order books across various regions are robust, and we are confident that H2 will make up a lot of the lost ground, other things remaining equal.
We expect overall reven ue growth for this fiscal to be in the high single digit with steady margins. Our commitment to delivering high-quality innovative solutions to our customers and enhancing shareholder value remains steadfast. We are dedicated to upholding the highest stand ards of environmental responsibility and corporate governance.

Before I hand over to Tushar, I'd like to wish all of you and your families a very happy Diwali.
So with this, I turn over now the floor to Tushar Mistry, our CFO.
Tushar Mistry: Thank you, Dr. Yasir. Good morning, everyone. Welcome to our Q2 FY '25 earnings call. I would like to briefly touch upon the key performance highlights for the quarter and half year ended 30th September 2024, and then we will open the floor for questions and answers.
Our revenue from operations for the quarter stood at INR507 crores, a decline of 14.9% year -on-year and 13.9% on a sequential basis. However, as Dr. Yasir mentioned in his speech, we are looking at much stronger H2 FY '25 backed by robust order book position. The key high light of the quarter is that our gross profit margins have returned to above 55%, which we have been guiding.
Gross profit for the quarter was at INR 282 crores, whereas the gross margin stood at 55.6%, which expanded 150 basis points year -on-year and 450 basis points sequentially. Gross margin was driven by favorable product mix. EBITDA for the quarter was at INR 143 crores, and margi n -- EBITDA margin for the quarter was at 28.2%, up 20 basis points, driven by better gross margin despite a decline i

n our revenues. And the PAT for the quarter stood at INR 95 crores with PAT margins coming at 18.8%.
Let me quickly discuss half yearly nu mbers. Revenue from operations for first half of FY '25 was at INR 1,096 crores, a decline of 6.7% year -on-year. Gross profit for H1 FY '25 was at INR583 crores, and gross margin was 53.2%. EBITDA was at INR308 crores, with EBITDA margins at 28.1%. And PAT for H1 was at INR 207 crores with PAT margins of 18.9%.
Looking at the therapeutic mix. CVS and CNS continue to lead the growth during the quarter with both therapies contributing 58% to the top line. R&D expenditure for H1 was at INR 36 crores, which was at 3.3% of our sales for the quarter. For the quarter, it was at INR 19 crores.
Touching upon the balance sheet and cash flow movements. Starting with working capital. Working capital was slightly higher during H1 FY '25 at 176 days. We had indicated in our previous calls on increased receivables days. We have also been required to build up some levels of inventory in order to meet the delay in order servicing of Q2 FY '25.
Coming to capital expenditure. Capex for the quarter was INR 43 crores, for H1 it was at INR86 cores. As Dr. Yasir mentioned, our additional capacities of 208 KL at Ankleshwar and 18 KL of pharma capacity at Dahej started operations in Q2 FY '25.
We continue to remain a net debt free company, and I'm happy to inform you that we have gener ated strong cash flow from operations of INR 134 crores in the first half of FY '25, with cash and cash equivalents of INR 446 crores on the books as of 30th September 2024.
In conclusion, despite the temporary setback, we encountered, we are confident that our robust demand environment, along with improved visibility of H2 FY '25 will enable us to achieve strong growth for the year.

With that, let us open the floor for Q&A.
Moderator: Thank you very much. The first question is from Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : Sir, if I leave this Ankleshwar for the time being, then otherwise, what's the outlook in terms of the, let's say, pricing and inventory level for the products in the Glenmark Life Scien ces' portfolio?
Yasir Rawjee: You're talking in general or for the second half?
Tushar Manudhane : In first place in -- for the quarter -- second quarter and subsequently for the second half FY '25.
Yasir Rawjee: You'll have to help me out a little bit. I n eed to -- can you repeat your question, please?

Tushar Manudhane : Sir, I'm asking that the kind of revenue decline that we have seen. So if I leave aside the Ankleshwar temporary closure facility issue, which impacted our business, and if I leave aside that aspect, then how has been, let's say, the pricing for the APIs for sale and inventory level at the industry level for the products in the Glenmark Life Sciences portfolio?
Yasir Rawjee: Okay. So the thing is the revenue decline is not on account of prici ng. I mean if that's where you're going. It's basically the volume servicing did not happen because of production loss . So our pricing has been very stable across our markets . And you could see that reflected even in the margin . Otherwise, it would have hi t some margin if our pricing would have been problematic. Going forward also, we expect that, that's going to continue . Does that answer your question?
Tushar Manudhane : Yes, sir. Understood. So subsequently, safe to assume that the inventory at the industry level are also pretty stable as far as the product portfolio is concerned. Not too much of disruption on account of this geopolitical tension or issues?
Yasir Rawjee: See, we did indicate in previous calls also that we are being a little careful and building up a little extra inventory because of these geopolitical issues, which have also led to a littl

e longer time in terms of shipments and so on getting to us. So with all that, we needed to be careful right? And now because you asked the inventor y question, our sort of planning for H2 is -- I mean, we normally plan on a quarter cycle, but we've sort of put our planning for both Q3 and Q4, so built up a little more inventory so that we can cover the loss of production in Q2.
Tushar Manudhane : Under stood, sir. Understood. And lastly, with respect to this, the multiyear definitive agreement which we have signed for which the supply is expected to commence from Q4 FY '25 while not sharing details, maybe just to understand, so this is more to do with the innovator product, which is like sort of under patent or it's a generic product for innovator, if you could just share?
Yasir Rawjee: So we put in the deck that 1 CDMO project is going to kick off from Q3 itself . And that's again to an innovator . And ano ther one we expect will start commercial supplies in Q4. Now that may get a little pushed out. I can't unfortunately give you too many product details, but they are both with innovators.
Tushar Manudhane : And patented or the generic?

Yasir Rawjee: So they -- the innovators have the patent . Not us.
Tushar Manudhane : No, no, obviously, obviously. But currently, they are still patented, is what I'm trying to understand?
Yasir Rawjee: Let's not get into too much detail there. I mean I can tell you that they hav e -- the innovators have a strong position in the market.
Moderator: The next question is from the line of Charul Agrawal from Bank of America.
Charul Agrawal: My first question is regarding the overall growth. So the guidance for the year has been given at high single digit. If I remember correctly, this was low teens earlier. So I wanted to understand what is leading -- what has led to the change in there?
Yasir Rawjee: Okay. So, Charul, basically, we are seeing a little bit of softness in LatAm, primari ly driven by the Argentina business . Due to the currency, the foreign exchange controls that the new government has imposed, our customers have started operating with very thin inventories. And so there's quite a bit of destocking that is happening in the Argentinian market. So Lat Am will see softness this year. And we can see that reflected in the order book and so on.
And that's why we believe that there will -- we will have this challenge. Plus this production loss, while we've made up some in Q2 and we expect that we will make up the remaining in the second half, some low -margin products may have to take a back seat, okay, in terms of servicing.
So we'll see how that goes . But just to be on the safe side, we wanted to put that out .
Charul Agrawal: Got it. So sir, like given that the FY '25 base now becomes comparatively lower, how should we think about the medium -term growth? Like, should we expect higher growth in the upcoming years, given the base?
Yasir Rawjee: Yes. I think, we can and we should. Because like I mentioned to the earlier questioner that both the CDMO projects are kicking -- the newer CDMO projects are kicking in. That will contribute very nicely. Plus, at the regional level, we have a few launches also that are coming up in -- from the Indian customers for North America, plus Russia and a few other markets. So we expect a good number of launches later this year as well as next year, which will drive further growth. And our base b usiness remains very steady in terms of demand, except this Argentinian situation that I just spelled out.
Charul Agrawal: Sir, my next question is on the gross margin. So there has been quite a bit of improvement. You have mentioned that part of this was because of the mix, but could you help us understand this in more nuance because the CDMO has been a bit weaker Q -o-Q despite that gross margin has improved. So -- and eve

n the GPL business is higher. So if you could explain what kind of
products are drivi ng this positive mix change?
Yasir Rawjee: So we had 2 launches this quarter. One was for a U.S. launch with one of our Indian customers . And that has gone very well, okay, and has had a very good margin contribution . And another launch is the Russian -- a product in Russia, okay, which has also got started off in Q2. So I would say, you're right. I mean, typically, it's the higher CDMO that drives the better margin .

But CDMO -- in spite of CDMO being lower, we were still able to deliver a very healthy gros s margin, but that's primarily because of these 2 launches. And like I said in my earlier thing that our pricing is very stable across the regions.
Charul Agrawal: Sir, one last question from me, if I may. Sir, on the 2 CDMO projects, could you indicate the peak potential, the kind of revenue potential you see from these?
Yasir Rawjee: Okay. So on average, I believe that both these products once they are stable, right, they reach their peak potential. We should see between these 2 projects around $12 million of revenue.
Charul Agrawal: And this you would expect sometime in FY '26 or later?
Yasir Rawjee: FY '26 -- I think second half FY '26, all the markets should get regul atory approvals. And in H2, we should see the full potential on both these projects.
Moderator: The next question is from Suhag Patel, who's an individual investor.
Suhag Patel: Sir, a couple of questions on the CDMO and the growth outlook. So whatever CDMO you have mentioned in the deck, are these the new sign -up? Or these are some of the o nes which you have already anno unced like the Japanese innovator where you already tied up, if you can clarify on that?
Yasir Rawjee: These are already announced ones, but they're commercial. What we are reporting is that commercially, the fourth project i s going to start in Q3. And yes, that's what we're reporting on the 2 projects that we had already informed you earlier.
Suhag Patel: Okay. So second question is on the guidance, which we gave earlier in the year. So as you may know, I think last 4, 5 quarters have been very volatile as far as the given guidance and what is actually happening on ground? While we all understand there was a closure in Ankleshwar and that impacted our performance. But even if you see , even before that also, last year also, whatever guidance we gave, at the end we were actually very -- below par debt. So just wanted to understand what kind of visibility we have and why there is so much fluctuation?
I understand that business dynamics are changing and everything. But when we are talking quarter -on-quarter, till last quarter, we were talking that, okay, we will be able to factor in the losses of Ankleshwar in the quarter itself, and there will not be having material impact. But now we ar e saying that our growth in this year itself will be high single digit compared to the earlier given guidance at the start of the year of mid -teens. So if you can please throw some light on that?
Yasir Rawjee: So I already answered to Charul that there are basically some market softness in LatAm, that is impacting us on the demand side. And on the servicing side, we hope to sort of cover up everything by the end of the year, but you realize that our capacities have been operating at around 95%. And so we'll have to do a bit of pick and choose in terms of letting go some low - margin business.

If we recover capacity, then we might be able to pull up the top line a little bit more. But let's see how it goes. I mean, as things stand now, we believe that it is be tter to readjust that guidance.
Suhag Patel: Understood, sir. So see, the added capacity in Q2 for Ankleshwar and Dahej, will it help? As you said, we are already operating at 90% on the existing capacity. So are you factoring in the added capacity when yo u say 90% or that will be something which will be coming on stream now?
Yasir Rawjee: It's come on stream, but then it was factored already. I mean, It's not as if this has just come out of nowhere . It was factored for this year's volumes.
Suhag Patel: Okay. So with that, you are saying we are operating at 90%?
Yasir Rawjee: Yes, that's correct.
Moderator: Next question is from S .M. Kumar, who is an individual investor.
S.M. Kumar : Congratulations for a great set of numbers. Just I would like to know about how much gross debt as of now?
Yasir Rawjee: We are a debt -free company. We are not -- we don't have any debt.
Moderator: The next question is from Ahmed Madha from Unifi Capital.
Ahmed Madha: First, on the capex part. So if I look at first half, we have d one about INR85 crores, INR 86 crores

of capex . So will we able to do entire INR 350 crores as guided for the full year?
Yasir Rawjee: See, it's likely that we may come a little lower. There is one land purchase that we have for R&D. And I mean, if we -- if that comes through, and it's very likely that it will come through, then
we'll be close to around INR 300 -- between INR300 crores and INR350 crores. So yes, we are
pretty confident that it will happen.
Ahmed Madha: Okay. Got it. And just to understand the second quarter numbers better and the second half
numbers. So even if going by the high single -digit growth rate guidance, it implies more than
20% growth in second half. So could you quantify 2 data points for us. One is, what was the
quantum of production loss in Q2? And second, when you say you have a good order book, if
it's possible to quantify, please do it. Otherwise, what is giving you confidence to grow 20% plus in second half? More color on that will be hel pful.
Yasir Rawjee: Okay. So what we lost in terms of production volume, we've nearly made that up in Q2, which
will add in second half . Plus, we have these launches that I also mentioned in Russia as well as
for the U.S. . That will continue. And then the CDMO project, the fourth CDMO project, we
already have orders for both Q3 and Q4 to fulfill. And overall business outlook, the demand is
pretty good, except for this Argentinian situation. So I believe that, yes, we'll make up the sort
of loss that we had in Q2 on account of servicing. But -- and then that will add to Q2 -- H2. And
then H2 on its own is pretty good.

Ahmed Madha: Okay. Got it. And in terms of margins, are we facing any headwinds in terms of freight cost or
high raw material prices as such? O r we're able to maintain the current level of gross margins
and EBITDA margin subject to product mix?
Yasir Rawjee: Yes. So gross margins should track at this level now . As far as the freight issue, it has been there
because we are paying a lot more for ai rfreight now than we were paying earlier in the year. And
while it's a relatively small number, it still -- there's still some contribution. We're trying to see
how we sort of mitigate that with customers and try to get that back from them, but let's see . We
can't do that necessarily with everyone.
But yes, just to sort of put it in context, we've been guiding between 52% and 55% on the gross margin side. So that we'll maintain. I don't see any challenge there at all.
Moderator: Next question is from Harsh al Patil from Mirae Asset Capital Markets.
Harshal Patil: Just one qualitative input I wanted was basically for the CDMO business. While we are quite
confident of the new projects taking shape and growing steadily, I just wanted your qualitative
comments o n the traction in the base business where we were operating the 3 projects? And do
we see any pickup in the run rate or just demand scenario building up? So any commen

ts around
that would be helpful, sir.
Yasir Rawjee: Yes. So see, on the CDMO base busines s, which is on 3 projects, we've always sort of cautioned
that this is a lumpy business . The demand go up and down. And some of our servicing issues
have also impacted the CDMO business. So it's not as if CDMO was fully serviced . We have
CDMO orders that w e were not able to service in this quarter, but we'll make it up in the early
part of Q3 itself . So that customers don't fall short on their side. So that remains intact.
We are not seeing upswing there . Although there has in one of the projects been an a dditional
indication added. But that's been a little slow to pick up. So as of now, our visibility on the base
CDMO business, which is the 3 existing projects remains intact. And I don't want to sort of
stretch my neck out and say it's going to be better, but then the newer CDMO bus inesses will
add.
Harshal Patil: Got that, sir. Got that. That's helpful. Sir, just one clarification. You said that the potential from
the 2 new projects collectively $12 million at peak .
Yasir Rawjee: Yes, that's around second half of next year.
Moderator: Next question is from Tarang from Old Bridge.
Tarang: Doctor, just a question on the HP API pipeline. For molecules, which are validated, typically, is
there a reasonable way to forecast in terms of the time line by when you could see commercial
supplie s? And similarly, for an advanced stage molecule, how much time does it take to then
eventually get validated? I mean, is there a thumb rule that you work with or it's really difficult
to forecast because it's obviously dependent on what's happening at the front end?

Yasir Rawjee: Okay. So I'll tell you what. Let me answer the second question first . So when it's in advanced,
it's basically lined up to get validated in the plant, but that is driven by demand from customers .

So if, let's say, on the R&D prior ity, we have priority 1 to 6 is done or let's say, 7 to 12. And we can push it in into production. But then there are customer demands that are asking for project #9, then 7 and 8 would have to wait. Because I would much rather -- because, again, here, what happens is it's the customer that sort of drives the priority. You get that .
Tarang: Yes.
Yasir Rawjee: So that's it because, again, R&D time lines at the customer's end also can be pretty tight . And so we don't want to sort of disadvantage the customer and make them wait for too long. That's the answer to your second question. As far as the overall pipeline and what's the commercial potential. See, the thing is that we expect a good 7, 8 molecules to sort of commercialize in the next 2 to 5 years . So th ere will be a pretty good hit rate on the high potent pipeline. In fact, no, on onco, it will be about 7 to 8 molecules, and there'll be another 3 to 4 molecules on the HP API, non- onco, high potent. So we are looking at about 11 -- 10 to 11 molecules that would commercialize.
Tarang: This will be over a span of next?
Yasir Rawjee: 2 to 5 years.
Tarang: Okay. And in terms of cross -geography approvals for these products, I mean, that process is on . So when you say validated, is it meant for a specific customer in a specific market, which could be any geography? Or is it specifically U.S.?
Yasir Rawjee: See, typically, the pattern of development is to target those markets first. And depending on patent expiries, then we also chase the other markets . Because there, you have an advantage. Even if it's an earlier patent expiry, the approval time line is not that high. So you're still able to catch that business in time. You see, I mean, that's the thing. So it's very funny. It's kind of -- it's reversed .
A patent, like in the U.S. and Europe, many times the patent time line is a little far out. It's far out. But then because of N

CE minus 1 and so on, you have to catch the filing date . So there, there is that race and so we want to get that done and out of the way kind of, all right? But then, there may be an earlier patent expiry in non -European and non-North American markets . But then you have time to kind of service those customers. So that's typically a pattern.
Typically . I mean, we may do something for a Japanese market, for example, where we are already late for the U.S. market. But then that's a few, not too many. Typically, our entire pipeline is sort of geared up to target all the global customer s.
Tarang: Correct. So, question is specifically like, for instance, the HP API pipeline the 6 molecules that have been validated.
Yasir Rawjee: Yes. Did we lose him? Hello, Tarang, I can't hear you. Yes, I think we lost him.

Moderator: Yes, there seems t o be no response from the line of Tarang. We'll move to the next question. Our next question is from Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: One quick question on -- there has been some feedback that in the recent CPHI exhibition, the Chinese sort of coming back hard on some of the commodity APIs. I mean, any feedback on your sort of impressions on that? Is there a likelihood of Chinese competition increasing meaningfully in APIs as we go along?
Yasir Rawjee: Yes, that is there. Nit in, that is there. The Chinese players are being extremely aggressive in offering prices in the market . Again, for us, it has a much lesser impact . So because less than 20% of our business is in the emerging markets, where the regulatory framework is not t hat stringent. But then the regulatory framework, then it's a different ball game, where in the reg market. So while we are not impacted, you're absolutely right that the Chinese players have been aggressive, very aggressive . And the -- basically, they're just playing a price game. Let's see how that pans out in the long run.
Nitin Agarwal: And for our business, as these things stand today, assuming, once we start to look out beyond F '25, we are comfortable in terms of going back to older guidance around e arly double -digit growth in generics and much faster growth in CDMO?
Yasir Rawjee: Yes. I mean, look, CDMO, like I said, we're moving from 3 projects to 5 projects next year. So the base goes up. I mean, certainly, the lumpiness also will reduce because of a larger number of projects . We have quite a few launches coming up in the next year and even in the following year. So all this put together should give us a much better growth going forward.
Nitin Agarwal: And lastly, on CDMO, has there been any changes in the kind of conversations we've been having with your customers? I mean, there is this whole thing about Biosecure and the impact it's having for late -stage and early -stage products. So any pickup, any change in the nature of the conversations that you've been having?
Yasir Rawjee: Yes. I mean, I've said this before in different forums, but Biosecure Act is certainly going to help us . Indian companies in general. And we are seeing that sort of wind blowing in this direction.
Moderator: Next question is from Aejas Lakhani from Unifi Capital.

Aejas Lakhani: Dr. Rawjee, could you please help me triangulate how we are expecting this 20% kind of growth in the second half? Is it that the 2 molecules that you got approved in -- with customers in the U.S. and Ru ssia? Is that likely to ramp up significantly? And is that what is giving you the visibility to call out this high single -digit growth for '25?
Yasir Rawjee: Okay. So look, I mean, I mentioned it earlier, I don't recall to whom. But basically, there is a significant revenue that should have been recognized in Q2. It's falling into Q3, correct? So you take that as one component .
Then there is the newer businesses 1 -- in 1 CDM

O in case of 1 CDMO, both in Q3, Q4. I mentioned that we have -- we already have P Os for that supplier. So because our customer has

received the regulatory approvals, you add that and then you -- we have these 2 launches also that have happened and have contributed well to this quarter and are likely to contribute well to the coming qua rters as well.
So plus the base, except again -- except the Argentina piece, it's continuing to sort of deliver at a regular rate. So I'm not seeing any challenge in being able to deliver at high single digits over the year.
Aejas Lakhani: Got it. Dr. Rawjee, that's helpful. And Dr. Rawjee what is the percentage of Argentina business, if you could sort of quantify it at a yearly level or at a quarterly level?
Yasir Rawjee: I think we'll leave that for now . I mean -- yes, if you don't mind. Yes, thanks.
Moderator: Next question is from Alankar Garude from Kotak Institutional Equities.
Alankar Garude: Sir, firstly, can you take us through the progress so far in developing the newer technologies? What I mean is, by when do you expect these to come on strea m? When do you expect to showcase these to your clients?
Yasir Rawjee: Okay. So Alankar, we were hoping to take qualification batches of our U.S. sort of flow chemistry project in October itself, but that's been pushed out because of we've got to cover up a lot of servicing . Because the downstream equipment is common. So we've got this technology on the flow side . But then on the downstream side, we'll get a little tight. So we're trying to figure it out, but hopefully, we should be able to do qualification batches in December itself. Let's see how that goes. I mean we are still hopeful.
Alankar Garude: And anything else which you would like to highlight apart from flow chemistry? Maybe not just over the near term, but if I look at the next year or so, maybe a couple of years? Any time lines which we should track?
Yasir Rawjee: So another platform that we are going to sort of introduce next year has already sort of started off at the lab scale. It's already on . We're developing the products . And we even offer ed it to some of the customers at CPHI . And we're getting good traction there. So a little early to sort of put that out there right now, Alankar, but I mean, maybe in a couple of quarters, we can give you a lot more color in terms of how that is progressi ng.
Alankar Garude: Understood, sir. The second one was more of a clarification. When you say stable margins through the year in FY '25, what exactly do we mean because you are at about 29.5% and about 27% EBITDA margins, excluding other income in FY '24 a nd first half FY '25, respectively. So are we looking at more of margins being closer to FY '24 or the first half or the full year FY '25?
Tushar Mistry: Alankar, in FY '24, we also had the benefit of PLI as we had mentioned earlier. So obviously, that benefit is -- if you exclude that benefit, then we should be within that range that we were there.
Moderator: Next question is from Alisha Mahaw ala from Envision Capital.

Alisha Mahaw ala: Just needed a little bit more understanding. You're saying that incl uding the incremental capex at a Dahej and Ankleshwar, the debottlenecking, we are at 95% utilization. Solapur is expected in '27. Will there not be capacity constrained in '26 to achieve the kind of growth that we're talking about?
Yasir Rawjee: Okay. Ali sha, let me -- let's break it up. So this capacity that got introduced in Q2 will certainly help us going forward for a much higher volume deliveries in this year itself and then going forward. What we are doing in terms of further brownfield and that's there in our investor deck,
I believe, it's there, right, where we are adding further pharma capacity in Ankle

shwar.
So if you go to our investor deck, we are saying that we have added -- we are planning to add an

extra 60 KL of pharma capacity in FY '26 . That will help us in a big way . And then, we are planning to do -- basically do 160-kiloliter capacity overall in Dahej, and that will also come online in FY '26. That work is ongoing right now.

But you're right, I mean, with the kind of volumes that we'll have to service, we will still, sort of -- until Solapur comes in and kicks in, we will still be kind of going neck to neck on capacity. FY '26 we should come through because we are hopeful that even Solapur will kind of -- this first 200 KL of capacity w ill come online by the end of Q3 in FY '26.

Alisha Mahaw ala: And the second question, again, is a clarification. The second CDMO project, which you said was supposed to take off in Q4, there is some delay maybe that is expected. So is that just by a quarte r or 2? Or what is the understanding there?

Yasir Rawjee: It's just regulatory approvals, which we cannot predict really . I mean, in fact, this fourth project that came like we -- like I said, we have orders -- our order book is, I mean, we've got POs already for Q3 and Q4. That came very, I mean, just out of the blue, really. I mean, in the sense that they are like, okay, we got our approvals when can you supply? I mean that's the kind of conversation that comes -- that happens sometimes.

So we are tracking it. And we even planned like this extra capacity . Should be able to take care of it and even for the fifth project. So -- but that may get pushed out. I have a feeling it may. From Q4, it may get pushed out into first half of next year because it's all driven by regulators, I mean, we don't really control anything there, neither does the customer really.

Alisha Mahawla: So the one starting in Q3, certain and the Q4 dependent on approvals could maybe move around a little bit?

Yasir Rawjee: Yes, yes.

Moderator: Next question is from Charul Agrawal from Bank of America.

Charul Agrawal: Sir, in terms of gross margins, you mentioned that you will retain the full year guidance of 52% to 52.5%. But given how we have seen a strong 2Q and you are capacity constrained and their new launches as well, do you see an upside risk to it, given that we might have the benefit of choosing to not pursue the lower -margin projects?

Yasir Rawjee: See, that would be the sort of worst choice we make, Charul. I mean, obviously, any business would do that . Any manufacturing business would do that, where if we are seeing that we are capacity constrained, we may let go some ROW business with lower margin. So that -- if that does happen, unfortunately, I mean, we try not to let that happen. But let's say that does happen, then, yes, I th ink you are going in the right direction. I won't put a number at this point.

Charul Agrawal: Okay. So another question on CDMO, while you have indicated the projects that are there, but are there some other projects that are in advanced discussions?

Yasir Rawjee: Yes. There is a few CDMO projects that we are in discussions . We haven't locked in anything yet. But again, what happens is that once a decision is made is when we know that, yes, okay, we got selected . Because there's competition . I mean we are n ot the only ones bidding for those projects. So it's a kind of a step function here . It's a 1 or a 0 . So right now, you're still 0, even though you are discussing so many things . But then, it -- if it -- we might certainly hear that, okay, the customer sel ected us. At that point, if it's material, we'll inform the stock exchange, and you'll know about it.

Charul Agrawal: Okay. But any rough indication that maybe a couple of projects will start next year or any ballpark on that aspect?

Yasir Rawjee: Okay. Le t's say, I mean, we hope to have something in next

financial year or hear something in next financial year. Let's see. I mean it's very difficult to say . Because they have a longish process in terms of how the selection works. There are -- because typicall y, innovators don't work like generic companies . There's a lot of focus on business continuity diligence . And this whole business continuity diligence takes a lot of time . Not predictable.

Moderator: The next question is from Shara d Jatankumar from ELA Consulting.

Sharad Jatankumar : I've been an investor for the last 2 years. My question is in FY '22, with 765 KL capacity we did INR2,000- plus crores in top line and close to a similar bottom line. And with -- we spent over INR500 crores in capex spend, doubling our capacity and our top line and bottom line is still the same. Can you explain this, please?

Yasir Rawjee: See, firstly, we've not spent INR 500 crores in the last 2 years . And there is a lag. There is a lag in the way the capex pans out . So if I spend the money this year, I mean, very likely, I won't even see it next year . I mean, in this year. So the point here is that we've got to keep that fact in mind. We've spent closer to INR300 crores, in fact, under INR 300 crores, not INR500 crore s in the last 2 years . This is something you need to factor. Plus a fair amount of that money has gone in projects which have a longer gestation to begin with.

So, I mean, we've got to put the numbers in the right perspective. The point here is that our

capacities that are coming online are getting utilized and are contributing to top line as well as bottom line. So we can probably have a discussion offline. We'll give you the numbers and how that sort of stacks up, but this -- you need to go back and look at your numbers again.
Sharad Jatankumar : Okay. Sure, I appreciate it. So maybe leave out the capex numbers just for the moment, what is adding to the confusion is just from the earlier part of this call where we are saying that we are

close to 95% capacity utilization on the current capacity . So which assumes that Ankleshwar and Dahej, whatever we have commissioned so far, if we are at 95% utilization and our top line and bottom line are still not -- the needle has not moved too much. That is what is sli ghtly worrying. So if it's okay with you, I will drop an e -mail to Corporate Communications and Investor Relations, and would love to reach out offline as well.
Yasir Rawjee: Sure. Not a problem. Please do that, yes.
Moderator: Thank you very much. That wa s the last question. On behalf of Glenmark Life Sciences, that concludes the conference. Thank you for joining us, ladies and gentlemen, you may now disconnect your lines.

Call: Jan 2025

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ww.alivus.com January 30 , 2025

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: GLS
Dear Sirs,
Sub: Transcript of Earning s Call
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning s Call held on Thursday , January 23, 2025 for the third quarter and nine months ended December 31, 2024 is available on website of the Company at: www.alivus.com/alivus_pdfs/investors/financials/repo
rts_presentation/Alivus_Earnings_Call_Tran
script_Jan23_2025.pdf

The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Alivus Life Sciences Limited
(formerly known as Glenmark Life Sciences Limited)

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Alivus Life Sciences Limited - Q3 FY'25 Earnings Conference
Call"

January 23, 2025

MANAGEMENT : DR. YASIR RAWJEE , MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , ALIVUS LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY , CHIEF FINANCIAL OFFICER ,
ALIVUS LIFE SCIENCES LIMITED
MS. SOUMI RAO – ALIVUS LIFE SCIENCES LIMITED

Alivus Life Sciences Limited
January 23, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Ali vus Life Sciences Limited, (formerly

Glenmark Life Sciences Limited) Q3 F Y'25 Earnings Conference Call .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now ha nd the confidence over to Ms . Soumi Rao. Thank you and over to Ms. Rao.
Soumi Rao : Good evening , everyone. I welcome you all to the Earnings Call of Alivus Life Sciences Limit ed, formerly Glenmark Life Sciences, for the quarter ended December 31st, 2024.
From Alivus Life Sciences , we have with us D r. Yasir Ra wjee – our M .D. and CEO, and Mr. Tushar Mistry – our CFO .
Our board has approved the results for the quarter ended Decemb er 31st, 2024. We have released the same to the stock exchanges and updated it on our website.
Please note that the recording of the transcript of this call will be available on the website of the company , www.alivus.com .
Now , I would like to draw your attention to the fact that some of the information shared as part of this call , especially information with respect to our plans and strategies, may contain certain forward - looking statements that involve risks and uncertainties. These s tatements are based on current expect ations, f orecasts and assumptions that are subject to risks which could cause actual results to differ materially from these statements depending upon economic c onditions, government policies and other incidental factor s. Such statements should not be regarded by recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward -looking statement, whether as a result of new information, future events or otherwise. Our a ctual results may differ materially from those expressed in or implied by the forward -looking statements.
With that, I invite “Dr. Yasir Rawjee to give the Opening Remarks. ” Thank you and over to you, Dr . Rawjee.
Dr. Yasir Ra wjee : Thank you , Soumi. Good evening, everyone, and welcome to our Q3 Earnings Call . I would like to extend warm wishes from Alivus for the New Year to each of you.
It marks a notable milestone for us as we officially transition to Alivus Life Sciences. This name change reflects our deep commitment to creating life enhancing solutions . Alivus derived from the

root word, life , embodies our aspiration to kindle hope, improve health and help people live fuller lives. This rebranding signifies a new phase in our journey as we continue to innovate and grow.
Moving on, let me turn to the broader industry shaping our business :
Within the pharma industry, we observe steady growth driven by increased outsourcing, rising demand for specialized APIs and supply chain diversification to reduce dependency on single regions. The industry is also witnessing growth in the areas of sustainable manufacturing and advanced technologies.
Now , focusing on our performance for the quarter :
We reported revenues of 642 crores , a growth of 12% Y oY and 27% QoQ. This was driven by both GPL and non -GPL business, which grew 15% YoY and 11% Y oY respectively. Generic business grew by 16.9% YoY .
From the geography perspective, regions like India, Europe , ROW and Japan have contributed to this growth. While w e were able to recover some of the spill revenues of Q2 during this quarter, some portion will be recoverable in Q4. Our CDMO showed encouraging Q oQ growth of 25%, whereas the year -on-year growth is subdued due to the cyclical nature of the demand.
Coming to our profits for the quarter :
We reported a gross

margin of 55.6%, which is in line with our earlier guidance. Our EBITDA margin for the quarter was 31.3% , up 90 basis points YoY and 310 basis points QoQ. This is essentially a result of better product mix with stable expenses.
Our pipeline remains robust with over 548 DMF and C EP filings globally as o n December 31st, 2024. Our high potent API pipeline with a significant market opportunity continues to advance with multiple products in various stages of development. We have 21 products today with a total addressable market of 45 billion with six products having been validated and six more products in advanced stages of development. Our quest for high quality innovative solutions and scalability continues in order to build a sustainable business over the long term.
With this, I now turn the floor to our CFO, Mr. Tushar Mistr y, to provide a Detailed Overview of our Financial Performance for the Quarter. Over to you, Tushar.
Tushar Mistry: Thank you, Dr. Good evening. Welcome to our Q3 and Nine Months FY25 Earnings Call .

I would like to briefly touch upon the “Key Performance Highlights for the Quarter and Nine Months ended 31st December 2024 ” and then we'll open the floor for “Questions -and-answers. ”

Our revenue for o perations for the quarter stood at Rs. 642 crores, a growth of 12% YoY a nd 26.6% on a sequential basis. The gross profit for the quarter was at R s.357 crores , up 7.9% YoY and 26.6% sequentially. The gross margins for the quarter stood at 55.6%. EBITDA f or the quarter was at R s.201 crores, up 15.2% YoY and 40.5% sequentially. The EBITDA margin for the quarter was at 31.3% , up 90 basis points YoY and 310 basis points QoQ , driven by better product mix. And the PAT for the quarter st ood at 137 crore s with PAT margins coming at 21.3%.

Let me quickly discuss the nine months financial year numbers as well :

Revenue f rom operations remain flat over nine months FY '24 at Rs.1,737 crores. Gross profit was at Rs.939 crores and gross margins were at 54.1 %. EBITDA a t 509 crores with margins at 29.3%. PAT was at Rs.344 crores with PAT margins of 19.8%.

Looking at the Therapeutic Mix , CVS & CNS continue s to lead the growth during the quarter, with both therapies collectively contributing 58% to the top line.

R&D expenditure for nine months was at 56 crores, which was 3.2% of our sales . For the quarter, it was Rs. 20 crores .

Touching upon the balance sheet and cash flow mo vement , the working capital days were at 182 days as of December 2024.

Coming to capital expenditure :

We invested Rs.33 crores during the quarter , while the total investment for nine m onths w ere Rs.119 crores.

We continue to remain a net debt -free company, and I am happy to inform you that we have generated a strong cash flow from operations of Rs.184 crores in nine months FY '25 with cash and cash equivalents including short -term investments of Rs.499 crores as of 31st December 2024.

In conclusion, I would like to say that we are optimistic of the future trajectory on the back of the steady demand environment.

With that, let us open the floor for Q&A.

Moderator : We will now begin the question -and-answer session. First question comes from the line of A hmed Madha with Unifi Capital . Please go ahead.

Ahmed Madha: My first question is on the CDMO business . Despite the contribution from the fourth project deal, the absolute n umber still looks subdued . So, can you explain on this? And secondly, do you expect this number to scale up materially in Q4 with the new project ?

Dr. Yasir Rawjee: So. CDMO , the fourth project has kicked in, but it's just k icked in , right? So, materially, it's not that significant in terms of contribution . And the three projects that we have explained before , that they do have a cyclical nature in te

rms of demand and so owing to weaker demand, right , we have seen CDMO not pick up as much as we had anticipated, but going forward, I believe that this is going t o get better from next quarter onwards, but again on a QoQ basis just given the fact that we don't have that many number of projects, we would see a cyclical performance on the CDM O segment .

Ahmed Madha: Second question is what is your current capacity uti lization and did the 208 KL addition in Ankles hwar contribute in the current quarter also?

Dr. Yasir Rawjee: The 208 KL addition of capacity has contributed, but mind you, that's an intermediate capacity . And typically, we look at our finished API capacity when we are looking at sort of scaling up. However, it does matter but still in terms of connecting , we look a t the API finish capacity . The utilization has been around the 90% level that we usually are at.

Ahmed Madha : If I look at the OPEX number, the OPEX growth is slightly ahead of our top line growth. So , is there any element of one-off or anything as such or is this part of growth….

Tushar Mistry : So, Ahmed , some part of it is in line with the growth in the revenue numbers. But of course, there is some element of one -time as we are looking at some transition costs getting incurred in Q3 as well as in Q 4. Some small element of that is there . And there was some higher cost on the sales and mark eting front also in this current quarter.

Ahmed Madha: Can you quantify the one-off transition cost?

Tushar Mistry: Transition cost would be in the range of about 3 to 4 crores in this current quarter,

Moderator : Next question comes from the line of Sajal Kapoor with Antifragile Thinking . Please go ahead.

Sajal Kapoor : Happy to see some recovery in CDMO and hopefully it should get better from here . Just a couple of questions really and one which two, three things will not change in this new avatar and what do you think must change to strengthen the business?

Dr. Yasir Rawjee: So, our approach to the portfolio right in terms of chasing higher value opportunities is something that we will continue. The geogra phic diversification that has made our business very stable, I would say, is also something that's a win and that's also something that we would continue to drive. As far as operational efficiency , I think we do a good job, but there's certainly room to do more. So, these are the sort of business operations and R&D elements that would stay intact because these are the things that have really helped us to continue to build a sustainable business , right. What will change though is that given the fact that we are able to invest more in the business, our approach will be to build new levers to drive further growth . So, this is important especially in light of the fact that in the past the investment that we have made has been largely limited to increasing capaci ties just to service the business. The only exception I would say is that when we introduced the oncology platform, this was 2.5 years ago , and that also has paid rich dividends in terms of the portfolio that we have been able to build and the business int erests that we have been able to generate. So, given that kind of uptick potential in the business by building new platforms, it's very clear to us that we need to build in that direction in terms of new platforms so that , that can fuel further growth and then we are positioned well because we do have the ability now to invest more. Do me a favor ; don't ask me what that is going to be ? Okay? Because I am not going to tell anyone this , right? Simply because I mean we have a lot of things in the pipeline that we're thinking of. Some of them we are even ready to implement. But it's a generic business and there's a lot of copycat culture in our industry. So, we'd like to keep it a little q uiet while we build thes

e platforms to fuel for growth . So, I think that
summarizes , Sajal . This is how we're going to sort of go forward while keeping a very strong element of our current DNA intact.

Sajal Kapoor: That's a very thoughtful response and I w asn't expecting anything less from you, Dr. Ra wjee. So, thank you for illustrating your vision out there. And I also appreciate why you need to keep this strategy close to your heart for now you're not revealing it, and I completely appreciate that. And last question is USFDA has not audited our plan ts for several years . So, I understand how difficult it is to estimate the time of the audit. But how can we interpret the relatively low frequency of USFDA audits on our facilities vis-à-vis some of the other API plan ts that they have visited twice in two years kind of a frequency , I mean , how do you read into this?

Dr. Yasir Rawjee: Well, we do understand a little more than just sort of guessing, right , and that is these agencies talk to each other . Okay? I happen to have interacted with some investigators , right, i nformally, and basically because they share information, right , it's the risk ladder that they b uild, right, so their frequency goes up when they sense a riski er company and their frequency , we go down in their ladder in terms of the frequency of audits. We have had successful audits from Japanese PMDA recently , we have had successful audits from ANVISA Brazil recently and these are all agencies that talk to each other . So, we expect that FDA should come. It's been a while. So, based on the fact that it's been a while and we have had quite a number of filings, we believe that this will happen. The good news

for us is that our approvals in our facilities are not being stopped. Our customers continue to get approvals and so it's not hampering business, but ye s, I mean it would be nice to have the USFDA come in and take a look at us and sort of we can move forward from there.

Sajal Kapoor: And this PMDA was th at for Dahej or Ankleshwar?

Dr. Yasir Rawjee: PMDA was Dahej, ANVISA was Ankleshwar.

Sajal Kapoor: Both a re good agencies, I mean, even Brazilians are very particular . That's good to hear and look forward to the next quarte r and of course understanding what platforms is it that you would be revealing by?

Moderator: Next question comes from the line of Harsh Shah with Reera Holdings. Please go ahead.

Harsh Shah : Just wanted to get an understanding about how much your onco blocks are contributing, because when I look at Alivus Life revenue, I presume onco would be in the other line items. It is 33%, 34%. Just wanted to get an understanding how much is onco contributing and is there a thought process that we can give out a separate line of onco block just like we give it for cardio , CNS , diabetes?

Dr. Yasir Rawjee: You have been pretty muddled , your voice that came through. But I understand you're asking us about how much has onco contributed? Is that your question?

Harsh Shah: Yes, that is correct.

Dr. Yasir Rawjee: So, see, the thing is that with onco, we are currently in the seeding stage . Okay? So, we have got six products validated and these are all going to customers who would eventually launch with these APIs, and w e have another six that we will be validating soon. So, that will be 12 APIs in a short time that would have been se eded with multiple customers . Commercially, they have not contributed a lot because we have only supplied exhibit batch quantities to customers. There h as been some revenue from onco as a result of that . But we are not yet in the commercial phase with respect to our oncology pipeline as yet.

Harsh Shah: So, when y ou say that the market size of the 12 drugs which are under various stages of development is $45 billion , so what would be the API market size out of that?

Dr. Yasir Rawjee:

You know what , this is a surrogate mark up. Okay? Let's understand that most of thi s $48 billion , right, is basically an innovator market play. So, let me help you to break it down . Okay? So, if you then look at what would this market size look like when the generics happen, it's going to reduce very significantly and then the API is a s ubset of that. O kay? So, you have a price erosion when generic

launches happen to the extent of 95% -plus. But what this does, w hy we sort of give you the total addressable market, right , is basically to give a sense in terms of what we are going after in t erms of the potential. That's the reason for putting out such a number, but I do understand sometimes can cause a lot of excitement, right , in terms of how much we could sort of do on the API side? But i t's a substantial market that we would be catering to even after generic penetration happens.
Harsh Shah: Would it be fair to a ssume will it be somewhere in the range of 10 % to 20% be the size of generic API market if we have to derive it from the surrogate led market size ?
Dr. Yasir Rawjee: No, like I said, it could go down to 5%, right , of what it is today when generic happens . So, say 48 billion becomes like 3 billion . Okay? And then AP I is part of that, in terms of the overall market.
You get that?
Moderator : Next question comes from the line of Kart hik with Catamaran. Please g o ahead.
Karthik : Sir, can you help us understand what is the long -term strategy on the CDMO business segment ?
Dr. Yasir Rawjee: Sure. So, in the CDMO spectrum, which is pretty wide, I mean , we are looking at end of life cycle projects. O kay? So, that commercialization is relatively quick and the other part that we focus on is the specialty segment where again basically, it's not a full clinical study repeat, but short clinical studies that specialty companies do with an enhanc ed formulation . Okay? But they still end up getting quite a good exclusivity period and this basically gives us again a relatively quick entry into the market along with pretty good realization . So, that's the strategy that we have been following so far. And we would continue to do that. Again, we see a fair amount of traction , right, with newer projects, especially because we have got a pretty big portfolio that helps us in both end-of-life cycle as well as specialty.
Karthik: And in terms of people in the team like have you hired more manpower force to specially focus on CDMO and how large would this team be?
Dr. Yasir Rawjee: Currently , it's the same team that drives the generic business in Europe, North America and Japan, but these are the three large regions where we get traction on the CDMO side.
Karthik: Sir, is there any perceived conflict of interest between CDMO clients giving you business because you're working for a lot of generic clients as well?
Dr. Yasir Rawjee: Not anymore. I mean, I've had this issue crop up years ago. But I think again because of the segment that we are in , there is no real threat, O kay? In fact, they prefer to go with an established manufacturer because we have achieved economies of scale , we hav e achieved a pretty strong supply chain purity,

I mean, we have ensured that. So , the combination of a strong supply chain as well as optimized costs on manufacturing and materials procurement basically gives them a significant advantage for their end of life cycle business.
Moderator : Next question comes from the line of Nitin Agarwal with D AM c apital. Please g o ahead.
Nitin Agarwal : Dr., in the past you have talked about post-the transition, you are looking to sort of step up some of the growth investments . Have there been any specific areas where some of these activities already underway and if you can sort of highlight them?
Dr. Yasir Raw

jee: Yes, I was answering , Sajal , right, earlier where I said that we have already started looking at things , and started work in R&D already. O kay? We hope to have our own R&D facility in about a year, year and a half , but we are not waiting for getting that extra space in order to expand. We have already started do ing work in a couple of areas. Unfortunately, I won't be able to tell you what all that is , but work has begun in earnest on two areas. Basically , new platforms that we have already started working in. And we'll be adding a few more in the next six to eight months. We hope to sort of commercialize the se, some of them in early FY '27 So, it's wor k-in progress and we have started making early small investments because it doesn't yet involve manufacturing, but it's certainly happening at the R&D level at this point.
Nitin Agarwal: Given the fact that we ha ve got now directly unfettered access to the ca sh that we have, in the past we have been giving out larger dividends given the structure that we were in, how are we looking , and we continue to generate a pretty reasonable free cash, even at this point of t ime, so any thoughts on how would we look on the cash utilization for the business, one part is the R&D you mentioned , will it take up some amount of incremental cash where e lse does the money really go from here beyond this?
Tushar Mistry: So, Nitin, there is also the g reenfield expansion that is coming up in Solapur. There's a good amount of investment that is happening in that area as well. So, CAPEX for next three to four years is well laid out , should be in the range of another 400 to 5 00 crores ea sily. So, that's how the surplus cash will be utilized. Of course , post that also there will be some surplus cash on the balance sheet. The dividend will not be as high as what it used to be in the past. But obviously there will be some element of dividend also that will come.
Nitin Agarwal: Secondly , Dr., on the slide where you talked about the cumulative filing status, we have got 168

DMF which are there in North America , what proportion of these products would be sort of supplying literally on an annual basis , will some sales are coming through on a regular basis?

Dr. Yasir Rawjee: A little more than half , because the thing is that patent expiries also have not happened, right? So, many of these are not commercial, I mean, they are filed, but the patent expiries are going to happen in the next few years and that's when we will be supplying commercially. So, you get it , right, why it's about half.
Nitin Agarwal: And the link point is, versus the filings are there in North America, the number of filings in other regions are far lower, especially like countries like Japan and Brazil. So, I mean, how much of an opportunity is it for us to sort of geographically expand the current basket?
Dr. Yasir Rawjee: That's a good question . I mean, the thing here is that these markets, Brazil, Japan and so on , we have been filing on the basis of customer interest . Because you see, what happens is that we have already got all the data in place. And we also have either validated materi al at the commercial scale or we are supplying commercial quantities to other regions . So, here it's a relatively easy sort of thing to make the filings happen, because we have got the stability data , we have got everything in place , but then you don't want to have an empty file, right? If there's customer interest, they want to go ahead , yes, we are ready to file , we file , they take our material file , you produce exhibit batches and then file the dossier. So, that's the way things hav e been going, and I think it's a good optimization in terms of resources, right , how we plan our resources.
Nitin Agarwal: When we look through the next three to five years, you'll see most

of your growth, i f you were to break it up, will be coming from yo ur existing portfolio or it's going to be largely driven by the newer launches ?
Dr. Yasir Rawjee: The big part is going to come from newer launches , I mean, a big part is going to come from new launches , and if I look at four, five-year horizon, I mean half the revenue will be from new , so about half the revenue that will come, let's say year four or year five from now will be from new launches.
Nitin Agarwal: In terms of the competitive intensity in the business, have you seen any changes over the last few quarters?
Dr. Yasir Rawjee: No, the competitive intensity remains the s ame; it's high. But then again, I mean we do have our differentiators, in terms of being in the regulated market space, offering better service, better produc t, better cost many times . So, a ll that is there . So, we continue to sort of tr ead along the same lines in that sense.
Moderator : Next question comes from the line of Ta rang with Old Bridge . Please go ahead.

Tarang : Couple of questions . One , how is the volume growth for this quarter ? And second, for the CDM O business, you averaged about 140 crores in FY '24, nine months you are at about 100 crores. So, would we expect some growth, I mean given that we are already about three weeks into the qua rter? So, some view on the CDM O business in the immediate term . And secondly, given that the fourth project has just been commercialized and you're expecting one more project to be commercializing in. H1 of FY'26, how should we see the trajectory of that business for FY'26 or is it too early to really forecast for FY' 26?
Dr. Yasir Rawjee: FY'26 is a little early because we are expecting approval on the fifth project, right? Just like any project, right? I mean, the i nitial uptick is a little slow and so I answered , Ahmed, earlier , right, that the CDMO on the fourth project started , but i t's not very significant , and then the three projects that we have , they do have a bit of a cyclical demand pattern , so that is playi ng out essentially on the CDMO. On the volume growth, I will just come back to you.
Tushar Mistry: On the v olume, price erosion t hat we have seen is around 6%. So, volume growth is about 18% for us in the quarter.
Tarang: Just on the CDMO and overall business, Dr., generally, what is the kind of vantage that you have in the business, I mean, do you have a good view of how the quarter or how the next six months are going to pan out or generally it's really a monthly tab that you have on the business ?
Dr. Yasir Rawjee: Good question. See , what happens is that when these kind of projects start , right, initially, you get a lot of feedback because the customer wants to make sure that you're going to service them. But as your service levels are at a high leve l anyway, then they are going to w orry about it and they just sort of take you as a regular supplier. So, visibility in that sense becomes lower . Because it's just like ye s, we'll get the material anyway , there is a certain lead time and that's it . So, that's how it usually happens. You kind of get taken for granted as –
Tarang: Get better at your work ?
Dr. Yasir Rawjee: Yes. So, that happened.
Tarang: Last question is on CAPEX. I think in FY'25 my notes might be slightly incorrect, but were we anticipating 300 to 350 crores in FY'25?
Tushar Mistry: Yes, that's right , your notes are right , and in the first nine months it is about 119 crores . As I explained

earlier, the budget allocations are already there for the projects that we have earmarked, for example, the greenfield project in S olapur as well as the new R &D center that Dr. spoke about. Some of these

have not yet fructified, I mean, while S olapur has started, t he spends a re not

yet hit the balance sheet
yet. And the R&D center, we are still sorting for the land part . Once that is done, we would have the outlook.
Tarang: So, there's just a timing mismatch, t here's nothing really changed.
Tushar Mistry: That's right.
Moderator : Next question comes from the line of Dam ayanti Kerai with HSBC. Please g o ahead.
Damayanti Kerai : My question is for D r. Yasir. So, just want to understand the gene ric business pick up a bit further. A very strong performance. So, can you clarify a few things ? First, without spillover benefits from the previous quarter, how was the performance ? And does 3Q number also reflect some sort of front loading by the channel partners ? And then on the broader industry part, if you can comment on the demand and pricing scenario ? So, I guess I just heard like 6% price erosion. How does this stand versus erosion in the prior quarter?
Dr. Yasir Rawjee: Thank you, Damayanti . So, as far as the servicing in this quarter, ye s, we partially made it up . It's difficult to kind of give an exact number, but let's say we had done that number in Q2 already, you would still have pretty strong growth in Q3 as well . Okay? Of course, like I said, right , and the reason for that is we have got to meet customer expectations first , right . So, if we have sort of slowed things down for a customer in Q2, we had to make it up in Q3. That w as the most important part . And it's a multipurpose facility, right, that our facilities are all multipurpose. So, we had to sort of stack that up depending on to ensur e that customer servicing happened. So, I mean short answer is it would have still been a pretty strong quarter in Q3 , right, even if let's say we have done some of the servicing in Q2. And that's why we said in our commentary that some more will also happ en in Q4 … some of that servicing that needs to happen. That's still sort of pending from Q2. On the front loading, you'll have to help me a little bit. I didn't quite understand when you say. I mean are customers stocking up, is that what you're asking?
Damayanti Kerai: Yes. Actually, in December quarter, which is a calendar end quarter , right, so I guess we have seen in the US that there is bit of front loading of stock ing a better channel , so j ust want to understand if that was the case for your numbers as well ?
Dr. Yasir Rawjee: No, I don't think so. In fact, we have actually seen in the past a reverse kind of trend because it's the last quarter and we are rationalizing inventory , right. So, they want to sort of order less, but I mean it has not really h appened , right. As far as erosion goes , erosion r emains more or less steady at about 4.5%, 5%. And that's on the bucket. It doesn't happen at a product level , right. On more mature

products, we see more erosion and on newer products we see less erosion. But as a function of the bucket , we see about 4.5% to 5.5% kind of erosion on the overall .
Damayanti Kerai: And just in the demand perspective, are you seeing better demand from your customers or it's more to say compared to last few quarter s?
Dr. Yasir Rawjee: So, demand is stable in India, Europe, Japan , in fact, it's really good in Japan , ROW and Europe, right, India i s stable, but the US and Latin America are a bit w eak. We have been talking about LATAM for some time now that because of the Argentinia n currency situation, right, Argentinian customers are very conservative these da ys in terms of the demand, so that is impacting LATAM demand overall. And then demand coming from the US also is a little subdued . Because we have got strong demand coming fro m Europe, Japan , ROW , it's kind of covered it up and going forward we'll see th is trend for a couple more quarters, with these regions to continue to perform well and these other two regions, that is basically th e Americas, going

to be a little subdued.
Moderator : Next question comes from the line of Shubham Pa dhiar with Tamoh ara Investment Managers . Please go ahead.
S Padhiar : I just have one quick question on working capital cycle. So, it is at 182 days. I just want to ask , are we standing at the top en d of the spectrum and is it going to go down from the next quarter or is it going to still g o up for a little bit ?
Tushar Mistry: Yes, we believe this should be the peak out for this working capital. From this level, it should ideally come down.
Moderator : The next question comes from the line of Jay Patel, an individual investor . Please go ahead.
Jay Patel : My first question is regarding our thought process for backward integration . So, we have backward integrated at Ankleshwar and now even in S olapur we are doing a significant backward integration for 400 KL. So, just wanted to get a thought process around it. Is it to protect our margins or you want to de risk your raw materials from China?

Dr. Yasir Rawjee: So, it's for both. I mean there is a margin benefit also usually. But it's also where we have got a pretty substantial business, right , and narrow our supply base . There we don't want to risk it . So, we're going in that direction by backward integration.

Jay Patel: Secondly, there is a lot of chatter regarding US Bios ecurity. So, many players are very much hopeful about Indian pharma industry. US really wanting to d erisk from China. So, how do you see that, sir?

Dr. Yasir Rawjee: Yes, it's certainly going to be positive . The Act has not passed , right, but with enough awareness in the pharma community, right, in terms of how the US is thinking about this whole thing , right, I think the word has already got around that people need to derisk if they are completely d ependent on just China alone . So, that has gone well I would say , I mean that momentum has picked up. So, it's going to be a positive thing for us going forward. I mean we have definitely seen more interest, even on existing commercial products , more enquiries and I would say that it's because of this.

Jay Patel: The last question is regarding high potent API and as well as the iron complex molecule. So, what is the competitive scenario domestically in India ? And the broader question related to that would be, do we choose our newer products based on competitive intensity or market size , just wanted to get a sense of how do we choose new er products?

Dr. Yasir Rawjee: Let me just address the i ron complexes and high potency . Iron complexes are complex molecule . It's very difficult for everyone to do it just like let's say small molecules are done , simply because in order to establish equivalence with the innovator , the amount of characterization that has to be done has to be very significant. So, basically the bar that agencies like USFDA put is very high in terms of establishing equivalence and that's why the competitive intensity is pretty low in these complex molecules . As far as high potent goes, it's a different approach you take . We basically target gettin g in early with customers, right? And because the R&D investment is quite significant , basically, it's how quickly you can lock in the customers , and if we are able to lock in a good number of customers at the beginning , then you end up getting sustainable business over the long -term. So, that's how that game is played . As far as the domestic market , we don't do much frankly in the domestic market in either iro n complexes or in terms of high potent, right, we are largely targeting the export markets and the regulator y.

Jay Patel: So, actually I was asking regarding Indian competitors in th ese segments.

Dr. Yasir Rawjee: Yes, so the high end companies who are operating at our level in terms of quality, regulatory , those players are competitors , but

then there 's a handful, you don't have like everyone that you find on Google can be a competitor for us , that won't happen.

Moderator : Last question comes from the line of Dilip , an individual investor . Please g o ahead.

Dilip : I've very specifically two questions. The first question is that will the company pay the dividend this year as they used to pay in the last two years with handsome dividends have been paid. But I think last year that has not been paid. That's one question . They are in a question to pay because they have a lot of cash available with the company , almost close to 500 crores, I could see from the three years . The second question what I could see is that the change in the management and the ownership . And

I believe the new management, they have a lo t of expertise in chemical s, pharma and many other areas , supposed to be having a lot of keen interest in such kind of a pharma company, so p robably they have acquired , that could be my guess. So , any idea being a top management if they are going to have s ome kind of a forward integration, any kind of pharma focus i n a few sectors in f uture they would like to go ?

Dr. Yasir Rawjee: So, Tushar , we will come in on the dividend question. As far as the management of Alivus goes, the management remains the s ame. Okay ? This management team has been running the company for the last six years and Nirma, who has come in as the majority shareholder, continues to back this management team , simply because we have got the track record, and they like our approach with respect to the business so far and the plans that we have to take the company forward. They do bring in a lot of very good experience and understanding about the chemical s business and that will certainly play a very important role when we get into more automa tion in terms of handling, let's say , if we get into larger -volume product s. So, that benefit will certainly come to us as a result of Nirma 's ownership of the company. But directionally it's the same approach with the same management team that is going t o continue to drive the company. As far as dividend, I will hand over to Tushar.

Tushar Mistry: The dividend till last year , till the time we were a part of Glen mark Pharma , were also from a requirement for upstreaming the cash to the parent company and that's why the dividends used to be higher at that point of time. There is no such direction at this point of time from Nir ma. And in fact, as Dr. mentioned in his earlier comments that the ca sh on the balance sheet is going to be used for future growth capital investment . So, dividend may not be as high as what it used to be in the past, but it will certainly be there to some extent going forward.

Moderator : On behalf of all of Alivus Life Sciences Limited, that concludes this conference . Thank you for joining us. You may now disconnect your line s.

Call: May 2025

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To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: ALIVUS
Dear Sirs,
Sub: Transcript of Earning s Call
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning s Call held on Friday , May 16 , 2025 for the fourth quarter and year ended March 31, 202 5 is available on website of the Company at:
https://bunny -wp-pullzone -zhbiessutg.b -
cdn.net/alivus_pdfs/investors/financials/reports_presentation/Transcript_AlivusEarnings_Call_Q4
FY25.pdf

The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Alivus Life Sciences Limited
(formerly Glenmark Life Sciences Limited)

Rudalf Corriea
Company Secretary & Compliance Officer
Encl: As above

"Alivus Life Sciences Limited Q4 FY'25 Earnings
Conference Call"

May 16, 2025

M
ANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , ALIVUS LIFE SCIENCES
LIMITED .
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER ,
ALIVUS LIFE SCIENCES LIMITED .

MS. SOUMI RAO – ALIVUS LIFE SCIENCES LIMITED .

Moderator: Ladies and g entlemen, good day and w elcome to Alivus Life Sciences Limited (formerly Glenmark Life Sciences Limited) Q 4 FY'25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao from Alivus Life Sciences . Thank you and over to Ms. Rao.
Soumi Rao: Good morning, everyone. I welcome you all to the Earnings Call of Alivus Life Sciences Limited for the quarter and year ended March 31st, 202 5.
From Alivus Life Sciences, we have with us Dr. Yasir Rawjee – our M anaging Director and Chief Executi ve Officer , and Mr. Tushar Mistry – our C hief Financial Officer . Our Board has approved the results for the quarter ended March 31st, 202 5. We have released the same to the Stock Exchanges and updated it on our website. Please note that the recording and transcript of this call will be available on the website of the Company .
Now, I would like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies, may con tain certain forward -looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks which could cause actual results to differ materially from these statement s depending upon economic conditions, government policies and other incidental factors. Such statements should not be regarded by recipients as a substitute of their own judgment. The Company undertakes no obligation to update or revise any forward -looking statement . Our actual results may differ materially from those expressed in or implied by the forward-looking statements.
With that, I invite Dr. Yasir Rawjee to say a few words. Thank you and over to you, Dr. Rawjee.
Yasir Rawjee: Soumi, t hank you. Good morning everyone, and welcome to our Q4 and FY’ 25 Earnings Call .
Before we get into the Company 's performance for the quarter, let me briefly touch upon the broader industry landscape :
So the global industry continues to evolve around struct ural changes because of ongoing supply chain shifts, geopolitical tensions and regulatory reforms in US drug pricing, and also the rising demand from emerging markets. Our growth is supported by increasing outsourcing, rising demand for specialized APIs an d efforts to diversify supply chains. Additionally, the industry is

making meaningful strides in adopting sustainable manufacturing practices an d next generation technologies.
So coming to Alivus and our quarter performance:
We have made pretty strong progress this quarter, reporting revenues of Rs. 650 cror es, which is a year -on-year growth of 21.1% . So Q4 witnessed broad based revenue growth coming from all regions . Now GPL and non-GPL business grew at 31% Y -o-Y and 19% Y-o-Y respectively. The generic business posted a growth of 22.6% Y -o-Y, while the CDMO business also grew 22.6% .
From a geographical perspective, growth was well distributed with India, Europe, Japan and ROW all playing a s ignificant role in this growth.
Moving on to our profits for the quarter :
Our EBITDA margin for the quarter was 32.1% , up 520 bps Y -o-Y and 80 bps Q -o-Q. P rimarily driven by a more favorable product mix coupled with product launches especially in the ROW markets .
Coming to our full year performance:
GPL grew by 8.8% Y -o-Y, whereas non-GPL business grew 6.3% Y -o-Y. Sales revenue growth, excluding other

operating income remains at 7.1% . On an overall basis, we reported revenue of Rs.2387 crore, reflecting a Y -o-Y growth of 4.5% in-line with our FY’25 guidance. Notably, we were able to maintain margins at 30% Y -o-Y, despite the absence of PLI benefits this year . A testament to the overall resilience and efficiency of our business . From a geographical standpoint, India, Europe, ROW and Japan like I said earlier contributed to full year growth, with Japan in particular recording a remarkable growth. Although it is on a small base that said, we expect this positive momentum to continue.
Another encouraging development is the headwinds in the Latin market have started easing

gradually, with early signs of improvement now visible. On the other hand, the US market is experiencing a slower than expected growth owing to a bunch of challenges e xternally as well as a little bit of de stocking with our customers. So we believe t hat this will turn around in FY' 26.
Our CDMO performance remains soft during the year primarily because of the cyclical nature of demand in this segment. Project n umber 4, is gradually gaining traction, and the 5th project is expected to commercialize i n the second half of this year.
I am also pleased to share that our Ankleshwar plant received the EIR following the routine GMP inspection by US FDA at the end of January this year .
Our pipeline remains robust, with 561 DMF and CEP filings globally . As on March 31st, 2025 the high potent API portfolio remains on the development path with 24 products now in the

active grid, representing a total addressable market of $49 billion . Of these seven products are validated , five products are in advance stages of development, and the remaining 12 products are progressing through var ious stages in lab development.
Looking ahead at FY' 26 we expect volume growth in mid -teens. However, given the pricing pressure we expect the revenue growth to be in the high single digits a s it stands . The Q1 FY'26 trends as we see now, are encouraging from a growth perspective. So we will take stock of the whole year performance on a quarterly basis as things develop. We would like to reiterate that margins will continue to be in the 28% to 30% band in the foreseeable future.
With this, I now turn the floor to our CFO – Mr. Tushar Mistry, who will walk you through a detailed financial performance for the quarter.
Tushar Mistry: Thank you, D r. Yasir. Good morning everyone. Welcome to our Q4 and FY' 25 Earnings Call .
I would like to briefly touch on the key performance highlights for the quarter and year ended 31st March 2025 before opening the floor for questions -and-answers .
For Q4 FY'25, our revenue from operations stood at Rs. 650 crores, a growth of 21.1% year -on-year, and 1.2% on sequential basis. The gross profit for the quarter was at Rs. 367 crores, up 23.2% year-on-year and 2.9% sequentially . The gross margins for the quarter stood at 56.5% driven by better product mix. EBITDA for the quarter was at Rs.209 crores, up 44.2% year-on-year, and 3.8% sequentially . EBITDA margin for the quarter was at 32.1% up 520 bps year-on-year, and 80 bps sequentially , driven by higher gross margins coupled with new product launches. And the PAT for the quarter stood at Rs. 142 crores, with PAT margins coming at 21.8% .
Moving on to the full year numbers :
Revenue from operations for FY' 25 was at Rs. 2387 crores, a growth of 8.8% in GPL and 6.3% in non-GPL business, which led to an overall sales was of 7. 1% normalizing for the PLI impact .
Gross profit for FY' 25 was at Rs. 1306 crores , and gross margins were at 54.7% . EBITDA was at Rs.717 crores with EBITDA margin at 30% maintaining steady margin throughout the year.
PAT was at Rs.486 crores with PAT margin of 20.3% . Looking at the therapeutic mix, CVS and CNS continue to lead the growth during

the year, with both therapies contributing 55% to the
top line. R&D expenditure for FY' 25 was at Rs. 81 crores, which was 3.4% of our sales and for the quarter, it was at Rs. 24 crores .
Touching upon the balance sheet and cash flow statements :
Starting with a cash conversion cycle. W orking capital was higher during FY'25 at 192 days due to increase in d ebtor's days. As indicated earlier, GPL credit days have increased as per the

agreement. The skewness of GPL business towards the second half of the year results in higher debtors days at the end of the year. We believe this trend should continue going forward.
Coming to capital expenditure :
CAPEX for quarter was at Rs. 47 crores, while for FY' 25 was at Rs. 166 crores . We plan to incur about , we have a carry forward of about Rs. 190 crores of CAPEX as we had indicated earlier, that we have about Rs. 300 to Rs.350 crores of capital layout in FY' 25. So we have a carryover of about Rs. 190 crores, plus additionally we are planning to incur another Rs. 350 to Rs.400 crores in the current year for which we ha ve pre CAPEX approvals from the Board.
These CAPEX include the Greenfield expansion in Solapur , expansion in Ankleshwar , Dahej, as well as the new R& D center that we are planning near Mumbai . We continue to remain a net debt free Company , and I am happy to inform you that we have generated strong cash flow from operations of Rs.233 crores in FY' 25 with cash and cash equivalents, including short -term investments of Rs. 549 crores on the books as of 31st March 2025 .
In conclusion:

I would like to reiterate that we remain optimistic about our future trajectory, supported by a favorable demand environment and a healthy order book. With th at, let us open the floor for Q&A.
Moderator: Thank you. We will now begin the question-and -answer session. First question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.
Ahmed Madha: Firstly, on the capital allocation and CAPEX , obviously we had very high payouts till last year, and with the change in ownership it is obvious we will focus on growth. So in that context, could you give some idea on how are we thinking about CAPEX for the next three years . Also, it seems we have pushed out 2 650 KL capacity line from FY '27 to FY' 28. Wouldn't it be more logical to fasten up the CAPEX, your thoughts please sir ?
Yasir Rawjee: Okay . So basically, let me take the last part first, right as far as pushing out the volume expansion see, we have always been calibrated okay with respect to so while we thought we would need around 2600 KL by FY' 27 we feel now that we can push it out. And the reason for that is that , we have done a lot more brownfield expansion especially on pharma capacity, both in Dahej as well as Ankleshwar which will be completed this year. So given that kind of pharma capacity, we will have a pretty good runway for the next couple maybe even two, three years going forward. So then what happens is , that our three year plan basically has to be done largely completed this year which as Tushar just ex plained, is a carryover from FY' 25 but then it will be pretty aggressive in FY' 26 to complete these br ownfield expansions, plus the S olapur first

phase, and then hopefully we will get our R& D center built out as we ll. So that should give us a pause to have an aggressive expansion because S olapur will give us sufficient capacity on the intermediate side. Plus we can trigger an inspection by taking some validations of some key APIs. But then on the commercial side, we can expect both Ankleshwar as well as Dahej to continue to service the business.
Ahmed Madha: So is it fair to assume our CAPEX will be FY'26 will be Rs.400, Rs. 450 crores i n that range ?
Yasir Rawjee: No, i t will be

upwards of Rs. 550. S o you add Rs. 190 to Rs. 350, Rs.400 so we are around Rs. 550-ish crores, Rs. 550 to Rs. 600.
Ahmed Madha: Okay. And could you explain how our 4th product pipeline is shaping up for F Y'26, any new major product launches in the pipeline . Also, our HP API pipeline is building up nicely as you explain ed in the presentation. So can we expect anything major to come out of this and contribute to revenues in the next one, two years ?
Yasir Rawjee: So, see the launches that we have seen in FY' 25 as well as what is coming up in FY '26 are products that we sort of developed and seeded with customers about four , five years ago. T his was keeping in mind the patent expiration dates, in various markets . So that is coming along as expected . As far as this portfolio that we are developing goes , patent expiries are sort of starting off from calendar 27 onwards. So we should see in FY' 28, the launches from this pipeline should start from FY '28 onwards . But then there will be launches like we had this year , we had last year, then we are going to have this year and so on. So those will keep coming, because we have been developing the pipeline now pretty aggressively for the last six years since the Company became independent split up basically from Glenmark.
Ahmed Madha: And how do you assess the im pact of changes happening at the industry level in the near term, specifically the tariffs from USA , what is your judgment . And in this context, are we being conservative seeing high single digit growth, or is it a fair to expect that similar to FY '25, whe n the things will be high single digit revenue growth?
Yasir Rawjee: Yes, so like we said, we are alread y seeing a volume growth of mid -teens that is very clear that we are seeing that. But then there is erosion in the market. So depending on how we are able to manage that erosion, we should be definitely in the high single digits to be able to drive the growth . As well as , the good news is that Q 1 is also looking pretty promising, so the momentum that we have had in the last two quarters continues. A s far as the industry goes, except the US, things are pretty much where they were last year. So on May 7 th, three large industry organizations this is the Pharmaceutical Research and Manufacturers of America, the Biotechnology Innovation O rganization and the A ssociation of A ccessible Medicines. These are three large industry bodies in the US that made a representation on May 7 th to the US government basis on invitation. So this was solicited by the Commerce Secretary, and so they

have made a pretty strong case for basically not having tariffs, because they have argued, pretty successfully that it would basically entail a big supply chain risk to the pharmaceutica l supply chain, and would put R& D investment also on the back burner. So, with all this plus, so they have also made an alternative suggestion to the Trump administration on having, in place of tariffs other incentives t hat would help to drive local manufacturing in the US. So, let's see it's still out there, the jury is still out there in terms of how th e US government takes it . But given the fact that there is a fairly strong internal push by industry bodies in the US itself not to have tariffs , we think that the outlook from the US will remain quite positive. So, maybe it will lead to a small upside, but that remains to be seen.

Ahmed Madha: Got it. Last question from my side, there is slight receivable bump up in the end of March balance sheet any comments on that?

Tushar Mistry: Yes, but as I explained in my opening remarks, Glenmark Pharma has the increased number of days as per the agreement. So the entire Rs. 200 crores that you see as a bump up is all on account of that. We don't see any challenges as far as a non -GPL business is concerned, that remains steady.

Ahmed Madha: Could you elaborate more on the agreement. W hat will be the number of days for the GP L business?

Tushar Mistry: So, that will be upwards of 150 days as per the agreement. But also what happens is, since the GPL business is more skewed towards second half, the end of the year looks a bit skewed as far as the number of days is concerned for GP L also.

Moderator: Thank you. Next question comes from the line of Dili p an Individual Investor. Please go ahead. Since there is no reply from the line of Mr. Dil ip, we will move to the next . The next question comes to the line of Taran g Agarwal with Old Bridge. Please go ahead.

Tarang Agarwal: Just a couple of questions. One, what was the volume growth for FY' 25 and second, from a FY'26 standpoint, does the OAI on Glenmark In dore impact your business. Thanks.

Yasir Rawjee: Tarang just repeat the last part, please a gain.

Tarang Agarwal: From a FY' 26 impact, does the Glenmark Indore OAI impact your volumes?

Yasir Rawjee: It's been 10% , the volume growth in FY' 25 has been 10% and with regard to the OAI status of the Indore site for GPL, I don't think it's likely to impact us in any way , because we supply pretty uniformly to all the GPL sites, and I am sure GPL will be working to sort this out, but it has no impact on demand for our APIs.

Tarang Agarwal: Okay . Just one more question doctor, in your initial address you did talk about some softness in the US, in terms of pricing, but the broader sense tha t we are picking up is , it's a fairly buoyant market currently so especially the generic space. So where is the disconnect and what is driving your slightly somber outlook on the US?

Yasir Rawjee: It's a good question, but there is a mix right of things he re, one is see, when I talk about softness, I am particularly talking about our portfolio because it's a higher end t here are newer molecules that we are launching and so there is a fair chance of more erosion on those set of molecules from our customers t hat's what I am sort of referring to . I do agree with you that, on an overall basis, things are pretty much bottomed out . But, so far so good, we have had, we are okay . But on pricing, we do expect a little bit of push from our customers.

Tarang Agarwal: Got it. And the last question, from our overall CAPEX standpoint, how much is your budget for the R &D center specifically, and will it all be, how confident are you to deploy the commitment that you have laid out in FY' 26 itself for the overall CAPEX number s that have been outlined?

Yasir Rawjee: So on the R& D center, we should be spending somewhere between Rs. 70 to Rs. 80 crore to build that out. O n the overall, it's a bit challenging but then most of the projects have started off. So the brown fields in Ankleshwar , the Brownfield in Dahej is well underway. S olapur is also coming along pretty well a nd these are the two, the three big items on the manufacturing side that consume the CAPEX. And then, like I said, R& D will be about Rs.70 to Rs. 80 crore. So we should do most of this 550 crores and we need to really, it needs to happen,

Tarang Agarwal: Got it. And sir last question , I know this is many of my last, but definitely the last. If you could give a sense on what's happening on iron sucrose for you?

Yasir Rawjee: So, you know we don't talk about products particularly , but since you asked particularly it's being reviewed, so it's under review.

Moderator: Thank you. Next question comes from the line of Nitesh Dutt from Burman Capital . Please go ahead.

Nitesh Dutt: Sir you mentioned that you have visibility of mid -teens kind of volume growth, but because of erosion, you see value growth at say high single digits. So are you seeing more than 5% to 6% erosion year-on-year and has it accelerated recently a nd how is the overall competitive scenario in your set of products , is it leading to more erosion a s of lately ?

Yasir Rawjee: See typical Nitesh we see about 4% to 4.5% of erosion on our pipeline. Now, competition is there, but then because we are operating largely in the regulated market space, t hat competition is not an immediate problem i t could become a problem a year and a half to two years out . So

on the newer products we expect to see some erosion, but not very significant. So it would be in this 4.5% kind of range.

Nitesh Dutt: Got it, thanks. And secondly, you expect mid -teens kind of volume growth going forward FY' 25 was at 10% so this incremental d elta, fair to understand it will mainly be driven by newer product sites. What kind of visibility and conviction you have that volume growth can get accelerated by this amount?

Yasir Rawjee: I am not sure I got the question on the acceleration , if you don't mind could you please repeat the question?

Nitesh Dutt: I am just asking volume growth, our typical volume growth for FY' 25 it was 10% you mentioned and going ahead, you are guiding for 15% kind of volume growth. So just wanted to understand where this delta will be driven from i s it mostly from new products, or do you expect your existing set of products also to grow faster than the current 10% ?

Yasir Rawjee: So it's both Nitesh , okay . The new product l ike I said we have had quite a few launches in this last year, but then not all markets opened up last year, so we expect a few more markets to open up in FY' 26 that will drive volume, plus we have a few more launches also , new launches in FY'26 so yes, the incremental volum e will come from the newer launches, but our base business is also pretty solid, and that continues to have pretty nice volume growth as well. So we are pretty confident that we will get to this 15% volume growth.

Nitesh Dutt: Got it. Sir, what is the outlook for your CDMO business, and any guidance there as well?

Yasir Rawjee: So see CDMO l ike we have explained in the past also , it's basis three commercial products that continue to drive the volume. The fourth product started off with commercial bu siness in Q 3 of last year. But it's on a slow off take . We expect that to sort of get to full potential by the end of this year a nd so that should kick in pretty nicely the fourth project . And then the fifth project w e expected regulatory approval in H1 but it's more likely to come in H 2. So again it will be kind of back loaded this year, the CDMO , but hopefully by the time we close this year we will see a pretty good CDMO growth as well .

Nitesh Dutt: Got it. So last question on margins , this quarter we are at 31% when we started the year we were at 26 , 27 because of PLI, one time employee expenses , etc. So going forward again, what kind of normalized margins should we expect is 30 %, 31% the fair range of margins?

Tushar Mistry: Yes, we are expecting between 2 8% to 30% kind of margin range going forward.

Moderator: Thank you. Next question comes from the line of Nitin Agarwal with DAM C apital. Please go ahead.

Nitin Agarwal: Doctor on the generic API business. Now you talked about the single, late single digit growth for F '26, but on a structural basis do you still see a possibility of this business being yearly double digit growth on a more three, five year view, or this is the new normal for this business, given the way things are ?

Yasir Rawjee: There is definitely an upswing . Now, when that will kick in i s the $60,000 question . But given the fact that see basically a lot of the new products are kicking in now a nd we saw it in FY' 25, we will see this in FY' 26 as well . So we are pretty confident , what happens is that , our expectation on the volumes for new launches is driven

by the number of tie ups that we have .

So that is a sort of surrogate marker for us, but it has done much better this year . And that is also reflected on the margin side . So coming back to growth, your question on growth, we would be going up from here, but I won't predict , you know Nitin you always say I am conservative b ut rather be that way.

Nitin Agarwal: Secondly on this CDMO business , beyond this 4th contract chaining up, if you can give us some color on the kind of conversation that you would been having, and is there any change, any acceleration in inquiries, RFPs which you witnessed and probably implications of that, if you take ag ain a slightly long view beyond 26?

Yasir Rawjee: Yes, that is ongoing , as far as pipeline goes we continue to have quite a few discussions in the pipeline. That's going on, the thing is like I have explained before, CDMO is like a step function , its not a slope s o the moment something qualify, we get qualified in something, then once we start validation supplies is when we know it's coming u ntil then it's a zero . But once you make validation supplies, then it's a one. So , that's why we are not talking about beyond 5th . But, there are quite a few i rons in the fire with respect to trying to bring more CDMO projects into the pipeline. So probably in late FY' 26 or in early FY' 27 we will be able to give better color on this.

Nitin Agarwal: Thanks , qualitatively are you currently, if I just sort of extrapolate our ranges are about Rs. 50 to Rs.60 crores per contract , is the kind of CDMO what we are working on. But in the future negotiation that you are having, is there an upscale on the size or this is pretty much remain s the sweet spot on the CDMO business ?

Yasir Rawjee: No, on average you are right , it will be around Rs .50 to Rs. 60 crore . That's where it would be, because the space that we are targeting again is on lifecycle management and on the 505 B 2. So that gives us, that sort of $7, $8 million kind of opportunity .

Moderator: Thank you. Next question comes from the line of Harshal Patil with Mirae Asset Capital M arket . Please go ahead.

Harshal Patil: Sir just have two questions more from an understa nding perspective. So sir, just one thing we did see in the initial comments that there is some bit of destocking also a part of visibly , few of

our clients a nd then we are talking about 4%, 4.5% of a price erosion . So my question, therefore, is to understand that, is there any destocking led postponement or delays that we are kind of envisaging more towards the US markets or any other markets in specific?

Yasir Rawjee: So see, I particularly refer to some of our US customers a nd this is on the CDMO side, not anything else. So overall, we have got pretty solid demand that continues , there's no kind of top of it. But the reason we had a soft CDMO performance for the year was because of this phenomenon. And then we are sitting on a pretty small base of only three projects , commercial, and the 4th one I said is kicking in, but it's going to sort of get to full potential in about a year's time.

Harshal Patil: So going there towards FY’ 26-27 we see these things kind of improving, like precisely the first half of 26 or do you see the phenomena still continuing out there?

Yasir Rawjee: Like I said, CDMO it will still be a little back loaded in terms of this year's performance.

Harshal Patil: Okay, got it sir. Sir second thing is, with respect to the tariff things that you just explained. So definitely on the US representation thing is quite clear, but s ir there were also some news going around between some deal getting in between US , China and stuff like that. So d o we really see any impact, basically on the Indian CDMO players or Indian players into the US markets because of that kind of tariff link getting into place. Any

qualitative inputs from your side would be helpful sir.

Yasir Rawjee: Very difficult to tell here, but at least whatever we are able to tell, even our government is working to. So, the thing is that this could sort of cut either way but again, it's pretty standard I don't know if someone is going to get hit more than someone else, that's the point .

Moderator: Thank you. Next question comes from the line of VP Rajesh with Banyan Capital. Please go ahead.

VP Rajesh: I joined a little bit late, so this may have been already answered, but just was curious what is the kind of margin we have from our la rgest customer g iven we are increasing the working capital, et cetera, are we getting good margins compa red to our Company wide margin?

Tushar Mistry : So Rajesh, the margin from our largest customer will be in the same range as our other businesses, though it could be slightly less than the overall numbers because it also has a factor of product mix, and the largest customer would have more products which are older products with lower margin, but also has a good set of new products which has good margin as well. So overall, I would say it is not very off from our overall other business margins .

VP Rajesh: I see. So basically, you are saying it is probably more closer to 28% and 30% the breach that you provided?

Tushar Mistry : You can assume that .

VP Rajesh: Okay. And in terms of the CAPEX that we talked about, what is the kind of asset turnover we are looking for , is it going to be same or better than what we have historically done?

Tushar Mistry : So, see right now we are in an investment phase, as we mentioned there's a good amount of capital outlay that we have planned. So in the near term, the asset turns will have an impact. It should be lower compared to what we have seen in the past. Also, past was higher because the capital investment was not as high and we were really struggling with our capacity. That's the reason why asset turns were higher. But from a new capital investment perspective, the asset turns initially, there will be a slow tick off, but grad ually it should reach within that two times range over a period of time.

Moderator: Thank you. Next question comes from the line of Alankar Garude with Kotak I nstitutional Equities. Please go ahead.

Alankar Garude: Sir you spoke about the strong representation by the industry groups against tariffs, but say assuming tariffs get announced in the backdrop of the generic API industry having seen pricing pressure for quite a few years now. Do you think the generic API indus try can absorb any further

price cuts?
Yasir Rawjee: It's very difficult to say , actually see, the push is coming from within the US also p retty strong push . And it's a fairly integrated supply chain between the US distributors and the Indian and other for eign suppliers into the US . So difficult to tell, see the other thing Alankar is that, there will definitely be a difference between API and those front end, I don't think it's going to get a similar treatment, because if API gets a similar treatment then there is no difference between a US supplier and an Indian supplier , because both will have to sort of pay the tariffs before or after. So, I don't know, it’s very difficult to speculate at this point . As far as the pricing environment and so on, somewhere in the chain someone have to absorb this , if it's not going to be the consumer, I don't know, very difficult to tell at this point. But the good news is that the industry associations are making a pretty strong push in the US itself.
Alankar Garude: Have there been any discussions, conversations with clients already on tariffs and impact of pricing ?
Yasir Rawjee: Not us. We have not had anything, neither with our US customers, nor with our global, generic players who are largely Indian .
Alankar Gar

ude: Got it. The second question, does the funding environment have any impact at all on the CDM O order book for us ?

Yasir Rawjee: No, because again, we are l argely concentrated in the lifecycle management space which is an ongoing business for the b ig pharma. And they are just moving to a better cost base to basically protect themselves against generic entry . That is one element, t he other element is a specialty element again a nd here, because these are sure short therapies, it's only a question of enhancing the therapeutic benefit in a, 505 B 2 kind of scenario. So our CDMO sort of the projects that are in the pipeline are not being impacted at all by any kind of funding.
Alankar Garude: Okay, sir just one follow up on that, in terms of the macro t here is uncertain ty both for the innovators as well as, to an extent for the generic companies your clients, is that something which can be a risk over the next, say one or two years, as far as our CDMO order book is concerned ?
Yasir Rawjee: I will very confidently say no .
Alankar Garude: Okay, sir that's reassuring. And one final thing , in the previous call you had spoken about working on two differentiated platforms, and you had said that there are plans to add more platforms in the coming months. Is it possible to provide any update on this please?
Yasir Rawjee: Alankar , we try to speak about it when we get to a sort of mature state, work is on we have got some collaborations going. Work is on b ut, probably around second half or towards the end of this year, we would be able to give you some color in terms of what we are looking at. But work is on, and it's pretty, it's going well that's all I can say .
Moderator: Thank you. Next question comes from the line of Neeraj Shah with Perpetuity. Please go ahead.
Neeraj Shah: Actually, I wanted to ask that you are mentioning your generic API business in strategy you have mentioned that you would pursue second source opportunities with top generic players. So can you please elaborate w hat is this and what are you, can you explain this part?
Yasir Rawjee: Okay, so basically when we enter into a customer's file this happens before they get approval, so that's when we are usually the first source , so while the ANDA player is sort of developing the dossier and filing, and we partner with them at that stage. Then we are the first source, but then when the ANDA player already has approval, but is looking for another API source, that's when we go in as a second source or an alternate source. So that's the difference.
Neeraj Shah: Okay, got it sir. And any debt you are planning for FY ’26-27?
Yasir Rawjee: Could you please repeat that Neeraj ?
Neeraj Shah: Are you planning any debt for FY ’26-27?
Yasir Rawjee: No, we ar e not planning any debt.

Moderator: Thank you. Next question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.
Ahmed Madha: So, I had a question on the price erosion which you spoke about, is it specific to few specific products in just US or is it broad based?
Yasir Rawjee: It's not , price erosion doesn't happen on every product, but typically when there is a bigger volume off ta ke especially when launches happen, we do see a bit of price erosion there. On the base business, there is a relatively lower price erosion because things have kind of steadied or bottomed out, or whatever you want to put however you want to see it . So, if I had to classify it, it's more on the newer set of products that see erosion.

Ahmed Madha: And in terms of molecule concentration, product concentration c ould you spell out the number top five, top 10 products ?

Yasir Rawjee: Top five products would contr ibute about 35% of our revenue. I am making a educated guess , we can come back to you with the ex

act number, but it would be around 35% top five.

Ahmed Madha: Okay. And just last is the presentation we disclose quarterly therapy wise revenue contribution. And this presentation, we have annual numbers and I am just trying to work out the quarterly number for Q 4 and what I see is there is slight change in the mix between others and CVS , is it fair understanding a nd would you like any comment on that, just to understand the change in the therapy mix?

Yasir Rawjee: See, at the quarterly level, it's quite wavy Ahmed .

Ahmed Madha: That I understand, but still at annual level also there is slight change. So just wanted to understand is there any product where there is significant erosion, is there any new addition or something like that, if there is anything as such ?

Yasir Rawjee: So we have a pretty good traction on a urology segment. T hat's doing pretty well and that's picking up pretty nicely the urology segment. There are a few molecules here and there on pulmonary fibrosis and stuff that are also doing pretty well. But, overall i t's difficult to sort of , at the quarter to it's wavy, that's all I can say.

Moderator: Thank you. Next question comes from the line of Nitesh Dutt with Burman Capital . Please go ahead.

Nitesh Dutt: I have a follow up question on CDMO, sir you used to guide last year that in four years or so you target to make the CDMO business 4x of FY ’24 size. So , do you think we are still on track for Rs.500, Rs.600 crore k ind of number by FY’ 28 or so?

Yasir Rawjee: FY’28 might be a bit challenging to get there, but see the traction is pretty good on these and I answered to an earlier question , that how CDMO is picking up. We have a number of projects in the pipeline and like I said, we are in the range of around $7 to $8 million on average. But they can be even higher. Some of them are even higher, but it's a matter of us locking in another five, six projects, and we should be there.

Moderator: Thank you. Next question comes from the line of Sanjay Tapte an Individual Investor . Please go ahead.

Sanjay Tapte: I have three questions. First is, what is our exposure to the US market . Secondly, around one or two years back, we had entered into some CDMO MOU with an innovator from Japan. So what is the status of that . And thirdly, all our three expansions at Solapur, Dahej and Ankleshwar they are expected to go on stream in what period in Q2 or Q3, Q4. That's all.

Yasir Rawjee: Okay. So, in terms of exposure to US , I don't know how to, the thing is we have got a pretty good business in the US , it's about 25% , 30% of our overall business . So, when you say exposure, it gives it a different connotation, but I just take it as positive , we have a 25 % to 30%. No, i t's a pretty stable, solid business . As far as the CDMO with the Japanese client , this is our 5th project, which is under regulatory approvals and like I said, we expect that they will get regulatory approval to use us as an API source in the second half of FY’ 26, that's the 5th project that I was talking about earlier. A s far as the expansion in brownfield goes that we will see coming online by early second half of this year. So around November, December timeframe, we should see that kicking in both in the Dahej as well as in Ankleshwar . And on S olapur, it would be more like Q4 phase one S olapur with 300 KL would come in Q 4.

Moderator: Thank you. Ladies and gentlemen d ue to time constraints, we h ave reached the end of question - and-answer session . On behalf of Alivus Life Sciences Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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To, To,
Dy. General Manager The Manager – Listing,
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BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
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Dear Sirs,
Sub: Transcript of Earning s Call
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning s Call held on Saturday , August 2, 2025 for the first quarter ended June 30, 2025 is available on website of the Company at:
https://bunny -wp-pullzone -zhbiessutg.b -
cdn.net/alivus_pdfs/investors/financials/reports_presentation/Transcript_Alivus_Aug%208_2025.
pdf

The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Alivus Life Sciences Limited
(formerly Glenmark Life Sciences Limited)

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Alivus Life Sciences Limited
Q1 FY '26 Earnings Conference Call"
August 02, 2025

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – ALIVUS LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER –
ALIVUS LIFE SCIENCES LIMITED
MS. SOUMI RAO – SENIOR GENERAL MANAGER –
CORPORATE COMMUNICATIONS – ALIVUS LIFE
SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Alivus Life Sciences Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao, Alivus Life Sciences Limited. Thank you, and over to you, ma'am.
Soumi Rao: Good morning, everyone. I welcome you all to the earnings call of Alivus Life Sciences Limited for the quarter ended June 30, 2025. From Alivus Life Sciences, we have with us Dr. Y asir Rawjee, our MD and CEO and Mr. Tushar Mistry, our CFO. Our Board has approved the results for the quarter

ended June 30, 2025. We have released the same to the Stock Exchanges and updated it on our website. Please note, that the recording and transcri pt of this call will be available on the website of the company.
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward -looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks, which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other incidental factors.
Such statements should not be regarded by recipients as a substitute of their own judgment. The company undertakes no obligation to update or revise any forward-looking statem ents. Our actual
results may differ materially from those expressed in or implied by these forward -looking statements.
With that, I invite Dr. Yasir Rawjee to say a few words. Thank you, and over to you Dr.
Yasir Rawjee : Thank you, Soumi. Good morning to everyone, and welcome to our first quarter earnings call. I appreciate you all joining us on early Saturday morning to discuss our results. Before we delve into the company's performance for the quarter, let me walk you through the broader industry landsca pe that is shaping our business environment.
The global industry, the global pharma industry is witnessing stable growth, supported by increasing global health care needs, surge in chronic diseases and advancements in biologics and personalized medicine. Regulatory bodies are also expediting approvals, particularly for critical therapies. At the same time, the industry is facing headwinds from pricing pressure, patent expiries, evolving compliance norms and geopolitical risks. Strengthening supply chain re silience is becoming essential
for long -term sustainability.

With this, let me turn your attention to our performance for the quarter. We reported revenues of INR602 crores, which is a Y -o-Y growth of 2.2%. This was primarily driven by our non-GPL busines s, which grew 14.5% Y -o-Y and 4.1% Q -o-Q, supported by successful new launches.
However, this growth was offset by a 22% Y -o-Y decline in our GPL business owing to inventory rationalization by GPL. This consequently impacted our generic API business, which saw a consolidated moderate growth of 3% Y -o-Y and degrowth of 7.1% Q -o-Q.
Geographically regions like India, Europe, emerging markets, LatAm and Japan contributed to the revenue growth. Moving on to our profits for the quarter. Our gross margin for the quarter was 55.1%,
up 400 basis points Y -o-Y, driven by rationalize d input cost and leveraged operational efficiency.
Our EBITDA margin for the quarter was 30.1%, up 210 basis points. Our EBITD

A growth was 9.9%
Y-o-Y. Our CDMO business remained subdued du ring the quarter. Validation batches for the fifth project have commenced. The commercialization is expected in H2. We anticipate a broader ramp - up across all CDMO projects during H2.
I am pleased to share that our Dahej facility has received the EIR from the US FDA with an NAI classification follow ing a routine inspection conducted from 26th to 30th of May of this year. I would also like to reiterate that our Ankleshwar facility received its EIR earlier this year after successfully concluding a routine GM P inspection in late January.
Now this has been a subject of discussion in many calls in the past, where our facilities have not been audited for almost 6 years. And in this last 6 months, we've had both our facilities, our large facilities inspected by US FDA and we've had successful outcomes of both those inspections.
So with respect to Solapur, Solapur facility is expected to begin in Q4 of this year. Our pipeline remains robust with over 569 DMF and CEP filings globally, as on June 30th. The high- potent API portfolio remains on the development path, with 26 products in the active grid, representing market size of $ 61 billion TAM, total addressable market. Of these, nine products are validated, three products are in advanced stages of development, and the remaining 14 products are pr ogressing through lab development stages.
Looking ahead, we maintain our earlier guidance of mid-teens volume growth for FY ‘26. However, due to pricing pressures, revenue growth is expected to remain in the high single digits. We anticipate stronger perfo rmance in the second half of the year, supported by a recovery in the GPL business and the ramp -up of all CDMO projects. We would like to reiterate that margins will continue to be in the 28% to 30% band in the foreseeable future.
With this, I now turn the floor to our CFO, Tushar Mistry, who will walk you through a detailed financial performance for the quarter.

Tushar Mistry: Thank you, Dr. Yasir. Good morning, everyone. Welcome to our Q1 FY '26 earnings call. I would like to briefly touch upon the key pe rformance highlights for the quarter ended 30th June 2025, before opening the floor for questions -and-answers.
For Q1 FY '26, revenue from operations stood at INR602 crores, a growth of 2.2% year -on-year. Gross profit for the quarter was at INR332 crores, up 10.2% year -on-year. Gross margins for the quarter stood at 55.1%, which is well within our guidance range.
EBITDA for the quarter was at INR181 crores, up 9.9% year -on-year. EBITDA margin for the quarter was 30.1%, up 210 basis points year -on-year, driv en by better gross margins. This is on the higher side of our given guidance. Profit after tax for the quarter stood at INR122 crores with PAT margins coming at 20.2%. Chronic therapies contributed 70% to the top line in Q1 FY '26. CVS and CNS therapies co ntinue to lead the growth during the quarter. R&D expenditure for Q1 FY '26 was at INR21 crores, which was 3.5% of our sales.
On the balance sheet and cash flow movement, speaking of capital expenditure. Capex for the quarter was INR52 crores. Capex guidance, we have a capex approval from the Board of INR600 crores including carryover of INR190 crores from FY '25. We continue to remain a net debt -free company and I'm happy to inform that we have generated strong cash flow from operations of INR100 crores in Q1 FY '26 with cash and cash equivalent of INR660 crores on the book s as of 30 June 2025.
In conclusion, we remain optimistic about our growth prospects, supported by strong demand trends, the addition of new capacity and a robust order book. With that, let us open the floor for Q&A.
Moderator: The first question is from the line of Ahmed Madha from Unifi Capital.
Ahmed Madha: Yes. Good morning, doctor. First -- I

have three questions. First, to start with, on Solapur, you
mentioned around the Q4 ti meline for the capex. How do you see the product filing from this facility coming up in the next year or so? And when can it sort of start contributing to the top line? Can you give a broad guideline on the timing for the next year or two?
Yasir Rawjee: Do you want to finish all your questions? Or this is it.
Ahmed Madha: Okay. Yes. This is first. Second, on the business mix between the Glenmark, non-Glenmark, you spoke about it coming back in the second half. So, I'm just trying to understand if you are, w hen you are guiding for a high single -digit number for the full year, are you assuming the Glenmark business to be flat or a slight decline?
Because we haven't seen such a blip in the last eight, 10 quarters. So, just to understand how you are thinking, the growth rates between both these businesses, Glenmark, non-Glenmark. And lastly, a very small question on the numbers. So, I see opex is up materially while the top line growth is 2%. I think opex is up some 14%. Is there anything material to take note of? Yes, that's it.

Yasir Rawjee: Okay. Solapur will come online in Q4. We'll have to file products probably in the first half of next year to trigger inspections. But we do have a plan for Solapur to do some ROW business. So, it's not as if we'll capitaliz e and then there won't be any business done out of Solapur. We plan to start ROW business from Solapur in first half of next year.
Coming to the GPL, non-GPL, I'm not sure what you meant by the blip here, okay? But look, I mean, the reality is that our bus iness overall, right, is not a quarter -on-quarter business. Let's understand that, right? There is waviness in the demand pattern from GPL. We expect that GPL business will also grow, okay? And so, we are pretty confident that, this high single -digit growth overall that we are forecasting is very likely to happen , okay? With respect to the opex going up, I mean, Tushar will take that.
Tushar Mistry: Yes. So, there is no exceptional item on the opex front. In fact, it is in line with, if you look at our Q4 numbers also last year, it is in line with that. It's a normal growth that we have seen in our opex.
Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.
Tarang Agrawal: Hi, team. Good morning. Sir, just a couple of things on your Glenmark business. I mean, I understand that we can't look at this business on a Q -on-Q basis, but if overall on a year -on-year basis, if you were to see this business, last two years, three years, we've seen this business not growing materially. So, is that the new normal that this part of your portfolio, probably it's logical to see it growing at maybe 4%, 5% on a year -on-year basis? how should we look at this, the Glenmark business?
Yasir Rawjee: Tarang, it is lumpy, okay. And there is growth, and we've also highlighted the fact that there is a contractual obligation in place, okay, for that GPL business. So, we are pretty secure in that sense,
right, due to that. But overall, I mean, they have a p retty good business globally and we do supply to GPL for their global market. So, I'm not particularly concerned about this quarter being lower than what we normally see, right?
Coming to the entire year, it's difficult to say. But when you look at last ye ar, I mean, it was okay, right? The GPL business grew reasonably, I mean, mid-single digits. So, I think, yes, it could be between mid -to-high single digits, but difficult to say, I mean, at this point.

Tarang Agrawal: Okay. The second question is on your pipeline. If I look at your HP API pipeline, it's been moving up reasonably well. I just wanted to see, given the last two years, the kind of investments that you've done in basically adding molecules to your grid, how are you seeing them getti

ng active in the front end? I mean, have commercial supplies started for any of these molecules? And from a timeline perspective, is this the timeline that you had always baked in, in terms of these molecules coming to fore or there has been a slight delay in terms of commercial activation of these molecules?
Yasir Rawjee: See, we have, of the 26 high- potent products, right? 12 already have got firm customer interest and that's why we are validating . Otherwise, we wouldn't be validating in the plant. So, there is firm

customer interest and this customer interest comes f rom across the geographies . So, with respect to their commercialization, that all is timed by the patent expiries.
So, we should see commercial activity on our onco pipeline, on our high -potent pipeline f rom late FY '27, okay, as the patents in some early markets start expiring. And then the remaining 14 products that are progressing in the lab, there is significant customer interest in those as well. But yes, we have not generated R&D revenue from those as yet.
Tarang Agrawal: Got it. Got it. And I noticed that this -- you're in advanced stages of adding one more iron sucrose molecule. If you could comment something on it?
Yasir Rawjee: Yes. So, that's going prett y well. We have another one ab out to get filed, an iron complex molecule, right? And we've got very significant customer interest for that as well. We've got a total of three, but we are actively considering two more to put in the grid. So, that's again a pipeline that will become pretty significant in the near future.
Tarang Agrawal: Okay. And from a FY ' 26 advantage, how are you looking at capex, sir?
Yasir Rawjee: So capex, see, Tarang, there is an overflow from last year of INR190 crores. And we hope to start our R&D project this ye ar as well. So, that plus Solapur coming to completion, as well as two big brownfield projects both in Ankleshwar and Dehej also have to complete. So, when you put it all together, we expect to spend about INR600 crores with the INR190 crores overflow.
Tarang Agrawal: Got it. So, that plan remains, I mean, this is what you've communicated in Q4 as well. So, that is status quo. That remains FY '26, correct?
Yasir Rawjee: That's right.
Moderator: The next question is from the line of Bala Murali Krishna from Oman investment Advisors.
Bala Murali Krishna: So, in case of CDMO, even if the first project is commercialized, so, what kind of run rate we can expect? I think maybe we can hit INR50 crores per quarter. Is the estimate correct or is there any chance for further room?
Yasir Rawjee: Could you please come closer to the mic and repeat your question, Bala?
Bala Murali Krishna: Yes. Sure. Just a minute. So, I'm asking you about particular CDMO business. So, now we have four projects running and we have an avera ge of INR40 crores run rate in three quarters. So, even if the fifth project is commercialized, so, by that time, maybe we can have numbers like INR50 crores per quarter or there is some more room also for improvement. And any other -- do you expect any ot her projects to commercialize in this year after the fifth project?

Yasir Rawjee: Okay. So, we have another two projects that are in the pipeline. But these five projects by H2 should all be commercial, okay . And with regard to whether we will clock INR50 crores per quarter, that's a very strong possibility.
Bala Murali Krishna: Okay. So, regarding capacity addition, so, this year we are going to add around 40% of the margin. So, it's -- the revenue potential is proportional to the capacity addition or like reactor capacity addition or do we see any incremental revenue compared to current capacity?
Yasir Rawjee: See, not immediately, okay? Because Solapur is starting off. That will be

a large capacity. But a good portion of that capacity is for backward integration. But like I said earlier that we are going to start ROW business or rather move ROW business to Solapur. So, yes, Solapur will c ontribute to revenue. But it obviously won't be at the level that we get on a per kiloliter from, let's say, Ankleshwar or from Dahej for that matter. So, I mean, it will kick in but it will take some time to stay -- to bring it to the same level . So we do expect that our FAT R will drop a little bit. But that's okay. That's a very normal thing, right? .
Bala Murali Krishna: Okay. But this Ankleshwar and Dahej, 260 KL will contribute to the same level or it is als o -- It is not a backward integration?
Yasir Rawjee : No. Ankleshwar and Dahej is not backward integration. See, Dahej is largely being done to facilitate our fourth project on CDMO because that demand is going up very quickly. Okay. So we hope to be

able to complete Dahej in time to be able to facilitate that business. Okay.
Ankleshwar has got so many products. And like I said and we said in our communication that we do have launches. We did have launches in the last 2 quarters, and we do have upcoming new molecules that we'll have to service. So Ankleshwar is largely for that. But yes, in terms of revenue, we expect revenue should -- revenue shou ld come through.
Bala Murali Krishna: Lastly, sir, I understood that next year you're guiding for high-single -digit, but all this in FY '27 if all these capacities are running . So what kind of numbers you may be expecting in FY '27-'28 elemental to FY '26?
Yasir Rawjee : You asked for FY '26?
Bala Murali Krishna: '27, '28 .
Yasir Rawjee : I think we'll at least maintain that at least, okay ? There is upside potential, okay? Because like I said, a lot of the pipeline is maturing in FY '27, '28, I even said even on onco, right? Onco will start giving us in the second half of FY '27, we'll start seeing even our onco pipeline going commercial.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private L imited .

Bharat Sheth: Hi. Good morning , sir and thanks for the opportunity. Sir, if we have to think from say 5 years perspective like CDMO is a bigger opportunity in emerging. So how do we plan to, one is that you are doing physical capex that will help us giving a more sustainable supply to the customer, but developing a pipeline.
And second thing on investment in developing a new capability like ADC o r biotech ? And third, on the process efficiency for flow chemistry investment. So how should we think and when do you think we are and -- how is the second thing our acceptance as a CDMO player by our customer.
Yasir Rawjee : Okay. Let me go a step by step, okay? So let's talk about CDMO 5 years, right?
Bharat Sheth: Okay.
Yasir Rawjee : I mean, we will be a very credible player in the CDMO space in 5 years, simply because we are already seeing that momentum. I just mentioned that apart from these five commer cial projects, we have two now an active discussion and very likely that we will get those two projects. So if we keep that kind of hit rate, then we are talking of a pretty significant numb er of projects in 5 years' time.
Now with respect to ADC biotech, see, t hese are all good things. But we feel that the chemistry platform is something that will give us a faster payback, on our investment if we continue to stay with the chemistry platform , and leverage that to build an even bigger portfolio. Now this, a gain, has a benefit for our CDMO business as well.
We don't anticipate getting into any kind of biolog ic platform at this point. Because the number of opportunities that are available on the chemistry side are also very significant. I mean to flow chemistry, we've had some very good -- in fact, one of our flow chemistr

y projects is now
commercial. And we've made a hu ge impact in te rms of cost . And so our confidence level in leveraging flow chemistry is very high.
We currently have three projects that are in the pipeline in flow chemistry. Now what this does is that it gives us a very strong position in some key molecules. And it will impact our bottom line very significantly. And as we gain more market share because of our cost position, we are likely to impact top line as well. So the thrust will be in flow chemistry. And that could just continue.
Bharat Sheth: Okay. So what kind of investment that may require, again, I mean, building a normal, I mean, process chemist ry vis-à-vis flow chemistry and how do we -- for next 3 years, we have a strategy to invest ?
Yasir Rawjee : So the good news, Bharat, i s that in flow chemistry , the investment typically is about one-third of what we do in batch.
Bharat Sheth: Okay .
Yasir Rawjee : So again, the payback on that investment is also very quick, okay! This is the experience. Now I'm saying one-third , but it could be even half depending 50%, but I don't expect it to be more than 50%

of a batch on the commercial side. In R&D, we have to make investments, but then those are small.
And then once you made the investment in R&D and build a broad platform for flow chemistry equipment, then that keeps getting used for newer projects as well.
Yasir Rawjee : Okay . So it's investment light also, I mean, it's not investment heavy flow chemistry.
Bharat Sheth: Okay. So, when do we see at the end of the third year now since you saw a kind of a benefit that you expect? Maybe a broader contour, if you can -- that is one. And second, now with backward integration of Solapur, what kind of benefit that we expect in '27?
Yasir Rawjee : So like I said, it would be initially a bottom -line improvement because of backward integration and

because of t he use of this technology. But top line benefit would take a little longer to come as we gain more and more market share. So that's where we believe that will get benefited. In 3 years, definitely, we'll see a very significant benefit.

Bharat Sheth: And las t question if you…

Moder ator: Sorry to interrupt Mr. Bharat, may we request you return to the question for a follow -up question.

Bharat Sheth: Sure.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal : Good morning. It's been about almost 1.5 years now since the ownership change happened. You had time to rethink through how you're looking to grow the business and the opportunities, which have been there. I mean, is there a value been communicating the same since -- for the last few quarters. Is there any dramatic cost changes, any improved opportunity spaces that you begin to see that can impact our business as we go forward. I mean, is there any -- what I really need to ask is, is there a major difference in the way you're looking at the business as we're probably 6 months back in terms of opportunity?

Yasir Rawjee : Definitely, Nitin. I mean look, we spoke about this. But I mean, the thing is we've got to look at different things and many things so we make a jump rig ht into something because then we are committed to that. So we've been evaluating quite a few things. And our net cash position is pretty strong. So you can expect that we would be making some very deep plans depending on our evaluation and how we move for ward. It takes a little bit of time because, again, I said -- the one thing that you've got to understand about Alivus, right, is that we've got a very deep pipeline. I mea n 165 very good molecules. And we've seen with the launches, the kind of response that we are getting. And we want to be able to not leave that as is, but in fact, use that pipeline that we've built over thes

e last 5, 6 years t o leverage other things. I referred to CDMO as one area, but that's only one area, okay? So we are in the process of evaluating what we need to get into apart from what we already do. So it's work in progress. I can't say much more.

Nitin Agarwal : Okay. And now just clearly trying to put some quantification around whatever the way you're thinking. Two things on a, how big do you think CDMO gets as a business for you in like 5 years -- 3 to 5 years as a proportion of business?

Yasir Rawjee : So if you recall, right, we had said that today, it's about 6%, 7%, but we'll take it to around 12% to 15%, in 4 to 5 years' tim e. And again, that confidence level is very high because we are seeing more and mor e projects getting added. And the potential is pretty strong, right, both in life cycle as well as specialty.

Nitin Agarwal : Okay. And on the non-CDMO part of the business, I think this is a business where, relatively speaking, you had more -- I mean, CDMO is lumpy. And once the contracts are signed, it's going to take off. But the non-CDMO part of the business, most of the peers also have been struggling with the generic API growth in general. Structurally, I mean, is this a double -digit growth business? Or this is a single -digit growth business on a more sustained basis? How should we think about this business?

Yasir Rawjee : With our pipeline, it's definitely double -digit in the future. I mean, of course, there's the GPL element. And they don't have that many launches as we are seeing in other markets. And with our non-GP L business. But that's okay. I mean we did the seeding, we did the work, that work conti nues in terms of seeding. And so we're seeing that already. I mean you've seen the last 3 quarters of Q3, Q4 last year, plus this year, we've had a good number of new introductions, okay, into the various geographies. So API business with us is, again, due to a fairly deep pipeline and a good geographic spread is likely to continue, pretty strong.

Nitin Agarwal : So I mean just to recap, obviously, the CDMO will take its own course as the contract had signed up, and I presume with the confidence that you are indicating the scale and size of some of these newer contracts should probably begin to inch up as you go forward, right?

Yasir Rawjee : Yes. Yes.

Nitin Agarwal : And you still believe that API, despite the GPL sort of scale down scale up that keeps happening, it's a double -digit growth business on a sustained basis for us, at least for the foreseeable future.

Yasir Rawjee : Yes.

Nitin Agarwal : Okay. Perfect. Thank you. A nd the margins should be in the same 28 %, 30% bracket around that, that we should be -- that's a model that we should continue.

Yasir Rawjee : We lost PLI, right? But we are still delivering those margins. So I mean that should give you some idea, right, in terms of the basically, the strength a s well as the sustainability.

Moderator: The next question is from the line of Avnish Burman from Vaikarya .

Avnish Burman: Yeah. Hi. Good morning, team. Just one very quick question from my side. I just wanted a little bit color on the CDMO business. D octor, you mentioned in the last call that it's more of a life cycle management business. Can you just talk a little bit more about that? I mean, all your customers' innovators , and when you say life cycle management, are they approaching you more for cost reduction? Or are they approaching you when the patents have expired , I mean, just a little bit more color on that side, please?

Yasir Rawjee : So ye s, you're right. I mean in life cycle, the cost reduction element plays a big role. And obviously, we've got to demonstrate sustainability as well because typically, these life cycle management projects come from the innovator who

is moving from an in-house API to a different API. So that element is important. Cost is important. Sustainab ility is important. I think we've proven that to our customers.

Project 4, project 5 are both lifecycle projects, and they are significant in terms of their value. But like I said, there are two more active projects that we are discussing and those are specialty and lifecycle. So we are seeing reasonable traction even on the specialty side. And the good thing about specialty is they do get a period of exclusivity. And so margins can be very good, okay, in that space. But we are open to both.

The thing wi th specialty is that we need to do a fair amount of optimization on the molecule, okay? Whether it's polymer, whether it's a salt, whether it's a certain very narrow particle size range to help the formulator. So there are all kinds of nuances that have to be built into the API in order to facilitate a good formulation that is being targeted.

Avnish Burman: Okay. And typically, innovator takes decision from moving from in-source to, let's say, a CDMO partner is when the patent expires or there could be othe r reasons also.

Yasir Rawjee : See, that depends on h ow conservative they are. I mean like we have thi s Japanese innovator. This is project number 5, right? T hey took that call only after the patent expired. But then there are other innovators who come in earlier and sort of want to be ready with the variation approvals, site additions and stuff, righ t, just before generic launch.

Avnish Burman: Makes sense. Last question on the API side, if you can just give a little bit colo ur on the product concentration. I mean top five products would be what percentage of the revenue?

Yasir Rawjee : 35%, I'm making a guess, an educated guess, okay. We're not very dependent.

Avnish Burman: No, no, I just wanted a ballpark figure. That's fine. It works.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal : Hi. Good morning. Just a follow -up. You made a comment in your initial address that the gross margin expansion is a function of lower pricing of raw materials? And at the same time, some operational efficiency is getting created. So if you could just elaborate a little bit more on that.

Second, it does seem like there is pressure in the API market, but simultaneously, the pricing i n the intermediates and raw material market is also very favo urable for you. So does that mean that you're deploying more to your inventory? How are you looking at it?

Yasir Rawjee : I think, Tarang, you answered your own question really. So there is a benefit okay, on the raw material side, but it's not all -- it doesn't all come f rom there. Like we said, we've had launches very good margi ns on the launches. And operationally also, we've been working on newer infrastructure. All that is now kicking in, in terms of better energy efficiency, better realization on second gen processes and so on. So al l this has come together. And that's why we were able to see 55% gross margins

Tarang Agrawal : Got it. And second, I mean when we see the non-GPL business gro wing by 14%, that would have probably been a function of almost 20%, 25% volume growth in that business, correct? Would that be the right way to look at it?

Yasir Rawjee : It's actually 18% volume growth.

Tarang Agrawal : In the non-G PL business, is it?

Yasir Rawjee : Yes. So there hasn’t been that much erosion.

Tarang Agrawal : Okay. Would It be because of the market dynamics or would it be because of you having launched new products?

Yasir Rawjee : Mix.

Moderator: The next question is from the line of Ketan Chheda , Individual Investor.

Ketan Chhed a: Hi. Good morning. Thank you for the opportunity. Doctor, you've talked about how upbeat you are about the CDMO business. And you also menti

oned that on a sustained basis, we can be a double - digit growing bus iness as well. So from a slightly mid - to longer -term perspective, say, like 5 years . I just want to get a sense not really a guidance, but a probabilistic scenario, that is there a possibility

that we can probably cross INR1,000 crore s mark on a net profit basis, say, 5 or 6 years out. Is that a possibility?
Yasir Rawjee : On a consolidated level ?
Ketan Chheda: Yes, yes.
Yasir Rawjee : Yes, I think so. I mean.
Yasir Rawjee : CDMO.
Yasir Rawjee : CDMO, no.
Ketan Chheda: No, no, on an overall basis , total.

Yasir Rawjee : We are already 700 plus, right? I mean, yes, comfortably, I think we can do it. Not a problem. I mean, look, again, right, Ketan, we are focused on the pipeline, okay? It's a pipeline that addr esses global market needs. And then there is a level of value addi tion that we are bringing. Through CDMO, and there are other things that we are also looking at to create further value on the pipeline that we have. So I'm pretty confident that we'll be able to achieve that. Again, I'm not giving guidance, okay? Like you said, you're not asking.
Ketan Chheda : Yes. I know I am not asking for guidance, but just a probabi listic s cenario, yes.
Yasir Rawjee : I mean , this is for you as well as for everyone else on the call.
Ketan Chheda : Sure, sure. Absolutely. And just one clarification. You mentioned some figure about net profit. I didn't get that right. I mean, March '25 net profit, what I see is that we are about 486, 485 kind of net profit. You said 700 or something?
Tushar Mistry : EBITDA, not the net profit.
Ketan Chheda : No, I was talking ab out net profit, sorry, when I asked for the INR1,000 number, INR1,000 crore number, I was saying from a net profit basis , not EBITDA.
Yasir Rawjee : Double in 5 years.
Ketan Chheda : Kind of, yes, approximately, yes.
Yasir Rawjee : We could be close, but let's see.
Ketan Chheda : Okay. Okay. Sure, sure. And the other question I had is , in the past call, you mentioned about something like you're probably looking at some new avenues, and you alluded tha t in some commentary a few minutes ago as well. Is there a possibility that we can also do some kind of an acquisition of a company where we see a lot of potential because we -- I think our balance sheet probably could support that? Is that a possibility?
Yasir Rawjee : Yes. Inorganic is definitely on the table.
Ketan Chheda : Okay, okay. All right. Thank you, Doctor. Wish you all the best.
Yasir Rawjee : Thank you.
Moderator: Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi. Good morning, everyone. Sir you mentioned about commercial launches for the high potent API segment starting from late FY '27. Similarly, can you comment on the broad time line of the one file d iron complex and the two in advanced stages of development?
Yasir Rawjee : Alankar, one is being reviewed, okay? I mean, one is under review. But you know with these molecules, right, there's a lot of back and forth that both the ANDA player and us are so rt of right now addressing with FDA. So I mean, on the optimistic side, I would sa y 6 months. But it could even go beyond that. I mean, there's a lot of characterization work that F DA comes back and asks for. Similarly, when I said the other two projects are also moving pretty in a good direction. The customer interest here is very high. Again, it relates to the API characteristics. So while there are d ifferent APIs out there, our API in both these projects is an early formulation development work is extremely amenable for the right kind of formulation in terms of -- basically in terms of bioequivalence, okay? I mean,

at the end of the day, it's all about bioequivalence that U.S. FDA cares about. So -- and obviously, you have to demonstrate that, right?
So here the traction is good. As far as approvals go, it's basically when the agency comes back and says, okay, you're approved, right? But again, like I said, it's both the ANDA players and us that are working simultaneously to satisfy the queries raised by U.S. FDA.
Alankar Garude: Got it, sir . The second question, when you say inorganic is definitely on the table, can you elaborate on this? Which areas are you looking at? Is it more on the capability side and less on the capacity side? Any color on that would be helpful sir.
Yasir Rawjee : Okay. See capacity, we have enough capacity, I would say, right? Of course, it would be nice to have

an additional U .S. FDA site of the Dahej size. Also just to be very safe, with the way the portfolio is growing, right? But re ally at this point, we've done so much work at both Ankleshwar and Dahej to build capacity that we have a good 2-year runway there.
So we would not be looking in the capacity space for sure. Unless something really cheap came along. I mean, but we'd rather spend our money to sort of enhance the platform and create business opportunities that are beyond the current type of opportunities that we chase. I mean, that's all the colour I can give you.
Alankar Garude: Thank you, Yasir . Thank you and all the best.
Yasir Rawjee : Thank you.
Moderator: Thank you. The next question is from the line of Abhishek from Padmaja Investments . Please go ahead.
Abhishek: Yes. Sir, my question one is I'm looking at your presentation. So I see fixed asset turnover like in FY '22, it was 3.4 and now it is like in the 2.5 range. Is there a reason like why it is coming down? And

what is the number that we can assume going forward? T hat's my question one. And question two is, can you comment on the new platforms you are planning to build? . I remember you mentioning that was like in the past two conference calls . Yeah, that's it. I'm done with my questions.
Tushar Mistry : Yes. Hi, Abhi shek. The FATR, we have been saying in the past that while we were a part of Glenmark Pharma, the investments were not very high, and that was the reason why the FATR was that high.
Now we have got into the investment phase and building capacities for our future growth. And we have been guiding to this kind of FATR going forward.
And till the time we will remain in that investment phase, you will see this FATR -- slight pressure on the FATR going forward as well. But we don't expect that to go below two at any given point of time. We are trying to manage our capex in that manner.
Abhishek: So there is currently flat in capacity, that will be used going forward because you have a strong pipeline, that's the reason why it is down as of now. Is my understanding , right?
Yasir Rawjee : No, no, no. I mean look at the industry, we are still at the top of the table in terms of our asset utilization. I mean, jus t compare us with anyone. Most companies are hovering around 2 or less than that, even the top co mpanies in o ur area - in the API business, right, between 1.5 and 2. So I mean, you will have to give it to us that we've been pretty efficient in utilization of capex and because of our capacities are utilized pretty efficiently.
Abhishek: I'm just trying to understand the reason for the fall sir. I do get that it is high. And I look at Divis and Laurus pretty high they end up. I'm trying to understand the gauge.. .
Yasir Rawjee : You come back and look at the same 2 companies that you're talk ing about in terms of asset utilization, right? They are not at 2 also, okay?
Moderator: Thank you. The next question is from the line of Ketan Chheda, a Retail Investor. Please go ahead.
Ketan Chheda: Hi. Thanks for the opport

unity, again. Doctor, I have a question on the GPL contract. You mentioned there is an obligation from the GPL side. Could you please clarify by when does that obligation end?
Tushar Mistry : The obligation is for 5 years. We have completed 1 year on that. We still have 4 years as a part of the contract.
Ketan Chheda: Okay. Thank you so much. Thank you.
Moderator: Thank you. T he next question is from the line of Abhishek from Padmaja Investments . Please go ahead.
Abhishek: Actually, I didn't get the answer for the second question, sir , like regarding the new platform sector plan.

Yasir Rawjee : Sorry, about that. Yes. So see, with respect to new platforms, right, One thing tha t we are very clear about , is that we are not going to move away fro m the chemistry platform. I mean there are good opportunities on t he biologicals and stuff. But we'll be goi ng too far away. And then that's like running 2 platforms simultaneously. So that doesn't make sense.
The whole idea is that when you invest money in R&D as well as in on th e commercial facilities, y ou want to be able to have synergy as well. So that it's not a 1 plus 1, 2 game. You want to have 1 plus 1 to be more than 2, okay? That's the way this business works.
And again, it addresses the earlier thing about how much do y ou sweat your assets. So I mean, we are clear, right, that we want to be able to stay with the chemistry platform, leverage the portfolio that we have built even more. And basically do more with less.
Abhishek: Okay, sir. Thanks.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.
Bharat Sheth: Hi, sir . Thanks for again the opportunity. Earlier, you said this fourth CDMO project that we are running, that is largely is on life cycle management. Is that correct understanding?
Yasir Rawjee : No. The first 2 are specialty, and then the third one is life cycle and next 2 are also life cycle.
Bharat Sheth : Sir, is that fair understanding life cycle management, I mean, this CDMO project is a more stable revenue than the kind of I mean specialty with lumpiness ? Or how should we think about it?
Yasir Rawjee : Okay. See what happens in specialty is that they're breaking into the m arket with something new. So it does take a little bit of time , to stabilize the business . With life cycle, there is already a market that is -- innovator has a market. In fact, they are trying to keep as much of it with low er-cost API. So there, it's a different . They are trying to basically compete with the generics, right, on the life cycle side. So the sort of outlook on the market is more stable, I would say, on the life cycle part. But on the specialty side, it's a bit lumpy, I do agree. But then the margin profile is very different, okay? To have a significant difference on the margin side, as well in speciality.
Bharat Sheth: Okay. On second side, I mean, so there could be some price pressure, every year will be there for this, the lifecycle management product vis -a-vis speciality . Is that fair understanding? .
Yasir Rawjee : No. I don't necessarily agree there because what happens is usually with both specialty , as well as life cycle, we have longer -term contracts. And we also have built -in clauses for prices, cost escalation and so on , that help us to retain the margin.

Bharat Sheth: Second question, sir, was this pipeline of 5, 6 projects that we are in. So if you can give more colo ur is how much it could be on the life cycle and how is specialty side?
Yasir Rawjee : So rig ht now, with 5 projects, the first 2 are specialty in t he next 3 -year life cycle. What was the question, again?
Bharat Sheth: Next, I mean, the projects which are in pipe

line.
Yasir Rawjee : For the future pipeline ?
Bharat Sheth: Yes.
Yasir Rawjee: So right now, we are engaged in one life cycle. And I mean, the project 6 and 7. It's not yet enough in the bag, okay, by the way. We are in advanced stages. Bu t one is life cycle, one is specialty.
Bharat Sheth: And so how we are developing the capability and what would be our strategy in the CDMO business, how to look at, I mean, the specialty vis -a-vis life cycle? And what will be our effort.
Yasir Rawjee : See, in life cycle, right, there is already dossi ers that are filed in all geographies, right, or various geographies. Now the key here is to basically push through regulat ory, the variation filing. And that has to be done in terms of the product being similar, the API being similar to the existing API t hat they use. So basically, we have to mimic the API of the innovator in all ways, especially physical propert ies become very important. That is one thing you have to do.
But then there is also hand -in-hand with that. What is the faster way to get through our API into their file and then they get the approval. So those are the challenges. Of course, you have to meet cost. I said that earlier. So the cost is done. The other wa y, you don't get selected also.
Bharat Sheth: Yes. Go ahead sorry.
Yasir Rawjee : And on the specialty side, basically, it's all the customization that they need.
Bharat Sheth: Okay. So what are the major challenges that you see current , I mean in our generic side as well as, I mean, this whole overall major challenge, if you can elabor ate.
Yasir Rawjee : Yes. Can you come back and we'll take it , Bharat ji .
Bharat Sheth: Sure. Thank you. Thank you and all the best.
Tushar Mistry : We'll connect separately. There are people on the queue , and we have a shortage of time, sir .
Bharat Sheth: Thank you. Thank you and all the best.

Yasir Rawjee : Thank you.
Moderator: Thank you. The next question is from the line of Harshal Patil from Mirae Asset Capital Markets . Please go ahead.
Harshal Patil : Thank you, sir. Good morning and thanks for the opportunity. Sir, just two clarification required . One, we said the Dahej brownfield project is basically aimed at catering to the CDMO project for largely. So sir, once the brownfield is done, would it take some time to really start the commercial supplies for the project for, or it can be immediately done. I mean just wanted to know if there would be any validations for the brownfield or something like that? Or it can immediately start around?
Yasir Rawjee : No. In this case, it's immediate, Harshal. Because already commercial, we are sort of tight on

capacity.
Harshal Patil : Right. Got that, sir. And sir, second thing, just your quality within the CDMO space, we've been talking about life cycle and the export. So just wanted to know in a year or four quarters, is there any seasonality or any demand of the trends from our customers that we're seeing for these five projects? Or it's like it could be depending up on their production schedules. How does that work? Any any market flavo ur around that?
Yasir Rawjee: I would say it's seasonal. What has happened is that two of our specialty projects, the customers have gone for a new indication for both of them. And those are taking a little bit longer to materialize in terms of having new indications. So this is the challenge. But it will -- I mean, look, I mean there is an established market. They have a good footprint. It's just that the growth that we expected , is not there, right, at this point.
Harshal Patil : Sure, sure.
Yasir Rawjee : It's not going further. That's what I'm saying.
Harshal Patil : Sure. Got that, sir. Got that . So that helps, sir. Thank you, sir. And all the best.
Moderator: Thank you. The next question is from the line of Alankar Gar

ude from Kotak Institutional Equities.
Please go ahead.
Alankar Garude: Sir, one question on R&D. If you look at our R&D in the last 2 years, especially after the change in ownership, it's increased a bit both on an absolute basis as well as a percentage of sales. But if you look at the absolute quantum, maybe INR65 crores in FY '23 was at INR80 crores in FY '25 and maybe INR21 crores as you reported in Q1.
So the question is, is this enough to keep on growing our generics business at a fairly strong pace and at the same time, increase the CDMO contribution to that 12%, 15% in the next 4, 5 years, which

you mentioned? Or do we really need to increase our R&D ev en further if we have to keep on growing at that pace?
Yasir Rawjee : It's a very good question, Alankar. I mean on CDMO, we will have to add a little more muscle. But for generic, we are good. In fact, there has been a kind of shift internally in resource allocation for generic where we are doing more backward integration projects and more CIP projects, right, for next-gen processes, while we are continuing to build the pipeline.
So I think there would be a slight uptick in terms of R&D spend, just so that we have enough strengt h in all these platforms. And the reason why it has gone up is also because of the platforms. Going forward, I mean, I don't think it will exceed 4% to 4.5% of revenue.
Alankar Garude: Got it, sir. That's helpful. Thank you.
Yasir Rawjee : Sure.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for the day. On behalf of Alivus Life Sciences Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: ALIVUS
Dear Sirs,
Sub: Transcript of Earning s Call
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning s Call held on Friday , November 7 , 2025 for the second quarter and half year ended September 30, 202 5 is available on website of the Company at:
https://bunny -wp-pullzone -zhbiessutg.b -cdn.net/alivus_pdfs/investors/financials/reports_presentation/Transcript_Alivus%20Life%20Sciences_Earnings%20Call_Q2FY26.pdf

The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully,

For Alivus Life Sciences Limited
(formerly Glenmark Life Sciences Limited)

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Alivus Life Sciences Limited
Q2 FY '26 Earnings Conference Call"
November 07, 2025
MANAGEMENT:DR. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ALIVUS LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER – ALIVUS LIFE SCIENCES LIMITED
MS. SOUMI RAO – ALIVUS LIFE SCIENCES LIMITED
Alivus Life Sciences Limited
November 07, 2025
Moderator: Ladies and gentlemen, good morning, and welcome to the Alivus Life Sciences Limited Q2 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Soumi Rao from Alivus Life Sciences Limited. Thank you, and over to you, ma'am.
Soumi Rao: Good morning, everyone. I welcome you all to the earnings call of Alivus Life Sciences Limited for the quarter ended September 30, 2025. From Alivus Life Sciences, we have with us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO.
Our Board has approved the results for the quarter ended September 30, 2025. We have released the same to the stock exchanges and uploaded it on our website. Please note that the recording and the transcript of this call will be available on the website of the company.
Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies may contain certain forward-looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks, which could cause actual results to differ materially from

these statements depending upon the economic conditions, government
policies and other incidental factors. Such statements should not be regarded by recipients as a substitute of their own judgment.

The company undertakes no obligation to update or revise any forward-looking statements. Our actual results may differ materially from those expressed in or implied by these forward-looking statements. With that, I invite Dr. Yasir Rawjee to say a few words. Thank you, and over to you, Dr.

Yasir Rawjee: Soumi, thank you. Good morning, everyone, and welcome to our quarter 2 earnings call. Before we get into the company's quarterly performance, just a few words on the broader industry landscape that is influencing our business environment.

The global pharmaceutical industry is growing, but also evolving rapidly, driven by advances in AI and digital technology and a growing demand from emerging markets. Companies are strengthening supply chain resilience, local formulation manufacturing and focusing on patient-centric models and sustainability. While rising costs and regulatory pressures pose challenges, innovation, technology adoption and government support continue to fuel growth and reshape the competitive landscape. With this, let me draw your attention to our performance for the quarter.

We reported revenue of INR588 crores, registering a healthy 16% growth Y-o-Y. This was driven by a very strong performance of our non-GPL business, which grew by 39.7%, backed by mainly successful new product launches. The performance reflects the inherent strength of our core operations, though overall growth was partly moderated by a decline in the GPL segment due to customer inventory rationalization.

As indicated earlier, we anticipate the GPL business to regain momentum in the second half of FY '26. During the quarter, we saw broad-based growth with regions like emerging markets, LATAM, Japan, Europe and India ex GPL, delivering strong performances and emerging as key contributors to our overall growth.

Moving on to our profits for the quarter. Our gross margin for the quarter was 57.7%, up 210 bps Y-o-Y, driven by rationalized input costs, and new product launches and favorable product mix. Our EBITDA margin for the quarter was 33%, up 480 bps Y-o-Y.

The CDMO business has been a mix but overall, when you look at it, it looks soft. We expect it to rebound in the second half, led by the addition of new projects and ramp-up across existing projects. With a healthy pipeline and new projects being added, we anticipate a meaningful turnaround in CDMO performance in the second half.

Our pipeline remains robust with 586 DMF and CEP filings globally as on September 30, 2025. The development grid remains steady and future ready with a mix of near-term launches, NCE-1 opportunities and for the target markets. The high potent API portfolio remains on the development path with 26 products in the active grid, representing a total addressable market of $66 billion. Of these 10 products are validated, 7 products are in advanced stages of development, and the remaining 9 products are progressing through lab development stages.

Our capacity expansion initiatives at Solapur, Ankleshwar and Dahej are progressing well and as planned. Looking forward, we reaffirm our guidance of high single-digit revenue growth for FY '26, driven by a stronger performance in the second half of the year, led by strong profitable growth in broad-based external sales, recovery in GPL business and ramp-up of CDMO projects.

We remain confident of sustaining margins at around 30% despite the absence of PLI benefits. The margins are reinforced by a robust pipeline of new launches and operational efficiency. With this, I hand over to our CFO, Tushar Mistry. Tushar, please take over. Thank you very much.

Tushar Mistry: Thank you, Dr. Yasir. Good morning, everyone. Welcome to o

ur Q2 FY '26 earnings call. Before
we take questions from you all, I would like to take a moment to highlight the key performance updates for the quarter and half year ended 30th September 2025.

For second quarter FY '26, revenue from operations stood at INR588 crores, a growth of 16% year-on-year. Gross profit for the quarter was INR339 crores, up 20.4% year-on-year. Gross margins for the quarter stood at 57.7%. This is towards the higher side of our given guidance.

EBITDA for the quarter was at INR194 crores, up 35.7% year-on-year and EBITDA margin for the quarter was 33%, up 480 basis points year-on-year, driven by better product mix and new launches. PAT for the quarter stood at INR130 crores with PAT margins at 22.1%.

For first half FY '26, revenue from operations stood at INR1,190 crores, a growth of 8.6% year-on-year. Gross profit for H1 was at INR671 crores, up 15.1% year-on-year. Gross margins for H1 stood at 56.4%. EBITDA for H1 was at INR375 crores, up 21.9% year-on-year. EBITDA margin for H1 was 31.5%, up 340 basis points year-on-year. PAT for H1 stood at INR252 crores with PAT margins at 21%.

Looking at the therapeutic mix, CVS and CNS continue to lead the growth during the quarter with both therapies contributing 55% to the top line. Chronic therapies contributed 69% to the top line in Q2 FY '26. R&D expenditure for Q2 FY '26 was INR22 crores, which was 3.7% of our sales. For H1 FY '26, it was INR43 crores at 3.6% of our sales.

On the balance sheet and cash flow movement, speaking of capital expenditure, capex for the quarter was INR61 crores and for first half, it was INR113 crores. I would like to reiterate that our capex guidance, we have a capex approval from the Board of INR600 crores, including carryover of INR190 crores for FY '25.

We continue to remain a net debt-free company, and we have generated strong cash flow from operations of INR148 crores in H1 FY' 26 with cash and cash equivalents, including short-term investments of INR653 crores on the books as of 30th September 2025.

In closing, we remain confident that the strong demand momentum, coupled with improved visibility for the second half of FY '26 will position us well to deliver a steady growth performance for the year. With that, let us open the floor for Q&A.

Moderator: Thank you very much. We will now begin question-and-answer session. The first question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: I have 3 questions. First on capex part, we have done INR115 crores capex in the first half. So how do you see the overall this year's capex in realistic terms? Is it fair to assume the budgeted amount we'll be able to utilize for the capex? And if there is any change in the timelines for the Solapur plant? That was the first question.

Second question was regarding the CDMO business. Can you give some granular sense how do you see all the new as well as existing projects? I believe with the new one we'll have overall 5. So how

does the second half looks like and how do we end the FY '26. And lastly, when we say in the press release, we have better visibility in terms of the GPL business, can you give some granular sense?

Yasir Rawjee: Okay. Thank you. So capex has been slow in H1. I would say that -- I mean, R&D, we expected to close R&D this first half, but it has moved out slightly. We had planned around INR90 crores to INR100 crores on R&D spend for the R&D center. But this year, we probably will end up spending half of that. So that takes away half of what we had planned to spend on R&D.

Solapur is on track. But from the spend perspective, we probably will spend a little less in Solapur. So while the second half will pick up, we will not spend the remainder of that INR600 crores this year, okay? So more likely, we'll end up spending around INR250 c

rores in second half.

Of course, projects are on track. Ankleshwar and Dahej are very much on track, okay? We should have Ankleshwar coming up, the new projects getting completed by June of next year. So it will be operational from Q2 of next year. And Dahej should be operational from Q1 itself of next year. And Solapur also, we are targeting a start of Solapur from April. So we are on track. But on the spend side, we will not spend the entire INR600 crores this year.

As far as CDMO goes, CDMO has been doing well. I mean the new projects are picking up really nicely, okay? Our project for the commercial, we have already achieved close to 50% of the commercial potential, and it's going very nicely. Now the reason why the numbers are still a little muted, okay, is because on the existing projects, there is a bit of slowdown, which is only temporary, right, and it will pick up in the second half. We are pretty confident that our earlier 3 projects will come back commercially and we'll be well on track.

On the fifth project, we also expect most regulatory approvals to come in the second half. And so hopefully, we'll be kicking all 5 projects in the second half, and that would contribute to a much higher CDMO contribution.

Now with respect to GPL, yes, we expect the second half to be better. I can't say how much better, but it will definitely be better because the outlook is good, right? But it remains to be seen. We expect GPL to do much better than what we've done in H1. Given the fact that CDMO and GPL will both pick up, right, I'm expecting second half to be much better than the first half.

Ahmed Madha: Just one follow-up. In terms of capex, you said second half, INR250 crores. So are we considering anything else in terms of inorganic or any other capital deployment opportunity in near term or we are happy to wait for the opportunity in medium to long term?

Yasir Rawjee: See, we are evaluating various things, okay? In terms of capital, like Tushar just said, we are sitting on more than INR650 crores of cash, okay? And obviously, sitting in the bank, it's not going to give us that kind of return. The business is doing well. It makes sense to reinvest back in the business.

But we've got to be smart about it, and we would much rather take our time and evaluate opportunities across the board to try and figure out what is the best fit for our business.

I mean, mind you, I mean the one thing that I have always said and I'll continue to say it is that one of the strongest elements of our business is our portfolio, okay? And with 160-plus molecules, very good molecules, right, not vanilla molecules. We are well positioned not only in the API business, but if we go API plus, okay, we could end up doing a lot more with this portfolio. So whatever we do will be aligned very closely with this portfolio that we have built up over the last 6, 7 years. So yes, we are actively evaluating opportunities. And this is something that makes a lot of sense, right, in the current situation.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: A couple of questions. One, how are you looking at the API business environment? I think it's 12 quarters probably where we feel that the pricing on the raw materials as well as end market continues to remain benign. So is that something that you're also facing? And number two, you're currently now at a consistent cliff of about INR600 crores per quarter. When do you think you'll be able to get to about INR700 crores per quarter on a consistent basis?

Yasir Rawjee: Okay. See the API business environment, I would say, is a bit mixed. If you look at the commodity side, right, then yes, prices are under pressure, okay? But at the same time, raw materials are also not going up like crazy. So that's helpful. But then there's the other side where we have the newer products getting introduced i

n various markets. And there, it's much more advantageous, the pricing scenario.

Obviously, we mentioned in the commentary as well that we had launches and good launches. And so we've been able to secure on the newer projects that have launched good prices. And we've been able to control costs at the level that we had planned. Again, both the R&D effort on that as well as the manufacturing efficiency has helped us to keep costs under control. So for the newer portfolio, that certainly applies. And I believe that, that will continue.

Now with respect to INR600 crores to INR700 crores - I mean, in this quarter, it's only our non-GPL business, the API business that has fired well. And it's most of the regions, except the U.S. that has been -- has done very well. Japan, we've had a fantastic turnaround, okay, which will continue. Japan, as you recall, I had said about a year back, has only 4 commercial products, okay? And we are building the pipeline. So that pipeline now is beginning to work for us in Japan, where we have 8 to 9 commercial products, right, that are kicking in. And it will continue, that trajectory will continue to move north for Japan.

LATAM has also turned around very nicely. You remember the Argentina currency situation, which has slowed down our LATAM business, and that has turned around completely. So in

LATAM, we have Brazil, Argentina, Mexico firing pretty well for us. And again, it's a nice broad-based turnaround.

India has been consistently doing well, but Europe and ROW also have turned around -- I mean, have done much better than in the recent past. So overall, the big lever here for this performance has been our non-GPL API business. When we look at -- and I answered this earlier, that the CDMO is going to turn around well in the second half. And even GPL business has, I would say, we are at the lowest point really. It can't get worse than this, right? But it will turn around in the second half.

So I don't know whether we will hit INR700 crores this year. But given the fact that we have a very strong pipeline with new launches coming up, and CDMO is also doing well, I would say, right, even though the number, like I said in the commentary doesn't really reflect that. But the outlook for CDMO being very good. I would say that even if we don't get to INR700 crores this year, we'll be very close to it, okay? So I mean, overall, the outlook is very strong.

Tarang Agrawal: Got it. Just 2 follow-ups. One, you spoke about Japan. I mean, 4 has moved to 8. Where do you see the potential given that you've got about 160, 165, so to say, unique molecules. And sorry, that's about it. Yes.

Yasir Rawjee: So we are actively filing in Japan, Tarang, okay? And there will be more commercial launches happening in this next year, okay, and in the following year. So for the next 2 to even maybe 3 years, we have a reasonable uptick on the Japan business, mainly on account of new launches and new customers. Yes. Go ahead.

Tarang Agrawal: So could we fathom a situation where more customers obviously getting added in Japan, but probably 4 new molecules getting commercialized each year from here on. Is that something that it's prudent for us to bake in?

Yasir Rawjee: Yes, we are good for 4 every year.

Tarang Agrawal: Okay. And second, in your initial address, you qualified that perhaps the benign environment is -- I think you specifically called out for commoditized APIs. Was there a reason why you did it? Or it's actually only for commoditized APIs and not the case everywhere?

Yasir Rawjee: Okay. Let's understand what's your definition of benign. Are you talking only on the cost side or even on the sales -- on the pricing side?

Tarang Agrawal: I'm saying margins overall in all of these businesses. Clearly, we've seen a situation where finished good prices have come down and so have raw mat prices. But same percentage margin on lower realization effectively resul

ts in a lower absolute profitability per ton or per kg, correct? So that's --
I think that's something that we've seen play out in most of the players, if not all. That's what I

mean by a benign environment. So essentially for you to continue chugging in the same absolute profitability, you have to increase your volumes materially, right? That's where I'm coming from.

Yasir Rawjee: Yes. Okay. So let me address only the more mature APIs because we have them as well. I mean it's not as if everything is new. So on the more mature APIs, our volumes have been growing, okay? And what you said is true, right, that, yes, prices are not going up. I mean, prices are stable or even declining slightly. But then the cost environment is also reasonable, okay? So it's not like we are getting pressured that downward pressure that -- on the cost side. So that is also being managed. And then whatever negative delta is coming is being offset by slightly better volumes. So that part of the business is stable. And the margins -- not the percentage margin, but the absolute margin on the overall business is growing slightly as a result of the volume increase.

Moderator: The next question is from the line of Ketan R Chedda, a retail investor.

Ketan Chedda: Dr., you in one of the previous responses you just mentioned about API plus. Could you please expand what do we mean by API plus? And how much is that contributing to our revenues in the current scenario?

Yasir Rawjee: Okay. So Ketan, see, this whole concept is something that basically comes from our CDMO platform, but also basically extends to our generic business, okay? Right now, we don't only give API to our CDMO customers, okay? We are giving a whole range of solutions around the API that basically helps our CDMO business by offering customers more of a one-stop shop.

And this support that we give on the documentation side, the regulatory filing side, the analytical support and so on is something that really goes well with customers. And in CDMO, it has been a big hit for us. I mean, it's working very nicely. So what we've done is that we've started extending this model to some of our key generic API customers as well, where they \we give them a lot of value in terms of the other elements around the API, mainly on the regulatory support, the analytical support and so on.

So what that does basically where that is value creative is that it basically speeds the development for the customer end as well, okay? And this is a model. Obviously, we would have to sort of build some capability in terms of R&D around this in order to sort of push the API plus business, which is something that we are doing. We are not greatly accelerating it.

But as and how customers get interested to not only get API, but even get API plus data and more data, that helps. Because the other thing is the other place where it has really proven to be beneficial is on the complex API development. So in complex APIs, what happens is that a lot of the work is done at the API level instead of at the formulation level. So here, again, right, this kind of support on the API is a big help to generate interest with the customers who are buying complex APIs.

Ketan Chedda: Just a small follow-up on that. So when we talk about additional value that we provide to the customers, while it will be incremental, does this also help us improve the margins upwards? Or in other words, would this be a higher margin as compared to the pure API?

Yasir Rawjee: Yes.

Ketan Chedda: Dr., I'm not sure if you heard my question. Shall I repeat.

Yasir Rawjee: No. I did. And I said, yes. I don't know if you heard.

Ketan Chedda: I missed that.

Moderator: The next follow-up question is from the line of Tarang Agarwal from Old Bridge.

Tarang Agrawal: Just a couple of things. One on capex, right?

Moderator: I'm sorry to interrupt. Mr

. Tarang, your voice is not audible.

Tarang Agrawal: Yes. Just a couple of them, sir. One, on capex, I understand that getting the right land parcel approvals, so on and so forth can take its own time, and there are things and exigencies which are out of our hands. What I wanted to probably get a better handle on is, is it -- in any case, does it, in some sense, be an impedance for you to grow next year or in the next 1.5 years because of the mismatch in the timing of cash flow deployment that we've seen in FY '26 and to some extent, which we saw in FY '25.

So that was one. So I mean, we're okay if the deployment moves around by a quarter or 2 as long as it's not really impeding the broader growth trajectory of the business. So that's where I'm coming from. And the second question is about 2 years back, specifically in FY '24, we've seen this reasonable bout of cost increase when it came to the employee base. And what we understand is that the operating environment generally in the industry was quite aggressive, which led to that cost increase.

How have things changed now 2 years later, because we've also seen some element of capital withdrawal in the industry. 2 years, 3 years is generally a long time even for the new capital that

came into the industry to realize how important it is to have prudent operating metrics. So just wanted to get a broad sense in terms of how are you seeing broad inflation or competitive dynamics when it comes to employees and workforce in the API industry?
Yasir Rawjee: Okay. Let me take the second question first, okay? So there was an increase 2 years ago, but that was largely because of some performance-related -- long-term performance incentives that were basically planned for key employees, okay? So that has sort of levelled off, obviously. With respect to the environment, right, see, we remain a high talent intensive industry. And of the 2,200 people

that we employ, a good 25%, 30% of that workforce is a high talent workforce. In fact, even a little more, I would say, even close to 40%.
So we need to be competitive, okay, which we continue to be. When we evaluate our base case, we are close to the 75th percentile because we want to continue to retain good people and attract good people to come and work for the company, okay? But having said that, we also are balancing it out with a flatter structure than we see in most other companies, okay?
Now this not only helps us maintain better cost, but it also has a shorter chain of command, and a tighter chain of command when it comes to solving problems and dealing with issues. So it has served us well. And I think we will continue to operate along those lines. So there we will try to maintain our employee cost at around 10.5%, 11%. But yes, we will have to attract good people. And if it does inch up a little bit on account of that talent, we would continue to do that. Because we are still well below the industry average in terms of our employee cost.
Now coming to capex See, the -- basically, R&D continues to work in our current facility. The idea of having our own R&D center owned by us, is simply that we know we are on a growth path. And we'll continue to be on a growth path for the next -- at least for the next 5 years. Now given that situation, right, we continue to add new levers in R&D for that growth. And so we need the space, we need to add more infrastructure from time to time. So having our own place with enough expandability is something that will serve us well.
So yes, we've been, I would say, very picky in terms of where we select our R&D new center and how much space we need for that. And that's taken a bit of time. But we hopefully, we will close in this quarter itself. And then we've got our design for the first phase of R&D ready, and that will continue. So it's not impacting business, but we would like to move ahead as soon as possible. With respect to

other projects - Solapur is where there has been a slowdown, not by a lot, but we are building this facility, which will be a state-of-the-art facility, right, where we have built in a lot of continuous manufacturing infrastructure plus some high capacity infrastructure for backward integration. So given the fact that we have a different kind of site that we are building. But at the same time, it should be -- we want it to be an FDA approvable site, okay?
So given these dynamics, the planning continues, and we want to be sure that we have the right kind of fit. But again, is it impacting business? No, because you've seen our market is more than 80% regulated market. It's happening out of Mohol, out of Ankleshwar, out of Dahej. Because these are U.S. FDA inspected sites. And that would be our way of looking at it.
Solapur, even if it takes a bit of time, is not going to impact business. But we want to, again, just like I said for R&D, we want to get it right. And that's what we are working towards.
Moderator: The next question is from the line of Vijay Karpe, an individual investor.

Vijay Karpe: My question is the spend on capex has been reduced for the second half. In spite of that, we are seeing that the plans are on track. How are we making that possible? That is the first question. The second question is on the Gujarat State Pollution Board, I think so we are -- we have got into a small issue for the second time again. So inspite of having good compliance with the other agencies, why do we keep on getting in trouble with the Gujarat State Pollution Board.
Yasir Rawjee: Okay. On the Pollution Board, this was not a sort of a regular issue. We did have an incident, where we had a flash fire in the factory. And so they penalized us for that. It hasn't caused any major damage, but then that's a view of the Board, the Pollution Control Board and they fined us. So it's not like we are in trouble with them.
I mean, end of the day, we work with authorities closely, and we try our best to comply. But then it is a manufacturing environment and things do happen. So I would say it's a one-off. It's nothing to really worry about. I mean our factories are working at the highest level.
I mean you would have tracked that we had USFDA come into 2 of our facilities this year. In January, the USFDA visited Ankleshwar, okay? And we had only one 483 observation. We answered that. We got our EIR with the VAI status. And in Dahej, FDA was there in May. And there was no observation. So it was an NAI status. We have our EIR for both these facilities. I mean, the compliance level at Alivus in all facilities is very high. I can assure you that, yes, I mean, sometimes authorities take a view, they take a view, right? But we continue to work with them.

Coming to capex, right? capex reduction and projects still happening on time as a result of getting better credit as well. I explained on the R&D part, right, that yes, there is a slowdown and why. But we also are getting better credit from our suppliers. So while work is progressing, the cash outflow has not been that big in H1. But obviously, after the credit period goes away, we'll have to pay our vendors. So we're going to do that. And that will happen in H2, and then there will be a spill in the next financial year as well.

Vijay Karpe: Last question is on the working capital. So what was the working capital for the quarter? And what best can we do with the working capital? How low can it go? How low can we manage?

Yasir Rawjee: Yes, I'll request Tushar to take that question, please.

Tushar Mistry: Yes. So on the working capital, we remain stable as far as the working capital is concerned. We were at about INR1,300 crores, we remain in that same range as of now also. You would recollect we had reiterated that the receivables had gone up because of the new arrangement that we had with GPL. While that continues, but that has now

stabilized as far as the number of days is concerned for receivables.

We are roughly at around 148 days of receivables compared to March -- the current quarter also, for the current September numbers are also at 148 days. There is a slight increase on the inventory

number of days. Again, that is because of the buildup of inventory that we need to do to service our customers. There is nothing one-off there. It is in the normal course of business. And the payables also remain stable. So overall, the working capital that was around INR1,250 crores is about INR1,322 crores as of 30th September.

Vijay Karpe: Okay. Can you talk about the overall number in terms of days? And I think what number can we bring it down to?

Tushar Mistry: Bringing it down considerably, as I mentioned earlier also is not -- we are not seeing that. There might be some ease out that may happen. But again, if you refer to our earlier transcripts, we have maintained that the receivable days are going to remain where they are. They may not significantly come down. And on the other inventory as well as payables, we are on the -- at par with the industry levels. So there is limited scope there for bringing it down.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. On behalf of Alivus Life Sciences Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Jan 2026

Alivus Life Sciences Limited (formerly Glenmark Life Sciences Limited)
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T: +91 22 6829 7979 | CIN: L74900PN2011 PLC139963 | E: compli anceofficer@alivus .com | W: www.alivus.com January 30 , 2026

To, To,
Dy. General Manager The Manager – Listing,
Department of Corporate Services, National Stock Exchange of India Ltd.,
BSE Ltd., Plot No. C/1, G Block,
P. J. Towers, Dalal Street, Bandra Kurla Complex,
Fort, Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Ref: Scrip Code: 543322 Ref: Scrip Name: ALIVUS
Dear Sirs,
Sub: Transcript of Earning s Call
Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, the transcript of Earning s Call held on Thursday , January 22, 2026 for the third quarter ended December 31, 202 5 is available on website of the Company at:

https://www.alivus.com/alivus_pdfs/investors/financials/reports_presentation/Transcript_Alivus_Earnings_Call_Jan222026.pdf

The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Alivus Life Sciences Limited
(formerly Glenmark Life Sciences Limited)

Rudalf Corriea Company Secretary & Compliance Officer
Encl: As above

"Alivus Life Sciences Limited Q3 FY'26 Conference
Call"

January 22, 2026

MANAGEMENT : DR. YASIR RAWJEE - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , ALIVUS LIFE SCIENCES
LIMITED
MR. TUSHAR MISTRY - CHIEF FINANCIAL OFFICER ,
ALIVUS LIFE SCIENCES LIMITED
MS. SOUMI RAO - ALIVUS LIFE SCIENCES LIMITED

Moderator : Ladies and gentlemen, good evening and welcome to Alivu s Life Sciences Limited Q3 FY'26 conference call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone.

I now hand the conference over to Ms. Soum i Rao from Aliv us Life Sciences. Thank you and over to you, Ms. Rao.

Soumi Rao: Good evening, everyone. I welcome you all to the Earnings Call of Aliv us Life Sciences Limited for the quarter ended December 31st, 2025.

From Aliv us Life Sciences, we have with us Dr. Yasi r Rawjee – our MD and CEO and Mr. Tushar Mistry – our CFO.

Our board has approved the results for the quarter ended December 31st, 2025. We have released it to the stock exchanges and updated it on our website. Please note that the recording and transcript of this call will be available on the website of the Co mpany.

Now, I would like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategies, may contain certain forward -looking statements that involve risks and uncertainties. These statements are based on current expectations, forecasts and assumptions that are subject to risks which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other i ncidental factors. Such statements should not be regarded by recipients as substitute of their own judgment. The Company undertakes no obligation to update or revise any forward -looking statements or actual results may differ materially from these expressed or implied by these forward-looking statements.

With that, I invite Dr. Yasir Rawjee to say a few words. Thank you very much.

Dr. Yasir Rawjee: Thank you, Soumi. Good evening, everyone and welcome to our Q3 FY '26 Earnings Call . Thank you for joining us and I would like to extend my warm New Year wishes to all of you.

Before we discuss the C ompany's quarterly performance, allow me to outline the broader industry landscape that is influencing our business environment. The global pharma industry continues to evolve amid a dynamic macroeconomic and regulatory environment. Demand remains resilient, supported by an aging population, rising chronic disease prevalence and sustained healthcare spending. We are seeing a gradual pickup across generics, APIs and CDMO services while tighter regulatory scrutiny and supply chain de -risking are reinforcing the need

for quality compliance and reliable partners. While some parts of the market continue to face near-term challenges, the long -term outlook for the pharma industry remains encouraging.

With this, let me draw your attention to our performance for the Quarter and 9-months FY '26:

For Q3, we reported our highest ever revenue of Rs. 673 crores, registering a growth of 14.4% QoQ and 4.8% Y oY. Performance during the quarter was strong across the board with business firing on all cylinders. We saw a strong recovery in the CDMO business as new projects began contributing alongside continued momentum from the API generics business in reg markets such as Europe, Japan, LATAM, ROW and India, recording robust performance and contributing meaningfully to overall revenue expansion. As expected, GPL business also saw recovery during the quarter.

Revenues for 9 -months stood at Rs. 1,863 crores, registering a growth of 7.2%. More importantly, our non-GPL business grew at 16.1% driven by growth across markets. This reflects the underlying strength of our diversified business across geographies and we expect this to continue its momentum in the overall growth driven by strong demand across all markets.

Moving on to our profits for the quarter :

Our gross margin for the quarter was 58.9%, up 330 bps Y oY. Our EBITDA margin for the quarter was 36.4%, up 510 bps Y oY, our highest ever reported quarterly margins. Margins improved on the back of new product launches, favorable product mix and enhanced operational efficiencies. I am pleased to share that our CDMO segment has made a strong recovery, delivering an excepti onal performance in Q3, with revenue growth of 100% Q oQ and 85.3% YoY, in line with our expectations for a second half turnaround. This gr owth was driven by robust traction in the newer CDMO projects, supported by revenue from the regular CDMO projects. Our expansion initiatives at Solapur, Ankleshwar and Dahej are progressing as planned.

Our pipeline remains robust with 595 DMF and CEP filings globally as of December 31 st, 2025.

The high potent API portfolio remains on the development path with 27 products in the active grid, representing a total addressable market of $70 billion. Of these, 9 are validated, 7 are in advanced stages of development and the remaining 11 products are progressing through lab development stages. Going forward, we continue to expect high single -digit revenue growth for FY'26, driven by strong and profitable expansion across our diversified non-GPL segment and the continued ramp -up of CDMO projects. We rem ain confident in maintaining healthy margins and expected to range between 30% -32% going forward, higher than our earlier guidance of 28% to 30%. This is catalyzed by operational efficiencies and contributions from new product launches, a reflection of the strength and resilience of our business model. So, with this, I now turn the floor to our CFO, Tushar Mistry, who will walk you through our financial performance for the quarter in depth.
Tushar, over to you.

Tushar Mistry: Good evening, everyone. Welcome to our Q3 FY '26 Earnings Call .
Before we take questions from you all, I would like to highlight the key performance updates for the quarter and 9 months ended 31st December , 2025.
For Q3 FY26, revenue from operations stood at Rs. 673 crores, a growth of 14.4% Q oQ and 4.8% year -on-year. Gross profit for the quarter was Rs. 397 crores, up 16.9% quarter -on-quarter and 11.2% year -on-year. Gross margins for the quarter stood at 58.9%, driven by new launches, product mix and operational efficiency. EBITDA for the quarter was at Rs. 245 crores, up 26.5% QOQ and 22.1% year -on-year. EBITDA margin for the quarter was 36.4%, up 340 basis points quarter -on-quarter and 510 basis points year -on-year. These are the highest margins we have delivered to date. PAT for the quarter stood at Rs. 150 crores with PAT margins at 22.3%.
For 9 -months FY '26, revenue from operations stood at Rs. 1,863 crores, a growth of 7.2% year -on-year. Gross profit for 9 -months was at Rs. 1,067 crores, up 13.6% year -on-year. Gross margins for 9 months stood at Rs. 57.3%. EBITDA for 9 months was at Rs. 620 crores, up 22% year-on-year. EBITDA margin for 9 months was 33.3%, up 400 basis points year -on-year. PAT for 9 months stood at Rs. 402 crores with PAT margins at 21.6%.
Turning to the therapeutic mix:
CVS and CNS continued to lead the growth during the quarter with both therapies contributing 51% to the topline. Chronic therapies contributed 66% to the top line in Q 3 FY'26. R&D expenditure for Q 3 FY'26 was Rs. 23 crores, which was 3.4% of our sales. For 9 months FY '26, it was Rs. 66 crores, 3.5% of our sales.
On the balance sheet and cash flow mo vement :
CAPEX for the quarter was Rs. 105 crores and Rs. 218 crores for 9 months. For FY '26, we now guide the CAPEX to be at around Rs. 450 crores compared to our earlier guidance of Rs. 600 crores. The balance of Rs. 150

crores is expected to be deferred to FY '27. We continue to remain a net debt free company with strong free cash flow generation of Rs. 221 crores in 9 months FY'26 and a cash and cash equivalent of Rs. 733 crores on the books as of 31st December 2025.
In closing, we are confident that the continued demand and improved performance in H2 FY'26 will help us achieve steady growth for the year.
With that, let us open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Prat ik Kothari from Unique PMS. Please go ahead.
Pratik Kothari: Good evening. Sir, one question. if you look at our numbers over the last 2-3 -4 years, despite PLI going away, despite R&D spend, which used to be 2.5% of sales, ramping it up to 3.5%-

4%, we still have been able to maintain margins and now we are kind of highlighting that we will be able to even go beyond that. So, this margin differential from what it was 2 -3 years back to now is much higher than what is being reported because of these things that are happening below. So, if we just highlight what has changed in terms of our business, what is it that we are doing, what is it that we are intending to do, which is helping with all of this ?
Dr. Yasir Rawjee: So, see, there are three elements here. One is that CDMO has begun to contribute more. There's also launches that are happening across markets and usually newer products tend to get us much higher margins. In the first couple of years, we can expect to see pretty good margins, with newer launches and then it begins to settle down. So, we have had both of them, plus on the operational side as well, we have performed a lot better in terms of both raw material costs as well as the on the operational side. So, all this put together and this is sustainable. T he thing is that that's why we feel confident in guiding to a higher margin. So, this is what has done it. Right ? I mean, we

were also a little bit, you know when PLI went away a couple of years ago, I mean, we were also wondering whether we will be able to bring it back. But we have been able to do that. And it's happened steadily. If you see the last few quarters, right, we have been inching up. And so, that confidence is very high that we can do this and continue the momentum.

Pratik Kothari: Correct. Lastly, on this capacity. So, in terms of a breakup, it seems there is some delay in this capacity coming up. Also, in Solapur, it seems the capacity that we had planned or guided earlier, it seems to be much lower, be it on the first backward integration or even the phase 1. Can you just highlight what has changed? How is our plan from what we had said earlier to now?

Dr. Yasir Rawjee: Solapur is a little delayed. It's not going to impact business because, see, more than 80 % of our business comes from the reg markets. Okay. And the Ankleshwar, Dahej capacity expansion is well on track and it will deliver and basically give us the runway for at least the next couple of years for the reg markets. So, no challenge there. We have Mohol as well, right, to service the ROW markets and Kurkum bh. So, all that put together puts us in a reasonable position with respect to capacity. Solapur is, delayed by like three months. So, we expect Solapur to start operations by July of this year.

Pratik Kothari: So, it's not delay. I mean, more like 1
st phase we wanted to do about 600 KL. Now we are doing
about 450- 500 KL. So, even the capacity that we are putting up initially has changed.

Dr. Yasir Rawjee: Slightly because, see, we as we moved along, right, there's been a fair amount of mapping that has happened. Right ? And we have always said that our capacity expansions are going to be calibrated , because there's no point in building too much capacity and not utili zing it.

You just
create more under -absorption. So, there, we have sort of gone with a reasonable product mapping that has happened already for Solapur. And, as soon as the plant starts in July, we will be able to see a fair amount of utili zation of the asset.

Pratik Kothari: And in your opinion, sir, how long does it take like, f or Solapur , you'll start with ROW markets and then gradually shift to regulated markets. So, what would that timeline be?

Dr. Yasir Rawjee: See, if we are going to validate products in Solapur this year itself, this calendar year, the idea here is to go for shortage products so that we can trigger an FD A inspection soon. So, there will be quite a bit of validation happening as well in Solapur apart from the ROW markets, servicing the demand from ROW markets. So, it's going to be a kind of dual approach. And hopefully, if we can trigger an inspection in a year's time, then by late FY ’28, we should see regulated products happeni ng from Solapur as well.

Pratik Kothari: Fair enough. Great. Thank you and all the best, sir.

Dr. Yasir Rawjee: Thank you.

Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Good evening and thanks for the opportunity. Just to understand the margin bit a little better, can you elaborate or explain a little granularly , I think in presentation you have mentioned three levers. One is the new launches, second is the CDMO business and third the efficiencies. If you can break it up and explain a little bit better what has been the margin improvement in current quarter and your overall guidance as well ?

Dr. Yasir Rawjee: So, let's go backwards. When it comes to operational efficiency, that impacts margins pretty much across the board , because it's all common there. When it comes to launches, obviously, it's those particular products that we have launched that are contributing much higher margins. A nd again, I explained in the last call that we have had launches in Europe, in China, in LATAM and Russia. So, these all these launches have contributed very significantly to the margin. Interestingly, the same products will get as patents expire in Europe as well as North America and so on. So, this sort of runway with the newer products is going to last us for some time. And that's the second lever. With respect to CDMO, we had expected that Project 4 and Project 5 would kick in second half and that's exactly what has happened. So, Project 4 had started off in H1. But the volume pickup has happened much more signi ficantly in H2 and Project 5 has also started kicking in. So, again, this also being sustainable going forward is something that gives us the confidence that we can sort of get to those margin levels pretty comfortably.

Ahmed Madha: And when you say efficiencies, is it in terms of yields and raw material costs or is it below the raw material cost line item?

Dr. Yasir Rawjee: It's both. So, there's been a fair amount of work on key products that has started giving us that benefit on better yields. So, basically less utilization of raw materials and even on the energy side and basically we are getting lower overheads on the products. So, that has also helped us.

Ahmed Madha: And in terms of CAPEX, we explained to the earlier participant regarding how it doesn't impact our growth. So, I mean, with a little bit of delay, a little bit of capacity, sort of fine tuning in terms of how much you'll put , does that sort of risk our growth for next year or we will have enough capacity and from existing as well as from Ankleshwar, Dahej from July to deliver a decent growth for next year? And if you can also please comment how you see the next year growth based on the launches and the existing products ?

Dr. Yasir Rawjee: The capacity is no longer a limitation. We were in a sort of bind , sometime back about a year, year and a half back when we were running neck -to-neck with the recent brownfield expansions that we have had at Dahej and Ankleshwar a nd they are going to become operational in the second quarter of next year, both Dahej and A nkleshwar. So, we should be fairly comfortable to service the reg markets. And like I said earlier, both these expansions on the brownfield side should give us a runway of at least another two years comfortably for the reg markets. With Solapur coming in, we have a little more leverage in terms of moving the ROW products into Solapur and that can further free up capacity if necessary. So, capacity is not a challenge anymore. With respect to the growth for next year, again, I am talking in terms of a fair amount of visibility that we have. So, we want to continue to guide to a high single digit growth for next year as well. But certainly the margins will remain in the 30 % to 32% range.

Ahmed Madha: And in terms of CDMO business, the number of projects that we have, is there any more visibility for new projects getting added? Any conversations are at the fag end of sort of conclusion or the project addition will be gradual from here on beyond the five we have, I am assuming five ?

Dr. Yasir Rawjee: Yes, so there is good traction on CDMO. Hopefully we will conclude 1 or 2 projects by the end of the middle of the calendar year. So, let's say first quarter, we should conclude. Things are going well. We have even supplied some early quantities to the customer. So, let's see how that goes. Again, because we have focused on the reg markets here for CDMO, there's always that lag time in terms of approval. But to lock in, I am pretty confident that, by first quarter of next year, we should have, we would have brought in one or maybe two projects more into the portfolio.

Ahmed Madha: Sure. And in terms of pricing environment, has there been any improvement or it continues to be a sort of a significant erosion kind of an environment? And from our portfolio perspective, new launches have done well, but is there sort of a pricing issue industry wide for the sort of a base business existing molecule or has there been any change for this steady state?

Dr. Yasir Rawjee: I would say it's fairly stable. I mean, on our entire bucket, we are guiding to 4% -4.5% margin erosion. So, it's okay. I mean, we are comfortable. Plus, what happens is we make sure that on those products where we are likely to see a price erosion, we do have the next generation process lined up. So, margins are not going to get impacted as a result of price erosion.

Ahmed Madha: Sure. And last bookkeeping question. In the presentation and press release, we have free cash flow number. Tushar, if you can please share the operating cash flow number for nine months or Q3 either way ?

Tushar Mistry: Yes, the operating cash flow is about Rs. 439 crores before CAPEX . So, that's the operating cash flow.

Ahmed Madha: Okay. Thank you so much.

Tushar Mistry: This is for the nine months that I mentioned.

Ahmed Madha: Sure. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Yog Raj ani from Omega Portfolio Advisors. Please go ahead.

Yog Rajani: Hi, thank you for the question. My question mainly had to do with the company's growth plans, given that we have a high level of capability and a lot of cash on the balance sheet. Why is there any reason we aren't willing to be more aggressive either with our organic expansion or inorganic expansion?

Dr. Yasir Rawjee: See, organic is pretty well scripted. Okay. In terms of the portfolio buildup, the choice of molecules that we are making, the capacities that we are building up to service the growth in the business through launches, with new

launches and so on coming up in the next few years. So, that is pretty much on track. I hear you, right, in terms of the inorganic part. But see, we want to be sure that and even that is well defined within our plans, right, in terms of what kind of where we need to go in terms of inorganic. So, we are looking out. It's not like we have shut our minds to that. We are pretty clear that the right opportunity comes along, we will take the right steps. But obviously, we are not just going to do things willy nilly. I mean, it's hard-earned money and we are going to make sure that it's deployed well.

Yog Rajani: Okay, great. My second question had to do with the R&D. As I understand, we will be inaugurating a new R&D facility. So, how are we trying to improve our R&D capabilities over the next few years? If you could share some idea with us, like what would it be like?
Dr. Yasir Rawjee: So, there's going to be, well, I won't say improve, but I would say basically add to what we already have, right? We are turning out molecules pretty quickly and also the complexity of molecules that we have is increasing in terms of complexity. So, R&D has been pretty productive, in Aliv us. The question, though, is what else can we do? So, we are looking in a very focused way at flow chemistry, because it has already yielded good commercial benefit. And that effort is going to increase su bstantially. There's also opportunities on the green chemistry side, which we are working. And, I keep talking about API plus from time -to-time. So, in order to do more there, we are adding things like particle engineering and so on, to benefit what we already have for more enhanced formulations. So, all that put together is going to make our R&D even much more productive and give us more in terms of new business opportunities.

Yog Rajani: Okay, fair enough. My final question is about the risks we are facing. So, if you could comment more on the risks we are facing, either in terms of, say, getting more CDMO contracts, or in general, the market environment, if there's any comment you could give us about that ?
Dr. Yasir Rawjee: Well, in terms of risks, the geopolitical situation is always something that we worry about, because we have an international business, and we don't know what part of the world will heat up when, you know how things are sort of happening everywhere. So, given the fact that we have a global business, something could get impacted somewhere. But then that's also a positive, because no particular area in the world is going to impact us very badly, right? I mean, this we have seen during COVID, we saw this even before COVID, because we were well diversified across geographies, we were able to manage small hits here and there. So, risks are not quantifiable at this point . Things seem to be going pretty well. But like I said, the geopolitical environment is extremely fragile right now. So, we don't know.
Yog Rajani: My question was more with regards to the CDMO business. Do we see any threats to the CDMO business, because it's still a young business, which we plan to grow? So, are there any risks you are facing in getting more contracts towards the business? Or is ever ything all right on that front?
Dr. Yasir Rawjee: No, in fact, things have only become better. Because having left the Glenmark umbrella, we are no longer looked at as a kind of part of a big pharma group, that innovators do eye with a bit of suspicion. Although even when we were under the Glenmark umbrella, we were operating independently. And there was no real interference or any kind of thing from the parent. But still, it's a perception, right? People tend to look at you differently. So, now that that is also gone, we are looked at mo re favorably by many more companies. So, I don't see a risk. Again, we basically are

banking on the strength of a very strong process development platform, which we can customize for our customers. Along with the well-oiled manufacturing platform , again, with all approvals from major regulatory agencies.
Yog Rajani: Okay. Thank you so much.
Dr. Yasir Rawjee: Welcome.
Moderator: Thank you. The next question is from the line of Krishnendu Saha from Quantum Asset Management. Please go ahead.
Krishnendu Saha: Hi, thanks for answering the question. When you speak about implementing flow chemistry , are we going to implement it all across? What percentage or what portion of our total manufacturing is involved in flow chemistry ? So, we could generate more cost savings or efficiency in that manner?
Dr. Yasir Rawjee: So, we are targeting the bigger volume, APIs that we have. And let me be clear that not everything is amenable to flow. So, in a batch process, many times we do in-situ conversion and we have like three chemical conversions happening in one batch. That is not amenable to flow.

But where you have long reaction time, a lot of energy consumption, excessive reagents that are being used, there's a good possibility to use flow to optimize, both material usage as well as energy usage. So, there it can have a big impact. We have had a very successful product that we brought down the cost to 40% of what it was, i n batch.
Krishnendu Saha: Like the new products, revenue wise, could we implement mo re flow chemistry in the future o r this is only going to be limited to some , very limited portio n of the revenue in the future? So, let's put it this way. Your high -potency APIs, which will come for 2028 -29 onwards, will there be flow chemistry or will there be batch?
Dr. Yasir Rawjee: No. High -potency doesn't have the volumes to basically enable flow. High-potency is done in

very small reactors.
Krishnendu Saha: I see. I get that.
Dr. Yasir Rawjee: To make small batches and that's more efficient in terms of utilization of the platform. Flow would be used for higher volumes, basically.
Krishnendu Saha: Okay, I get it. So, there's some scope to implement for the flow chemistry in the future molecules. Just on the turnover side, we are 2.3 right now. And we have the best margins in the last 4-5 years and the lowest asset turnover turn. So, is there any scope of improving the assets turn in the future or is it going to be staying like that to 2.3?
Tushar Mistry: Krish nan, this 2.3 is on the basis of our existing asset base, which has historical assets. Now you would have seen that we are currently in the CAPEX cycle. When you are generally into an investment phase, this asset turnover will come down. We expect it to come down in the short term. But eventually, we want to stabilize this at around 2 levels .
Krishnendu Saha: And still maintain the same margin. Even if it comes down, we are sti ll maintaining the same margin.
Tushar Mistry: Yes.
Krishnendu Saha: And the last question from my side. Do we get into the future plan to get into innovation, drug research, pure innovation, novel molecules, something like that? Do we have anything on the thought process?
Dr. Yasir Rawjee: No.
Krishnendu Saha: Thank you for your time, sir.
Dr. Yasir Rawjee: Thank you.

Moderator: Thank you. The next question is from the line of Karthik Swaminathan from Catamaran . Please go ahead.
Karthik Swaminathan: Good evening, sir , and thank you for taking my question. So, my question is that if you look at the reactor capacity expansion plan, you are going from 1,400 kiloliters to 2,100 kiloliters over the next year, which is like almost a 50% increase in reactor capacity. But when you are talking about revenue growth, you are only talking about a high single digit growth. I just want to understand why

is there such a large difference? I mean, obviously, I understand price erosion and other com ponents will be there. But if you could help us, why such a big difference in terms of capacity and revenue growth?
Dr. Yasir Rawjee: So, 400 KL is just backward integration, right? And this we are doing to protect the larger, molecules that bring in like Rs. 40 crores -Rs. 50 crores of revenue for molecules. So, we have got to protect those businesses from a supply security perspective, as well as from a margin protection. So, that will be deployed for BI. And then the remaining is basically for the growth. And like you said, there's price erosion. So, the volume growth is much higher than what we are seeing. Okay, so th at should cover us up. Plus, we have been operating at 90% capacity. And that can be pretty risky because if new business comes along, then we don't have any capacity, any kind of surge capacity to be able to grab that business.
Karthik Swaminathan: Thank you, sir.
Dr. Yasir Rawjee: Sure.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Thanks for the question, sir. On your input cost pressures, because we have a bit of sourcing which happen from China. So, there is this whole talk around anti-involution and general inflation in intermediate pricing coming from China. Are you beginning to see any of that? And how do you see that plays out for the business?
Dr. Yasir Rawjee: So, far it's been okay . The only place where we are likely to see a little bit of challenge is that the Renminbi is strengthening against the dollar and then the Rupee is weakening against the dollar. So, we have a kind of a double hit over there. But so far, we have got contracts, that go anywhere from six months to a little more. So, I exp ect that we should hold steady.
Nitin Agarwal: So, per se, you don't see any challenges on their account as far as this?
Dr. Yasir Rawjee: No. Nothing very serious. I mean, and then see, even if it is China, we have got a pretty well distributed supply base for most of our molecules. So, unlikely that people can hold it on our head, basically. it's not like a one vendor or a two -vendor situation. We have got a pretty well spread out supply base and we have worked actively to bring a fair amount of that back to India.

Nitin Agarwal: Okay , so how would our sourcing from China change over the last 2-3 years roughly?
Dr. Yasir Rawjee: Nitin, it has not changed because we are getting benefited by lower prices or better prices, I

should say. But then from a supply security perspective, if for whatever reason we would , if we ended up getting lesser supplies from China, we do have alternate suppliers out of India.
Nitin Agarwal: Got it. And sir on the CDMO business, the contract that we have right now, what could be the peak sort of annual potential or revenue potenti al for those contracts at peak? All of these five put together.
Dr. Yasir Rawjee: So, it's a bit of a spread here. We had basically said that project four and five together would get us around 12 million. Right. It could be a little higher also based on what we are seeing now. But we expect that to top out around second half of the next financial year.
Nitin Agarwal: Okay.
Dr. Yasir Rawjee: And then we were basically doing a sort of run rate of around 140ish crores, on the earlier three projects. So, that might move a little bit, but not much. So, we expect to be in a reasonably good place with respect to these five projects on CDMO. And we will have to look at it as a bundle kind of number because there is some waviness like I explain ed in the first three projects.
Nitin Agarwal: And for F Y'28, you believe that some more incremental wins that we typically get next year should begin to contribute.
Dr. Yasir Ra

wjee: Yes. So, we like I said, we are in advanced stages for two more projects. And hopefully we will know by Q1 of next financial year of F Y'27, right, whether we have locked those projects.
Nitin Agarwal: And in general, with your conversations, I mean, are there the contracts that you are discussing with your various sort of partners? Is the size and scale of these contracts bigger than what we typically done or it's kind of in the same ballpark?
Dr. Yasir Rawjee: No, it's the same ballpark. W e are looking at anywhere from like 4 million to 6 million, kind of opportunity.
Nitin Agarwal: And last one on the on the generic API business. So, you've talked about a late double digit growth from a broad guidance perspective. But over the next 2-3 years, where do you think positive surprises can come fro m on this part of the business? I mean, if things play out?
Dr. Yasir Rawjee: On the generics?
Nitin Agarwal: On the generics .
Dr. Yasir Rawjee: There's a fair amount of molecules that are going off patent now in the next couple of years. And we have lined up across geographies, right? A reasonable part of our portfolio will start playing

out. I can't give you numbers like hard numbers, because frankly, I don't even sort of, we have a good estimate that we will be seeing a pretty good string of launches coming up in the next couple of years and going forward as well.
Nitin Agarwal: And last one on the on the current set of products that we already have commercialized. I mean, do you see reasonable volume expansion opportunities there or this part of the current sort of commercialized portfolio is largely tapped out from a volume pers pective?
Dr. Yasir Rawjee: So, let's split that into two parts. There's a very mature portfolio, which is pr etty stable in terms of volume. T hat's not growing like a lot, right? Maybe like 2%-3% growth over there. But then there are there are the newer launches where there are patent expiries that are still not exhausted. We have seen patent expiries that are coming up in the next two years or so. So, that portfolio will grow pretty well. Plus, because it's all post approval changes now, we are also looking into getting alternate source opportunities for that portfolio. So, that's where that's where on the so-called regular portfolio, we will see much better growth.
Nitin Agarwal: And when do you see the high potency portfolio sort of becoming meaningful for the business?
Dr. Yasir Rawjee: So, that will start from late FY' 28.
Nitin Agarwal: Okay. Thank you, sir. Best of luck.
Dr. Yasir Rawjee: Sure.
Moderator: Thank you. The next question is from the line of Tarang from Old Bridge. Please go ahead.
Tarang: Hi, sir. Good evening. Congratulations for a very strong set of numbers. A couple of questions, sir. One, on the raw material side, what percentage of our procurement are we solely dependent on China for?
Dr. Yasir Rawjee: Less than 10% . But even there, yo u said solely dependent, right? So, it's less than 10 %. But even there, it's a distributed base. So, again, there's no single vendor dependence here.
Tarang: Okay . Second, how is the raw material environment? Has it gone down further or it continues to be at the level that you witnessed in the earlier quarters?
Dr. Yasir Rawjee: No, it's okay . But again, here and there you do see a few products moving. But then we also get benefited on other products. So, it's just going in one direction. So, when you look at our portfolio, in general we are able to balance it out. The other thing that we are actively looking at is with Solapur coming online by July, we would be bringing in certain volumes, w here there are significant margins that we are leaving to the vendor. So, we have mapped out those. And as soon as Solapur s tarts, we will be shifting a good percentage of that into S olap

ur.

Tarang: Got it. Second sir, on the end product side, through the earlier question, for your mature molecules, what is the kind of market share that you have now across the geographies that you are servicing?
Dr. Yasir Rawjee: For which ones Tarang?
Tarang: Across molecules.
Dr. Yasir Rawjee: It ranges. It goes anywhere from sort of globa l market share of 10% to 35 %, depends on the molecule.
Tarang: And for your upcoming or so to say relatively newer molecules, how would that number be? Number one. Number two, there is also an inherent expectation that the market for those molecules will also expire , correct?
Dr. Yasir Rawjee: Yes, because patents are going to be expiring over time, in different markets, it's not like all the patents expire on day one.
Tarang: Right. And the idea there is from a filing perspective, that's the number that you want to get to. Basically, it continues the flywheel of following your mature molecules. Correct ?
Dr. Yasir Rawjee: See, filings are done. We have already filed or rather our customers have filed with our API, but they can't l aunch until the patents expire, right? So, we are already locked in. I mean, we are able to confidently predict that, okay, if we have got two customers in a particular market, let's say Brazil, and they are good front end players, then we can ass ume a market share of around 20% or 25 %. The basis that we are seeing growth will come from those molecules.
Tarang: And last, sir, for nine months, F Y'26, what would be the volume growth for the business?
Dr. Yasir Rawjee: Nine months, F Y'26, sir. We will just tell you in a second.
Tushar Mistry: On the overa ll growth, you can take about 5% price erosion , Tarang . The balance is the volume growth.
Tarang: Got it. Wonderful, sir. Thank you. All the best.
Dr. Yasir Rawjee: Sure.
Moderator: Thank you. The next question is from the line of Ankit Minocha from Adezi Ventures family office. Please go ahead.
Ankit Minocha: Good evening. Just on continuation of the previous participant's question regarding volume versus pricing growth. So, how does pricing mechanics usually work across your portfolio? Like how much of the percentage pricing is based on spot pricing versus where do you have more

stable contract prices there? Question basically coming from the point that if you are guiding for high single digit revenue growth, then what is the kind of estimations that you are taking for pricing erosion or in-depth growth? And there kind of , could we see surprises there ?
Dr. Yasir Rawjee: So, I will answer it in two parts. So, there is the regulated market, where we are locked in with our customers. And there the market itself does not see significant erosion at the front end. So, we have a pretty good comfort level in terms of prices staying relatively stable in those markets. But then there are the ROW markets where changes to API vendor can be pretty quick. And so there we have to be more agile and essentially be ready to match with respect to pricing. So, that's one way of looking at it. Another way of looking at it is that we have a mature, very mature set of molecules where it's five years plus in the market. Now, there things are pretty much set. So, even the competitive intensity is defined. So, we know we have so many players, we have so much market share and our customers have so much market share across, whichever geography they are operating. So, there we don't see, major sort of pricing shocks. But it's there.
there is a mild erosion there as well because customers are customers and they will ask. But it's not very, very big. It's a very low kind of margin price erosion. And then, of course, we have the newer molecules where for a period of maybe 18 months to 24 months we have sta

bility. But
then as the market starts becoming more intense, a nd more players start entering, then we see erosion. But then we have the next generation process also sorted out. So, that then comes in and sort of. So, we see erosion there, to answer the question. And but we can m anage at least the margin side.
Ankit Minocha: Okay . So, when you say single digit, high single digit revenue growth for next year, then do you build in any base cases for what is the volume and what is the pricing breakup of that growth?
Dr. Yasir Rawjee: So, Tushar just answered the question right where we said that we are factoring in 5% price erosion. And so, with a high single digit, we obviously should be geared up for about 15 % to 17% of volume growth.
Ankit Minocha: Understood. That's clear. Thanks. My second question is with regard to the capacity expansion from 1400 to 2100 odd KL. So, assuming, currently I believe you mentioned that your capacity

utilization levels were above 90 %. What are you envisaging as the utilization levels in FY '27? And assuming we kind of reach those utilization levels, what would be the EBITDA margin profile of the business once those levels are reached? What could be the margin profile here?
Dr. Yasir Rawjee: I am not sure I got it. But let me try. You want to repeat what you just said, Ankit?
Ankit Minocha: Basically after you are completed with your capacity expansion, what would be the EBITDA margin profile that you are looking at for the business? And what are the capacity utilization levels that you are looking at for FY '27?
Dr. Yasir Rawjee: Okay, so capacity utilization should be between 85 and 90 when the new capacity comes online. Because as I said that look, 400 KL is getting utilized for backward integration. And then the

remaining is available for the regular CDMO and API business. W e will operate at around 85 %, which was like I said, it gives us the surge capacity. The EBITDA margins are driven by a mix. And yes , maybe we have some under absorption. But compared to, our overall profitability, I don't think that under absorption is going t o significantly hit our EBITDA.
Ankit Minocha: Okay, sure. Thanks. And finally, on the CDMO side, I mean, could you explain a little bit? Like how does it integrate with the core API, generic API business? What is it that the CDMO operations entail and overall the growth profile and the margin profile of this business versus your current business?
Dr. Yasir Rawjee: So, it's a shared capacity, both with respect to the R&D platform as well as the manufacturing platform. And the margin profile is certainly better on CDMO. It's more stable. Once we lock in these projects, we don't see that much erosion to begin with. And then there's always room for improvement, on the efficiency side. So, then that only helps us more with respect to the margins. It's better than generic, no doubt about it. That's clear.
Ankit Minocha: Okay, sure. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.
Sunil Kothari: Thank you, sir, for the opportunity. So, this is not related to this quarterly numbers. My broad, I want to understand is , you have so many years of experience with working with a different mindset or a growth oriented promoter or maybe manager from M atrix to Glen mark and now Nirma. And with this solid balance sheet, so many years of changes very well absorbed from Glenmark dependency to non-Glenmark business or the way you are investing in R&D. So, can we as an investor, maybe over 3 -5 years , should we expect a better growth rate from you? I mean, lowering your conservatism, investing little, little bit more, maybe aggression . Anything you like to share thoughts on with now solid foundation on base? Would you like to go a little faster or this is the way we will be working?
Dr. Yasir Rawjee: Okay, see, there are 2 -3 things here. The industry has changed so much in 20 years. I would say it has had at least three avatars in the last 20 years. So, you can't firstly apply the same logic that would be applied even 5 years ago. So, those days are gone, where you had Para-IVs and all that and you had big b onanza products. Where are those? Those are not there. And so what happens is our job is to read the market, the way it's shaping up. T hat's one thing. Second is that I think we have done a reasonably good job of reading the market, because if you look at our non-GPL business, it is growing well. The non -GPL business is growing well. So, 70% or 70 % to 75% of our business is growing in the mi d-teens or the low to mid-teens, because we made the right choices, firstly in terms of portfolio.
Sunil Kothari: True.

Dr. Yasir Rawjee: Then in terms of, the geographic expansion that we went on about 5-6 years ago that we went on, we seeded projects all over the world , that have definitely contributed. Now, with respect to getting aggressive, I think I answered that. Yes, we are sitting on cash. And hopefully tha t pile will grow a little more a s we go along. But whatever choices we make beyond the organic growth has to fit in well with our overall plan of how we grow and how the overall pharma market is evolving. That that will definitely be front and center in terms of how we think of , so growth will come. But to us, what is more important, as a philosophy is maintain a high quality business, because if you keep a high quality business, you generate cash. The m oment you go for a low margin business, volume business, you working capital sucks out whatever money you make, whatever cash you make, and then you are stuck. So, we don't want to go there. We have been fairly right in terms of getting, reading the market. And so this will, I feel this is a sort of path that will keep us on a good track in terms of generating cash. And then at the appropriate time, when we find the right kind of things, we will make the right investments and move forward.
And hopefully, that aggressive growth that you are talking about may come at that time.
Sunil Kothari: Great. Thanks a lot for clarification. Thank you.

Dr. Yasir Rawjee: Sure. Thank you.
Moderator: Thank you. The next question is from the line of Smith Gala from RSPN Ventures. Please go ahead.
Smith Gala: Thank you for the opportunity. So, most of my questions of mine have been answered. Just want to understand a bit longer term picture when the full capacity of Solapur also goes live after what we are utilizing for the backward integration. So, maybe from FY '28-'29, can we start seeing double digit growth?
Dr. Yasir Rawjee: Yes, I am sure we will.
Smith Gala: Sure. Thank you.
Dr. Yasir Rawjee: Thank you.
Moderator: Thank you. The next question is from the line of Sajal Kapoor from Anti fragile Thinking. Please go ahead.
Sajal Kapoor: Thank you for taking my question. Dr. Ra wjee, our CDMO model has long gestation cycles and much smaller deal sizes. It takes significant time to onboard a new project. And even then, the revenue opportunity is limited to 6 to 8 million kind of an annual run rate. In contrast, some of the other Indian CDMOs who offer, fee-for-service model, not the CRO type running on FTE models. I am not talking about those. There are other CDMOs that offer fee -for-service. And they are scaling much faster, targeting individual CDMO molecules of anywhere from 50 mill ion to 100 million annual run rate. Because these are NCEs and they partner with the innovators

early in the cycle from phase 2 and Phase-3 onwards. And that offers, a much higher magnitude as well as visibili

ty of adding more molecules to the pie. So, their funnel size is also larger. I mean, why can't we aim for higher magnitude and faster growth in CDMO, b ecause our scientific talent is also right up there ?
Dr. Yasir Rawjee: Let's put this in some perspective here. How many such $50 billion to $100 billion opportunities are fructifying? At least, in our country? Not many. Right ? Because the reality is that these are all patented products which big pharma usually likes to keep with themselves. Maybe we could get an intermed iate here and that may give us some business. But the reality is that, it is Ireland where they manuf acture because Ireland has a 12% tax rate, I believe. And all big pharma companies park their profits there , so they don't take manufacturing out of Ireland. This is the reality. Coming to us in terms of how we are positioned. See, we have got a pretty big portfolio that we can offer and we are offering in terms of lifecycle management , and to the specialty companies and they are seeing traction there. So, you are right. And we also are clear that, we will target those. But with respect to gestation, I think we are doing a pretty reasonable job. I mean , the projects start kicking in commercially within two years of our first discussion. Literally within two years. And this is I am talking full commercial. I mean, we initiated project 5 last November. So, it's been a little over a year now. And we are already seeing that we start seeing traction. So, literally within 18 months to 24 months, we are getting the projects on board. It's $4 million to $5 million. It could be a little higher. But then, the projects are fructifying faster. Now, if we do if we play it right with the numbers. Right. We had three projects. Now five. We are likely to get to seven projects in another half year. And there are more in the pipeline. I mean, as we speak, there are at least 7 to 8 projects that are in active discussion. A nd the confidence level also, like I pointed out earlier, has gone up because we are not in a large pharma, ownership. So, we could get it right. We could get into this game. But I can assure you attrition is very high. And you can count on one hand , how many such $50 million to $100 million opportunities are really there in the entire country? So, I don't know. attrition is very high.
Sajal Kapoor: No, of course, Dr. Rawjee, you know more than anyone in the industry. Attrition is high. But even in case of Phase -3 clinical trial batches, the volumes are as big as 8 million to 10 million. Even before the drug is co mmercial , on that Ireland thing, so Ireland takes N -1. So, they do the end stage in Ireland to make it tax compliant in that jurisdiction. But coming back to our CDMO strategy, if you go back to the November 2022 investor roadshow that we did, we were very confident that we will double our CDMO by 2025 in that presentation. And that has not happened for a variety of reasons that you have been explaining over the over the quarters. And I think it's a common question from most of the participants or many participants that we want to be seeing a little more aggressive in the growth. And I am sure we will get there. But I think we are slightly behind in the CDMO segment. Otherwise, given the complexity of products that we deal with from particle engineering to flow chemistry, we are ri ght up there and you can compare our capabili ty with anyone in the industry.

Dr. Yasir Rawjee: I do agree that from a capability perspective, we have it. It's defining what we take up and what we let go, because, again, it's a cost benefit analysis , in terms of, the big part of our business is the generics business . It's also generating, because of the portfolio, a pretty good growth as well as margins. So, let's see. We will take your suggestion, Saja l, and let's see how,

we will take that internally. B ut I can tell you based on what we have seen right, it's a high-risk game.
Sajal Kapoor: Yes, I appreciate that. Thank you so much for all the responses. Very thoughtful. Thank you so much and all the ver y best.
Dr. Yasir Rawjee: Thank you.
Moderator: Thank you. The next question is from the line of Tarang from Old Bridge. Please go ahead.
Tarang: So, just I mean, continuing on the earlier question. Can you cross utilize your current capacities in case you wish to cater to the innovator for projec ts which are under development?
Dr. Yasir Rawjee: Yes, we can, because, again, we have inspected sites. So, that's not a hurdle at all. T ypically that's the first sort of hurdle that you have to clear. And then if you've got good business continuity plans, a nd we do , so with a fair amount of surge capacity now with Solapur coming on board, we will be able to offer that as well.
Tarang: Got it, sir. And just I can't speak for others. But from my vantage, I think so. You've seen reasonable execution on the non- GPL part of the business on a year -on-year basis. And I think on the CDMO business also, it's an interesting niche that you've carved out for yourself. And, we would want you to continue doing this. It's up to the management as to how they want to take forward the trajectory of the business. But I just wanted to bring that clarification. Thank you.
Dr. Yasir Rawjee: Thanks.
Moderator: Thank you. Ladies and gentlemen, due to paucity of time, that was the last question for today. On behalf of Alivus, I am closing this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

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Dear Sirs,
Sub: Transcript of Earning s Call

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015, the transcript of Earning s Call held on Friday , May 15, 2026 for the fourth quarter and year ended March 31, 202 6 is available on website of the Company at:

https://alivus.b -cdn.net/alivus_pdfs/investors/financials/reports_presentation/Alivus -Earnings -May15 -2026.pdf
The said transcript is also attached.

Request you to kindly take the same on record.

Thanking you
Yours faithfully, For Alivus Life Sciences Limited
(formerly Glenmark Life Sciences Limited)

Rudalf Corriea Company Secretary & Compliance Officer
Encl.: As above

"Alivus Life Sciences Limited
Q4 FY26 Earnings Conference Call "
May 15 , 202 6

MANAGEMENT : DR. YASIR RAWJEE – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – ALIVUS LIFE SCIENCES LIMITED
MR. TUSHAR MISTRY – CHIEF FINANCIAL OFFICER – ALIVUS LIFE SCIENCES LIMITED
MS. SOUMI RAO – ALIVUS LIFE SCIENCES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY 26 Earnings Conference Call for Alivus Life Sciences Limited, formerly known as Glenmark Life Sciences Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being record ed.

I now hand the conference over to Ms. Soumi Rao. Thank you, and over to you, ma'am.

Soumi Rao: Good morning, everyone. I welcome you all to the earnings call of Alivus Life Sciences Limited for the quarter and financial year ended March 31, 2026. From Alivus Life Sciences, we have with us Dr. Yasir Rawjee, our MD and CEO; and Mr. Tushar Mistry, our CFO.

Our Board has approved the results for the quarter ended March 31, 2026. We have released it to the stock exchanges and updated the website. Please note that the recording and transcript of this call will be available on the website of the company.

Now I'd like to draw your attention to the fact that some of the information shared as part of this call, especially information with respect to our plans and strategy , may contain certain forward -looking statements and involve risks and uncertainties.

These statements are based on current expectations, forecasts and assumptions that are subject to risks and which could cause actual results to differ materially from these statements depending upon the economic conditions, government policies and other in cidental factors. Such statements should not be regarded by recipients as substitute of their own judgement.

The company undertakes no obligation to update or revise any forward-looking statements. Our actual results may differ materially from those expressed in or implied by these forward -looking statements.

With that. I invite Dr. Yasir Rawjee to say a few words. Thank you, and over to you, Dr. Rawjee.

Yasir Rawjee: Soumi, thank you. Good morning, everyone, and welcome to our Q4 and FY26 earnings call. I am pleased to share that this year marks an important milestone in the journey of Alivus Life Sciences as we complete 2 full years with Nirma as our promoter. During this period, we transitioned and strengthened the foundation of our business as we posit ion the company for its next phase of sustainable growth.

The partnership with Nirma brought enhanced financial strength, long-term stability and greater flexibility to invest in future growth opportunities. Our focus on building a more diversified and

resilient business model remained while we have accelerated strengthening our product portfolio, expanding capabilities and steadily improving the overall quality of business.

During this period, we have faced some headwinds like uncertainties around tariffs and regulatory shifts. These factors continue to disrupt supply chain, elevated logistics and energy costs and created uncertainty across global markets, making resilience and agility increasingly critical.

Despite these challenges, Alivus has not only navigated this environment successfully, but has also meaningfully improved the quality of its business. This is reflected in the strong and consistent performance of our non-GPL segment, whose contribution to the overall business has steadily increased over the years from 59% in FY 22 to 71% in FY 26, thereby reducing our dependence on the GPL business.

This growth reflects the increasing diversification of our portfolio and geographies, supported by robust demand across regulated markets and sustained momentum from new product launches. We expect the contribution from the non-GPL business to continue to increase going forw

ard.

We also witnessed a meaningful recovery in the CDMO business from Q3 of FY 26, as existing projects gained traction and newer projects scaled up. Notably, the improvement in the quality of our business is reflected in our profitability profile. We continue to improve our EBITDA margins and remain among the industry leaders and profitability.

To add m ore perspective, between FY24 to FY26, our revenue CAGR stood at 5.7%, while EBITDA CAGR during the same period was 15.8%. In absolute terms, we approximately added INR 270 crores of incremental revenue over the last 2 years and INR 220 crores on the EBITDA side, taking our margins to 33.6%, the highest in our history.

What is particularly noteworthy is that this improvement was achieved despite the loss of PLI benefit. This was driven by a favorable product mix, disciplined cost management, operational efficiencies and an increasing focus on high -value differentiated pr oducts. As a result, we have consistently generated strong cash flows strengthened our balance sheet and maintained a net debt -free position.

Over the last 2 years, we have demonstrated the resilience of our operating model and the strength of our diversified portfolio. This has reinforced our confidence in the strategic direction we have taken as this steadily translates into a stronger, higher quality and more sustainable business.

Moving to our full year performance. Our revenue for the year stood at INR 2,552 crores, registering a 6.9% year -on-year growth and in the non GPL business leading the momentum with 13% growth.

This performance was supported by strong execution across markets, including Europe, Japan, Latam, RoW and India.

Growth was further aided by new product launches and the recovery in the CDMO business. We have added 11 new products during the year, and the current portfolio stands at 176 unique molecules. We have also added 49 new customers during FY26, taking our total base of customers to about 900. We delivered EBITDA margins of 33.6%, expanding by 360 basis points, highlighting the inherent strength and operating efficiency of our business. On the capex front, Solapur Phase 1 is progressing as planned and is expected to be operational in Q2 of this year. While construction of the new R&D center in Taloja in Navi Mumbai is also underway.

Our pipeline remains robust with over 611 DMF and CEP filings globally as on March 31, 2026. The high potent API portfolio remains on the development path with 28 products in the pipeline. 12 of these products are validated, seven products are in advanced stages of development and the remaining Nine products are progressing well through land development stages.

Given the ongoing geopolitical conflicts and uncertainties around global demand, we continue to remain watchful of the external environment. However, we remain confident in the strength of our business fundamentals and our ability to sustain EBITDA margins in the range of 30% to 32% going forward.

With this, I now turn the floor to our CFO, Mr. Tushar Mistry, who will walk you through our financial performance for the quarter in depth. Over to you, Tushar.

Tushar Mistry: Thank you, Dr. Yasir. Good morning, everyone. Welcome to our Q4 and FY 26 earnings call. Adding to Dr. Yasir's commentary, I would like to share a few insights on our performance over the last 2 years, particularly how our growth profile and profitability have meaningfully improved. Our growth has become more broad -based and importantly, our dependence on any single brand is gradually reducing.

To illustrate these, while our GPL revenues have remained relatively stable over the past 2 years, our non-GPL revenues have grown at a CAGR of 7.5% during the same period. This shift in mix is also reflected in our profitability with margins improving from 28% in FY24 to 34% in FY26.

This clearly demonstr

ates the new business we are adding is more profitable and value accretive in nature. With ongoing capex and continued investments in new technologies and products, we remain confident in our ability to sustain this margin trajectory going forward. Now I would like to highlight the key performance updates for the quarter and full year ended 31st March 2026.

For Q4 FY26, revenue from operations stood at INR 689 crores, reflecting a growth of 6.1% year -on-year. Gross profit for the quarter was INR 418 crores, up 14% year -on-year. Gross margins for the quarter stood at 60.7%, up 420 basis points year -on-year, driven by new launches, product mix and operational efficiency. EBITDA for the quarter was at INR 237 crores, up 13.8% year -on-year.

EBITDA margin for the quarter was 34.4%, up 230 basis points year -on-year. PAT for the quarter stood at INR 163 crores with PAT margins at 23.6%. For full year FY 26, revenue from operations stood at INR 2,552 crores, a growth of 6.9% year -on-year. Gross profit for FY 26 was at INR 1,485 crores, up 13.7% year -on-year. Gross margins for FY 26 stood at 58.2%, up 350 basis points. EBITDA for FY 26 was at INR 858 crores, up 19.6% year -on-year. EBITDA margin was at 33.6%, which was up by 360 basis points year -on-year. PAT for FY26 stood at INR 565 crores with PAT margins at 22.1%. Turning to the therapeutic mix. CVS and CNS continued to lead the growth during the quarter with both therapies contributing 50% to the top line.

In addition, we are gaining traction in newer therapies like respiratory and anti -allergy, which collectively contribute more than 10% of our revenues. Chronic therapies continue to outgrow acute segment and contributed 67% to the top line in FY26. R&D expenditure for Q4 FY 26 was INR 25 crores, which was at 3.6% of our sales. And for the full financial year 2026, it was INR 91 crores, again, 3.6% of our sales.

Before I delve into cash flow details, I would like to first highlight a fundamental shift in how the company is utilizing its cash. As many of you are aware, prior to FY 24, while our operating engine was strong and consistently generated cash, a large part of that cash was upstream. FY 24 marked a clear inflection point.

Over the last 2 years, we have generated cash from operations of about INR 984 crores, of which we have invested in capex of INR472 crores, paid dividend of INR 61 crores and resulted in a war chest of INR 451 crores. Let me now move to the current year's cash flows. As of 31st March 2026, our cash and cash equivalents stood at INR 782 crores, with capex for the year being INR 306 crores. Looking ahead to FY27, we plan to incur a capex of about INR 540 crores, which includes carryover commitments from FY 26 as well as fresh capital investments. Importantly, this entire capex will be

funded through internal accruals. These investments are focused on building new capabilities at Solapur, our greenfield project as well as strengthening our R&D platform. The capacity we are adding today will take us from 1,198 KL in FY 24 to a planned 2,690 KL by FY28, positioning the
company to drive sustained growth well beyond FY28.
With that, let us open the floor for Q&A.
Moderator: Thank you very much. We will now begin with the question -and-answer session. W e will take the first question from the line of Ahmed Madha from Unifi Capital.
Ahmed Madha: Congratulations on the great execution you have delivered over the last 2 years post change in the ownership. First question is, we had a fire incident at Dahej plant. Can you quantify, was there any impact of production and sales? And is there any spillover we are expecting in Q1? And also, was there any costs booked related to the same on P&L?

Yasir Rawjee: So the fire at Dahej impacted only the intermediate side
of the facility. The API, the finished area
was intact. So we didn't experience any great delays. As a result of that, there is no significant spillover. There is some but not very significant. And we hope to be able to tide that by in Q1.
Tushar Mistry: From an expense perspective, yes, we have booked a loss due to fire in our other expenses to the extent of INR 20 crores. And that's why you see a jump in the other expenses line item.
Ahmed Madha: Okay. So just to clarify, out of INR 126 crores, INR 20 crores is related to the impact. And on the employee cost side, is that jump organic? Or is there something else as well?
Tushar Mistry: So on the employee cost side, we have accrued performance bonuses since the performance for the company is good. There are certain performance bonuses which are payable to the employees, and those have been accrued in the last quarter.
Ahmed Madha: Sure. That helps. Other question was, considering the lot of volatility we are seeing in global macros, there is obviously some For ex impact we'll be seeing, and I'm assuming it will be positive considering we are net exporters. Can you quantify does that sort of help us in the gross margins?
Is that sort of number baked in the gross margins? If possible to quantify and give your thoughts around? And I'm assuming there will be some impact because of yuan appreciation and according imports cost. So that's first. And second, was there any major F orex gain booked in other income in Q4 and full FY 26?
Tushar Mistry: So yes, there is an element of For ex gain for the year in the P&L. As you rightly mentioned that since we are net exporters, any rupee depreciation definitely helps us. For the entire year on the P&L, we have seen a net gain of about INR 31 crores on the P&L. There is about INR 11 crores of gain that we have booked for Q4 and about INR 20 crores for the full year that we have booked.
Ahmed Madha: Okay. Sure. And are we seeing any challenges in terms of RM procurement, RM costs, pressure in terms of gross margin because of cost inflation, any logistic issues on the business in general? I mean, obviously, we'll be facing challenges, but something sig nificant, if you can call out?
Yasir Rawjee: So freight was impacted first starting from February 28 , 2026 itself and more or less, that has been passed on to customers a s far as material costs go, solvents were the first materials that went up quite significantly. The good thing is that solvents contribute about 12%, 13% to our overall cost. So yes, there is an increase.
But again, on the overall cost, it's not going to have that big an impact. Of course, we are in touch with our customers to give them that view and most customers are agreeable to take on that added cost, whether it relates to freight or relates to material costs. So we don't expect an impact.

Ahmed Madha: Sure. That helps. And in the industry environment in general for pricing, how would you evaluate current environment? Is it sort of a steady I mean, apart from what has happened because of war, but in general, are you seeing any improvement in pricing envi ronment for your API business?
Yasir Rawjee: See, for our markets and our portfolio, the pricing environment has been reasonably stable to begin with. And the war should not have any effect on the pricing environment.
Ahmed Madha: Sure. Last question from my side. In terms of inorganic opportunities, if you can give some thinking how you are thinking about that piece? What sort of profile of business you are looking for? And are we any close to do something?
Yasir Rawjee: So we are actively looking a nd the direction is to basically enhance the platform that we already have. So our goal is to extract more value from our pretty large and diverse pipeline of APIs. So if we can sort of milk that pipeline much more through a lateral
buildup of allied platforms, then that's the
direction we are looking into in terms of inorganic.

Moderator: We will take the next question from the line of Krishnendu Saha from Quantum AMC.
Krishnendu Saha: Just a couple of questions. Looking at the on a Y -o-Y basis, our material cost is practically flat and our CDMO share of revenue has been also flat. Just understanding, has the product mix on the CDMO been largely superior in the past? That is why we have an expansion in the EBITDA margin?
Yasir Rawjee: So CDMO definitely has better margins, but our CDMO business has grown 18%. Why do we say it's flat? I don't know.
Krishnendu Saha: No, I mean, sorry, let me rephrase that question. The percentage of revenue has been flat at 6%, 5.5%, 6% compared to the last year also. So contribution to the total revenue is still the same. So I'm just wondering, is it largely because of the larger superior mix of the CDMO within the CDMO. That's what I'm trying to understand.
Yasir Rawjee: Okay. So improvement in margin has got like, I would say, 3 to 4 factors. Operational efficiency has helped. We have had better cost processes implemented , CDMO has gone from 6% last year to 7% this year in terms of I mean, FY 25, it was 6% it's gone to 7% in FY 26 and that certainly matters. But we've also had some good launches of generic API in the multiple markets. So all in all, that is how we've achieved better margins.
Krishnendu Saha: And the backward integration of Ankleshwar and Dahej, to Solapur, has that played out as of now?
Yasir Rawjee: No, not yet. Backward integration in a big way still has to contribute. There's some, but not very significant because Solapur is still not yet online, and we don't have the capacity for backward integration yet. in the regulated plants. So Solapur should be up and running in Q2. And then we hope to implement those backward integration projects.

Krishnendu Saha: That helps us in the margin, I suppose I understand that, right?
Yasir Rawjee: Yes. We hope to have some benefit from that.
Krishnendu Saha: And sir, sir, something about Solapur being reinspected or something. Are we going for any regulatory inspection over there? It's going to be normalized as well?
Yasir Rawjee: I think you're probably referring to Ankleshwar, Dahej because Solapur is not yet commissioned. I mean.
Krishnendu Saha: No, I know. I mean, in the future, do we look at implementing Solapur for regulated markets because we only have Solapur for the ROW market. So I was wondering, do we go for the regulated markets for Solapur also?
Yasir Rawjee: Yes, yes, that is the plan very much.
Krishnendu Saha: I see. And last question from my side. When we talk about high potency API has been validated, the validation when I understand, when I hear that, I mean, just to clarify, I understand less of the subject. So the innovator or the client has validated the o bject or the API or the molecule, right?
Yasir Rawjee: Yes, yes. So the thing is that it's a progression. So before we validate, we've already sort of engaged with the potential customer. And then when they are ready to take exhibit batches is when we get we validate the material in the plant. So that larger q uantities are also generated as a result.
Krishnendu Saha: Okay. So the validation, they have started taking small amounts of validation batches from us for the 7, 8 molecules which we have right now and the high potency API. That's what I can understand. That's right. And high potency API will be a better margin than the rest of the business, right?
Yasir Rawjee: Let's see that has to play out because most high -potency APIs that we are working in have patent expiries that are going to come in from the year 2028. So it remains to be seen. But yes, typically, these molecules do attract better margins.
Moderator: We will take the next questi

on from the line of Shubh Mehta from ICICI.
Shubh Mehta: So building on to the question of previous participant on high potent molecule contribution, I wanted to understand this year, we had 12 molecules which were there. And last year, if I see the size was 7 molecules, which were there submitted and accepted. So can you help me understand what is the contribution of high potent molecules this year in our portfolio vis -a-vis last year?
Yasir Rawjee: So see, the only contribution that we get is from the sale of exhibit batch quantities because like I explained, the patent expiries are not going to happen until early 2028. So until then, our customers would not be able to launch and would not be able to buy API from us for those launches. So the

only sort of revenue that comes from the high- potent segment right now is the sale of exhibit batch quantities.
Shubh Mehta: So it will be fair that it will not be the material contribution for us in the revenue?
Yasir Rawjee: Not very significant, no.
Shubh Mehta: Okay. Second question is, sir, that growth, how much would be the growth contribution from the 12

new introductions which we had for this entire year? And what would be the price erosion in our base business, if I exclude GPL and CDMO business?
Yasir Rawjee: See, again, these 12 molecules are new molecules. Their patent expiries are going to happen in the next 5 to 7 years for the regular molecules. Because typically, we don't go for already genericized APIs. That's the idea. And you wanted to know the base business erosion, what were you asking?
Shubh Mehta: Price erosion in the base business, excluding GPL and CDMO.
Tushar Mistry: Yes. So on that, the price erosion is about 5.5% is what we have seen on the non-GPL , non -CDMO.
Shubh Mehta: All right. So if I exclude despite that, we have grown pretty well, 13% kind of growth in the base business. If I exclude GPL and CDMO, that seems pretty healthy. Are we expecting to continue that traction over there?
Tushar Mistry: Yes. That is what we are seeing.
Moderator: We will take the next question from the line of Sunil Kothari from Unique PMS.
Sunil Kothari: Congratulations for this transformative journey under this Nirma and your leadership, the way we achieved our cash flow control, then the way we have started investing and the way we leverage the benefits of better operating margin. My question is, sir, first is yet another scope, which are another area where you feel you have scope to improve further the margin or maybe maintaining this very respectable margin?
Yasir Rawjee: See, this year is going to be a bit challenging because of the war. Supply chains do have a little bit of constraint. But demand visibility is pretty good. So we'll have to see how the whole margin thing shapes up. But the thing is we are still confident of maintaining between 30% and 32%. So let's see how it goes. It's a bit early to sort of give the whole year margin guidance .
Sunil Kothari: Sir, I just wanted to understand which are the areas where you see internally where you find the scope to improve the margin without giving any numbers, but do you see any area where you feel internally you can do something which will help us to improve the margin?

Yasir Rawjee: So see, backward integration is certainly one area where we see some scope for margin improvement. And once Solapur comes online in the second half of the year, we will be doing backward integration on a few key projects. And that momentum will build up as we go along.
Sunil Kothari: And sir, second question is, during last 2, 3 years, our objective and our basic strategy is to we don't want to go for a well commoditized business. And that's why we are very respectable, very highly profitable business only. But looking at the cost stru

cture, the way we invest, the way inflation is working, if we don't grow in double digit, then it becomes very challenging to give a better bottom line.
But that is our understanding as an investor. What is your thought process for next 2, 3 years? Will we be able to move from single digit, lower single digit, mid-single digit to maybe a little higher or mid-double -digit revenue growth?
Yasir Rawjee: See, in the non -GPL business, we are already growing at double digit so thing is that the GPL business is a bit wavy . So it remains to be seen, but we are not seeing it keeping staying in line with the non-GPL business. So that element will be there.
But what's also happening is that as the non-GPL business grows faster, the contribution of the GPL business is going to be much less as we go forward. And honestly, see, I mean, we've interacted with you right before as well. The thing is that the focus f or us is on having a good margin profile for the business and generating good profits, which translate into good cash generation.
So maintaining a high-quality business is a much bigger priority for Alivus And growth will come. I'm not saying that growth will not come, but growth will not be pursued at the cost of margins because it creates a lot of other challenges then.
Moderator: The next question is from the line of Yog Rajani from Omega Portfolio Advisor s.
Yog Rajani: I just wanted to congratulate the team on great results. I had a question regarding the capacity utilization for the new facility that will be coming up in Ankleshwar, Dahej and Solapur. So as I see in Q2 and Q3, we will have a bulk of our capex coming live.
So how much time would it take for it to get to an optimal capacity utilization? Because like if it's coming in Q2, I don't believe that it would like be ramped up immediately. So could you just share time lines in terms of capacity utilization we see in o ur new brownfield and greenfield facilities?
Yasir Rawjee: Yes, sure. So see, capacity utilization in the brownfield will be pretty rapid in terms of bringing it at the 80%, 90% level in a matter of 2 to 3 quarters because that's brownfield, that's an approved site inspected by FDA and other agencies. So that capacity will get taken up pretty quickly. As far as Solapur goes, we have done a fair amount of product mapping in Solapur.

So we expect that in when Solapur starts off, we should start off with a robust 40% to 50% utilization and then probably take it up to 60%, 70% in the following year. So see, we have always been calibrated in terms of building out capacity We've not been too adventurous, right ? And here, it helps us because we can do it in phases.

And that's why what we are doing at Solapur to start off is Phase 1, where we will have 370 KL for the BI block and then 120 KL for the API block So capacity utilization should be, like I said, around 40% to 50% to start off in Solapur. And brownfield will kick in pretty quickly, 2 to 3 quarters.

Yog Rajani: So as I understand, FY 28 because of the huge bulk of the capex coming live would give us a huge revenue jump again in FY 28 and onwards. Is that a good understanding?

Yasir Rawjee: It will definitely give us a runway for new launches and volume growth b ut mind you, see, the Solapur capacity, like I said, the 370 KL is for backward integration So that won't contribute directly to front - end sales. That capacity should not be factored into any kind of model you're building.

Yog Rajani: Okay. Fair. I completely understand. And just wanted to understand, given after the greenfield and the brownfield expansion that have happened, do we have further available land bank for expansion down the line? Or would the next phase again be greenfield?

Yasir Rawjee: Land bank where?

Yog Rajani: No. So for our further capacity expansions beyond what is already planned, would we need

to again
go greenfield? Or do we have land available in our existing plants to continue with the expansion?

Yasir Rawjee: Solapur is on 40 acres, and we would comfortably be able to add another 700 to 800 kiloliters of capacity of API capacity in Solapur. Right now, we have only 120, right? s o Solapur should give us a good runway once we hopefully get inspected soon and are through with that, then we can ramp up the Solapur expansion, and then that should give us a runway for at least 3 to 4 years in Solapur.

Ankleshwar has capacity. We can ramp up there further. But the thing is it's still it's quite it contributes almost 65%, 70% of our revenue today. So we would like to go a little slow with Ankleshwar and Dahej is full.

Moderator: We will take the next question from the line of Meghna Agarwal from Mount Intra.

Meghna Agarwal: I just wanted to understand the API segment as a whole, like what are the pricing and the volumes are they improving and how do we see that going forward?

Yasir Rawjee: So, see, there's a significant volume growth in all segments of our business. With respect to the pricing environment, I answered to an earlier question that we have not faced any major challenges with respect to pricing in most of our geographies because we have a newer portfolio.

And so it's not that commoditized. So we don't get that much pressure on pricing. Although on the overall bucket, we do see an erosion of around 4.5% because of the some price reduction that we have to give on some of the products. So that's the overall sort of situation with respect to our portfolio. And the volume growth is pretty good, and we expect it will continue to be that way.

Moderator: We will take the next question from the line of V.P. Rajesh from Banyan Capital Advisors.

V.P. Rajesh: Most of my questions have been answered. But just on the asset turnover, do you think it has stabilized at 2.2 , or do you foresee it going down further from here as other facilities ramp up?

Yasir Rawjee: So it would go down a little bit more because like we said, Solapur will be coming online soon and some of the brownfield capacity will also be coming in. But when you compare us to the industry, we are still, I would say, pretty much on top of the table t here.

V.P. Rajesh: Okay. So let's say, 2 is probably a reasonable level that one can expect? Or could it go down further from that?

Yasir Rawjee: I mean it would temporarily go down below 2 as well, right? But it would come back up once the utilization picks up, like I explained earlier.

Moderator: We will take the next question from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Sir, we have seen R&D spends increasing consistently over the past few years as a percentage of sales. We have spoken about flow chemistry earlier. You're also talking about high potent API iron complexes as well as an evolving CDMO pipeline. Can you help us understand a bit more in detail as to where exactly your focus lies as far as R&D is concerned? And where do you see this R&D number as a percentage of sales settling over the next 2 to 3 years?

Yasir Rawjee: Alankar, the areas that you outlined are where we are focusing on R&D, and that's really going to drive the growth. As far as settling down, I don't think we'll cross 4%, right? We'll probably be at 4% in the next year or 2. And then it should settle down. I mean but then we needed to fire off on many cylinders here because the thing is that, that's how the growth will come, right? You mentioned all the areas. I don't need to repeat.

I mean, you talked about flow chemistry, you talked about the CDMO side, and we are looking seriously into pellets and granules. That's also an area that we've started working on. It's that whole lateral expansion of the API. I mean, we call it API plus, r ight? So a f

air amount of investment is
going into that. And then, of course, the pipeline buildup also is geared more towards the more complex molecules. So all in all, put together, yes, it is our R&D spend is going up. But again, it is going to pay off. I mean, much, much more than what we are investing today.

Alankar Garude: Got it, sir. The second one is more of a clarification. When you're speaking about pricing, would it be fair to understand that given our portfolio is slightly more niche, more chronic -oriented, non-

commoditized, as you said, any benefit of price hikes will be limited compared to, say, any other company or any other portfolio, which is much more commoditized than ours amidst this Middle East situation?

Yasir Rawjee: Yes. So I don't know if I said it, but I think I did, but most customers are pretty comfortable taking price rises because they understand the situation, right? And rather than have a slowdown in supplies or not have supplies, they've kind of given us the green flag that, yes, that's fine. You go ahead. But as long as it's going to be reasonable, we are okay to absorb that price increase. And there will be some.

The good thing for us is that the only area where we see that increase is on the raw material side. On the operations side, our operations are going to be stable because we moved away from gas. So we moved from gas to operating briquette boilers. So there is no impact on operational cost because of gas shortages or because of hikes in price.

And that way, our the operation cost is going to be stable going forward, even in a war situation. But yes, certain raw materials have gone up and are likely to go up even further. But we've got a kind of green light from our customers that, yes, we can charge them more, it's going to be fine.

Alankar Garude: Understood. So basically, more or less on the gross margin side, we should not really expect too much of an increase and on the other hand, not too much of a drop as well?

Yasir Rawjee: Yes, you're right.

Moderator: We will take the next question from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, just one on CDMO, if you can talk about the Phase 3 project, if the runway continues and the ramp -up that you are expecting for fourth and fifth and also the new deals or pipeline you had on the CDMO piece please?

Yasir Rawjee: So CDMO, the fourth and fifth project have kicked in really nicely. There's some revival even on the earlier projects. And so we expect that CDMO will continue this momentum . As far as new projects go, we hope to close 2 new deals in the second half early second half of this year.

Moderator: We will take the next question from the line of Deepak Lalwani from Unifi Capital.

Deepak Lalwani: Yes. A couple of questions. Firstly, if I look at the new launches, which probably have given the gross margins, if you can give some sense what percentage of revenue incrementally has come from the new launches, which happened in FY 26. that's sort of a benchmark number or something you can give.

Yasir Rawjee: I don't know whether we'll be able to do that. I mean we do have a sense I mean we'll have to see, but I can't.

Tushar Mistry: Just to answer your question, as Dr. Yasir also explained earlier, new launches are not a very significant contributor to the top line revenue growth. They are new launches and the ramp- up will continue to happen on those products. It's not like they are contributing significantly to the grow th.

Deepak Lalwani: Okay. Got it. And if I look at the HP API pipeline building, obviously, it has built up very well last couple of years. That sort of contribution when you say will start coming in, will it be from the same Ankleshwar and Dahej side and should start coming in from, say, FY 28 or it will tak

e some more
time?

Yasir Rawjee: It will start in FY 28 because customers order material at least 6 to 9 months before the launches happen.

Deepak Lalwani: Okay. Sure. And do we have like any meaningful big launches coming in FY 27? Or will that take some more time? I'm just trying to gauge whether the gross margin expansion, which has happened will continue.

Yasir Rawjee: Yes, we have launches.

Moderator: We will take the next follow -up question from the line of Krishnendu Saha from Quantum AMC.

Krishnendu Saha: Sir, just on a financial question, just to understand, we are closing cash balance is just INR 20 million. Mutual fund has increased by INR 350 crores. Capital work in progress has also increased. So are we comfortable on the cash position? That's what I'm trying to understand.

Tushar Mistry : Cash position is about INR 784 crores, including the investment in...

Krishnendu Saha: Yes. Yes. That's what I said. And your working capital has already been paid for halfway t hrough I

suppose because of the INR540 crores capex we have to do. So we're just very comfortable on the cash position, right?
Tushar Mistry: Yes, absolutely. The entire capex will happen from internal accruals.
Moderator: We will take the next question from the line of Bhawana Israni from Ambit Asset Management.
Bhawana Israni: Sir, just wanted to check, in the last call, we said that the CDMO 2 contracts will come in next 6 months like it was roughly June, July. But now this time, we are saying that it will come in the early second half of FY27 . So we are expecting some delays in 2 CDMO contracts?
Yasir Rawjee: Not really expecting delays, but then I do want to moderate it a little bit. It may come in the first half also, a little later in the first half. But just to be on the safe side, we are saying it will happen on the early part of second half.
Moderator: We will take the next question from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: I think we alluded to that in the opening comments around the fact that how we're looking at the business differently in terms of capital allocation after the changeover of the management and the promoter ownership.
If you can probably just take a couple of minutes to sort of reflect on the journey since the time the ownership change happened to how the strategic priorities has the business, what have you been from a strategic perspective, what have you been doing fo r the last 3, 4 years?
And now as you look forward from the base that we built out over the last 3, 4 years since ownership change, I mean, how are things going to change? Is there any meaningful change the way you're looking approaching the business from here on?
Yasir Rawjee: Yes. I mean I'll take a little time, but yes, you had explained that. See, what was happening is in the earlier the pre-Nirma ownership, right, our focus was purely on portfolio, and we had to cherry pick the right kind of molecules so that the growth came as a result of that. There wasn't much scope to go laterally .
So essentially, the R&D investment continued to be in picking the right molecules and taking them forward, which is helping us now for sure. And then the capex investment was again geared up to just ensure that whatever volume expansion happened as a result of overall volume growth, but also as a result of new product introduction as the patents expired and the customers launched.
So that was very limited. Now I just answered Alankar's question on why the R&D spend is going up. And that is basically what has significantly changed in terms of our thinking in terms of the various directions that we can get into. And so it obviously st arts with R&D, and we are looking at various new areas to get into. Of course, we've done enough market analysis to see whether all this will pan out.
One example that

I can give you is the kind of work that we did in flow chemistry. And very recently, we've even commercialized one flow chemistry product, which is doing exceedingly well. And the confidence we have now in employing flow chemistry has gone up multifold because we've had commercial success on our very first project in flow chemistry using flow chemistry.
And so the investment in flow chemistry in more complex molecules in a lateral growth of the current portfolio are the areas where we are investing, and we are able to invest relatively freely because we are not just limited by a capacity buildup for the f uture portfolio. So I mean, these are areas that we believe that will drive growth in various different directions. And only time will tell, of course, but that work has begun in earnest.
Nitin Agarwal: And if I sort of take that forward, so when you look around you, obviously, when you look at India, the Indian environment as well as probably some of the global ones, I mean, when you look at your peer set, what is it that we, in your mind, do differently versus the others, which what we do better

than the others, which sort of gives us the profitability metrics the way they play out and confidence in growth that we have?
Yasir Rawjee: I think the others are also doing well, but they've chosen that path. I mean, with respect to our own sort of path or DNA that we've picked is we want to have some element of uniqueness or higher entry barrier in whatever we are doing. The thought process here is that at least gets a fair amount of differentiation going so that in the longer term, we can sustain our business much more profitably.
This is the whole point here. See, what happens is that this is a choice you make way before. I mean, we made this choice 7 years ago when we became Glenmark Life Sciences and took that direction.
So that directional sort of that we defined for ourselves a nd then consistently stayed along that is what has helped us. This is what I would say. And look, at the peers also, there are people who are

doing really well.
I mean, if you look at there are companies that have done exceedingly well. They've branched out pretty smartly into various areas. Of course, some because of portfolio choices and because of the overall competitive intensity in the market, there are challenges, right? But still , I would say, overall, people are focusing on the direction that they set for themselves.
Moderator: We will take the next question from the line of Ketan R. Chheda, a Retail Investor.
Ketan R. Chheda: Congrat ulations on a very good result. Could you help me with what is the revenue contribution from the geographies or at least the top 2 geographies, be it U.S. or Europe or any other geography? Could you help with percentage revenues?
Yasir Rawjee: So see, I mean, we have mature geographies that are contributing quite evenly. So if you look at India, Europe, Latin America, these geographies and even the U.S., right, they're contributing pretty significantly. The newest geography for us that has come in, in the last 4 to 5 years is Japan.
And so that's relatively small compared to the others, but that's also growing quite well. But we are pretty evenly distributed across the geographies with respect to so if you look at the product selection again, this goes back to the answer I gave to Ni tin Agarwal from DAM is that the selection of portfolio that we make over the years has been for all geographies.
We've tried our best to make sure that we select those molecules accordingly. So the overall growth in all the geographies has been pretty significant. And like I said, even Japan, which is a relatively smaller geographic beginning to shape up very nicely.
Ketan R. Chheda: Okay. Okay. And the other question I have is with respect to the contracts that we have with our customers. Now if you could

just help me understand whether these contracts are like long term in nature or they are kind of short term, like you get contracts for deliveries a few months out, something like that.

If you can just give a flavor, give an understanding of how the contracting how the ordering from the customers work in our thing. And if there's a differentiation in terms of the older molecules versus the recently launched molecules, if you can throw som e light on these aspects.
Yasir Rawjee: So in our business, right, in CDMO, we have contracts, and these are longer -term contracts. But on the generic API side, we have fewer contracts. But even where we have them, they are not that long term. It could be about it could be for a year or 2 years at the most. That's how and we prefer that really because the environment is very dynamic, and we can't get locked into very cumbersome kind of clauses and get stuck.
Now if you see this war situation, we are asking for price increases. If we were contractually bound, then we would have trouble, right? So here, it's much better that we work with the customers as and how things progress. And we don't see any downside to that either. I mean it's better really not to be too badly tied up in contracts.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. And with that concludes the question-and -answer session. Thank you, members of the management. On behalf of Alivus Life Sciences Limited, we conclude this conference. Thank yo u all for joining us, and you may now disconnect your lines.